

Exhibit 38

Company Code: 603661

Company abbreviation:
Henglin Co., Ltd

Choose the highest place to stand

Moving forward toward the new

Henglin Home Co., Ltd. 2025 Annual Report

Letter to shareholders

Choosing a higher position to embark on a new journey, moving forward to create the future— united with you, pursuing long-term value together

Dear Shareholders:

I'm writing this letter to share some 'family words' with you. How we can be honest and face problems in internal meetings, how we assess the market, raise our cognitive boundaries and accelerate iteration, review our journey from revenue from billions to tens of billions, and plan for the next breakthrough— these are our true thoughts, and we want to share them with you one by one through this letter.

By 2025, facing a complex external environment and fierce industry competition, Henglin will operate steadily and pragmatically, with sales exceeding 10 billion yuan. We know that what everyone cares about most is never fancy slogans, but whether the company is stable, whether its operations are solid, whether there is hope for the future, and whether returns are promising. We must "stand tall" and move toward high-end and branding.

As the chairman of the group, I often feel the heavy responsibility on my shoulders. Every major decision is tied to the livelihoods of tens of thousands of employees' families and the trust investors place in us. As Mr. Ren Zhengfei said, a company must "exert strength from one hole, profit from another," always maintaining self-criticism and clear awareness. I always regard "self-criticism" as one of my most important daily tasks: Where are my cognitive boundaries? Are my decisions constrained by existing experience? Have I heard enough diverse voices?

Currently, Henglin has initially completed its global manufacturing layout, with sales moving from the billion-yuan level to the ten-billion-yuan level, a process that took about 10 years. So, where will the company's future revenue growth drive come from?

Henglin started as an office chair factory in Anji, Zhejiang, and after going public, has steadily expanded its home furnishing portfolio, gradually building a complete home ecosystem. We are committed to globalization, establishing overseas bases in Vietnam and Switzerland, facing cultural differences and management challenges head-on, adhering to a customer-centric approach, learning by doing, and steadily implementing the product.

Over the past thirty years, Henglin's growth has benefited from our keen market judgment. But looking to the future, we must soberly ask: As the information gap is increasingly closing and imitation speed is measured in days, what do we rely on to maintain a sustained lead?

The answer is clear: we must achieve a fundamental shift from "sample selection" to "sample cultivation." "Sample cultivation" means we must become creators at the source of innovation, not followers of hot topics. This requires us to systematically and continuously invest in building Henglin's long-term and solid "three foundations": product strength, brand strength, and channel strength.

Therefore, our core mission has never been clearer: to return to the essence of business, focus wholeheartedly on creating stunning high-end products, build a warm and strong brand, and establish an efficient and win-win channel network.

Henglin has always been committed to building modern corporate systems and adhering to compliant operations. On this basis, we pursue high-quality revenue— every income must have a reasonable gross profit contribution; We pursue profits with cash flow— every bit of profit must be converted into cash on hand. Only in this way can we achieve truly sustainable development. We deeply understand that talent is the most valuable asset. Investing money in talent— only talent can bring tenfold or even hundredfold growth. In previous years, Henglin's development path was mainly resource-driven— achieving scale growth through land acquisition, factory construction, and order fulfillment. But now, the global manufacturing industry, especially the furniture industry, has undergone profound changes in supply and demand, and the marginal benefits of traditional asset-heavy expansion models are diminishing. Next, we must focus

on developing higher-end products, building independent brands, and mastering key processes to win higher market premiums.

In the future, Henglin's various business lines will continue to cultivate top-tier professional managers, enabling more outstanding talents to grow into "number one positions." Only by continuously empowering and trusting can a company unleash greater vitality. For a company to grow large, it cannot do without the mature operation of the talent cultivation system and professional manager mechanism. With profound changes in the market environment, we have gradually cultivated a group of dynamic business teams that grow through practical experience and mature through responsibility.

As a listed company deeply rooted in industry, we always keep the trust of every minority shareholder in our hearts. In the future, Henglin will stand on high ground, courage to grow inward, and determination to move forward, solidify the foundation of development through steady operations, activate new growth momentum with better operational efficiency, continuously create high-quality, sustainable business value, and walk together with all shareholders for the future.

Let us work together to create a solid future for Henglin driven by products, led by brand, and guided by healthy channels— a future that can withstand cycles and sustain the business for generations! Chairman:
Wang Jianglin April 28, 2026

Important reminder

1. The company's board of directors, directors, and senior management guarantee the truthfulness, accuracy, and completeness of the annual report, that there are no false records, misleading statements, or material omissions, and bear individual and joint legal responsibilities.

2. All directors of the company attend the board meeting.

3. Tianjian Certified Public Accountants (Special General Partnership) issued a standard unqualified audit report for the Company.

4. The company's responsible person: Wang Jianglin, the person in charge of accounting Wang Xueming, and the head of the accounting department (accounting supervisor) Wang Xueming

Statement: Guarantees the truthfulness, accuracy, and completeness of the financial reports in the annual report.

5. The profit distribution plan or the capital reserve plan to share capital conversion approved by the board of directors for this reporting period

On September 15, 2025, the company held its second extraordinary shareholders' meeting of 2025 and approved the interim dividend plan: a cash dividend of 5.50 yuan (tax included) will be distributed to all shareholders for every 10 shares, totaling 76,486,867.05 yuan (tax included), accounting for 46.68% of the net profit attributable to shareholders of the listed company for 2025. The interim dividend was distributed on October 10, 2025.

After approval at the 10th meeting of the 7th Board of Directors, the company's 2025 annual profit distribution plan is: no cash dividends, no bonus shares, no capital reserve converted to share capital in 2025, and must be submitted to the shareholders' meeting for approval.

As of the end of the reporting period, the parent company had unoffset losses and their impact on the company's dividends and other matters

☐ Applicable ☒ Not applicable

6. Risk Statements Regarding Forward-Looking Statements

☒ Applicable ☐ Not Forward-looking statements such as future plans and development strategies in this report do not constitute a substantive commitment by the company to investors. Investors are advised to be aware of investment risks.

7. Whether there is non-operational use of funds by controlling shareholders or other related parties

No

8. Whether there are cases of providing guarantees externally in violation of prescribed decision procedures

No

9. Whether more than half of the directors cannot guarantee the truthfulness, accuracy, and completeness of the company's disclosed annual report

No

10. Major Risk Warnings

For details, see "Section 3: Management Discussions and Analysis" in "VI. Company Discussions and Analysis on the Company's Future Development" and "(4) Possible Risks" in this report.

11. Others

☐ Applicable ☒ Not applicable

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List of documents for reference	Financial statements signed and stamped by the legal representative, the person in charge of accounting work, and the head of the accounting department
	Original audit report stamped by the accounting firm and signed and stamped by a certified public accountant
	All original company documents and original manuscripts of announcements publicly disclosed in newspapers designated by the China Securities Regulatory Commission during the reporting period

Section 1: Definition

1. Definition

In this report, unless the context refers, the following terms have the following meanings:

Common word definitions		
Henglin Co., Ltd., the Company, and the Company	Point	Henglin Home Co., Ltd.; or, depending on the context, Henglin Home Co., Ltd. and its subsidiaries
Hengyou Technology	Point	Anji Hengyou Technology Co., Ltd
Hengyi furniture	Point	Anji Hengyi Furniture Co., Ltd
Huzhou Hengxin	Point	Huzhou Hengxin Metal Products Co., Ltd
Ruide Sponge	Point	Ruide Sponge (Zhejiang) Co., Ltd
Henglin, Vietnam	Point	Henglin Home Furnishing Co., Ltd. in Vietnam
Vinh Yu, Vietnam	Point	CÔNG TY TNHH SÀN NHÀ VĨNH DỰ VIỆT NAM Vietnam Yongyu Flooring Co., Ltd
LO	Point	Lista Office Group AG ; Or, depending on the context, refers to Lista Office Group AG and its subsidiaries
Yongyu lived at home	Point	Zhejiang Yongyu Home Furnishing Co., Ltd.; or, depending on the context, Zhejiang Yongyu Home Furnishing Co., Ltd. and its subsidiaries
Hengjian resided at home	Point	Zhejiang Hengjian Home Furnishing Co., Ltd.; or, depending on the context, Zhejiang Hengjian Home Furnishing Co., Ltd. and its subsidiaries
CinoFurniture	Point	Anhui Cigna Furniture Co., Ltd.; or, depending on the context, Anhui Cigna Furniture Co., Ltd. and its subsidiaries
Nanjing Hengning	Point	Nanjing Hengning Home Furnishing Co., Ltd.; or, depending on the context, referring to Nanjing Hengning Home Furnishing Co., Ltd. and its subsidiaries
Chef PhD	Point	Dongguan Chu Boshi Home Furnishing Co., Ltd.; or, depending on the context, Dongguan Chu Boshi Home Furnishing Co., Ltd. and its subsidiaries
Cross-border e-commerce	Point	Refers to an international commercial activity where transaction entities belonging to different customs jurisdictions (customs jurisdiction areas) complete transactions and settlements through e-commerce platforms, deliver goods and complete transactions via cross-border logistics.
ODM	Point	Original design manufacturer (design and production) undertakes part of the design tasks based on manufacturing and processing, producing products and selling them to brand owners
OBM	Point	Original brand manufacturer (self-operated brand): The manufacturer owns its own brand, designs and manufactures products independently, and has a complete business chain
To B	Point	To Business stands for Facing enterprises or specific user groups, usually meaning 'enterprise-oriented' and providing services to enterprises
To C	Point	To Customer stands for Target Customer, targeting the end customer, i.e., individual consumers
Company law	Point	Company Law of the People's Republic of China
Securities law	Point	Securities Law of the People's Republic of China
China Securities Regulatory Commission	Point	China Securities Regulatory Commission
Articles of association	Point	Articles of Association of Henglin Home Furnishing Co., Ltd
Reporting period	Point	From January 1, 2025 to December 31, 2025
Last issue	Point	From January 1, 2024 to December 31, 2024

Shareholders' meeting	Refers	to shareholders' meetings and general meetings
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Section 2: Other Company Profiles and Key Financial Indicators

1. Company Information

The company's Chinese name	Henglin Home Co., Ltd
The company's Chinese abbreviation	Henglin Co., Ltd
The company's foreign name	Henglin Home Furnishings Co.,Ltd.
The abbreviation of the company's foreign name	HENG LIN
The company's legal representative	Wang Jianglin

2. Contact person and contact information

	Board Secretary
Name	Tang Hongyan
Contact address	No. 378 Jiayi Road, Dipu Street, Anji County, Zhejiang Province
Phone	0572-5227673
Fax	0572-5227503
Email	hlgf@zjhenglin.com

III. Basic Information

Company registered address	No. 378 and 380 Jiayi Road, Dipu Street, Anji County, Huzhou City, Zhejiang Province
Historical changes in the company's registered address	On August 19, 2005, the company's registered address was changed from "Tangpu Industrial Zone, Anji County Economic Development Zone" to "Sunshine Industrial Park, Dipu Town (Wushansi Village)." On August 10, 2015, the registered address was changed from "Sunshine Industrial Park, Dipu Town (Wushansi Village)" to "No. 378 and 380 Jiayi Road, Dipu Street, Anji County, Huzhou City, Zhejiang Province."
Company office address	No. 378 and 380 Jiayi Road, Dipu Street, Anji County, Huzhou City, Zhejiang Province
The postal code of the company's office address	313300
Company website	www.henglin.com
Email	hlgf@zjhenglin.com

4. Information Disclosure and Preparation Locations

The company discloses the media names and websites for the annual report	China Securities Journal, Shanghai Securities News, Securities Times
The company discloses its annual report on the stock exchange website	www.sse.com.cn
Location for filing the company's annual report	Board Office of Henglin B District, Dipu Street, Anji County, Huzhou City, Zhejiang Province

5. Company stock profile

Company stock profile				
Types of stocks	Stock exchanges	Stock abbreviation	Stock code	Stock abbreviations before the change
A-shares	Shanghai Stock Exchange	Henglin Co., Ltd	603661	Not applicable

6. Other relevant materials

Accounting firms employed by the company (domestic)	Name	Tianjian Certified Public Accountants (Special General Partnership)
	Office address	Block B, China Resources Building, No. 1366 Qianjiang Road, Hangzhou, Zhejiang Province
	Signature name of the accountant	Lu Yaping, Wang Run

7. Main Accounting Data and Financial Indicators in the Past Three Years (1) Key Accounting Data

Unit: Yuan Currency: Renminbi

Key accounting data	2025	2024	Change in this period compared to the same period last year (%)	2023
Operating income	11,677,150,044.58	11,028,917,656.57	5.88	8,194,590,708.91
Total profit	298,732,278.89	322,254,925.82	-7.30	333,084,603.57
Net profit attributable to shareholders of the listed company	163,843,057.29	263,059,451.54	-37.72	263,098,990.52
Net profit attributable to shareholders of the listed company after deducting non-recurring gains and losses	166,539,075.94	280,634,230.39	-40.66	234,938,902.95
Net cash flow from operating activities	942,043,245.04	951,148,142.77	-0.96	447,337,212.97
	By the end of 2025	End of 2024	Year-end change compared to the same period last year (%)	End of 2023
Net assets attributable to shareholders of the listed company	3,637,906,977.94	3,696,314,138.72	-1.58	3,399,336,489.94
Total assets	10,801,192,910.51	10,857,748,706.16	-0.52	9,583,012,872.52

(2) Key Financial Indicators

Key financial indicators	2025	2024	Change in this period compared to the same period last year (%)	2023
Basic earnings per share (RMB/share)	1.18	1.92	-38.54	1.91
Diluted earnings per share (RMB/share)	1.19	1.92	-38.02	1.91
Basic earnings per share after deducting non-recurring gains and losses (RMB/share)	1.20	2.05	-41.46	1.71
Weighted average return on equity (%)	4.45	7.43	A decrease of 2.98 percentage points	7.80
Weighted average return on equity after deducting non-recurring gains and losses (%)	4.52	7.92	A decrease of 3.40 percentage points	6.96

Explanation of the company's main accounting data and financial indicators for the first three years at the end of the reporting period ☐ Applicable ☒ Not applicable

8. Differences in Accounting Data under Domestic and Overseas Accounting Standards (1) Differences in net profit and net assets attributable to shareholders of the listed company in financial reports disclosed in accordance with both International Accounting Standards and Chinese Accounting Standards

☐ Applicable ☒ Not applicable

(2) The differences in net profit and net assets attributable to shareholders of the listed company in financial reports disclosed in both overseas and Chinese accounting standards

☐ Applicable ☒ Not applicable

(3) Explanation of differences in domestic and overseas accounting standards:

☐ Applicable ☒ Not applicable

9. Key quarterly financial data for 2025

Unit: Yuan Currency: Renminbi

	First Quarter (January-March)	Second Quarter (April-June)	Third Quarter (July-September)	Fourth Quarter (October-December)
Operating income	2,653,661,513.77	2,693,624,659.30	3,140,300,742.31	3,189,563,129.20
Net profit attributable to shareholders of the listed company	51,864,700.06	129,511,354.01	97,397,776.44	-114,930,773.22
Net profit attributable to shareholders of the listed company after deducting non-recurring gains and losses	52,650,102.35	122,025,670.86	93,036,384.36	-101,173,081.63
Net cash flow from operating activities	-54,638,382.47	430,680,938.12	221,414,673.04	344,586,016.35

Explanation of differences between quarterly data and disclosed periodic report data ☐ Applicable ☒ Not applicable

10. Non-recurring gains and losses and their amounts

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Non-recurring profit and loss items	The amount for 2025	Notes (if applicable)	2024 amount	2023 amount
gains and losses on disposal of non-current assets, including the write-off portion of asset impairment provisions already made	-14,428,832.79		-19,442,531.90	32,619,368.57
Government subsidies included in current profit or loss are excluded, except for those closely related to the company's normal business operations, comply with national policy regulations, are enjoyed according to established standards, and have a lasting impact on the company's profit or loss	14,122,201.04		10,110,363.17	13,960,222.84
In addition to effective hedging business related to the company's normal operations, non-financial enterprises are responsible for fair value gains and losses on financial assets and liabilities, as well as financial disposals	1,728,001.13		-7,960,989.16	-4,545,113.64

Gains and losses arising from assets and financial liabilities				
Fund occupation fees charged to non-financial enterprises included in current profit or loss				
Profits and losses from entrusting others to invest in or manage assets			1,719,854.66	213,025.81
Gains and losses from outsourced loans				
Asset losses caused by force majeure factors, such as natural disasters				
Reversal of impairment provisions for receivables that were tested separately	799,704.13		204,576.40	
The investment cost for the enterprise to obtain subsidiaries, associates, and joint ventures is less than the income generated by the fair value of the investee's identifiable net assets at the time of acquisition				
Net profit or loss of subsidiaries arising from the merger under common control from the beginning to the merger date				
Non-monetary asset exchange gains and losses				
Gains and losses from debt restructuring	-7,193,692.88		335,298.16	-2,398,432.83
One-time expenses incurred by the enterprise due to the cessation of related business activities, such as expenses for employee placement				
A one-time impact on current profit or loss caused by adjustments in tax, accounting, and other laws and regulations				
Share-based payment expenses recognized in a lump sum due to cancellation or modification of the equity incentive plan				
For cash-settled share-based payments, after the exercisable date, gains or losses arising from changes in the fair value of employee compensation payable				
Gains and losses arising from changes in fair value of investment property measured subsequently using the fair value model				
Profits from trades with clearly unfair trading prices				
Gains and losses arising from contingent matters unrelated to the company's normal business operations				
Income from management fees obtained through entrusted operations				
Other non-operating income and expenses not listed above	6,307,335.18		1,990,317.99	-552,235.41
Other profit and loss items that meet the definition of non-recurring gains and losses				
Less: Income tax impact	1,145,016.85		2,371,348.28	10,749,929.07
Minority Equity Impact	2,885,717.61		2,160,319.89	386,818.70

(After tax) Total -2,696,018.65				
			-17,574,778.85	28,160,087.57

For items not listed in the "Interpretative Announcement No. 1 — Non-recurring Gains and Losses on Information Disclosure of Companies Issuing Securities to the Public Offering" as non-recurring gains and losses with significant amounts, or for items listed in the "Interpretative Announcement No. 1 — Non-recurring Gains and Losses" as recurring gains and losses, the reasons should be explained. ☐ Applicable ☒ Not applicable

11. Companies with equity incentives or employee stock ownership plans may choose to disclose net profit after deducting the impact of share-based payments

☐ Applicable ☒ Not applicable

12. Projects using fair value measurement

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project name	Opening balance	Ending balance	Changes during the current period	The amount of impact on current profit
Stocks	425,998.96	447,548.32	21,549.36	-382,154.22
Trust		205,963.56	205,963.56	
Other equity instrument investments	166,606,883.00	179,019,947.00	12,413,064.00	
Other non-current financial assets	19,732,551.00	20,817,840.00	1,085,289.00	1,085,289.00
Total	186,765,432.96	200,491,298.88	13,725,865.92	703,134.78

Note: For stocks and trusts, see "3. Financial Assets Measured at Fair Value" under "Securities Investment Situation— Notes on Stocks and Trusts."

13. Others

☐ Applicable ☒ Not applicable

Section 3: Management Discussion and Analysis

1. Business activities conducted by the company during the reporting period

(1) Main Business of the Company

During the reporting period, the company's main business did not undergo significant changes. The company continues to deepen its dual-track strategy of "manufacturing going overseas and brand going global," with ODM business (original design and manufacturing) and independent brand business developing in synergy. During the reporting period, the company's proprietary brand business contributed 58.92% to main business revenue. In the future, the company will continue to focus on the main home furnishing business and unswervingly promote global layout and brand building.

(2) Main Products and Their

Applications Furniture is both practical and decorative for beautifying the environment. Therefore, the furniture industry reflects a country's cultural and artistic level and consumption level. The company's products mainly include ergonomic chairs, smart sofas, system office systems, and new material flooring, organically integrating health, technology, and aesthetics, making it an essential core product for efficient office work and comfortable living.

The company's products in related application fields are as follows:

1. Ergonomic series of chairs— office chairs

A good office chair should have good support, healthy pressure distribution, adjustability, and a pleasing exterior design. All of these need to be considered based on human-centered factors, so that users can improve comfort, relieve pain caused by local pressure, improve health, boost work efficiency, and ultimately enhance quality of life.

The company is an outstanding enterprise in China's furniture industry, and for many years has been consistently recognized as an "Excellent Supplier" by globally renowned home goods companies. Its products have continuously won internationally renowned awards such as the German Red Dot Award, German iF Design Award, the American IDEA Award, as well as the China Excellent Industrial Design Award (CEID) and Japan's G-Mark Design Award. In 2025, the company launched the new Arc office chair, based on the concept of ultimate comfort and a borderless home office experience. Through multi-dimensional adjustment of the headrest and curved backrest, it provides a breeze-like enveloping sensation. The minimalist and lightweight design adapts to home spaces, breaking the traditional tool-like nature of office chairs. The newly launched S800 chair focuses on modern office needs, integrating intelligent interaction and dynamic support concepts, breaking through the static support limitations of traditional chairs and introducing the "dynamic spine support ecosystem" concept for the first time. By integrating multi-dimensional sensory immersion technologies such as leg stress relief and back-tracking, zero-displacement stress relief, and zero-pressure back-snuggling, combined with millimeter-level dynamic waist-tracking systems and timed lumbar activation, the seat can detect changes in the user's posture in real time, automatically adjust support points and strength, achieving precise dynamic support for the spine. Additionally, it has built-in features such as intelligent voice, electric massage, and heating and ventilation. The S800 chair has won the OFDA 2025 Supreme Commercial Space Furniture Award, the 2025 Golden Manufacturing Award for Best Product Design, and was selected for TMTPost as the "Best Smart Home Product."



2. System-based office work

The company's system office is committed to perfectly integrating innovative design, comfortable experience, and efficient space utilization, providing intelligent, flexible, and user-friendly overall office environment solutions. Through standardized configuration, modular design, and personalized customization, it creates diverse spatial layouts such as open office areas, independent workspaces, multifunctional meeting venues, and leisure communication areas, suitable for enterprises, educational institutions, medical institutions, and public service units.

The company's product range is diverse, covering office, conference and training desks and chairs, smart storage and movable partition systems, leisure furniture, professional lighting and acoustic equipment, among which LO Metrix and LO Summit won the German Red Dot Award in 2025. The company has launched a series of distinctive products and solutions tailored to different office scenario needs. A silent cabin for focused thinking and uninterrupted meetings provides users with a quiet and private space; An open space for flexible communication and convenient collaboration promotes communication and collaboration among team members; Additionally, there are functional modules such as cloakrooms and printing stations to meet diverse scenario needs. This systematic solution, through deep integration of standardization and customization, can build efficient, comfortable, and future-ready modern office environments for enterprises of different industries and sizes, providing strong support for long-term sustainable development.



Lo教育

灵活多变的单人或组桌系统。



Lo Deskflex

多屏幕工作站的定制解决方案。

3. Ergonomic series of seats— sofas, massage chairs

During the reporting period, Henglin sofas, massage chairs, and other upholstered furniture adhered to the three core concepts of "innovation, functionality, and comfort," accurately grasping the pulse of the times, closely following consumers' diversified and scenario-based lifestyle evolutions, continuously setting new benchmarks for upholstered furniture that combines technological flair with human-centered features. We deeply integrate international vision with local insights, relying on collaborative innovation from domestic and international R&D teams to empower products to continuously push boundaries. Driven by ergonomic technology, we are dedicated to creating new heights in comfort experience, successfully developing "gravity adaptation" and "zero back rubbing" systems so that sofas not only "understand what you need" but also "feel what you feel"— automatically recognizing changes in user body shape and sitting posture, achieving intelligent adjustment for a cloud-like intimate support experience, redefining the ergonomic standard for functional sofas. Among them, the HS-4125C smart sofa won the Silver Award for Upholstered Furniture at the 2025 Golden Axe China Home Product Innovation Competition for its comfort experience and health concepts. The product uses a self-developed 003 chassis and high-resilience foam, combined with a sturdy frame structure to ensure lasting support and relaxation, with a modern minimalist style suitable for diverse home environments. During the reporting period, NOUHAUS, Henglin's high-end smart living brand, made its debut as the only Chinese brand at the main pavilion of the Milan International Furniture Fair under the theme "Reflection My Home," showcasing the original design strength, intelligent technology, and high-end aesthetic expression of Chinese home furnishing brands to the world.

On the manufacturing side, the company leverages a comprehensive vertically integrated supply chain to continuously promote technological innovation and process evolution, achieving efficient coordination from design and prototyping to mass production, building an efficient, high-quality, and intelligent product manufacturing system that continuously supplies high-quality new products to the market. At the same time, the company actively responds to the "dual carbon" strategy and global green development initiatives, deeply integrating environmental protection concepts into product design and material applications, widely adopting eco-friendly biodegradable materials and natural recycled fabrics, contributing to leading the home furnishing industry toward a sustainable new era of low carbon, aesthetics, and functionality. Looking ahead, Henglin will continue to take technology as its pen, comfort as its soul, and environmental protection as its heart, creating an ideal home life that is smart, green, and full of happiness for global users.



4. New material flooring

The company's new material flooring series mainly includes SPC flooring, LSPC flooring, VSPC flooring, LVT flooring, PETG flooring, 3D digital printed flooring, and quartz wall panels, which belong to the category of floor and wall decoration materials and are an important part of daily home building materials. Subsidiary Yongyu Home is committed to "creating comfortable spaces for consumers that are not just beautiful," dedicated to providing green flooring materials and scenario aesthetic solutions for home and commercial spaces. SPC multi-layer stone crystal flooring has won the "2022 World Flooring Industry and Industry Summit Gold Award Product," ranked among the top 10 "preferred decorative material brands, Shijing (SPC) flooring," and successfully won the bid for the official health station project of the 19th Asian Games in Hangzhou. In 2024-2025, it was awarded as one of the top ten elastic flooring brands and most popular hotel supplier.



(4) Business Model

1. R&D model

From a people-oriented perspective, the company adheres to the design concepts of "smart furniture" and "green furniture." During the reporting period, the newly put into use of the innovation and research laboratory center is one of the leading comprehensive laboratories in China's home furnishing industry with broad testing project coverage. The center is equipped with over a hundred advanced testing devices and has more than ten specialized laboratories in mechanics, environment, materials, and more, establishing a complete R&D loop from demand insight — innovative design — to verification and optimization. The company is guided by end-market and consumer demands, establishing an integrated R&D model that integrates market research, product design, structural development, quality optimization, efficiency improvement, and product promotion. During the reporting period, the company continuously increased R&D investment, relying on platforms such as the National Industrial Design Center, strengthening industry-university-research cooperation, accelerating the cultivation and transformation of new quality productivity, continuously promoting product iteration and upgrades, integrating IoT and sensing technologies into smart office chairs and other products, achieving real-time monitoring of sitting posture health, and transforming from a traditional furniture manufacturer to a "manufacturing + service-oriented" smart home solution provider. In 2025, the company will be listed among the "Top 200 Private Enterprises in Zhejiang Province with R&D Investment" and the "Top 200 Invention Patents Among Private Enterprises in Zhejiang Province," and selected as an "Eagle Enterprise in Industry and Information Technology" and a "Key Enterprise Research Institute of Zhejiang Province."



2. Procurement

Model The company's supply chain management center has established an SRM supplier relationship management system, covering end-to-end management including supplier selection, development and evaluation, spare parts and product quotation, and acceptance and warehousing settlement. This effectively improves supplier cooperation efficiency, reduces risks, optimizes supply chain collaboration mechanisms, optimizes resource allocation through material data analysis, and enhances precise service applications. Unified inquiry and bidding are conducted for bulk and general materials, resource integration is carried out, leveraging scale advantages to improve procurement efficiency and management levels, continuously maintaining product price competitiveness. In addition, the company has achieved partial self-production of key materials such as sponge, injection molding, and hardware, further cooperating with product R&D to ensure product quality and delivery timeliness, thereby reducing market risks. At the same time, the company has invested in the TMS logistics management system to improve logistics operational efficiency, reduce logistics risks, enhance logistics transparency, optimize decision support, and improve customer satisfaction, providing comprehensive logistics solutions to help enterprises gain an advantage in fierce market competition; In response to the "dual carbon" strategy, coordinated with low-carbon supply chain construction, optimized logistics capacity allocation, and enhanced supply chain resilience.

3. Production model

The company implements an independent production model of "production based on sales," organizing production scheduling according to customer-issued sales orders to ensure precise matching between production and market demand. The company has established integrated R&D, production, and sales production bases in China, Vietnam, Switzerland, and other countries, establishing an independent production management system and fully implementing an order management model, effectively controlling inventory and achieving full-process information and visual management from production to delivery. It has been selected as a pilot enterprise for future factories in Zhejiang Province, promoting green and low-carbon development through intelligent manufacturing.

The production department is responsible for arranging production and implementing dynamic and refined management of production processes and quality control. Among them, the Production Planning Department formulates specific production plans based on customer orders and delivery requirements, comprehensively considering company product inventory, equipment capacity, and personnel scheduling; The production workshop organizes personnel to go online according to the production plan, while widely using tooling fixtures, semi-automated equipment, and other auxiliary tools to improve production efficiency and process stability; The Quality Management Center supervises and inspects key quality control and process control points, and is responsible for quality supervision and inspection of raw materials, semi-finished products, and finished products, ensuring product quality meets national, industry, and customer standards, and providing customers with high-quality and reliable products.

4. Sales model

The company's sales models mainly include two models: To B and To C. Under the To B model, the company's main clients are large and medium-sized foreign home furnishing wholesalers and retailers. The company mainly uses big data screening to conduct targeted visits to key clients, combined with participation in global home furnishing exhibitions and expos to obtain new customer demand information, extensively and effectively communicate with potential customers, and establish business partnerships. After years of development, the company has accumulated a global customer base. In addition, to better serve customers and stay close to the market, the company has gradually built a localized overseas sales team, responding promptly to customer needs, independently designing and launching competitive products, deeply serving high-quality key clients, and enhancing customer loyalty. Under the To C model, subsidiaries conduct retail business by opening their own brand stores on mainstream foreign e-commerce platforms, with sales channels covering Amazon, Walmart, TEMU, and other platforms, and building independent websites. Through independent research and development, production, cross-border transportation, warehousing, and after-sales service, we continuously deliver our products to overseas end consumers and expand the influence of our own brands.

Explanation of new significant non-main businesses added during the reporting period ☐ Applicable ☒ Not applicable

2. Industry situation during the reporting period

(1) Basic information about the industry in which they operate

According to the China Securities Regulatory Commission's "Listed Company Industry Statistical Classification and Codes," the company operates in the "CC21 Furniture Manufacturing Industry."

In 2025, the global furniture industry chain will see an accelerated evolution in the division of labor patterns. In the domestic market, affected by macroeconomic and consumer demand adjustments, the overall scale of furniture manufacturing has shrunk, but Zhejiang, as a traditional strong furniture manufacturing province, still achieved a positive 1.0% growth in wooden furniture output, indicating resilience in demand for niche categories. In overseas markets, although China's furniture exports to the US have declined somewhat due to the trade environment, exports to European markets such as the UK and Germany have maintained growth, with initial signs of market diversification. Meanwhile, Vietnam, leveraging its location and cost advantages, continues to undertake global furniture capacity transfers. In 2025, total exports of wood and wood products will grow nearly 6% year-on-year, with indoor and outdoor furniture exports reaching \$11.7 billion, ranking second globally; Among these, exports to the United States grew by 4.4% year-on-year, accounting for about 55% of the industry's total exports. Overall, the global furniture industry is transitioning from a single center to a multi-regional collaborative supply pattern, and companies with global capacity layouts are expected to gain a more favorable competitive position during supply chain restructuring.

1. Overall situation of the furniture market in 2025

(1) The situation of China's furniture industry in 2025

According to data released by the National Bureau of Statistics, from January to December 2025, furniture manufacturing enterprises above designated size will achieve operating revenue of 612.51 billion yuan, a year-on-year decrease of 10.7%; operating costs will be 504.29 billion yuan, down 10.9% year-on-year; total profit will be 32.81 billion yuan, down 12.1% year-on-year.

According to data released by the General Administration of Customs, from January to December 2025, China's furniture and parts exports reached 455.94 billion yuan, a year-on-year decrease of 5.6%. According to Today's Home Furnishing statistics, considering the full range of products including sitting furniture and its parts, household furniture and its parts, commercial/office furniture and its parts, and mattresses/mattresses, China's furniture exports in 2025 will reach 474.81 billion yuan, a year-on-year decrease of 5.2%. In 2025, the top five countries and their shares for China's furniture exports are: United States exports were 106.6 billion yuan, down 16.4% year-on-year, accounting for 22.8%; United Kingdom exports were 24.87 billion yuan, up 2.8% year-on-year, accounting for 5.2%; Japan's export value was 24.03 billion yuan, down 4.8% year-on-year, accounting for 5.1%; Australia's export value was 20.88 billion yuan, down 4.8% year-on-year, accounting for 4.4%; Germany's export value was 19.91 billion yuan, up 2.5% year-on-year, accounting for 4.2%.

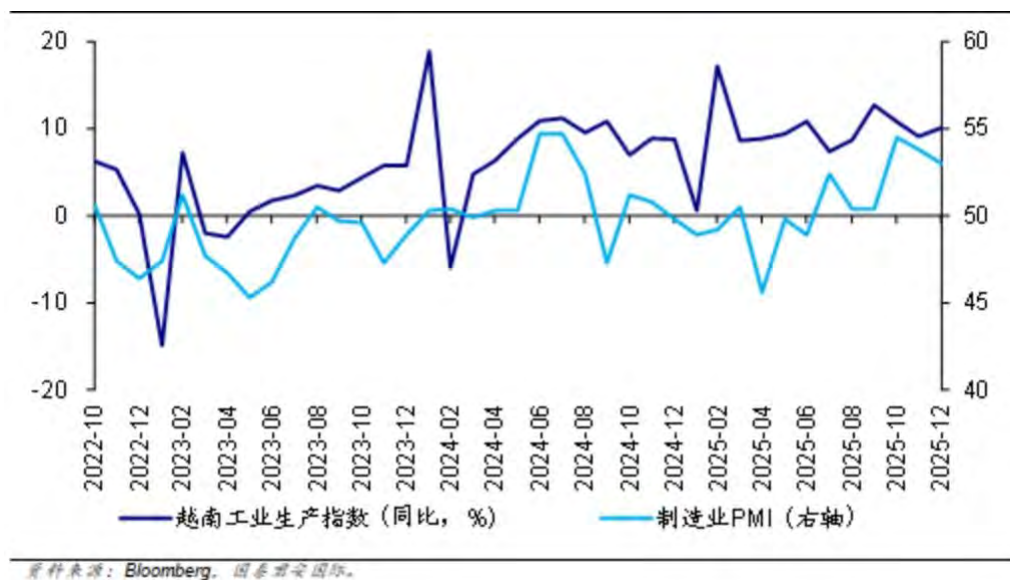


(2) In 2025, Zhejiang Province's furniture industry situation

According to statistics from the Zhejiang Provincial Department of Economy and Information Technology and the Provincial Bureau of Statistics, from January to December 2025, furniture enterprises above designated size in the province will cumulatively produce 280 million pieces, a year-on-year decrease of 4.7%; The total industrial output value will be 114.117 billion yuan, down 3.9% year-on-year. The total annual output of wooden furniture will be 58.3387 million pieces, a year-on-year increase of 1.0%; The cumulative output of metal furniture will be 130 million pieces, down 12.9% year-on-year; The cumulative output of upholstered furniture will be 23.2019 million pieces, down 19.0% year-on-year. The total export delivery value of above-designated furniture enterprises in the province for the year was 44.326 billion yuan, down 10.6% year-on-year.

(3) Vietnam's furniture industry situation in 2025

According to Vietnamese customs statistics, in 2025, Vietnam's total exports of wood and wood products will reach 17.2 billion USD, a year-on-year increase of nearly 6%. Exports to the US market will reach 9.46 billion USD, up 4.4% year-on-year, accounting for about 55% of the industry's total exports; The Japanese market will grow by more than 23% year-on-year, reaching 2.1 billion USD; The Chinese market will reach 2 billion USD, with the three major markets together accounting for nearly 80% of Vietnam's wood product exports. In 2025, Vietnam's total indoor and outdoor furniture exports will reach 11.7 billion USD, ranking second globally after China; Exports of wooden frame seats will exceed 3.5 billion USD.



2. Detailed product industry situation for 2025

(1) Office furniture Office furniture is a representative of modern commercial society, with market demand closely tied to economic development levels. Office furniture includes office chairs, desks, office systems, and other products. From the perspective of the office furniture industry structure, domestic office chairs account for the largest share of the entire office furniture market, about 31%; Next is system furniture, accounting for about 29%; Office desks and filing cabinets each account for 10% or more; Storage cabinets account for about 7%.

The global office furniture market is relatively stable. According to Global Growth Insights, the global commercial-grade furniture market size will reach \$72.54 billion by 2025, is expected to reach \$74.35 billion in 2026, \$76.21 billion in 2027, and further expand to \$92.86 billion by 2035, with a compound annual growth rate of 2.5% from 2026 to 2035. Regionally, North America accounts for about 35% of the global office furniture market share. Based on the 2026 market size, which corresponds to nearly \$26.02 billion,

About 64% of companies in the region prioritize ergonomic furniture solutions, open offices account for nearly 52% of new furniture installations, corporate renovations contribute about 47% of replacement needs, and hybrid work models affect nearly 58% of workspace redesign projects in the region. Europe accounts for about 30% of the global office furniture market share. Based on the 2026 market size, compared to nearly \$22.31 billion, the adoption rate of sustainable furniture in commercial offices exceeds 49%. Due to limitations in urban office space, nearly 41% of companies focus on efficient spatial layout.

From a market trend perspective, according to a report by Global Growth Insights, new product development in the office furniture market emphasizes flexibility, ergonomics, and sustainability. About 49% of newly launched products adopt modular designs to support dynamic office layouts, and nearly 58% of new chairs and workstation solutions integrate ergonomic enhancements. The demand for healthy office seating continues to grow, and office chairs that are ergonomic, comfortable, and aesthetically pleasing are increasingly favored, with replacement frequency and penetration rates gradually rising. About 36% of product innovations focus on lightweight and recyclable materials. Green and eco-friendly office furniture is increasingly popular among consumers and has become the mainstream consumer choice. Smart furniture with built-in power access and cable management functions accounts for nearly 31% of recently launched smart furniture, while acoustic furniture solutions that reduce noise pollution account for about 27% of new development projects. Against the backdrop of the growing popularity of open office spaces, acoustic furniture effectively reduces environmental noise interference through sound-absorbing partitions and noise-reducing panels, enhancing focus and work efficiency. Overall, consumer demand for office furniture is upgrading from basic functionality to diversified directions such as intelligence, health, and environmental protection, driving continuous industry innovation.

(2) Upholstered furniture

Upholstered furniture is one of the fastest-growing segments in the furniture market, mainly including sofas, mattresses, and other products. According to CSIL statistics, the upholstered furniture market accounts for about 15% of the entire furniture market, with Asia-Pacific and North America as the main markets, together accounting for nearly 70% of the global share. According to Global Growth Insights, the global upholstered furniture market is expected to reach \$329.38 billion by 2025 and is expected to expand to \$526.4 billion by 2035, with a compound annual growth rate of 4.8% during the forecast period.

By region, Asia-Pacific contributed about 38% of the market share thanks to strong textile manufacturing capabilities and rapid housing growth; North America accounted for 26%, driven by rising demand for renovations; Europe accounted for 24%; Latin America, the Middle East, and Africa together accounted for 12%. These changes highlight the accelerated transformation of both developed and emerging economies toward sustainable, digital, and design-centric furniture solutions.

(3) PVC flooring

The global PVC flooring market has maintained rapid growth in recent years. According to 24 Chemical Research research analysis, the global PVC flooring market size is \$18.42 billion in 2024. The market is expected to grow from \$19.56 billion in 2025 to \$30.87 billion by 2032, with a compound annual growth rate of 6.7% (2025-2032) during the forecast period.

In terms of product structure, PVC flooring is mainly divided into three categories: LVT (luxury vinyl tiles), WPC (wood-plastic composite flooring), and SPC (stone composite flooring). Among them, SPC flooring has rapidly increased its market share in recent years due to its good stability, excellent water resistance, and easy installation, becoming the mainstream product in the PVC flooring market. According to

research by DI Research, the global SPC flooring market size is expected to reach \$4.618 billion by 2025 and is expected to reach \$7.022 billion by 2032, with a compound annual growth rate (CAGR) of 6.17% (2025-2032).

3. Industry policies and regulations

Serial number	Names of policies and regulations	Date of promulgation	Issuing Authority	Company-related content
1	"2026 Special Action for Cross-Border Trade Facilitation"	March 2026	General Administration of Customs and 24 other departments	Twenty-nine measures have been introduced in five areas: customs clearance supervision, cross-border e-commerce, cross-border logistics, smart ports, and service guarantees. Key points include: optimizing comprehensive supervision services for overseas warehouses, guiding enterprises to make good use of the "tax refund upon departure" policy for cross-border e-commerce export overseas warehouses; Expanding the pilot scope for "inspection first, shipment later" for export consolidation; Canceling filing procedures for cross-border e-commerce export overseas warehouse enterprises to improve customs clearance facilitation; Supporting enterprises in applying convenience measures such as customs transfer and returns
2	"Notice on Implementing Large-Scale Equipment Upgrades and Consumer Goods Trade-in Policies in 2026"	December 2025	National Development and Reform Commission, Ministry of Finance	Clarifying the optimization of the "Two New" policies for 2026: (1) Expand the scope of support by expanding the subsidy for digital product purchases to include digital and smart products, with the scope including smart home products (including elderly-friendly home products); (2) Optimize implementation mechanisms and lower project application thresholds.
3	"Work Plan for Steady Growth in Light Industry (2025– 2026)"	August 2025	Ministry of Industry and Information Technology, Ministry of Commerce, State Administration for Market Regulation	Clarify the rapid development of new growth points such as smart homes, promote quality upgrading in traditional industries such as furniture, and research and formulate national standards for smart home interoperability. Support leading furniture enterprises in building global brands, regulate export market order, and prevent "internal competition and external expansion." Support enterprises in strengthening technological leadership and global layout.
4	"Special Action Plan to Boost Consumption"	March 2025	General Office of the CPC Central Committee and General Office of the State Council	Clearly make good use of ultra-long-term special treasury bond funds, support localities in expanding and implementing trade-in programs for consumer goods, and promote the green and intelligent upgrading of bulk durable consumer goods such as automobiles, home appliances, and home decoration.
5	"Three-Year Action Plan for Optimizing the Consumer Environment (2025-2027)"	February 2025	and five other departments	It clearly proposes encouraging green and low-carbon consumption in areas such as new energy vehicles, high-efficiency home appliances, and green building materials and home decoration, promoting the upgrade of home furnishing consumption.

(2) Status in the industry

Founded in 1998, the company was successfully listed on the main board of the Shanghai Stock Exchange in November 2017. After nearly thirty years of technological and market accumulation, the company holds a high market share in the office furniture manufacturing sector, especially in office chair manufacturing and export, with market share and overall competitiveness ranking among the top tier in the industry.

In 2010, the company was recognized as a high-tech enterprise for the first time and was among the first batch of high-tech enterprises in its industry. Subsequently, the company passed the re-examination and re-certification of high-tech enterprise status. The company's emphasis and investment in R&D have earned high recognition within the industry. It holds a total of 1,663 authorized patents, and its products have won numerous domestic and international honors such as the "German Red Dot Award," "iF Design Award," and "China Furniture Design Award." It holds qualifications such as National Intellectual Property Advantage Enterprise, National Patent Demonstration Enterprise, National Industrial Design Center, Provincial Research Institute for Intelligent Functional Equipment, Provincial High-Tech Enterprise R&D Center for Intelligent Functional Chairs, and Zhejiang Provincial Enterprise Technology Center. It has been selected as an "Eagle Enterprise" in the industrial and information technology fields and a Zhejiang Provincial Key Enterprise Research Institute, with a postdoctoral workstation established in Zhejiang Province.

The company is recognized as a national-level green factory, a national green supply chain management enterprise, one of China's top 100 private internationalized enterprises, one of China's top 200 light industry enterprises, one of China's top 100 light industry technology enterprises, one of China's top ten office furniture enterprises, one of the top ten leading furniture suppliers, one of China's top ten office furniture brands, one of China's top ten green office furniture brands, one of China's top ten smart office furniture brands, a benchmark enterprise for office furniture quality, and one of Zhejiang Province's top 500 high-tech enterprises in innovation capability.

3. Discussion and Analysis of Business Performance

2025 will be a year of advancing under pressure and breaking through obstacles in the company's development journey. Facing a complex and volatile global geopolitical environment, intensified industry competition, and profound changes in consumer demand, the company adheres to a dual-driven strategy of "manufacturing going overseas and brand going global," closely focusing on the core of "high-quality development," firmly adhering to "standing high and moving toward innovation," moving forward through twists and turns, and growing through reflection. During the reporting period, the company's operating revenue exceeded 10 billion yuan, with the proportion of independent brand business continuously increasing, and its global operation capabilities have withstood the test. The company was successfully selected for the third batch of Zhejiang Province's "Eagle Enterprises" list, becoming the only Huzhou city enterprise selected in this batch.

(1) Strengthen the manufacturing foundation and deepen the resilience of global supply chains

Facing the challenge of global industrial chain restructuring, the company continues to consolidate its global manufacturing layout of "China + Vietnam + Switzerland." As the core carrier for "manufacturing going global," the Vietnamese production base effectively addresses operational challenges caused by cultural differences by implementing the "China Technology + Localized Team" management model. By 2025, it aims to achieve operating revenue of 2.277 billion yuan, with capacity fully covering export demand to the US. At the same time, the company is deeply advancing lean production and digital transformation, gradually promoting Manufacturing Execution Systems (MES), Warehouse Management Systems (WMS), and Transportation Management Systems (TMS) in major subsidiaries, and upgrading supplier relationship management systems (SRM) in clusters, achieving full-process informatization and visualization from production and warehousing to transportation. In addition, the company vigorously implements a full-staff Production Maintenance (TPM) and multi-skilled worker training program, effectively improving production efficiency and labor flexibility through job skill assessments and cross-process training.

Its controlling subsidiary Yongyu Home continues to deepen its layout in the new material flooring sector, forming a 3D digital design team to expand the application of digital printed products in wall panels, cabinet panels, and other scenarios. With its outstanding brand strength and innovation in the green flooring field, Yongyu Home successfully won the honor of "Top Ten Brands in the Elastic Flooring Industry for 2025." Its strategic path— from bamboo flooring to SPC new materials, from domestic manufacturing to Vietnam— once again validates the importance of a "difficult but correct" choice in enhancing the company's value.

(2) Enhance service capabilities and build a new customer center ecosystem

The company adheres to a "customer-centric" approach, extending its service reach to global terminals. In overseas offline markets, the company has established localized sales and service teams in key markets such as the United States, Europe, and South Korea, implementing a "business/product/delivery" iron triangle organizational model,

serving strategic clients on a project-based basis. Through strong benchmarking development and resource investment with major clients, it has significantly improved customer satisfaction and stickiness, with core major clients becoming the company's main source of growth. In the online market, the company dynamically adjusts product design through big data analysis, optimizes intelligent restocking and inventory warning systems, and accelerates capital turnover. At the same time, proprietary brands like Nouhaus showcase design and technical strength from multiple dimensions by participating in international exhibitions like the Milan International Furniture Fair, continuously enhancing their global influence.

(3) Strengthen technological leadership and build an innovation moat

The company insists on R&D-driven development and aims to achieve fruitful results in core technology breakthroughs by 2025. As of December 31, 2025, the company holds a total of 1,663 valid patents, including 165 invention patents. During the reporting period, the company launched multiple innovative products: (1) The 007 chassis is equipped with "self-reclining technology," overcoming comfort challenges for conference chairs and dining chairs, providing users with a more natural and relaxing reclining experience; (2) The S800 chair is the first to integrate an electronic control system into an ergonomic chair, enabling RF, voice, and application control, equipped with a millimeter-level dynamic lumbar tracking system to provide users with precise lumbar support. It has won the "2025 Golden Manufacturing Award for Annual Product Design" and the "OFDA 2025 Supreme Award for Commercial Space Furniture"; (3) LO school chairs have broken through the application of high-strength steel B980L, achieving lightweight design with a yield strength of 1024 MPa, setting technical standards for new school equipment categories. Additionally, as a main drafting unit, the company participated in formulating national group standards such as "Lunch Break Office Chair" and "General Technical Requirements for Carbon Steel Furniture Chair Products," and participated in the formulation of the national standard "General Technical Requirements for Lunch Rest Desks and Chairs for Primary and Secondary School Students," significantly enhancing the industry's technical influence.

(4) Deepen organizational transformation and build a new heights driven by talent

By 2025, the company will elevate its talent strategy to a core level. In terms of human resources, the company has focused on building two major professional modules: Organizational Development (OD) and Compensation Performance (COE), combining internal training with external recruitment, and especially strengthening the human resources management capabilities of each business unit's "number one position" and business system. In terms of corporate culture, the company continuously promotes the core values of "striving together and sharing achievements," systematically cultivating technical and management teams through platforms such as the "Craftsman Academy" and "Intelligent Innovation Youth" training camps. During the reporting period, the company was awarded titles such as "Zhejiang Province Employee Quality Life Demonstration Enterprise" and "Zhejiang Province Key Enterprise for Deepening Industrial Reform," continuously enhancing employees' sense of belonging and happiness.

(5) Strengthen internal control compliance and promote the modernization of governance systems

The company has always adhered to the business philosophy of "high-quality revenue and profits with cash flow," ensuring that every portion of profit is genuinely converted into cash on hand. During the reporting period, the company made key optimizations to its governance structure, revising the Articles of Association to eliminate the supervisory board, and merging supervisory functions into the audit committee under the board of directors, promoting the evolution of the governance system toward a streamlined and efficient two-tier governance system of shareholders' meetings and boards. The financial and legal systems continuously strengthened compliance capabilities for international operations, organized internal special inspections for tax policies and regulatory requirements related to overseas business, and engaged internationally renowned professional institutions for consulting support, further enhancing the standardization and foresight of overseas tax management. The company continued to promote the systematic application of electronic seal holders, gradually expanding them to major subsidiaries during the reporting period and expanding the use of bilingual contract templates in Chinese-Vietnamese and Chinese-English at parent and subsidiary companies; The "Henglin Home Furnishing" trademark was successfully included in the Huzhou Key Trademark Protection Directory.

The company continues to deepen integrity construction, carries out special anti-corruption campaigns, and actively strives to become a provincial-level model enterprise for clean private enterprises. Thanks to its outstanding performance in corporate governance and investor relations management, the company has been awarded the China Association of Listed Companies for "2025 Best Practice Case in Internal Control of Listed Companies," "2025 Outstanding Practice Case for Board of Directors of Listed Companies in 2025," and the "2025 Crystal Ball Award for Information Disclosure."

(6) Practice ESG concepts and promote sustainable development

The company transforms ESG management into sustainable business competitiveness, establishing an ESG governance structure led by the board of directors around the development policy of "green leadership, responsible management, and sustainable growth." During the reporting period, the company won multiple honors including the "2025 Wind China Listed Companies ESG Best 100 Best Practices Award," the "2025 Listed Company ESG Value Transmission Award," and the "2025 Outstanding Sustainable Development Practice Case of Listed Companies from the China Cooperation Association." The company continues to advance green manufacturing, making significant progress in photovoltaic project construction, electric forklift substitution, and low-carbon mobility, contributing to the "dual carbon" goals.

4. Analysis of Core Competitiveness During the Reporting Period

√ Applicable □ Not Applicable During the reporting period, the company focused on its core strategy of "manufacturing going global and brand going global," continuously forging a core competitiveness system supported by the dual engines of "technological innovation-driven" and "global resource integration." At the same time, we adhere to the principle of "standing high and moving toward innovation," relying on a high-quality core technology team and a comprehensive R&D incentive mechanism to accelerate product function upgrades and service innovation, continuously enhance product competitiveness, and pursue quality growth. Details are as follows:

1. Global sales and product matrix

The company adheres to the philosophy of providing high-quality, environmentally friendly, and healthy home products to consumers worldwide, with products covering ergonomic chairs, sofas, system office items, new material flooring, and more. With extensive experience in office furniture design and manufacturing, on-time order delivery, and innovative R&D design, the company has established long-term and stable partnerships with internationally renowned clients such as IKEA, NITORI, Home Depot, Amazon, and Walmart. At the same time, the company uses big data to accurately screen key customers, actively participates in global exhibitions, and builds localized overseas sales teams to continuously expand sales channels and accelerate globalization.

2. Overseas Strategy and Brand Capability

The company continues to promote its global strategic layout, implementing a dual-track strategy of "manufacturing going overseas and brand going global," steadily advancing along the development path of "manufacturing going global— capital going global— brand going global." Subsidiaries are expanding overseas online sales channels, building independent stations, setting up overseas warehouses, and establishing a global supply chain management system, comprehensively promoting the implementation of the brand overseas strategy and injecting new momentum into export business growth. In fiscal year 2025, the company's OBM business revenue will account for 58.92%.

3. Technological innovation and R&D system

The company actively implements innovation-driven approaches, deeply integrating new technologies into product R&D, successfully transforming from a traditional furniture manufacturer into a "manufacturing + service-oriented" home solutions provider. Products developed such as massage ergonomic chairs and electric audio-visual sofas integrate IoT, sensing technology, and voice control, enabling real-time monitoring of sitting posture health or providing immersive comfort experiences. After nearly thirty years of independent research and development

and technological accumulation, the company has accumulated rich experience and data in chassis, ergonomics, polymer material applications, massage movements, and other areas, forming multiple core technologies with fully independent intellectual property rights including 360-degree mechanical movement chassis, sensitive self-loading chassis, pressure-distributed cushions and backrests, "gravity adaptation" and "zero friction backrest" systems, continuously strengthening endogenous innovation momentum. As of the end of this reporting period, the company held 1,663 valid patents, an increase of 33 compared to the previous year; Among them, 165 were invention patents, an increase of 23 compared to the previous year. The products have successively won multiple domestic and international honors such as the "German Red Dot Award," "iF Design Award," and "China Furniture Design Award." The company is a key enterprise research institute in Zhejiang Province, holding qualifications such as National Intellectual Property Advantage Enterprise, National Patent Demonstration Enterprise, National Industrial Design Center, Provincial Enterprise Research Institute for Intelligent Functions, Provincial High-Tech Enterprise R&D Center for Intelligent Functions, and Zhejiang Provincial Enterprise Technology Center. It also has a Zhejiang Provincial Postdoctoral Workstation and a Huzhou Craftsman Innovation Studio, building a scientific research and innovation platform led by enterprises and deeply integrating industry, academia, and research.

4. Global production and collaborative operations

The company's capacity layout in China, Vietnam, Switzerland, and other countries enables rapid response to customer demand and flexible delivery, increases customer stickiness, maximizes customer value, and provides strong support for the company's continued order acquisition. The company fully replicates years of accumulated experience in production operation models, quality management, and delivery management, meeting customer needs across all stages of operation, production, and delivery. At the same time, it continuously strengthens production, supply, and sales coordination among production bases, unifies management ideas and operational policies, improves the independent operation level of each production base, especially overseas bases, and improves overall operational efficiency. On this basis, the company has established the SRM supplier relationship management system and TMS logistics management system, extending refined management to the entire supply chain chain, achieving full-process digital control from supplier selection, procurement, and production to logistics distribution. This significantly enhances the risk resistance of manufacturing and delivery and comprehensively improves the company's core competitive advantage at the client end.

5. Digital Lean and operational efficiency

As a "Eagle Enterprise" in Zhejiang Province, the company deeply integrates the "Digital Empowerment" strategy, with "intelligent manufacturing driving green and low-carbon" as its core concept, committed to achieving sustainable high-quality development. Aiming to improve production automation and informatization, the company continuously optimizes processes and production processes, widely applying tooling fixtures and semi-automated equipment as auxiliary tools to enhance production efficiency and process stability; Promotes the use of automated equipment such as palletizing robots, sorting robots, and welding robots, achieving projects such as automatic sorting, automatic packaging, and automatic chassis assembly; Built a fully automated three-dimensional warehouse equipped with a digital intelligent control console, achieving informatization, digitalization, and visualization of the entire back-end manufacturing process; While ensuring product quality and optimizing production processes, it fully leverages the advantages of large-scale production to improve supply chain operational efficiency.

5. Main operating conditions during the reporting period

As of December 31, 2025, the company's total assets were 10.801 billion yuan, down 0.52% from the beginning of the year, and equity attributable to the parent company was 3.638 billion yuan, down 1.58%.

The company achieved operating revenue of 11.677 billion yuan, an increase of 5.88% compared to the same period last year. The main growth was e-commerce business.

Net profit attributable to shareholders of the listed company was 164 million yuan, down 37.72% year-on-year. The main reasons are: (1) Due to the

continued downturn in the domestic real estate industry, the subsidiary Chu Boshi was under operational pressure, affecting net profit attributable to shareholders of about 180 million yuan. The company has proactively implemented a significant reduction in Chu Boshi's business. Among these, after audit and evaluation, the company made impairment provisions of 119 million yuan for Chu Boshi-related assets and 19 million yuan in related expenses. By the end of 2025, Chu Boshi's book net assets had dropped to 186 million yuan, which has little impact on the company's overall future financial position. (2) Exchange losses in 2025 are about 15 million yuan, and foreign exchange gains in 2024 are about 62 million yuan.

Net profit attributable to shareholders of the listed company after deducting non-recurring gains and losses was 167 million yuan, down 40.66% year-on-year. Basic earnings per share were 1.18 yuan per share, down 38.54% year-on-year.

(1) Main Business Analysis 1. Analysis of changes in related accounts in the income statement and cash flow statement

Unit: Yuan Currency: Renminbi

Subject	Current Issue	Figures for the same period last year	Change Rate (%)
Operating income	11,677,150,044.58	11,028,917,656.57	5.88
Operating costs	9,511,239,481.95	8,973,234,028.64	6.00
Selling expenses	856,432,867.90	778,788,690.82	9.97
Administrative expenses	460,111,673.70	431,681,165.45	6.59
Financial expenses	114,434,946.70	39,420,869.29	190.29
R&D expenses	205,640,622.28	225,765,523.36	-8.91
Net cash flow from operating activities	942,043,245.04	951,148,142.77	-0.96
Net cash flow from investing activities	-84,203,264.81	-240,121,740.91	64.93
Net cash flow from financing activities	-1,021,014,701.23	-667,304,707.19	-53.01

Explanation of changes in financial expenses: Mainly due to significant fluctuations in exchange rates such as US dollars and Swiss francs during the reporting period, resulting in increased exchange losses. Explanation of changes in net cash flow from financing activities: Mainly due to the company's optimization of financing structure and reduction of bank loans during the reporting period. Explanation of changes in net cash flow from investment activities: Mainly due to a reduction in fixed asset investment and disposal of some properties offset by construction during the reporting period

Detailed explanation of significant changes in the company's business type, profit composition, or profit sources during the period ☐ Applicable ☒ Not applicable

2. Revenue and cost analysis

☒ Applicable ☐ Not Applicable Revenue and Cost Analysis as follows:

(1). Main business by industry, product, region, and sales model

Unit: Yuan Currency: Renminbi

Main business by industry						
By industry	Operating income	Operating costs	Gross Margin (%)	Year-on-year change in operating revenue (%)	Operating cost change compared to last year (%)	Gross profit margin year-on-year change (%)
Manufacturing	11,664,582,055.16	9,502,045,903.41	18.54	6.07	6.04	0.02
Total	11,664,582,055.16	9,502,045,903.41	18.54	6.07	6.04	0.02

Main business by product						
By product	Operating income	Operating costs	Gross Margin (%)	Year-on-year change in operating revenue (%)	Operating cost change compared to last year (%)	Gross profit margin year-on-year change (%)
Office furniture	2,825,416,988.84	2,177,680,052.64	22.93	-20.46	-21.34	0.86
Upholstered furniture	1,503,936,931.01	1,154,289,305.00	23.25	5.41	1.50	2.96
Panel furniture	893,965,375.17	724,484,998.91	18.96	-12.50	-12.97	0.44
New material flooring	1,216,306,753.84	1,065,345,962.52	12.41	-20.67	-18.16	-2.69
Integrated home furnishings and other products	5,224,956,006.30	4,380,245,584.34	16.17	50.88	49.95	0.52
Total	11,664,582,055.16	9,502,045,903.41	18.54	6.07	6.04	0.02
Main business by region						
By region	Operating income	Operating costs	Gross Margin (%)	Year-on-year change in operating revenue (%)	Operating cost change compared to last year (%)	Gross profit margin year-on-year change (%)
Outside the borders	10,829,897,529.21	8,810,447,442.69	18.65	9.54	8.94	0.45
Within the territory	834,684,525.95	691,598,460.72	17.14	-24.83	-20.82	-4.19
Total	11,664,582,055.16	9,502,045,903.41	18.54	6.07	6.04	0.02
Main business by sales model						
Sales model	Operating income	Operating costs	Gross Margin (%)	Year-on-year change in operating revenue (%)	Operating cost change compared to last year (%)	Gross profit margin year-on-year change (%)
OEM 、ODM	4,791,892,753.63	3,859,402,130.64	19.46	-5.25	-5.34	0.08
OBM	6,872,689,301.53	5,642,643,772.77	17.90	15.70	15.53	0.12
Total	11,664,582,055.16	9,502,045,903.41	18.54	6.07	6.04	0.02

No explanation of main business by industry, product, region, or sales model

(2). Analysis table of production and sales volume

√ Applicable □ Not applicable

Main products	Unit	Production volume	Sales volume	Inventory levels	Production volume year-on-year change (%)	Year-on-year sales volume change (%)	Inventory Volume Year-on-Year Change (%)
Office chair	Ten thousand of them	708.89	717.40	147.63	-28.98	-26.94	-5.45
Upholstered furniture	Ten thousand of them	220.28	212.25	32.60	0.35	-0.60	32.70
New material flooring	Ten thousand square meters	2,241.04	2,272.87	173.35	-13.81	-14.61	-15.51

Production and sales volume: None

(3). Performance of major procurement contracts and major sales contracts

□ Applicable √ Not applicable

(4). Cost analysis table

Unit: Yuan Currency: Renminbi

By industry							
By industry	Cost composition items	Current Period's Amount	Proportion of Total Costs for the Current Period (%)	Amount in the same period last year	Proportion of Total Costs in the Same Period Last Year (%)	Percentage Change in Amount for This Period Year-on-Year (%)	Situation Description
Manufacturing	Direct materials	7,181,447,136.84	75.58	6,770,083,136.11	75.55	6.08	
	Direct manual labor	495,264,133.26	5.21	566,115,478.87	6.32	-12.52	
	Manufacturing overhead	499,893,843.70	5.26	555,989,354.19	6.20	-10.09	
	Others	1,325,440,789.61	13.95	1,068,800,842.74	11.93	24.01	The main reason is the growth of warehousing and shipping operations during the reporting period
	Sub-total	9,502,045,903.41	100.00	8,960,988,811.91	100.00	6.04	
By product							
By product	Cost composition items	Current Period's Amount	Proportion of Total Costs for the Current Period (%)	Amount in the same period last year	Proportion of Total Costs in the Same Period Last Year (%)	Percentage Change in Amount for This Period Year-on-Year (%)	Situation Description
Office furniture	Direct materials	1,697,279,974.38	77.94	2,196,619,983.02	79.34	-22.73	
	Direct manual labor	225,833,510.10	10.37	289,112,399.11	10.44	-21.89	
	Manufacturing overhead	152,562,159.86	7.01	156,976,933.34	5.67	-2.81	
	Others	102,004,408.30	4.68	125,783,100.00	4.55	-18.90	
	Sub-total	2,177,680,052.64	100.00	2,768,492,415.47	100.00	-21.34	
Upholstered furniture	Direct materials	831,137,718.78	72.00	812,382,529.44	71.44	2.31	
	Direct manual labor	167,882,415.82	14.55	173,277,968.24	15.24	-3.11	
	Manufacturing overhead	89,711,485.50	7.77	96,650,359.55	8.50	-7.18	
	Others	65,557,684.90	5.68	54,888,402.72	4.82	19.44	
	Sub-total	1,154,289,305.00	100.00	1,137,199,259.95	100.00	1.50	

Panel furniture	Direct materials	556,197,077.49	76.77	616,708,280.04	74.08	-9.81	
	Direct manual labor	49,916,174.96	6.89	46,676,024.07	5.61	6.94	
	Manufacturing overhead	78,090,024.46	10.78	85,856,646.93	10.31	-9.05	
	Others	40,281,722.00	5.56	83,240,047.42	10.00	-51.61	The main reason was the decline in the business scale of the subsidiary Chu Dr. during the reporting period
	Sub-total	724,484,998.91	100.00	832,480,998.46	100.00	-12.97	
New material flooring	Direct materials	771,186,445.03	72.39	914,213,819.37	70.23	-15.64	
	Direct manual labor	30,040,386.41	2.82	40,320,264.70	3.10	-25.50	
	Manufacturing overhead	152,848,862.82	14.35	203,687,417.34	15.65	-24.96	
	Others	111,270,268.26	10.44	143,542,332.24	11.02	-22.48	
	Sub-total	1,065,345,962.52	100.00	1,301,763,833.65	100.00	-18.16	
Integrated Home Furnishings	Direct materials	3,179,702,610.79	100.00	2,155,986,068.28	100.00	47.48	The main reason is the increase in cross-border e-commerce outsourcing during the reporting period
	Direct manual labor	0.00	0.00	0.00	0.00		
	Manufacturing overhead	0.00	0.00	0.00	0.00		
	Others	0.00	0.00	0.00	0.00		
	Sub-total	3,179,702,610.79	100.00	2,155,986,068.28	100.00	47.48	
Others	Direct materials	145,943,310.37	12.16	74,172,455.96	9.69	96.76	The main reason is the growth of sales scale
	Direct manual labor	21,591,645.97	1.80	16,728,822.75	2.19	29.07	The main reason is the growth of sales scale
	Manufacturing overhead	26,681,311.06	2.22	12,817,997.03	1.68	108.16	The main reason is the growth of sales scale
	Others	1,006,326,706.15	83.82	661,346,960.35	86.44	52.16	The main reason is the newspaper

							The reporting period was due to the expansion of warehousing and maritime operations
	Sub-total	1,200,542,973.55	100.00	765,066,236.09	100.00	56.92	
	Total	9,502,045,903.41		8,960,988,811.91		6.04	

Cost analysis and other explanations

For the same period in 2024, the costs of "New Material Flooring" and "Mixed Furniture and Others" products were disclosed on a 2025 year-on-year basis.

(5). Changes in equity in major subsidiaries during the reporting period led to changes in the scope of consolidation

☐ Applicable ☒ Not applicable

(6) Significant changes or adjustments in the company's business, products, or services during the reporting period

☐ Applicable ☒ Not applicable

(7). Main sales customers and key suppliers

Customers or suppliers controlled by the same controller are deemed to be listed collectively under the same customer or supplier, except those actually controlled by the same state-owned asset management institution.

There is no explanation of the situation where customer and supplier information is consolidated and presented under the same control caliber

A. Information on the company's main sales customers and key suppliers

☒ Applicable ☐ Not Applicable The top five customers had sales of 5,628.7075 million yuan, accounting for 48.20% of the annual total sales; Among the top five customers, related party sales were 0 million yuan, accounting for 0% of the annual total sales.

The top five suppliers had a procurement amount of 713.2146 million yuan, accounting for 7.50% of the annual total procurement; Among the top five suppliers, related party purchases amounted to 0 yuan, accounting for 0% of the annual total.

B. During the reporting period, the proportion of sales to a single customer exceeded 50% of the total, and among the top five customers, there were new customers or a significant reliance on a small number of customers

☐ Applicable ☒ Not applicable

During the reporting period, the proportion of purchases from a single supplier exceeded 50% of the total, and among the top five suppliers, there were new suppliers or heavy reliance on a few suppliers

☐ Applicable ☒ Not applicable

C. During the reporting period, the company's stock was subject to delisting risk warnings or other risk warnings

The top five sales customers ☐ applicable ☒ not applicable

Top five suppliers ☐ Applicable ☒ Not applicable

D. During the reporting period, the company had trading business income

☐ Applicable ☒ Not applicable

The top five sales customers whose trading business accounts for more than 10% of operating income ☐ ☒ not applicable

The top five suppliers whose trading business revenue accounts for more than 10% of operating income ☐ applicable ☒ not applicable

Other notes: None

3. Expenses

√ Applicable ☐ Not applicable

Subject	Current Issue	Figures for the same period last year	Change Rate (%)	Reasons for the change
Selling expenses	856,432,867.90	778,788,690.82	9.97	
Administrative expenses	460,111,673.70	431,681,165.45	6.59	
Financial expenses	114,434,946.70	39,420,869.29	190.29	This was mainly due to significant fluctuations in foreign currency exchange rates during the reporting period, resulting in increased exchange losses
R&D expenses	205,640,622.28	225,765,523.36	-8.91	

4. R&D investment

(1). R&D Investment Table

√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

This period's expensed R&D investment	205,640,622.28
This period of capitalized R&D investment	
Total R&D investment	205,640,622.28
Proportion of Total R&D Investment to Operating Revenue (%)	1.76
Proportion of R&D Investment Capitalization (%)	

(2). R&D personnel information table

√ Applicable ☐ Not applicable

Number of R&D personnel in the company	879
Proportion of R&D personnel to total company staff (%)	8.63
Educational Structure of R&D Personnel	
Categories of academic degree structure	Academic Degree Structure: Numbers
PhD candidate	2
Master's degree	17
Bachelor's degree	208
Specialist	184
High school and below	468
Age structure of R&D personnel	
Age structure categories	Age structure, number of people
Under 30 years old (excluding 30 years old)	147
30-40 years old (including 30 years old, excluding 40 years old)	354
Ages 40-50 (including 40 years old, excluding 50 years old)	245
Ages 50-60 (including 50 years old, excluding 60 years old)	121
60 years old and above	12

(3). Explanation of the situation

√ Applicable ☐ Not applicable Companies and subsidiaries of subsidiaries of high-tech enterprises have invested a total of 49 R&D projects, of which 47 have been completed by the end of 2025

Completed, currently in the production and trial sales stage, with two projects spanning phases, currently in the R&D phase, expected to be completed in 2026.

(4). Reasons for major changes in R&D personnel composition and their impact on the company's future development

☐ Applicable ☒ Not applicable

5. Cash flow

☐ Applicable ☒ Not applicable

(2) Explanation of significant profit changes caused by non-core business

☐ Applicable ☒ Not applicable

(3) Analysis of Assets and Liabilities

☒ Applicable ☐ Not applicable

1. Asset and liability status

Unit: Yuan Currency: Renminbi

Project name	Ending numbers for the current period	Proportion of Ending Figures for the Current Period to Total Assets (%)	Previous period ending numbers	Proportion of Previous Period Ending Figures to Total Assets (%)	Percentage Change of Amount at the End of This Period from the End of the Previous Period (%)	Situation Description
Other receivables	47,836,549.77	0.44	99,948,547.11	0.92	-52.14	This was mainly due to reductions in export tax rebates receivable and temporary payments receivable
Other current assets	159,589,255.12	1.48	234,239,014.70	2.16	-31.87	This is mainly due to a reduction in VAT to be deducted
Other non-current assets	69,001,609.79	0.64	101,177,274.39	0.93	-31.80	This is mainly due to a decrease in prepaid land and home purchase payments (work-offset housing).
Notes payable	420,539,172.06	3.89	755,942,439.55	6.96	-44.37	This is mainly due to payment due on bills
Accounts payable	2,671,822,637.31	24.74	1,909,026,418.30	17.58	39.96	This is mainly due to the increase in procurement scale
Non-current liabilities due within one year	477,854,850.15	4.42	698,010,018.50	6.43	-31.54	This was mainly due to a reduction in long-term loans maturing within one year

Other notes: None

2. Overseas asset situation

☒ Applicable ☐ Not applicable

(1). Asset Scale

Of which: overseas assets amounted to 631,286.69 (unit: ten thousand yuan, currency: RMB), accounting for 58.45% of total assets.

(2). Explanations regarding the high proportion of overseas assets√ Applicable ☐ Not applicable unit: 10,000 yuan Currency: Renminbi

Name of overseas assets	Causes of formation	Operating Model	Operating income for the reporting period	Net profit for the reporting period
Vietnamese companies	Investment in building factories	ODM	227,722.96	16,009.11
Hong Kong company [Note].	Established	OBM	463,901.62	3,938.68
American company [Note].	Established	OBM	127,360.99	423.21

[Note]: Hong Kong and US companies have statistics on their main business companies

3. Major asset restrictions as of the end of the reporting period√ Applicable ☐ Not applicable

Project	Final exam				At the beginning of the term		
	Book balance	Book value	Restricted types	Restricted circumstances	Book balance	Book value	Restricted types
Monetary funds	206,040,670.98	206,040,670.98	Pledge	Margin and time deposit pledges	386,975,435.54	386,975,435.54	Pledge
Fixed assets	393,852,714.69	235,988,942.36	Mortgage	Loan mortgages and financial leasing mortgages	1,055,952,939.09	511,788,390.41	Mortgage
Intangible assets	174,755,921.98	145,604,415.65	Mortgage	Loans as collateral	195,254,906.60	172,334,892.36	Mortgage
Accounts receivable	25,000,000.00	25,000,000.00	Pledge	Loan pledge			Pledge
Total	799,649,307.65	612,634,028.99	/	/	1,638,183,281.23	1,071,098,718.31	/

4. Other notes

☐ Applicable ☒ Not applicable

(4) Analysis of industry operational information

☒ Applicable ☐ Not Applicable 1. In 2025, according to the World Economic Outlook report released by the International Monetary Fund (IMF), global economic growth is expected to be 3.2% in 2025, slowing to 3.1% in 2026. The report points out that although the global economy started well in the first half of the year, as short-term support factors fade, the global economy is showing signs of a moderate slowdown. Global inflation is expected to fall to 4.2% by 2025 and further to 3.7% in 2026. The global economy still faces multiple downside risks, including escalating trade protectionism, geopolitical tensions, and increased fiscal vulnerabilities.

2. The global furniture market enters a period of steady growth, with intensified regional differentiation. According to Global Growth Insights, the global furniture market size will reach \$437.22 billion by 2025, is expected to grow to \$456.02 billion by 2026, and expand to \$666.1 billion by 2035, with a compound annual growth rate of 4.3% during the forecast period. Among these, residential furniture accounted for nearly 66% of total demand, and urban households drove nearly 58% of purchasing behavior. Regionally, mature markets in Europe and the US are dominated by renewal demand, with relatively stable demand. The U.S. furniture market shows steady growth momentum, with nearly 61% of households investing in upgrading furniture to enhance comfort and interior appeal; Emerging markets such as the Asia-Pacific and Middle East have benefited from urbanization and the expansion of the middle class, becoming the main drivers of incremental contributions.

3. The office furniture market is developing steadily, driven by trends of intelligence and health. Office furniture is a representative of modern business society, with market demand closely tied to economic development levels. With technological advancements and consumers' diverse demands for healthy and comfortable office environments, office furniture products are developing towards intelligence, environmental friendliness, and customization. According to Global Growth Insights, the global office furniture market size will reach \$72.54 billion in 2025, is expected to reach \$74.35 billion in 2026, and further expand to \$92.86 billion by 2035, with a compound annual growth rate of 2.5% during the forecast period. Nearly 62% of demand is driven by corporate offices, about 58% focus on ergonomic upgrades, and the adoption rate of modular furniture is about 49%. According to a research report by Global Growth Insights, new product development in the office furniture market emphasizes flexibility, ergonomics, and sustainability. About 49% of newly launched products adopt modular designs to support dynamic office layouts, and nearly 58% of new chairs and workstation solutions integrate ergonomic enhancements. The demand for healthy office seating continues to grow, and ergonomically designed, comfortable, and aesthetically pleasing office chairs are increasingly favored. The frequency of replacement and penetration rate are gradually increasing.

4. Rigid demand for upholstered furniture is prominent, with North America and the Asia-Pacific region leading the global market

According to Global Growth Insights, the global upholstered furniture market is expected to reach \$329.38 billion by 2025 and is expected to expand to \$526.4 billion by 2035, with a compound annual growth rate of 4.8% during the forecast period. North America and the Asia-Pacific region are the main markets for upholstered furniture, together accounting for nearly 70% of the global market. Among them, the North American market is dominated by high-end products such as functional sofas and memory foam mattresses, while the Asia-Pacific region benefits from deepening urbanization and consumption upgrades, with demand for

mid-range and entry-level upholstered furniture continuing to expand. Domestically, consumers' pursuit of diverse furniture styles and healthy attributes, combined with the release of existing home renovation demand, is expected to further increase the market size and demand rigidity for upholstered furniture.

5. New material flooring maintains a high growth rate , driven by environmental protection and functionality. In recent years, as consumers have paid more attention to features such as environmental protection, waterproofing, and ease of installation, and with the widespread adoption of new materials like SPC (Stone-Plastic Composite) and WPC (Wood-Plastic Composite), the application scenarios of plastic flooring in commercial spaces and residences have continuously expanded, making it one of the fastest-growing categories among floor decoration materials. The company's new material flooring is mainly PVC flooring, a type of flooring material made primarily from polyvinyl chloride (PVC) resin, typically composed of multiple layers to provide strength, wear resistance, comfort, and ease of cleaning. The global PVC flooring market has maintained rapid growth in recent years. According to 24 Chemical Research, the global PVC flooring market size is \$18.42 billion in 2024. The market is expected to grow from \$19.56 billion in 2025 to \$30.87 billion by 2032, with a compound annual growth rate of 6.7% during the forecast period (2025-2032).

6. Furniture e-commerce penetration continues to rise, with brand expansion becoming a new engine Along with the rise in e-commerce penetration, the improvement of logistics systems, and changes in consumption patterns, the proportion of furniture e-commerce channels has been increasing year by year. China's cross-border e-commerce export scale continues to grow and has entered a new stage of comprehensive and multi-dimensional development in branding, channels, and supply chains, with home furnishing export companies shifting from manufacturing to brand exports. According to a research report by Zolak, the global penetration rate of e-commerce for home goods has climbed from 24% in 2018 to 33% in 2024. Statista predicts that by 2029, the e-commerce scale of the U.S. furniture market will reach \$209.92 billion, maintaining an average annual growth rate of 7.8% over the next five years; The European market showed even more significant growth, with a compound annual growth rate of 10.2% over the same period. China's cross-border e-commerce exports have moved from early large-scale expansion to a new stage of branding and digital operations. Home furnishing export companies are accelerating their transformation from manufacturing to brand export, building global sales networks through multi-channel layouts such as Amazon, Walmart, and TikTok Shop. Zhesang Securities forecasts that China's cross-border e-commerce retail market will reach \$1.1019 trillion by 2027, with a compound annual growth rate of 19.5%.

Analysis of Operating Information in the Furniture

Manufacturing Industry 1. Physical Store Situation During the

Reporting Period

☐ Applicable ☒ Not applicable

2. Profitability of each product type during the reporting period

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Product types	Operating income	Operating costs	Gross Margin (%)	Year-on-year change in operating revenue (%)	Operating cost change compared to last year (%)	Gross profit margin year-on-year change (%)
Office furniture	2,825,416,988.84	2,177,680,052.64	22.93	-20.46	-21.34	0.86
Upholstered furniture	1,503,936,931.01	1,154,289,305.00	23.25	5.41	1.50	2.96
Panel furniture	893,965,375.17	724,484,998.91	18.96	-12.50	-12.97	0.44
New material flooring	1,216,306,753.84	1,065,345,962.52	12.41	-20.67	-18.16	-2.69
Integrated home furnishings and other products	5,224,956,006.30	4,380,245,584.34	16.17	50.88	49.95	0.52
Total	11,664,582,055.16	9,502,045,903.41	18.54	6.07	6.04	0.02

3. Production and sales of each product type during the reporting period√ Applicable ☐ Not applicable

Product types	Self-produced products (ten thousand pieces per 10,000 square meters)	Outsourced Production (10,000 units)	Purchased Finished Products (10,000 units)	Other sources (ten thousand items)	Sales Quantity (10,000 units/10,000 square meters)	Sales volume year-on-year change (%)
Office chair	708.89				717.40	-26.94
Upholstered furniture	220.28				212.25	-0.60
New material flooring	2,241.04				2,272.87	-14.61

4. Profitability of each brand during the reporting period☐ Applicable √ Not applicable**5. Profitability of each sales channel during the reporting period**√ Applicable ☐ Not applicable unit: 10,000 yuan Currency: Renminbi

Sales channels	Operating income	Operating costs	Gross Margin (%)	Year-on-year change in operating revenue (%)	Operating cost change compared to last year (%)	Gross profit margin year-on-year change (%)
Total for stores						
Directly operated stores						
Dealerships						
Bulk business	5,937,069,477.28	4,683,277,992.56	21.12	-11.02	-10.21	-0.71
Online sales	5,727,512,577.88	4,818,767,910.85	15.87	32.44	28.67	2.47
Others						
Total	11,664,582,055.16	9,502,045,903.41	18.54	6.07	6.04	0.02

(5) Analysis of Investment Status Overall Analysis of External Equity Investments

√ Applicable □ Not Applicable During the reporting period, the company established 6 new holding subsidiaries (each indirectly holding 70%): Hangzhou Hengning Home Co., Ltd., Zhejiang Hengjun Home Co., Ltd., Zhejiang Hengjun Home Co., Ltd., SUNLAND SMART HOME CO., LIMITED, Sunland Smart Home Inc, HENGJUN HOME LIMITED, mainly to expand the company's product sales channels. The total subscribed registered capital of the above subsidiaries is RMB 22.4058 million (converted at the exchange rate as of December 31, 2025). As of the end of this reporting period, the company's actual capital contribution totaled RMB 4.7 million.

During the reporting period, the company transferred all remaining 35% equity of Hainan Meisu Technology Co., Ltd. to external parties. As of the end of the period, the company held 0% equity in Hainan Meisu Technology Co., Ltd.

During the reporting period, the company canceled two subsidiaries: Kunshan Henghui Furniture Co., Ltd. and NOUHAUS LIMITED.

1. Significant equity investment

□ Applicable √ Not applicable

2. Significant non-equity investments

□ Applicable √ Not applicable

3. Financial assets measured at fair value

√ Applicable □ Not applicable unit: Yuan Currency: Renminbi

Asset classes	Initial count	Fair value changes in the current period, gains or losses	Changes in Cumulative Fair Value Included in Equity	Impairment provisions made for the current period	Purchase amount for this period	Sales/redemption amounts for the current period	Other changes	Final numbers
Stocks	425,998.96	-380,787.54					402,336.90	447,548.32
Trust products							205,963.56	205,963.56

Equity investment	19,732,551.00	1,085,289.00						20,817,840.00
Total	20,158,549.96	704,501.46	0.00	0.00	0.00	0.00	608,300.46	21,471,351.88

Note: Other changes are due to subsidiary debt restructuring acquisitions and exchange rate differences

Securities Investment Situation ☒ Applicable ☐ Not Applicable Unit: RMB Currency: RMB

Securities varieties	Stock code	Security abbreviation	Initial investment costs	Sources of funding	Opening book value	Fair value changes in the current period, gains or losses	Changes in Cumulative Fair Value Included in Equity	Purchase amount for this period	Sale amount for the current period	Current period investment profit and loss	Other changes	Carrying amount at the end of the period	Accounting subject
Stocks	USNAAS	Nengchain Smart Electric	14,354,951.77		425,998.96	-380,787.54					-1,366.68	43,844.74	Trading financial assets
Stocks	000656	ST Jinke	403,703.58								403,703.58	403,703.58	Trading financial assets
Trust	ZXD20250627000001721	CITIC Trust · Jinke Co., Ltd. Bankruptcy Reorganization Special Service Trust	205,963.56								205,963.56	205,963.56	Trading financial assets
Total	/	/	14,964,618.91	0.00	425,998.96	-380,787.54	0.00	0.00	0.00	0.00	608,300.46	653,511.88	/

Note: ST Jinke stock and CITIC Trust obtained funds from our subsidiary Chu Dr. Customer, Jinke, who was unable to repay operating goods, by settling intercompany payments through equity settlement.

Explanation of securities investment situation ☐ Applicable ☒ Not applicable

Private Fund Investment Situation ☐ Applicable ☒ Not Applicable

Derivatives Investment Situation ☐ Applicable ☒ Not Applicable

4. Specific progress of major asset restructuring and integration during the reporting period

☐ Applicable ☒ Not applicable

(6) Major asset and equity sales

☐ Applicable ☒ Not applicable

(7) Analysis of major controlling and associate companies

☒ Applicable ☐ Not applicable to major subsidiaries and participating companies whose impact on the company's net profit exceeds 10% ☒ Applicable ☐ Not applicable units: 100 million yuan
Currency: RMB

Company name	Types of business	Total assets	Net assets	Net profit
Hengyou Technology	ODM	2.49	0.68	0.46
CinoFurniture	ODM	3.46	1.60	0.54
Nanjing Hengning [Note].	OBM	3.99	1.02	0.40
Henglin, Vietnam	ODM	9.35	1.87	0.97
Yongyu Home Furnishings [Note].	ODM	13.32	8.50	0.61
Hengjian Home [Note].	OBM	34.99	1.20	0.41
Dr. Chu [Note]	OBM	4.57	1.86	-1.52

[Note]: Data includes consolidated subsidiaries.

Acquisition and disposal of subsidiaries during the reporting period ☐ Applicable ☒ Not applicable

Other Notes ☐ Applicable ☒ Not applicable

(8) The structure controlled by the company

☐ Applicable ☒ Not applicable

6. Company Discussion and Analysis on Future Development (1) Industry Landscape and Trends

☒ Applicable ☐ Not applicable. For details, see section "II. Industry Situation of the Company

During the Reporting Period" under "(1) Basic Information of the Industry It Operates In."

(2) Company Development Strategy

☒ Applicable ☐ Not Applicable The company pursues the vision of "becoming a world-class green home enterprise." The company adheres to a home furnishing strategy, promoting the transformation and upgrading of "manufacturing + service," with equal emphasis on ODM and OBM business development.

1. Service Strategy: Provide customers with full supply chain solutions, delivering value through service.

2. Market Strategy: Actively expand into non-US and domestic markets.

3. Brand Strategy: Promote brand business through cross-border e-commerce to achieve transformation and upgrading. 4. Financial Strategy: Achieve profit growth with positive cash flow.

5. Supply chain strategy: Drive lean manufacturing through technological innovation, improve efficiency and reduce costs, and continuously optimize the supply chain. 6. R&D Strategy: Drive product development based on customer needs and enhance product competitiveness through brand design. 7. Talent Strategy: Attract high-end talent through medium- and long-term incentives, deepen management reform, and drive corporate transformation. 8. Lean Strategy: Focus on customer value, rely on data analysis and digital tools to continuously eliminate waste.

(3) Business Plan

√ Applicable □ Not Applicable 2026 is a critical year for the company to improve quality and efficiency, and achieve steady and long-term progress. The company will closely focus on the strategic theme of "Standing on the High, Moving Toward the New," driving the enterprise toward a higher stage of development with higher standards and greater courage.

Choosing the highest position means breaking low-level competition with a higher strategic vision, stricter benchmarking standards, and stronger self-demands, aiming for leapfrog growth.

Moving forward with innovation means returning to the essence of business, courageously self-criticizing, continuously innovating in thinking, models, and growth, and building solid organizational capabilities.

Guided by this strategy, the company will focus on the main theme of "high-quality development" and focus on implementing the following business plans:

1. Strengthen the foundation and deepen global operations

Supply chain strategy: Implement a full-chain quality management strategy of "extending forward to R&D, backward to customers," moving quality control forward to the development stage and standardizing change management. Establish special improvement teams for key customers and implement differentiated management and control. Informatization Construction: Fully implement a new generation of data integration platforms to build a unified and efficient data foundation. Achieve deep deployment of process automation technology in finance, supply chain, and production planning operations, and promote the integration and optimization of international network links at bases in Vietnam, Switzerland, and other locations.

Financial Management: Continuously optimize overseas tax management processes to enhance compliance and foresight in tax policy application; Establish a regular asset inventory mechanism to ensure the safety of group assets; Simultaneously strengthen the study and application of the latest domestic and international tax policies, continuously practicing the business philosophy of "profits with cash flow."

2. Market breakthroughs, focusing on incremental breakthroughs

Global market strategy: The U.S. market focuses on strong benchmarking with major clients and dual drivers of online business; At the same time, actively expand into other international markets and promote localized operations according to local conditions.

Channels and Brand: Online business implementation is advanced through multi-channel collaboration, accelerating new product validation and cross-platform collaboration under controllable risks. At the same time, the intelligent replenishment model is continuously optimized, strictly controlling the red line for inventory age and improving inventory turnover.

3. Innovation-driven to cultivate new quality productive forces

Product R&D: Relying on the research institute and R&D teams of various business units, we continue to deepen our efforts in the smart home ecosystem. In the seat sector, it continuously iterates core health and comfort technologies such as the "007 chassis" and "003 chassis"; In the field of new materials, leveraging Yongyu's 3D digital design advantages to expand product application boundaries. Strive to achieve new breakthroughs in core technologies and apply for more high-value patents.

Technological Innovation: Widely organize mass innovation activities such as skill competitions and "Five Small" inventions. The R&D, production, and management departments will accelerate the application of digital technologies to empower design, management, and customer service, and improve total factor productivity.

4. Organizational evolution to stimulate talent vitality

Talent Pipeline: Implement tiered and categorized talent development programs, boldly appoint young cadres, and focus on cultivating management talent with a global perspective. Strengthen platforms such as the "Red Workshop" and "Model Worker and Craftsman Studio," focusing on building a highly qualified workforce.

Corporate Culture: Continue to promote the spirit of home and striving, planning to hold Employee Family Day, large annual meetings, and other events to strengthen organizational cohesion. Continuously practicing social responsibility to achieve synergistic enhancement of commercial and social value.

5. Compliant risk control to safeguard the navigation's stability and long-term progress

Continue to advance the construction of clean private enterprises, embed integrity requirements into internal control and audit supervision systems, and build a solid defense line for compliant operations. Strictly following the requirements of the listed company's governance standards, we protect shareholder rights, optimize the quality of information disclosure, and ensure the company moves steadily and long-term on the path of rapid development.

(4) Potential Risks

√ Applicable □ Not Applicable 1.

Macroeconomic, policy, and environmental risks

The company has established production bases in China, southern Vietnam, Switzerland, and other regions, with products exported to more than 80 countries and regions, with main business income mainly from overseas. In 2025, global trade frictions and uncertainties in tariff policies will persist, placing higher demands on cost control and pricing strategies for the company's cross-border e-commerce and traditional foundry businesses. If adverse changes occur in industrial or trade policies related to the company's products in the future, or due to deterioration of local economic conditions or tense geopolitical situations, force majeure may adversely affect the company's production and operations.

Countermeasures: (1) Adhere to a dual-track strategy of "manufacturing going overseas and brand going global," deepen global capacity and sales network layout. The Vietnamese production base mainly covers export orders to the US, and for cross-border e-commerce, an efficient supply chain model of "Vietnam production — direct shipment from US warehouses" has been established to effectively hedge tariff and trade policy risks, while actively expanding non-US markets to diversify single market risks; (2) Centered on the "Home Furnishing" strategy, continuously upgrade the product system, explore new markets and new customers while ensuring stable cooperation with strategic clients, and adhere to the business principle of "quality revenue and cash flow profits"; (3) Strengthen foreign exchange management and combine tools such as forward settlement and sales to reduce the impact of exchange rate fluctuations.

2. Risk of downturn and business contraction in the real estate industry

Affected by the continued downturn in the domestic real estate industry, its subsidiary, Dongguan Chu Boshi Home Co., Ltd., is under operational pressure. The company has proactively implemented a significant reduction in the Chef PhD business, and except for existing orders that have been fulfilled, it will no longer undertake new business. The company has made impairment provisions for relevant assets in accordance with accounting standards for enterprises. Investors are advised to be aware of these risks.

Countermeasures: The company is steadily advancing the contraction of the Chu PhD business, ensuring the delivery of existing orders, collection of accounts receivable, personnel placement, and asset disposal, keeping the impact within a reasonable range. This business contraction will not have a significant adverse impact on the company's overall operations. 3.

Operational management risks

The operation of numerous domestic and international subsidiaries places higher demands on the company's business layout, management philosophy, and management model. If the company cannot make corresponding improvements in management capabilities and organizational structure, it will affect strategic advancement and long-term development.

Countermeasures: (1) Further improve the incentive mechanism, strengthen the equal balance of responsibilities and rights among the "number one" positions in each business line, systematically cultivate talent pipelines, and fully stimulate the enthusiasm and creativity of core talent; (2) Introduce specialized management and technical talents around strategic development needs, innovate management methods, promote digital and information-based control, and enhance group-based management and cross-regional collaboration efficiency.

4. Goodwill impairment risk

The company has carried out necessary industrial integration according to business development needs. If the operating performance of related subsidiaries falls short of expectations in the future, the company faces the risk of making goodwill impairment provisions.

Countermeasures: The company continues to strengthen post-investment management, implementing business responsibilities through business integration and standardized management of the acquired company, stimulating growth momentum, fully leveraging synergies, improving operational efficiency, and thereby reducing goodwill impairment risk.

5. Risks related to technology R&D and new product expansion

The company continues to invest in R&D, but there is a risk of R&D failure, failure to timely grasp of technological and market development trends, inability to effectively meet customer demands, and failure to convert into revenue and profit, which may adversely affect operating performance.

Countermeasures: Strengthen research on industry trends and consumer needs, and conduct R&D with a market-oriented approach; Establish a full-process management and review mechanism for R&D projects to improve R&D success rates and achievement conversion rates; Dynamically adjust product strategies and marketing plans in line with market changes.

6. Raw material price fluctuation risk

The company's main raw materials include steel, sponges, wood, chemicals, and electronic components, with costs accounting for a high proportion of main business costs. If the prices of major raw materials rise sharply and the company fails to promptly pass on cost pressures to downstream customers, it will negatively impact profitability.

Countermeasures: (1) Establish a raw material price monitoring and early warning mechanism, combining long-term procurement agreements, strategic stockpiling, and other methods to stabilize price fluctuations; (2) Continuously optimize product design by reducing material consumption per unit product through material substitution, process improvement, and lean production; (3) Gradually introduce price linkage mechanisms into sales contracts to enhance cost transmission capabilities; (4) Establish long-term strategic partnerships with core suppliers through large-scale procurement to secure better procurement prices and payment terms.

7. Risks of overseas operations

During overseas operations, the company faces differences in laws and regulations, tax policies, labor standards, and environmental requirements from different countries and regions. If the company fails to fully adapt to local compliance requirements or undergoes major adverse policy adjustments, it may face risks such as fines and operational restrictions.

Countermeasures: (1) Implement a "localization + headquarters empowerment" management model at overseas bases, hiring local professional institutions to provide legal, tax, and compliance consulting; (2) Regularly conduct special inspections and training on overseas compliance, establish overseas business risk lists and emergency responses

contingency plans; (3) Strengthen internal control audits of overseas subsidiaries by headquarters to ensure consistency with group compliance standards; (4) Continuously monitor policy developments in key target markets and proactively plan response plans.

(5) Others

☐ Applicable ☒ Not applicable

7. The company fails to disclose situations and reasons in accordance with the standards due to non-compliance with the standards or special reasons such as state secrets or trade secrets

☐ Applicable ☒ Not applicable

Section 4: Corporate Governance, Environment, and Society

I. Explanation of Corporate Governance Matters

☒ Applicable ☐ Not Applicable During the reporting period, the company strictly followed the requirements of the Company Law, Securities Law, Listed Company Governance Code, Shanghai Stock Exchange Listing Rules, and other laws, regulations, and normative documents, continuously operating in a standardized manner, optimizing its governance structure, effectively safeguarding investors' legitimate rights and interests, and actively fulfilling social responsibilities. According to the newly implemented Company Law and related regulatory requirements, the company abolished the positions of the Supervisory Board and Supervisors, and had the Audit Committee of the Board of Directors take over their original functions. In light of the company's actual situation, more than 30 internal systems such as the Articles of Association, Rules of Procedure for Shareholders' Meetings, Rules of Procedure for Board Meetings, and Independent Directors Work System were abolished, systematically revised, or formulated in light of the company's actual situation, ensuring clear responsibilities among the authority, decision-making, and executive bodies, with standardized operation and effective checks and balances, effectively guaranteeing compliant and efficient company operations.

1. About shareholders and the shareholders' meeting

The company strictly follows the Company Law, the Rules for Shareholders' Meetings of Listed Companies, the Articles of Association, the Rules of Procedure for Shareholders' Meetings, and other relevant regulations and requirements, standardizing the convening, holding, and voting procedures of shareholders' meetings. It fully adopts a combination of on-site and online voting methods to facilitate the exercise of rights by all shareholders, ensuring that all shareholders, especially minority shareholders, can fully exercise their rights. During the reporting period, the company held one annual shareholders' meeting and three extraordinary shareholders' meetings. The procedures for convening, convening, and voting at shareholders' meetings all complied with relevant laws, regulations, and the Articles of Association. The qualifications of attendees were legal and valid, all witnessed on-site by lawyers and issued legal opinions, and the voting results were legal and valid.

2. About the Company and Controlling Shareholders

The company's controlling shareholder strictly exercises controlling shareholder rights in accordance with the Company Law, Securities Law, and other laws, regulations, and related systems, without directly or indirectly interfering in the company's decision-making or business activities beyond the shareholders' meeting, and does not harm the interests of the company or other shareholders; The company and controlling shareholder maintain independence and integrity in business, personnel, assets, organization, and finance, each independently accounting, bearing responsibilities and risks.

During the reporting period, the company did not have any cases of controlling shareholders occupying listed company funds, nor did it provide illegal guarantees for controlling shareholders or their subsidiaries.

3. About directors and the board of directors

During the reporting period, to further improve and optimize the corporate governance structure and enhance the scientific and effective decision-making of the board, the company adjusted the board members and increased the number of board seats from 5 to 7, including 1 employee representative director and 3 independent directors; At the same time, the original special committee under the board of directors, the "Board Strategy Committee," was adjusted to the "Board Strategy and Sustainable Development Committee," and on top of its original responsibilities and powers, sustainable development management responsibilities and powers were added accordingly, with corresponding adjustments to the committee members.

During the reporting period, all directors and members of specialized committees carried out their work in accordance with the company's "Rules of Procedure for Board Meetings," "Management Measures for Independent Directors of Listed Companies," and the implementation rules of each committee, performing their duties diligently and cautiously, personally attending committees, board meetings, and shareholders' meetings, continuously monitoring company operations, fully leveraging their professional expertise, making prudent decisions, and effectively safeguarding the interests of the company and its shareholders; At the same time, they actively participated in relevant training to learn relevant laws and regulations, continuously improving their ability to perform their duties. Independent directors were able to perform their duties independently and provide professional opinions on major company matters, unaffected by the company's controlling shareholders, actual controllers, or other units or individuals with interests in the company. In 2025, the company held a total of five board meetings, with the convening, holding, and voting procedures strictly following relevant laws and regulations. The company has received honors such as the "2025 Outstanding Practice Case of Board of Directors of Listed Companies" and "Outstanding Practice Case of the Board Office of Listed Companies 2025" from the China Association of Listed Companies, as well as the "Outstanding Board of Directors" award at the 20th Golden Roundtable Award for Board of Directors of Listed Companies by Board Magazine.

The Board of Directors has four specialized committees: the Audit Committee, the Strategy and Sustainable Development Committee, the Remuneration and Appraisal Committee, and the Nomination Committee. In 2025, these committees held a total of 9 meetings, playing an important role in promoting standardized operations and healthy, sustainable development of the company.

4. Regarding senior management personnel

During the reporting period, two senior management personnel resigned, leaving the Board of Directors to appoint a total of six senior management personnel, including 1 General Manager, 3 Deputy General Managers, 1 Board Secretary, and 1 Chief Financial Officer. The company's senior management personnel strictly performed their duties in accordance with the Articles of Association, Board of Directors authorization, and General Manager Work Rules, implementing resolutions from shareholders' meetings, board meetings, and other relevant meetings. There was no abuse of authority or tendency toward "insider control." In daily operations, senior management personnel made decisions on major matters through appropriate procedures, performed their duties within their authority, continuously improved business management, risk management, and internal control, striving to maximize the interests of shareholders and stakeholders.

5. Regarding the abolition of the supervisory board and the assumption of supervisory functions

During the reporting period, the company held one supervisory board meeting, with the convening, holding, and voting procedures strictly following relevant laws and regulations. Subsequently, the company actively responded to the new Company Law and related regulatory requirements, no longer establishing supervisors or supervisory boards, and the board audit committee took over the supervisory functions of the original supervisory board. After the board of supervisors was abolished, the board audit committee lawfully supervised the company's financial status and the legality of directors and senior management in performing their duties, achieving a smooth transition in governance structure and providing a solid foundation for scientific and rational decision-making of major company strategies.

6. On information disclosure and transparency

The company strictly complies with the "Shanghai Stock Exchange Stock Listing Rules," "Measures for the Administration of Information Disclosure by Listed Companies," and other relevant laws and regulations, as well as the company's "Information Disclosure Management System," to strengthen the management of information disclosure affairs and fulfill information disclosure obligations. To uphold the principle of fairness in information disclosure and eliminate insider trading, the company strictly controls the transmission of insider information and the scope of insiders in accordance with the "Registration Management System for Insider Information of Listed Companies." The company designates China Securities Journal, Shanghai Securities News, Securities Times, and the Shanghai Stock Exchange website (www.sse.com.cn) as the company's designated information disclosure media, ensuring that all shareholders have equal rights to know. In 2025, the company conscientiously fulfilled its information disclosure obligations, truthfully, accurately, completely, timely, concisely, clearly, and clearly disclosed matters that have a significant impact on the company, disclosing a total of 106 announcements and related documents (including periodic reports, legal opinions, and other intermediary reports). Since its listing, the company has voluntarily published social responsibility and ESG reports for eight consecutive years, continuously disclosing its practice and achievements in fulfilling responsibilities to society. In 2025, the company's Wind ESG rating was rated AA.

7. Regarding investor relations management

The company attaches great importance to investor relations management and has formulated the "Investor Relations Management System." During the reporting period, the company continuously strengthened communication with shareholders and investors through diversified communication methods such as investor exchange meetings, offline roadshows, research visits, regular performance briefings, responding to SSE e-interactive and investor emails, and having dedicated staff to answer investor hotlines. The company continuously strengthened communication with shareholders and investors, enhancing their understanding and recognition of the company, aiming to maximize company value and shareholder interests. In 2025, the company held three performance exchange meetings, inviting analysts and investors from time to time to visit automated production lines, intelligent warehouses, and R&D centers to visually demonstrate the company's core competitiveness in "advanced manufacturing." At the same time, investors were invited to visit exhibitions such as the Home Expo to gain in-depth understanding of the company's R&D innovation and market trends. In 2025, the company was awarded the "Best Practice Case of the 2024 Annual Performance Briefing of Listed Companies by the China Association of Listed Companies."

8. About internal audit

The company strictly adheres to the requirements of laws, regulations, and normative documents such as the Company Law, Securities Law, and Corporate Governance Code for Listed Companies, establishing an internal control governance system guided by the Articles of Association and centered on the Internal Audit System. In 2025, the audit department will conduct comprehensive risk screening work, conducting penetrative checks on the authenticity of financial data, effectiveness of internal control system implementation, and business compliance of each subsidiary. Using big data analysis technology, it accurately identifies potential risk points, generates special reports, and collaborates with management to formulate rectification plans. At the same time, it reviews previously completed audit projects to ensure that rectification measures are effectively implemented; It actively promotes the upgrade of the collaboration mechanism, conducting in-depth communication of headquarters management standards to subsidiary management through irregular joint meetings, special training, and case briefings. During the reporting period, the company continuously strengthened normalized risk control, consolidating its risk management foundation through regular assessments, dynamic supervision, and process optimization. As an independent supervisory body, the audit department systematically tracked and analyzed operational risks, financial anomalies, and compliance status of each subsidiary and business unit, providing solid support for achieving high-quality development, cost reduction, efficiency improvement, and risk prevention.

Whether there are significant differences between corporate governance and laws, administrative regulations, and the CSRC's provisions on listed company governance; If there are significant differences, the reasons should be explained ☐ Applicable ☒ Not applicable

2. Specific measures taken by the company's controlling shareholder and actual controller to ensure independence in assets, personnel, finance, organization, business, etc., as well as solutions, work progress, and follow-up work plans to affect the company's independence

√ Applicable □ Not Applicable Mr. Wang Jianglin, the company's controlling shareholder and actual controller, serves as Chairman and General Manager of the company, mainly responsible for daily operations, and is a core management personnel of the company. The company has established and improved decision-making and approval mechanisms in accordance with the Articles of Association, Rules of Procedure for Board of Directors, and relevant internal control systems. The controlling shareholder and actual controller strictly comply with the authorization and decision-making procedures of the shareholders' meeting and board of directors during business management. Their related duties are all operated within the framework of corporate governance and will not adversely affect the company's independence.

In terms of independence, the company strictly complies with relevant laws, regulations, and governance requirements to ensure independence from controlling shareholders, actual controllers, and other enterprises in terms of assets, personnel, finance, organization, and business, and to possess independent and complete operational capabilities. Details are as follows:

1. Asset Independence: The company has an independent and complete asset structure, with its assets completely independent from the controlling shareholder, actual controller, and other enterprises under their control. The company has complete control and control over all its assets, and there is no situation where assets or funds are occupied by shareholders that harm the company's interests.
2. Personnel Independence: All senior management of the company work for the company and receive compensation. They do not hold any positions or receive compensation in the controlling shareholder, actual controller, or other enterprises under their control, nor do they operate self-operated or operate businesses identical or similar to those of the company for others.
3. Financial independence: The company establishes an independent finance department, staffed with full-time financial personnel, sets up an independent financial accounting system and internal control system, implements independent financial decision-making, formulates standardized financial accounting and subsidiary financial management systems, and opens independent bank accounts.
4. Organizational independence: The company has established an independent and comprehensive internal organizational management system suited to actual conditions, clarified the functions of each body, and formulated corresponding internal management and control systems. The company exercises management powers independently and does not mix with controlling shareholders, actual controllers, or other enterprises under their control.
5. Business independence: The company possesses an independent and complete system for procurement, production, sales, and R&D, as well as the ability to operate independently directly facing the market. It holds full legal property rights, possesses all necessary qualifications for business operations, and also has the personnel, capital, facilities, and equipment necessary for business operations. There is no reliance on channels of controlling shareholders or actual controllers.

The situation of controlling shareholders, actual controllers, and other units under their control engaging in business identical or similar to the company, as well as the impact of significant changes in industry competition or competition on the company, the measures already taken, progress in resolution, and subsequent resolution plans □ applicable √ not applicable

III. Information on Directors and Senior Management (1) Changes in shareholding and remuneration of current and former directors and senior management during the reporting period

√ Applicable □ Not applicable units: Shares

Name	Position	Gender	Age	The start date of the term	End of term	Number of shares held at the beginning of the year	Year-end holdings	Annual changes in shares	Reasons for changes in additions or decreases	Total pre-tax compensation received from the company during the reporting period (ten thousand yuan)	Whether compensation is obtained from related parties of the company
Wang Jianglin	Chairman and General Manager	Male	56	2015/6/29	2027/7/28	82,657,866	82,657,866	0	Not applicable	120	No
Zhu Yong	Director	Male	50	2025/5/16	2027/7/28	50,000	50,000	0	Not applicable	61.16	No
	Deputy General Manager (Departed)			2024/7/29	2025/4/25						
Lu Xiaoying	Director	Female	47	2025/6/3	2027/7/28	7,200	7,200	0	Not applicable	76	No
	Chairman of the Supervisory Board (Outgoing)			2024/7/29	2025/5/16						
Zhang Yunhui	Employee representative director	Male	44	2018/7/16	2027/7/28	0	0	0	Not applicable	80	No
Xu Xiaobo	Independent Director	Male	50	2024/7/29	2027/7/28	0	0	0	Not applicable	8	No
Xu Fang	Independent Director	Female	60	2021/12/1	2027/7/28	0	0	0	Not applicable	8	No
Yu Guoyan	Independent Director	Female	50	2025/6/3	2027/7/28	0	0	0	Not applicable	4.67	No
Tang Hongyan	Board Secretary	Female	37	2022/11/14	2027/7/28	0	0	0	Not applicable	68	No
Wang Xueming	Chief Financial Officer	Male	53	2021/12/1	2027/7/28	420	420	0	Not applicable	85	No
Wang Yaqin	Deputy General Manager	Female	59	2015/7/11	2027/7/28	1,050,000	1,050,000	0	Not applicable	80	No
	Director (Resigned)			2015/6/29	2025/5/16						
Liu Lei	Deputy General Manager	Male	41	2021/12/1	2027/7/28	0	0	0	Not applicable	55	No
Cai Bin	Deputy General Manager	Male	44	2021/12/1	2027/7/28	0	0	0	Not applicable	60	No
The king and Zheng prospered	Deputy General Manager (Departed)	Male	51	2015/6/29	2025/4/25	0	0	0	Not applicable	17.57	No
Total	/	/	/	/	/	83,765,486	83,765,486	0	/	723.40	/

Note 1: The remuneration of the above directors and senior management is calculated and paid based on their actual term (excluding share-based payment expenses), and the number of shares held does not include the corresponding shares granted under the employee stock ownership plan.

Name	Main work experience
Wang Jianglin	In 1998, he founded Anji County Henglin Furniture Co., Ltd. (the predecessor of the company) and serves as its executive director; His social positions include President of the Zhejiang Chair Industry Association, member of the Huzhou Municipal Political Consultative Conference, member of the Standing Committee of the Anji County People's Congress, representative of the Anji County People's Congress, executive director of the second council of the Zhejiang Chamber of Commerce, Vice President of the Zhejiang International Chamber of Commerce, Vice Chairman of the Huzhou Federation of Industry and Commerce, Vice President of the Zhejiang Furniture Industry Association, and Vice President of the Anji County Charity Federation. He currently serves as Chairman and General Manager of the company.
Zhu Yong	Joined the company in 2022 , previously served as General Manager at Metcash Asia Ltd. General Manager , Senior Director of Staples China , General Manager of Office Depot Global Sourcing Hangzhou Office , Procurement Director for Target Sourcing Service Asia, Procurement Manager at Walmart (China); Previously served as Deputy General Manager and General Manager of the Office Home Division. Currently serves as Director of the Company and General Manager of Zhejiang Hengjun Home Furnishing Co., Ltd
Lu Xiaoying	Joined the company in 2022 , previously served as Deputy General Manager of the Business Division and General Manager of the Operations Department at Kuka Home Co., Ltd., Director of the International Business Development Center, and Director of International Business Marketing; Previously served as Chairman of the Supervisory Board. Currently serves as Director and General Manager of the Sofa Division
Zhang Yunhui	Joined the company in 2011, serving successively as Manager of Hengyou Technology Business Unit, General Manager of Hengyi Furniture, and General Manager of Henglin Vietnam. Currently serves as Employee Representative Director, responsible for the IKEA Business Unit.
Xu Xiaobo	Former Associate Professor, Professor, and Director of Chinese Affairs at the American University of Sharjah, UAE; from August 2020 to March 2025, Professor, PhD Supervisor, Associate Dean, Head of the Department of Strategy and Organizational Management, and Head of the Department of Intelligent Operations Management and Marketing at Xi'an Jiaotong-Liverpool University School of International Business; from March 2025 to present, Professor and PhD Supervisor, Executive Dean of the Entrepreneurs College, and Director of the Harmonious Management Research Center. Member of the Anji County Political Consultative Conference. Delegate to the 9th Congress of the Suzhou Federation of Social Sciences. Independent Director of the Company since July 2024.
Xu Fang	Former General Manager of the Finance Department of Shanghai Airlines Co., Ltd., Deputy General Manager of the Finance Department of China Eastern Airlines Co., Ltd., and Chief Financial Officer of Shanghai Airlines Co., Ltd.; Member of the 13th Shanghai Municipal Committee of the Chinese People's Political Consultative Conference and Director of the 7th Shanghai Intellectuals Federation. Has served as an independent director of the company since December 2021.
Yu Guoyan	Previously served as Board Secretary and Deputy General Manager of Hangzhou Dian Hun Network Co., Ltd., and Board Secretary and Deputy General Manager of Hangzhou Shunwang Technology Co., Ltd.; From February 2024 to present, serves as Chairman of Hangzhou Huishi Media Co., Ltd., and since August 2025, serves as Manager and Director of Hangzhou Zhixing Zhiyuan Technology Co., Ltd. Has served as Independent Director of the Company since June 2025.
Tang Hongyan	Joined the company in 2017, has served as Assistant Board Secretary, Securities Affairs Representative, and currently serves as Board Secretary.
Wang Xueming	Joined the company in 2020, previously served as Chief Financial Officer of Honeywell Integrated Technology (China) Co., Ltd., Chief Financial Officer of Shanghai Fullant Animal Health Co., Ltd., Chief Financial Officer of Dole (China) Co., Ltd., Chief Financial Officer of Linuo Group (Shanghai) Co., Ltd., and Chief Financial Officer of Zhejiang Shen'ao Office Furniture Manufacturing Co., Ltd.; Previously served as Deputy Chief Financial Officer of the company. Currently serves as Chief Financial Officer of the company.
Wang Yaqin	Joined the company in 1998 , successively serving as head of finance, supply chain, production, and director; Also serves as general manager and director of Ruide Sponge. Currently serves as deputy general manager and head of supply chain management
Liu Lei	Joined the company in 2012, previously served as Industrial Designer at Hangzhou Bogong Technology Co., Ltd., and Design Director (Co-founder) at Hangzhou Firebug Industrial Product Design Co., Ltd.; Has served as Design Director at the company. Currently serves as Deputy General Manager of the company, serving as Product Director, responsible for market research, development, and innovation of products.
Cai Bin	Joined the company in 2012, successively serving as Manager of PMC Department, General Office Manager, Director, and General Manager of Production and Operations. Currently serves as Deputy General Manager and General Manager of the Office & Home Division, responsible for lean manufacturing.

Note: The table above shows the main work experience of the current Dong Gao of the company.

Other information is explained

☐ Applicable ☒ Not applicable

(2) Positions of current and former directors and senior management during the reporting period 1.**Positions held in shareholder units**√ Applicable ☐ Not applicable

Names of the staff members	Name of shareholder unit	Positions held within shareholder units	The start date of the term	End of term
Wang Yaqin	Henglin Trading	Supervisor	2016-05-11	-
Explanation of their positions in shareholder units	None			

2. Employment in other units√ Applicable ☐ Not applicable

Names of the staff members	Other unit names	Positions held in other units	The start date of the term	End of term
Wang Jianglin	Zhejiang Weiya Office Furniture Trading Co., Ltd	Chairman and General Manager	2020-01-14	-
	Zhenwei Investment Fund Management Co., Ltd	Director	2019-07-02	-
	He Ye Health Technology Co., Ltd	Director	2019-11-22	-
	Anji Hengsheng Technology Microloan Co., Ltd	Director	2012-12-20	-
	Beijing Yiyun Clean Technology Venture Capital Co., Ltd	Director	2011-08-01	-
	Zhejiang Mingdu Investment Co., Ltd	Supervisor	2008-06-06	-
	Zhejiang Luye Real Estate Development Co., Ltd	Supervisor	2010-10-26	-
Xu Xiaobo	Xi'an Jiaotong-Liverpool University	Professor, PhD supervisor, Associate Dean of XJTLU Business School, Head of the Department of Strategy and Organizational Management, and Head of the Department of Intelligent Operations Management and Marketing	2021-09-01	2025-03-13
		Professor, doctoral supervisor, Executive Dean of the College of Entrepreneurs, and Director of the Harmonious Management Research Center	2025-03-14	-
Yu Guoyan	Hangzhou Huishi Media Co., Ltd	Executive Director and General Manager	2024-02-04	-
	Hangzhou Zhixing Zhiyuan Technology Co., Ltd	Manager, Director	2025-08-27	
Cai Bin	Hangzhou Shuita Zhichuang Digital Technology Co., Ltd	Director	2024-08-20	-
Zhu Yong	Hangzhou Yaoyu Technology Co., Ltd	Executive Director and General Manager	2022-03-10	-
	Hangzhou Junlin Network Technology Co., Ltd	Executive Director and General Manager	2025-05-19	-
Explanation of their positions in other units	None			

Note: The table above shows the main positions currently held by the company's senior directors in other units.

(3) Remuneration of directors and senior management√ Applicable ☐ Not applicable

Procedures for decision-making on remuneration for directors and senior management	The remuneration of the company's directors and senior management personnel shall be formulated by the Remuneration and Assessment Committee of the Board of Directors, reviewed by the Board of Directors, and submitted to the shareholders' meeting for approval.
Whether directors recuse themselves when discussing their own remuneration by the board	Yes
The specific circumstances of the Remuneration and Appraisal Committee or the Independent Directors' Special Meeting making recommendations on remuneration matters for directors and senior management	On April 15, 2025, the Remuneration and Assessment Committee held the first meeting of the 7th Board of Directors' Remuneration and Assessment Committee, reviewing the "Proposal on the Implementation of Remuneration for Directors and Senior Management in 2024 and the 2025 Remuneration Assessment Plan." Based on the principle of prudence, all members abstained from voting and submitted the proposal directly to the Board of Directors for deliberation.
The basis for determining the remuneration of directors and senior management	Decisions are made based on the duties and responsibilities of directors, senior management, and the company's performance.
Actual payment of directors and senior management remuneration	The actual payment of directors and senior management remuneration matches the data disclosed in the annual report.
The total actual compensation received by all directors and senior management at the end of the reporting period	7.234 million yuan (excluding share-based payment expenses).
Assessment basis and completion status of actual remuneration received by all directors and senior management at the end of the reporting period	In 2025, independent directors receiving independent director allowances are not subject to the assessment status; The company's non-independent directors and senior management personnel receive corresponding remuneration according to the company's performance appraisal regulations. The performance appraisal work is effectively executed and completed in accordance with the company's performance appraisal regulations.
Deferred payment arrangements for actual remuneration received by all directors and senior management at the end of the reporting period	Not applicable.
At the end of the reporting period, claims on suspension payments of actual remuneration received by all directors and senior management	Not applicable.

(4) Changes in the company's directors and senior management personnel√ Applicable ☐ Not applicable

Name	Positions held	Changes in the situation	Reasons for the change
Yu Guoyan	Independent Director	Elections	Work transfer
Lu Xiaoying	Director	Elections	Work transfer
Zhu Yong	Director	Elections	Work transfer
Zhu Yong	Deputy General Manager	He left office	Work transfer
The king and Zheng prospered	Deputy General Manager	He left office	Work transfer
Wang Yaqin	Director	He left office	Work transfer

1. In April 2025, due to work adjustments, Ms. Wang Yaqin, Director and Deputy General Manager of the Company, resigned from her position as Director and will continue to serve as Deputy General Manager, overseeing the Supply Chain Management Center; Deputy General Managers Mr. Zhu Yong and Mr. Wang Zhengxing have applied to resign from their positions as Deputy General Manager, but will continue to work at the company. Zhu Yong will serve as Director and General Manager of the subsidiary Zhejiang Hengjun Home Furnishing Co., Ltd.; Mr. Wang Zhengxing will serve as Director of the Company's Research Institute and Chief Engineer. For details, please refer to the company's announcement on April 26, 2025, titled "Henglin Co., Ltd. on the Resignation of Directors and Senior Management and the Nomination of Non-Independent Director Candidates and Adjustment of the Special Committee Members" (Announcement No.: 2025-016).

2. The company will be on April 24, 2025, April 25, 2025, and 2025 respectively On May 16, the second meeting of the Nomination Committee of the Seventh Board of Directors, the fifth meeting of the Seventh Board of Directors, and the 2024 Annual General Meeting of Shareholders were held, all of which reviewed and approved the election of Mr. Zhu Yong as a non-independent director of the seventh Board of Directors, with a term from the date of approval by the General Meeting of Shareholders until the expiration of the seventh Board of Directors. For details, please refer to the

company's announcement on April 26, 2025, titled "Henglin Co., Ltd. on Resignation of Directors and Senior Management and Nomination of Non-Independent Director Candidates and Adjustment Committee Members" (Announcement No.: 2025-016). 3. To further improve and optimize the corporate governance structure and enhance the scientific and effective decision-making of the board, the company will hold the company on May 16, 2025, and June 2025, respectively. On March 3, the third meeting of the Nomination Committee of the Seventh Board of Directors, the sixth meeting of the Seventh Board of Directors, and the first extraordinary shareholders' meeting of 2025 were held. All proposals for by-election were approved, and the company agreed to increase the number of seats on the board from 5 to 7, electing Ms. Yu Guoyan as an independent director of the seventh term and Ms. Lu Xiaoying as a non-independent director of the seventh term. The term of office starts from the date of approval by the shareholders' meeting until the end of the seventh board of directors' term. For details, please refer to the company's announcement on May 17, 2025, disclosed in the "Henglin Co., Ltd. Announcement on Nominating Director Candidates and Adjusting Committee Members" (Announcement No.: 2025-024).

(5) Explanation of penalties imposed by securities regulatory authorities in the past three years

☐ Applicable ☒ Not applicable

(6) Others

☐ Applicable ☒ Not applicable

IV. Directors' Performance of Duties (1) Attendance of directors in the Board of Directors and Shareholders' Meeting

Director's name	Whether they are independent directors	Board attendance						Participation in the shareholders' meeting
		Number of board meetings to attend this year	Attendance in person	Number of times participating via communication	Number of delegated attendances	Number of absences	Whether you have failed to attend meetings in person for two consecutive years	Number of times attending shareholders' meetings
Wang Jianglin	No	5	5	1	0	0	No	4
Zhu Yong [Note 1]	No	4	4	0	0	0	No	4
Lu Xiaoying [Note 2]	No	3	3	2	0	0	No	4
Zhang Yunhui	No	5	5	3	0	0	No	4
Xu Xiaobo	Yes	5	5	4	0	0	No	4
Xu Fang	Yes	5	5	5	0	0	No	4
Yu Guoyan [Note 3]	Yes	3	3	3	0	0	No	3
Wang Yaqin (Resigned) [Note 4]	No	1	1	0	0	0	No	4

Note 1: During the reporting period, Zhu Yong attended board meetings 5 times (1 as a senior executive, 4 as a director) and 4 shareholders' meetings (1 as a director candidate, 3 as a director).

Note 2: During the reporting period, Lu Xiaoying attended board meetings 5 times (1 as supervisor, 1 as director candidate, 3 as director), and 4 shareholders' meetings (1 as supervisor, 1 as director candidate, 2 as director). Note 3: During the reporting period, Yu Guoyan attended board meetings 4 times (1 as director candidate, 3 as director), and 3 shareholders' meetings (1 as director candidate, 2 director).

Note 4: During the reporting period, Wang Yaqin attended board meetings 5 times (1 as a director, 4 as a senior executive) and 4 times at shareholders' meetings (1 as a director, 3 as an executive).

Explanation for missing two consecutive board meetings ☐ Applicable ☒ Not applicable

Number of Board meetings held during the year	5
Among them: Number of on-site meetings	0
Number of meetings held by communication method	0
On-site meetings were held using communication methods	5

(2) Objections raised by directors regarding matters of the company

☐ Applicable ☒ Not applicable

(3) Others

☐ Applicable ☒ Not applicable

5. Establishment of Special Committees under the Board of Directors

☒ Applicable ☐ Not applicable

(1) Members of special committees under the Board of Directors

Specialized committee category	Member names
Audit Committee	Xu Fang (Chairman), Xu Xiaobo, Lu Xiaoying
Nomination Committee	Yu Guoyan (Chairperson), Xu Xiaobo, Wang Jianglin
Remuneration and Appraisal Committee	Xu Xiaobo (Chairman), Yu Guoyan, Zhang Yunhui
Strategy and Sustainability Committee	Wang Jianglin (Chairman), Zhu Yong, Lu Xiaoying, Zhang Yunhui, Xu Fang

Note 1: During the reporting period, the company's original board of directors' specialized committee "Board Strategy Committee" was reorganized into the "Board Strategy and Sustainability Committee."

Note 2: The above table shows the latest members of each specialized committee of the Board. Details on committee member adjustments during the reporting period can be found in the company's disclosed announcements "Henglin Co., Ltd. on the Resignation of Directors and Senior Management and the Nomination of Non-Independent Director Candidates and Members of the Adjustment Special Committee" (Announcement No.: 2025-016) and the "Announcement on the Nomination of Director Candidates and Members of the Adjustment Special Committee" (Announcement No.: 2025-024).

(2) The Audit Committee held 5 meetings during the reporting period

Date of the meeting	Meeting Content	Important opinions and suggestions	Other performance of duties
2025-1-23	The review of one proposal including the "Preliminary Report of the Audit Institution on the Company's 2024 Audit Work" was reviewed. All proposals were approved by vote at this meeting, and there were no cases of rejection.	All committee members heard Tianjian's preliminary report on the company's 2024 audit work and unanimously agreed that the audit conducted by the audit institution and the preliminary report complied with laws, administrative regulations, the China Securities Regulatory Commission, and the relevant provisions of the Shanghai Stock Exchange. For subsequent annual audit work, the committee requires audit institutions to continuously monitor key accounting subjects, major transactions, and accounting estimates, strengthen communication with the audit committee and management, and ensure high-quality audit opinions within the agreed timeframe. All members unanimously approved the proposal.	None
2025-4-24	Review of the "Company's 2024 Annual Report and Summary" and the "Company's 2024 Financial Report."	All committee members have thoroughly discussed all proposals and agreed on the 2024 annual report and its summary	None

	Final Accounts Report," "2024 Profit Distribution Plan," "2024 Internal Control Evaluation Report," "Proposal on Reappointing the 2025 Accounting Firm," "2025 First Quarter Report," "2024 Board Audit Committee Performance Report," "Board Audit Committee Report on the 2024 Performance of Supervision Duties," "Proposal on the 2024 Evaluation Report on the Accounting Firm's Performance of Duties" and nine other proposals. All proposals reviewed at this meeting were approved by vote, with no rejection of any proposals.	It truthfully, accurately, and completely reflects the company's operating results and financial status; The financial statements truthfully reflect the operating conditions; The profit distribution plan balances shareholder returns with the company's long-term development; The internal control evaluation report indicates that the company's internal control system operates well; Agreed to renew Tianjian's appointment as the audit firm for 2025; The first quarter report accurately reflects the first quarter's operations; The audit committee's performance report is comprehensive and objective; Supervision and evaluation reports on accounting firms accurately reflect their performance of duties. All members unanimously approved all proposals.	
2025-8-25	The review of one proposal including the "Company's 2025 Semi-Annual Report and Its Summary" was reviewed. All proposals were approved by vote at this meeting, with no rejection of the proposals.	All committee members reviewed the 2025 semi-annual report and its summary, focusing on the accuracy and completeness of the financial data, and consistently believed that the report truthfully and objectively reflected the company's operating results and financial status in the first half of 2025, without any false records, misleading statements, or material omissions. All members unanimously approved the proposal.	None
2025-10-23	The review of one proposal including the "Company's 2025 Third Quarter Report" was approved. All proposals were approved by vote at this meeting, with no rejection of the proposals.	All committee members reviewed the third quarter report for 2025, focusing on changes in major financial data and their reasons, and believed that the report complies with relevant laws and regulations, and that the financial data truthfully, accurately, and completely reflects the operating results and financial status during the reporting period. All members unanimously approved the proposal.	None
2025-12-26	We reviewed one proposal including the "Audit Institution's Proposal on the Company's 2025 Annual Audit Work Plan." All proposals were approved by vote at this meeting, with no rejection of the proposals.	All committee members listened to the audit institution's arrangements for the 2025 audit work plan, believing that its milestones are clear and operable, ensuring the efficient advancement and completion of the 2025 audit work. All members unanimously approved the proposal.	None

(3) During the reporting period, the Nomination Committee held two meetings

Date of the meeting	Meeting Content	Important opinions and suggestions	Other performance of duties
2025-4-24	Reviewed one proposal, including the "Proposal on Reviewing the Qualifications of Non-Independent Director Candidates for the Seventh Board of Directors," all proposals were approved by vote at this meeting, with no rejection of the proposals.	All committee members reviewed the qualifications of the candidates for non-independent director appointment and concluded that their educational background, professional ability, work experience, and professional ethics all meet the requirements for serving as a non-independent director of the company, and that there are no circumstances stipulated by the Company Law or other laws and regulations or the Articles of Association that prohibit them from serving as company directors. All members unanimously approved the proposal.	None
2025-5-16	Reviewed the proposal on reviewing the qualifications of non-independent director candidates for the seventh Board of Directors and the proposal on reviewing the qualifications of independent director candidates for the seventh Board of Directors	All members reviewed the qualifications of candidates for non-independent director appointment and independent director candidates, assessing their educational background, professional abilities, work experience, and professional ethics	None

	and two other proposals. All proposals were approved by vote at this meeting, with no vetoes	All meet the relevant job requirements. All members unanimously approved the proposal.	
	The circumstances of the proposal.		

(4) During the reporting period, the Remuneration and Assessment Committee held one meeting

Date of the meeting	Meeting Content	Important opinions and suggestions	Other performance of duties
2025-4-15	Reviewed one proposal, including the "Proposal on the Execution of Remuneration for Directors and Senior Management in 2024 and the Salary Assessment Plan for 2025," based on the principle of prudence, all members abstained from voting and submitted directly to the Board of Directors for review.	Based on the principle of prudence, all members abstained from voting and submitted the matter directly to the company's board of directors for review.	None

(5) During the reporting period, the Strategy and Sustainable Development Committee held one meeting

Date of the meeting	Meeting Content	Important opinions and suggestions	Other performance of duties
2025-4-15	We reviewed one proposal including the "2024 General Manager's Work Report." All proposals were approved by vote at this meeting, with no rejection of any proposals.	All committee members carefully listened to the General Manager's report on the company's 2024 operations, believing that the report objectively and truthfully reflected the company's production and operation achievements, completion of key tasks, and existing problems in 2024. The committee members affirmed the achievements made by the company's management team in a complex market environment, and suggested that management continue to focus on the core business in 2025, strengthen cost control, optimize product structure, intensify market expansion, and continuously enhance the company's core competitiveness and risk resistance. All members unanimously approved the proposal.	None

(6) Specific circumstances of the objections

☐ Applicable ☒ Not applicable

6. Explanation of the Audit Committee's Discovery of Risks in the Company

☐ Applicable ☒ Not applicable. The Audit Committee has no objections to the supervision matters during the reporting period.

7. Employee Information of the Parent Company and Major Subsidiaries at the End of the Reporting**Period (1) Employee Situation**

The number of employees at the parent company	2,553
Number of employees currently employed at major subsidiaries	7,632
Total number of employees on the job	10,185
The number of retired employees who are required to bear expenses at the parent company and major subsidiaries	254
Professional composition	
Major Categories	Majors and number of students
Production staff	7,576

Sales staff	366
Technicians	879
Financial personnel	105
Administrative staff	1,259
Total	10,185
Education level	
Category of education level	Quantity (persons)
Master's degree or above	76
Bachelor's degree and college diploma	1,664
Below the college level	8,445
Total	10,185

(2) Salary Policy

√ Applicable □ Not Applicable The company establishes a compensation management mechanism based on job value, work performance, and employee capabilities, achieving fairness, justice, and standardization in compensation management; Fully leverage the incentive role of the compensation system, attract outstanding talent, and promote the company's sustained, stable, and healthy development. Follow the "Four Principles, Three Bases" in Compensation Management:

1. Fairness Principle: Salary levels should be oriented toward external fairness, internal fairness, and personal fairness;
2. Market-oriented principle: Refer to external market salary data and reasonably determine compensation standards based on the company's positioning of talent needs;
3. Performance-oriented principle: Salary is linked to job performance. Employees in the same position receive different salary and benefits depending on their work performance;
4. Principle of Economic Efficiency: Compensation policies must be consistent with the company's economic benefits and ability to afford it;
5. Regularly conduct salary level surveys in the same industry and region to serve as the basis for formulating the compensation system;
6. Evaluate the value of positions based on job responsibilities, job impact, difficulty of appointment, and degree of responsibility, serving as the basis for formulating the compensation system;
7. Regularly analyze the current labor cost status of the company, keep track of salary levels for various positions, and use this as the basis for formulating the compensation system.

(3) Training Plan

√ Suitable □ Unsuitable Talent is the company's primary resource and a key factor in promoting sustained high-quality development. The company always places its talent team at a strategic level, continuously improving employees' overall quality and organizational capabilities through a systematic and standardized training and management system, supporting the achievement of the company's strategic goals.

1. Improve training mechanisms

To improve the training system, the company has formulated the "Vocational Skill Level Training Management System," clarifying the organizational structure, content setup, and management processes for training, forming a scientific and systematic training mechanism. On this basis, the company conducts strict evaluations of all

aspects of the training program, covering course participation, learner mastery, instructor teaching quality, and organizational efficiency. The assessment results are linked to salary adjustments, job promotions, and incentive mechanisms to effectively enhance training effectiveness and employee participation.

2. Formulate an annual training plan

At the end of each year, the Human Resources Department, based on the company's development plan and the actual needs of each department, formulates a detailed annual training plan. It carries out multi-dimensional training programs covering new employee onboarding, management skills, professional technical skills, operational skills, and overall business competence, promoting comprehensive improvement of employee capabilities. During the reporting period, the company continuously strengthened its talent training system, supporting long-term development through organizational capability building.

3. Encourage employees to improve themselves

To motivate employees to improve themselves, the company has formulated the "External Training Management Measures," encouraging employees to participate in various training related to their positions, including knowledge, skills, qualifications, and academic qualifications, without affecting their actual work. The company reimburses or subsidizes registration fees, tuition fees, transportation, and accommodation expenses according to regulations, and actively organizes employees to participate in professional qualification training and certification organized by industry associations, regulatory authorities, and professional organizations, providing opportunities to enhance on-the-job academic qualifications, continuously enriching the training system, enhancing employees' professional skills and business skills, and promoting mutual growth between employees and the company.

4. Strengthen compliance training for the "critical minority."

The company's directors, senior management, actual controllers, as well as staff from departments involved in business such as the Board Office and Financial Management Center, strictly adhere to the standardized operational requirements of listed companies on the Shanghai Stock Exchange, actively participate in professional training organized by the Shanghai Stock Exchange, Zhejiang Securities Regulatory Bureau, Zhejiang Listed Companies Association, and others, continuously improving their ability to perform duties and professional competence. At the same time, the company has established a regular compliance training and supervision mechanism:

1. Occasional internal study and exchange sessions: The company organizes internal special study sessions from time to time, with the board secretary, financial officer, or legal manager serving as the main speaker. They engage in in-depth discussions and exchanges with directors, senior executives, and related personnel on topics such as the latest regulatory policies, information disclosure practices, and corporate governance standards. Through case analysis, experience sharing, and interactive Q&A, we promote management's understanding and internalization of compliance requirements, forming a normalized internal knowledge sharing and risk prevention mechanism;

2. Establish a regular information push mechanism: The Board Office regularly publishes daily and weekly written and audio reports to Donggao's WeChat group, covering the latest penalty cases and analyses, legal updates and interpretations, for Donggao and actual controllers to study; Prepare monthly securities reports to promptly communicate new capital market regulatory regulations, industry trends, and macro policies;

3. Hold special compliance seminars: Regularly invite accountants, lawyers, and other intermediary institutions to conduct information disclosure compliance seminars, clarifying the responsibilities and obligations of Dong Gao; Actively organize directors, senior management, actual controllers, as well as personnel from departments involved in business such as the board office and financial management center to participate in special training on compliance, market value management, and mergers and acquisitions organized by the exchange and association, promoting a deep understanding of laws and regulations among the "key minority personnel" and enhancing compliance awareness, providing solid support for the company's standardized operations.

(4) Labor outsourcing situation√ Applicable ☐ Not applicable

Total working hours for labor outsourcing	1.02 million hours
Total remuneration paid for labor outsourcing (ten thousand yuan)	9,228

8. Profit Distribution or Capital Reserve Conversion Plan (1) Formulation, implementation, or adjustment of cash dividend policies

√ Applicable ☐ Not Applicable According to the China Securities Regulatory Commission's "Guidelines for the Supervision of Listed Companies No. 3— Cash Dividends of Listed Companies," and in light of the company's actual operating conditions and future development needs, the "Henglin Co., Ltd. Shareholder Return Plan for the Next Three Years (2023-2025)" approved at the 2022 Annual General Meeting on June 6, 2023, regarding cash dividends is as follows:

1. If the company is in the mature stage of development and has no major capital expenditure arrangements, cash dividends should account for at least 80% of the profit distribution during profit distribution; 2. If the company is in the mature stage and has major capital expenditure arrangements, cash dividends should account for at least 40% of the profit distribution during profit distribution; 3. If the company is in the growth stage and has major capital expenditure arrangements, cash dividends should account for at least 20% of the profit distribution during profit distribution. If the company's development stage is difficult to distinguish but there are major capital expenditure arrangements, it may be handled according to the preceding provision.

On September 15, 2025, the company held its second extraordinary shareholders' meeting and approved the interim dividend plan: a cash dividend of 5.50 yuan (tax included) will be distributed to all shareholders for every 10 shares, totaling 76,486,867.05 yuan (tax included). The inter-year dividend was distributed on October 10, 2025.

After approval at the 10th meeting of the 7th Board of Directors, the company's 2025 annual profit distribution plan is: no cash dividends, no bonus shares, and no capital reserve converted into share capital in 2025. The main purpose of the company's retained undistributed profits is to meet the working capital needed for daily operations. It still needs to be submitted to the shareholders' meeting for review.

(2) Special explanation of the cash dividend policy√ Applicable ☐ Not applicable

Whether it complies with the provisions of the articles of association or the requirements of the shareholders' meeting resolution	√ Yes, ☐ No
Whether the dividend standards and ratios are clear and well-defined	√ Yes, ☐ No
Whether the relevant decision-making procedures and mechanisms are complete	√ Yes, ☐ No
Whether independent directors have fulfilled their duties and played their due roles	√ Yes, ☐ No
Whether minority shareholders have sufficient opportunities to express their opinions and demands, and whether their legitimate rights and interests have been adequately protected	√ Yes, ☐ No

(3) If the company is profitable during the reporting period and the parent company's profits available for shareholder distribution are positive, but no cash profit distribution plan has been proposed, the company shall disclose the reasons in detail as well as the use and usage plan of the undistributed profits

☐ Applicable ☒ Not applicable**(4) Profit Distribution and Capital Reserve to Share Capital Conversion Plan for the Reporting Period**√ Applicable ☐ Not

applicable unit: Yuan Currency: Renminbi

Number of bonus shares for every 10 shares (shares)	-
Dividend per 10 shares (yuan) (including tax)	5.50
Amount of shares to be added per 10 shares (shares)	-
Cash dividend amount (tax included)	76,486,867.05
Net profit attributable to common shareholders of the listed company in the consolidated financial statements	163,843,057.29
Cash dividend amount as a percentage of net profit attributable to common shareholders of the listed company in the consolidated financial statements (%)	46.68
The amount of cash repurchase of shares included in cash dividends	-
Total dividend amount (tax included)	76,486,867.05
Percentage of total dividend amount to net profit attributable to common shareholders of the listed company in the consolidated financial statements (%)	46.68

(5) Cash dividend status for the most recent three accounting years

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Cumulative cash dividend amount for the last three accounting years (including tax) (1)	276,743,391.69
Cumulative repurchase and cancellation amounts in the last three accounting years (2)	-
Cumulative cash dividends and repurchases and write-offs for the last three accounting years (3) = (1) + (2)	276,743,391.69
Average annual net profit for the most recent three accounting years (4)	230,000,499.78
Cash dividend ratio (%) for the most recent three accounting years (5) = (3) / (4)	120.32
Net profit attributable to common shareholders of the listed company in the consolidated financial statements of the most recent accounting year	163,843,057.29
Undistributed profits at the end of the most recent accounting year's parent company's financial statements	1,456,214,774.83

9. Status and Impact of the Company's Equity Incentive Plan, Employee Stock Ownership Plan, or Other Employee Incentive Measures (1) Relevant incentive matters have been disclosed in the interim announcement and have been implemented without progress or changes in subsequent implementation

☐ Applicable ☒ Not applicable

(2) Incentive situations that have not been disclosed in the interim announcement or have made subsequent progress
 Equity Incentive Situation ☐ Applicable ☒ Not Applicable

Other notes: ☐ Applicable ☒ Not applicable

Employee stock ownership plan status ☒ Applicable ☐ Not applicable. On September 8, 2023, the company held its first extraordinary general meeting of shareholders of 2023 and agreed to implement the 2023 employee stock ownership plan. This employee stock ownership plan grants up to 208 shares from the company's (including controlling subsidiaries) directors (excluding independent directors), supervisors, senior management, and key management and business personnel at a transfer price of 16.63 yuan per share, from the company's dedicated securities repurchase account,

totaling no more than 2,332,423 shares. The duration is 60 months, and the acquired shares are unlocked in three phases. The attribution dates are 12, 24, and 36 months from the date the last stock transfer to the employee stock ownership plan. The proportion of shares allocated in each period is 40%, 30%, and 30%, respectively. The specific proportion and quantity of each year are calculated based on the company's performance indicators and holder assessment results.

On October 12, 2023, the 2,332,423 shares of Company A shares held in the company's "Henglin Home Co., Ltd. Repurchase Special Securities Account" were transferred through non-transaction transfer to the company's "Henglin Home Co., Ltd. - 2023 Employee Stock Ownership Plan" securities account.

In October 2024, the first lock-up period of the company's 2023 employee stock ownership plan expired, and the vesting conditions have been met. According to the ownership arrangement of the company's 2023 employee stock ownership plan, the first batch of vestable shares accounts for 40% of the total number of shares held under this employee stock ownership plan, i.e., 932,969 shares.

In October 2025, the second lock-up period of the company's 2023 employee stock ownership plan expired, and the vesting conditions were met. According to the ownership arrangement of the company's 2023 employee stock ownership plan, the second batch of allocation accounts for 30% of the total shares held under this employee stock ownership plan, i.e., 699,726 shares.

Other incentives ☐ Applicable ☒ Not applicable

(3) Equity incentives granted to directors and senior management during the reporting period

☐ Applicable ☒ Not applicable

(4) The evaluation mechanism for senior management personnel, as well as the establishment and implementation of incentive mechanisms during the reporting period

☒ Applicable ☐ Not Applicable. The Board of Directors implements the company's performance appraisal management measures based on the completion of annual business targets and evaluates the performance of senior management personnel.

10. Construction and implementation of internal control systems during the reporting period

☒ Applicable ☐ Not Applicable During the reporting period, the company strictly followed the provisions of the Company Law, Securities Law, Listed Company Governance Code and its supporting guidelines, as well as relevant internal control regulatory requirements, combined with the company's actual situation, continuously improving and effectively operating the internal control system, forming a modern governance system with clear responsibilities and standardized operations. In 2025, the company was awarded the "2025 Best Practice Case of Internal Control for Listed Companies by the Listed Companies Association."

In terms of institutional system construction, the company abolished, revised, or formulated more than 30 internal systems including the Articles of Association in accordance with the latest regulations such as the new Company Law and the Guidelines for Articles of Association of Listed Companies, combined with the company's actual situation; The positions of the board of supervisors and supervisors were abolished, and the supervisory functions of the audit committee were simultaneously strengthened, ensuring a smooth and efficient transformation of the governance structure, effectively improving corporate governance levels, and laying a solid institutional foundation for the company's sustainable and high-quality development.

In terms of internal control operations, the company's existing internal control system provides reasonable assurance for the authenticity and fairness of business management, asset security, financial reporting, and related information. During the reporting period, the company did not find any major or significant deficiencies in internal controls related to financial reporting or non-financial reporting.

In the future, the company will continue to strengthen the maintenance and improvement of its internal control system, promptly adjust and improve relevant systems according to business development needs, and is committed to continuously enhancing internal control levels to effectively safeguard the company's sustainable development and the legitimate rights and interests of stakeholders.

Explanation of major deficiencies in internal control during the reporting period ☐ Applicable ☒ Not applicable

11. Management and control of subsidiaries during the reporting period

☒ Applicable ☐ Not Applicable. During the reporting period, the company's board of directors closely followed the latest regulatory trends, adhered to risk prevention as the orientation, focused on improving management effectiveness, and strengthened penetrative control and group empowerment of subsidiaries. The company established and improved a comprehensive institutional system covering subsidiary asset management, business supervision, and strategic coordination, ensuring key areas were included within group control and effectively eliminating "management without control, control without strictness."

The company uses comprehensive budgeting as the strategic implementation approach. After determining the overall strategic goals and budget, it is scientifically broken down to each subsidiary, and process tracking, analysis, and early warning mechanisms are strengthened to urge subsidiaries to complete set goals and tasks with high quality and efficiency. In terms of financial management, each subsidiary implements a vertical group management system. Key processes such as the selection, appointment, and assessment of key positions are uniformly supervised and managed by the company to ensure that the financial officer is effectively managed at the "level of downward management."

In addition, the company strengthens internal controls of subsidiaries through contract management, financial management, audit management, and other multidimensional approaches, promoting a closed-loop management process including pre-event risk prevention, mid-event monitoring and early warning, and post-event evaluation optimization. By implementing penetrative supervision and dynamic authorization adjustments, the company has effectively improved its subsidiaries' management level and compliance capabilities, providing a solid guarantee for the group's overall stable development.

Risk warnings of abnormal management controls for subsidiaries ☐ Applicable ☒ Not applicable

12. Explanation of relevant circumstances in the internal control audit report

☒ Applicable ☐ Not Applicable: For details on the internal control audit report, please refer to the "Henglin Co., Ltd. 2025 Annual Internal Control Audit Report" published by the company on the Shanghai Stock Exchange website.

Whether to disclose the internal control audit report: Yes, the internal control audit report opinion type: standard unqualified opinion

Whether a non-standard internal control audit opinion was issued during the reporting period or previous year ☐ ☒ no

13. Rectification of self-inspection issues in the special action for listed company governance

Not applicable.

14. Environmental information of listed companies and their main subsidiaries included in the list of enterprises legally disclosed by environmental information√ Applicable ☐ Not applicable

Number of enterprises included in the list of enterprises included in the environmental information lawful disclosure list (units)		2
Serial number	Company name	Query index for environmental information disclosure reports according to law
1	Ruide Sponge (Zhejiang) Co., Ltd	https://mlzj.sthjt.zj.gov.cn/eps/
2	Huzhou Hengxin Metal Products Co., Ltd	https://mlzj.sthjt.zj.gov.cn/eps/

Note: The scope of verification covers the company and its subsidiaries within China.

Other Notes ☐ Applicable ☒ Not applicable**15. Social Responsibility Work (1) Whether to separately disclose social responsibility reports, sustainable development reports, or ESG reports**

√ Applicable ☐ Not applicable. For details, please refer to the "Henglin Shares 2025 Annual Sustainability Report" and the "Henglin Shares 2025 Annual Sustainability Report Summary" published on the same day on the Shanghai Stock Exchange website (<http://www.sse.com.cn>).

(2) Specific Situation of Social Responsibility Work√ Applicable ☐ Not applicable

External donations and public welfare projects	Quantity/content	Situation Description
Total Investment (10,000 yuan)	283.87	During the reporting period, the company donated a total of 2.8387 million yuan through activities such as supporting nearby schools and visiting households in need, including 406,000 yuan to the education fund.
Of which: funds (ten thousand yuan)	283.87	
Material Discounts (10,000 yuan)		
Number of people benefited (persons)		

Specific Explanation ☐ Applicable ☒ Not Applicable**16. Specific Situations on Consolidating and Expanding Poverty Alleviation Achievements, Rural Revitalization, and Other Tasks**☐ Applicable ☒ Not applicable

Specific Explanation ☒ Applicable ☐ Not Applicable Under the thorough implementation of the national strategic deployment to consolidate and expand poverty alleviation achievements and effectively connect with rural revitalization, the company fulfills its social responsibility through concrete actions, closely linking enterprise development with local economic and social development, and working hand in hand to promote common prosperity.

The company places great emphasis on institutionalized and platform-based social responsibility, establishing the Henglin Charity Foundation and the Henglin-Xiaofeng Education Fund as important carriers for fulfilling social responsibility and giving back to society. The Henglin-Xiaofeng Foundation has long focused on disadvantaged groups and continuously invests funds to improve the living conditions of those in need; The Henglin-Xiaofeng Education Fund focuses on educational equity by supporting the development of local education in Xiaofeng Town, Anji County through scholarships, teaching awards, and grants, encouraging outstanding students to grow and succeed. In 2023, the company pledged 6 million yuan to the Henglin-Xiaofeng Education Fund, dedicated to improving educational facilities and quality, creating a better learning environment for local students. Under the organization and promotion of the Henglin Party Committee, the company formed a Party member volunteer service team, fully leveraging the pioneering and exemplary role of Party members in public welfare service. Party member volunteers regularly participate in community services, assistance for those in need, elderly and disabled assistance, voluntary blood donation, and environmental improvement, putting the Party's mission into practice and spreading organizational warmth through their actions. Through diverse forms of volunteer services, not only has employees' cohesion and sense of social responsibility been strengthened, but connections between enterprises and local communities have also been further strengthened, creating a positive atmosphere of co-construction and sharing. The Henglin Party Committee actively explores the "Party Building + Rural Revitalization" path, proactively establishing joint Party-building mechanisms with surrounding villages and communities to promote resource sharing and complementary advantages. By conducting skills training, providing job opportunities, and supporting entrepreneurial projects, it helps local residents improve their employment capabilities and broaden income channels, truly achieving the integration of "blood transfusion" and "blood production." At the same time, the company leverages its industrial advantages to deepen school-enterprise cooperation, promote the integration of industry, academia, and research, and inject new momentum into local economic transformation and upgrading.

The company will consolidate and expand poverty alleviation achievements and integrate it with employee care mechanisms, establishing and improving a support system for employees in difficulty. By setting up special assistance funds, organizing holiday visits, organizing health check-ups, and solving children's school enrollment issues, the company effectively helps employees solve practical difficulties. The company continues to engage in public welfare, carrying out donations and material donations every year, distributing over 3.5 million yuan in employee assistance funds, benefiting more than 830 employees in need, and fostering a positive atmosphere of mutual help, friendship, and common development within the enterprise.

In the future, the company will continue to adhere to Party building as the guide, further expand public welfare paths, innovate assistance models, and promote the effective connection between consolidating and expanding poverty alleviation achievements with rural revitalization. The company will continue to deepen long-term mechanisms such as village-enterprise co-construction, industry-education integration, and volunteer services, striving to create a warm, responsible, and influential model of private enterprise public welfare, contributing Henglin's strength to building a harmonious society and achieving common prosperity.

17. Others

☐ Applicable ☒ Not applicable

Section 5: Important Matters

I. Fulfillment of Commitments (1) Commitments made by the company's actual controller, shareholders, related parties, acquirer, and other relevant parties

committed during or continuing during the reporting period

√ Applicable ☐ Not applicable

Background of the commitment	Types of commitments	Committing party	Commitment content	Committed time	Is there a deadline for fulfillment?	Commitment period	Whether they are strictly and timely	If performance is not performed on time, the specific reasons for incomplete performance should be explained	If not fulfilled in time, the next steps should be explained
Commitments related to initial public offerings	Others	Directors and senior management personnel	(1) Do not offer benefits to other units or individuals without compensation or under unfair conditions, nor use other methods to harm the company's interests; (2) Restrict and control job-related consumption behavior; (3) Do not use company assets for investment or consumption activities unrelated to the performance of your duties; (4) Linking the company's compensation system formulated by the company's remuneration committee involving you to the implementation of the company's compensation compensation measures; (5) If the company plans to implement equity incentives for you in the future, the exercise conditions of the equity incentives will be linked to the implementation of the compensation reward measures; (6) If you violate or refuse to fulfill the above commitments, you will publicly explain and apologize at the company's shareholders' meeting and in newspapers designated by the China Securities Regulatory Commission; If you cause losses to the company or shareholders due to breach of commitment, I will bear compensation responsibilities according to law.	2017.11.21	No	Long-term effectiveness	Yes	Not applicable	Not applicable
	Resolve competition within the same industry	Controlling shareholder and actual controller Wang Jianglin	From the date of signing the "Letter of Commitment to Avoid Competition in the Same Industry," (1) I and other enterprises under my control will continue to neither directly nor indirectly engage in business activities that constitute peer competition with the company or its controlling subsidiaries, both within and outside China, and are willing to bear liability for economic losses caused to the company due to breach of the above commitments; (2) If the company or its controlling subsidiaries further expand their products and business scope, neither I nor any other enterprises under my control will compete with the products or businesses expanded by the company or its controlling subsidiaries; It may expand with the company or its controlling subsidiaries	2017.11.21	No	Long-term effectiveness	Yes	Not applicable	Not applicable

			If competition arises in products or businesses after the exhibition, I and other enterprises under my control will withdraw from competition with the company or its controlling subsidiaries as follows: A. Cease production of products that constitute or may constitute competition; B. Cease operations of businesses that constitute or may constitute competition; C. Incorporate competing businesses into the company for operation; D. Transfer competing businesses to unrelated third parties. If I violate the above commitments and cause losses to the company, I will compensate the company for all losses incurred; If I benefit from the breach of this commitment, I will fully compensate the company for the gains; This commitment shall be valid for the period when I hold 5% or more of the company's shares.						
	Resolve competition within the same industry	Henglin Trading is a shareholder holding more than 5%.	From the date of signing the "Letter of Commitment to Avoid Competition in the Same Industry," (1) the company and other enterprises controlled by it will continue to refrain from directly or indirectly engaging in business activities that constitute peer competition with the company or its subsidiaries both domestically and internationally, and are willing to bear liability for economic losses caused to the company due to breach of the above commitments; (2) If the company or its controlled subsidiaries further expand their products and business scope, the company and other enterprises controlled by it will not compete with the expanded products or businesses of the company or its subsidiaries; If there is potential competition with the company's expanded products or businesses, the company and other enterprises controlled by it will withdraw from competition with the company or its controlled subsidiaries in the following ways: A. Ceasing production of products that constitute or may be competitive products; B. Ceasing operations that constitute or may constitute competition; C. Incorporating competing businesses into the company for operation; D. Transfer of competing business to unrelated third parties. If the enterprise violates the above commitments and causes losses to the company, the company shall compensate the company for all losses incurred; If the company benefits from the breach of the commitment, the company shall fully compensate the company for the gains; This commitment shall be valid during the period when the enterprise holds 5% or more of the company's shares.	2017.11.21	No	Long-term effectiveness	Yes	Not applicable	Not applicable
	Resolving related-party transactions	Controlling shareholder and actual controller Wang Jianglin	(1) I and the companies I control or participate in (the "subsidiaries") will strictly and in good faith fulfill all related party transaction agreements signed with the joint-stock company and its subsidiaries within the scope of the consolidated financial statements. I promise not to seek any excessively from the joint-stock company and its subsidiaries within the scope of the consolidated financial statements	2017.11.21	No	Long-term effectiveness	Yes	Not applicable	Not applicable

			Interest or income not specified in the above agreement; (2) I and my subsidiaries will try to avoid related-party transactions with the joint-stock company and its subsidiaries within the scope of the consolidated financial statements. If related-party transactions are unavoidable, they will be conducted under fair, reasonable, and normal commercial transaction terms, and will not require or accept more favorable terms than those of third parties in any market fair trade; (3) I and my subsidiaries will strictly comply with the recusal provisions regarding related-party transactions in the articles of association. All related transactions will be conducted according to the decision-making procedures of the joint-stock company, and we will follow legal procedures and promptly disclose information on related party transactions; (4) I and my subsidiaries guarantee not to use related-party transactions to transfer profits of the joint-stock company and its subsidiaries within the scope of the consolidated financial statements, nor will they harm the legitimate rights and interests of the company and its subsidiaries within the consolidated financial statements by affecting the operating decisions of the joint-stock company. The above statements, commitments, and guarantees will remain valid until I am no longer the controlling shareholder or actual controller of the joint-stock company; If the above commitments are violated, the joint-stock company has the right to require me to commit to any losses caused by the above-mentioned related party transactions to the joint-stock company or other shareholders (if any), and I shall also pay the profits from the related transactions to the joint-stock company; The joint-stock company has the right to withhold and offset the aforementioned related amounts from the salary and dividend income payable to me.						
	Others	Controlling shareholder and actual controller Wang Jianglin	Neither I nor the enterprises I control will occupy company funds by borrowing, debt repayment, advance payments, or any other means in the future; During my tenure as the controlling shareholder and actual controller of the company, I will strictly implement the CSRC's regulations on regulating fund transactions between listed companies and related enterprises; If I violate the commitment to eliminate the occupation of company funds, I promise to immediately repay the debts owed to the company due to the aforementioned fund occupation and pay the company interest calculated at the bank loan rate for the same period; If the above cash payment obligations are not fulfilled, the company has the right to offset the dividends from the company's shares directly or indirectly controlled by me.	2017.11.21	No	Long-term effectiveness	Yes	Not applicable	Not applicable

(2) If the company's assets or projects have profit forecasts and the reporting period remains in the profit forecast period, the company must explain whether the assets or projects have met the original profit forecast and the reasons

☐ ☐ has been reached; ☒ not applicable

(3) Performance commitments

☐ Applicable ☒ Not applicable

Changes in Performance Commitments ☐ Applicable ☒ Not Applicable

Other Notes ☐ Applicable ☒ Not applicable

2. Non-operational Occupation of Funds by Controlling Shareholders and Other Related Parties During the Reporting Period

☐ Applicable ☒ Not applicable

3. Illegal guarantees

☐ Applicable ☒ Not applicable

4. The Board of Directors' explanation regarding the accounting firm's "Non-standard Opinion Audit Report."

☐ Applicable ☒ Not applicable

5. Analysis and Explanation of the Company's Reasons and Impact of Changes in Accounting Policies, Accounting Estimates, or Corrections of Major Accounting

Errors (1) The Company's analysis and explanation of the reasons and impacts of changes in accounting policies and accounting estimates

☐ Applicable ☒ Not applicable

(2) Analysis and explanation of the reasons and impact of the correction of major accounting errors by the company

☐ Applicable ☒ Not applicable

(3) Communication with the previous accounting firm

☐ Applicable ☒ Not applicable

(4) Approval procedures and other instructions

☐ Applicable ☒ Not applicable

6. Appointment and Dismissal of Accounting Firms

Unit: Ten thousand yuan Currency: RMB

	Currently appointed
Name of a domestic accounting firm	Tianjian Certified Public Accountants (Special General Partnership)
Remuneration for domestic accounting firms	130
Audit years of domestic accounting firms	11
Name of the certified public accountant at a domestic accounting firm	Lu Yaping, Wang Run
The cumulative years of audit services provided by certified public accountants at domestic accounting firms	Lu Yaping (2 years), Wang Run (2 years)

	Name	Reward
Internal control audit accounting firm	Tianjian Certified Public Accountants (Special General Partnership)	30

Explanation of the Appointment and Dismissal of Accounting Firms ☒ Applicable ☐ Not Applicable The company held its 2024 Annual General Meeting of Shareholders on May 16, 2025, and approved the "Proposal on Reappointing the Accounting Firm for 2025," agreeing to reappoint Tianjian Certified Public Accountants (Special General Partnership) as the company's financial audit and internal control audit institution for 2025.

Explanation of the Changing of Accounting Firms During the Audit Period ☐ Applicable ☒ Not Applicable

Explanation of audit fees falling by more than 20% compared to the previous year (including 20%) ☐ Applicable ☒ Not applicable

7. Situations Facing Delisting Risks (1) Reasons Leading to Delisting Risk Warnings

☐ Applicable ☒ Not applicable

(2) Countermeasures the Company intends to take

☐ Applicable ☒ Not applicable

(3) Circumstances and reasons for delisting the company faced

☐ Applicable ☒ Not applicable

8. Bankruptcy Reorganization-Related Matters

☐ Applicable ☒ Not applicable

9. Major litigation and arbitration matters

☐ The company had major litigation or arbitration matters this year ☒ The company had no major litigation or arbitration matters this year

10. Status of suspected violations, penalties, and rectifications by the listed company and its directors, senior management, controlling shareholders, and actual controllers

☐ Applicable ☒ Not applicable

11. Explanation of the integrity status of the company, its controlling shareholders, and actual controllers during the reporting period

☒ Applicable ☐ Not Applicable During the reporting period, the company, its controlling shareholders, and actual controllers had good integrity records and had not been issued dishonest records by regulatory authorities.

12. Major Related Party Transactions (1) Related Party Transactions Related to Daily Operations 1. Matters disclosed in the interim announcement but with no progress or changes in subsequent implementation

☐ Applicable ☒ Not applicable

2. Matters disclosed in the interim announcement but with subsequent progress or changes in implementation

☐ Applicable ☒ Not applicable

3. Matters not disclosed in the interim announcement

☐ Applicable ☒ Not applicable

(2) Related Party Transactions Arising from the Acquisition or Sale of Assets or Equity 1. Matters

disclosed in the interim announcement but with no progress or changes in subsequent implementation

☐ Applicable ☒ Not applicable

2. Matters disclosed in the interim announcement but with subsequent progress or changes in implementation

☐ Applicable ☒ Not applicable

3. Matters not disclosed in the interim announcement

☐ Applicable ☒ Not applicable

4. If performance commitments are involved, the achievement of performance during the reporting period shall be disclosed

☐ Applicable ☒ Not applicable

(3) Major Related Party Transactions for Joint Overseas Investment 1. Matters disclosed in interim announcements with no progress or changes in subsequent implementation

☐ Applicable ☒ Not applicable

2. Matters disclosed in the interim announcement but with subsequent progress or changes in implementation

☐ Applicable ☒ Not applicable

3. Matters not disclosed in the interim announcement

☐ Applicable ☒ Not applicable

(4) Related Creditor-Debtor Transactions 1. Matters disclosed in the interim announcement but with no progress or changes in subsequent implementation

☐ Applicable ☒ Not applicable

2. Matters disclosed in the interim announcement but with subsequent progress or changes in implementation

☐ Applicable ☒ Not applicable

3. Matters not disclosed in the interim announcement

☐ Applicable ☒ Not applicable

(5) Financial transactions between the company and finance companies with related parties, or between company-controlled finance companies and related parties

☐ Applicable ☒ Not applicable

(6) Others

☐ Applicable ☒ Not applicable

13. Major Contracts and Their Performance (1) Custody, Contracting, and Leasing Matters 1.

Custody situation

☐ Applicable ☒ Not applicable

2. Contracting Status

☐ Applicable ☒ Not applicable

3. Leasing situation

☐ Applicable ☒ Not applicable

(2) Guarantee Status

☒ Applicable ☐ Not applicable unit: 10,000 yuan Currency: Renminbi

Company external guarantees (excluding guarantees to subsidiaries)														
Guarantor	The relationship between the guarantor and the listed company	Guaranteed party	Guarantee amount	Guarantee Date (Agreement Signing Date)	Guarantee start date	Guarantee expiration date	Types of guarantees	Collateral (if any)	Whether the guarantee has been fulfilled	Check if the guarantee is overdue	Overdue guarantee amount	Counter-guarantee situation	Whether the guarantor is a related party	Related-party relationships
Total amount of guarantees incurred during the reporting period (excluding guarantees for subsidiaries)					0									
Total guarantee balance at the end of the reporting period (A) (excluding guarantees to subsidiaries)					0									
The guarantee situation of the company and its subsidiaries to its subsidiaries														
Total amount of guarantees incurred for subsidiaries during the reporting period					50,440.68									
Total Guarantee Balance for Subsidiaries at the End of the Reporting Period (B)					58,974.47									
Total Company Guarantee Amount (including guarantees to subsidiaries)														
Total Guarantee Amount (A+B)					58,974.47									
Proportion of Total Guarantee to the Company's Net Assets (%)					16.21									
Among them:														
Amount of guarantees provided to shareholders, actual controllers, and their affiliates (C)					0									
Debt guarantee amount provided directly or indirectly for the guaranteed party with a debt-to-asset ratio exceeding 70% (D)					29,825.46									
Amount of the total guarantee amount exceeding 50% of net assets (E)					0									
Total of the above three guarantee amounts (C+D+E)					29,825.46									
Explanation of possible joint and several liability for unexpired guarantees														
Explanation of the guarantee situation														

Note 1: Based on data comparability, except for the exchange rate conversion reference date for LO which is July 7, 2025 (contract signing date), the exchange rate conversion reference date for all other subtotals and totals is April 21, 2025.

Note 2: The asset-liability ratio of the guaranteed party shall be subject to the company's external disclosure on October 21, 2025, in the "Announcement on Adjusting the Estimated External Guarantee Limit for 2025" (Announcement No.: 2025-042).

(3) Entrusting others to manage cash assets 1. Entrusted financial management situation**(1). Overall situation of entrusted wealth management**

☐ Applicable ☒ Not applicable

Other Cases ☐

Applicable ☒ Not

Applicable

(2). Individual entrusted wealth management situation

☐ Applicable ☒ Not applicable

in other situations ☐ Applicable
☒ Not applicable

(3). Entrusted wealth management impairment provision

☐ Applicable ☒ Not applicable

2. Entrusted loan situation

(1). Overall situation of entrusted loans

☐ Applicable ☒ Not applicable

Other Cases ☐
Applicable ☒ Not
Applicable

(2). Individual entrusted loan status

☐ Applicable ☒ Not applicable

Other Cases ☐
Applicable ☒ Not
Applicable

(3). Provision for impairment of entrusted loans

☐ Applicable ☒ Not applicable

3. Other situations

☐ Applicable ☒ Not applicable

(4) Other major contracts

☐ Applicable ☒ Not applicable

14. Explanation of the progress of the use of raised funds

☐ Applicable ☒ Not applicable

15. Explanations of other major matters that have a significant impact on investors' value judgments and investment decisions

☐ Applicable ☒ None

Section 6: Changes in Shares and Shareholder Status

I. Changes in Share Capital (1) Table of Share Changes 1. Table of Share Changes

During the reporting period, the company's total number of shares and share capital structure remained unchanged.

2. Explanation of Share Changes

☐ Applicable ☒ Not applicable

3. The impact of share changes on financial indicators such as earnings per share and net asset per share for the most recent year and period (if any)

☐ Applicable ☒ Not applicable

4. Other content deemed necessary by the company or required by securities regulatory authorities

☐ Applicable ☒ Not applicable

(2) Changes in restricted shares

☐ Applicable ☒ Not applicable

II. Securities Issuance and Listing (1) Securities issuance status as of the reporting period

☐ Applicable ☒ Not applicable

Explanation of securities issuance during the reporting period (bonds with different interest rates during the term, please specify separately): ☐ Applicable ☒ Not applicable

(2) Changes in the company's total number of shares, shareholder structure, and changes in the company's asset and liability structure

☐ Applicable ☒ Not applicable

(3) Current internal employee shares

☐ Applicable ☒ Not applicable

III. Shareholders and Actual Controllers (1) Total number of shareholders

Total number of ordinary shareholders as of the end of the reporting period (accounts)	7,645
Total number of common shareholders as of the end of the month prior to the annual report disclosure date (accounts)	7,436
Total number of preferred shareholders whose voting rights have been restored as of the end of the reporting period (accounts)	0
Total number of preferred shareholders whose voting rights have been restored at the end of the month prior to the annual report disclosure date (accounts)	0

(2) Table of shareholding status of the top ten shareholders and top ten tradable shareholders (or shareholders with unrestricted selling conditions) as of the end of the reporting period

Unit: shares

Shareholding status of the top ten shareholders (excluding shares lent through securities lending)							
Shareholder Name (Full Name)	Changes during the reporting period	Number of shares held at the end of the period	Proportion (%)	The number of shares held under sales restrictions	staging, marking, or freezing status		Shareholder nature
					Shareholding status	Quantity	
Wang Jianglin	0	82,657,866	59.44	0	Pledge	19,000,000	Natural persons within the territory
Anji Henglin Trading Co., Ltd	0	15,750,000	11.33	0	Pledge	4,500,000	Non-state-owned legal entities within the territory
Chen Yongxing	-135,900	4,754,143	3.42	0	None	0	Natural persons within the territory
Bank of China Co., Ltd. - CMB Quantitative Select Equity Initiated Securities Investment Fund	1,467,314	1,467,314	1.06	0	None	0	Others
Hong Kong Securities Clearing Company Limited	1,104,047	1,348,091	0.97	0	None	0	Others
China Merchants Fund Management Co., Ltd. - Social Security Fund 1903 Portfolio	1,117,002	1,117,002	0.80	0	None	0	Others
Zhou Peiwu	-30,000	1,060,000	0.76	0	None	0	Natural persons within the territory
Wang Yaqin	0	1,050,000	0.76	0	None	0	Natural persons within the territory
Wang Henglin	724,858	841,458	0.61	0	None	0	Natural persons within the territory
Henglin Home Co., Ltd. - 2023 Employee Stock Ownership Plan	-637,036	822,502	0.59	0	None	0	Others
Shareholding Status of the Top Ten Shareholders with No Selling Conditions (excluding shares lent through securities lending)							
Shareholder name	The number of shares circulating under unrestricted conditions		Types and quantities of shares		Types	Quantity	
Wang Jianglin	82,657,866		RMB ordinary shares			82,657,866	
Anji Henglin Trading Co., Ltd	15,750,000		RMB ordinary shares			15,750,000	
Chen Yongxing	4,754,143		RMB ordinary shares			4,754,143	
Bank of China Co., Ltd. - CMB Quantitative Select Equity Initiated Securities Investment Fund	1,467,314		RMB ordinary shares			1,467,314	
Hong Kong Securities Clearing Company Limited	1,348,091		RMB ordinary shares			1,348,091	
China Merchants Fund Management Co., Ltd. - Social Security Fund 1903 Portfolio	1,117,002		RMB ordinary shares			1,117,002	
Zhou Peiwu	1,060,000		RMB ordinary shares			1,060,000	

Wang Yaqin	1,050,000	RMB ordinary shares	1,050,000
Wang Henglin	841,458	RMB ordinary shares	841,458
Henglin Home Co., Ltd. - 2023 Employee Stock Ownership Plan	822,502	RMB ordinary shares	822,502
Explanation of the repurchase special accounts among the top ten shareholders	None		
Explanation of the above shareholder proxy voting rights, entrusted voting rights, and waiver of voting rights	None		
Explanation of the above shareholder relationships or concerted actions	Wang Jianglin, Anji Henglin Trading Co., Ltd., and Wang Yaqin are acting in concert. Apart from the above shareholders, the company is not aware of whether any other shareholders have related parties or concerted actors.		
Explanation of preferred shareholders whose voting rights have been restored and the number of shares held	None		

Note: In 2022, the company acquired 52.5964% of Yongyu Home Furnishings' shares held by Chen Yongxing and 10 other counterparties. In the "Share Transfer Agreement,"

Mr. Chen Yongxing promised to purchase part of the equity transfer proceeds in the secondary market to purchase publicly issued shares of the company, with a voluntary lock-up for three years. Mr. Chen Yongxing has completed the voluntary lock-up business at the Anji branch of Caitong Securities for the 4,786,243 shares he purchased. For details, see the company's "Henglin Co., Ltd. Announcement on the Cash Acquisition of 52.5964% of Yongyu Home Furnishings" and the "Announcement on the Progress of Henglin Co., Ltd. Cash Acquisition of 52.5964% of Yongyu Home Furnishings' Shares and the Counterparty's Commitment to Complete Share Purchase and Voluntary Lock-Up."

On February 8, 2026, all shares voluntarily restricted by Mr. Chen Yongxing were fully unlocked.

Shareholders holding more than 5%, the top ten shareholders, and the top ten unrestricted tradable shareholders participating in lending shares through securities lending business ☐ Applicable ☒ Not applicable

The top ten shareholders and the top ten unrestricted tradable shareholders have changed compared to the previous period due to lending/repayment through securities lending ☐ Applicable ☒ Not applicable

The number of shares held by the top ten shareholder with sales restrictions and the ☐ restrictions apply ☒ not applicable

(3) Strategic investors or general legal entities become among the top 10 shareholders through the placement of new shares

☐ Applicable ☒ Not applicable

IV. Controlling Shareholder and Actual Controller Information (1) Controlling Shareholder

Information 1. Legal Person

☐ Applicable ☒ Not applicable

2. Natural person

☒ Applicable ☐ Not applicable

Name	Wang Jianglin
Nationality	China
Whether you have obtained residency rights in other countries or regions	No
Main occupations and positions	Chairman and General Manager

3. Special Statement Regarding the Company's Absence of a Controlling Shareholder

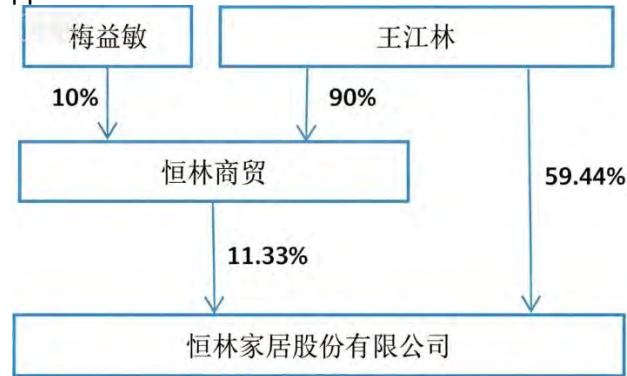
☐ Applicable ☒ Not applicable

4. Explanation of changes in controlling shareholder during the reporting period

☐ Applicable ☒ Not applicable

5. Block diagram of the property rights and control relationships between the company and its controlling shareholder

☒ Applicable ☐ Not applicable

**(2) Actual Controller Information 1. Legal Person**

☐ Applicable ☒ Not applicable

2. Natural person

☒ Applicable ☐ Not applicable

Name	Wang Jianglin
Nationality	China
Whether you have obtained residency rights in other countries or regions	No
Main occupations and positions	Chairman and General Manager
Domestic and overseas listed companies that have held controlling shares in the past 10 years	Not applicable

3. Special Statement Regarding the Company's Absence of Actual Controller

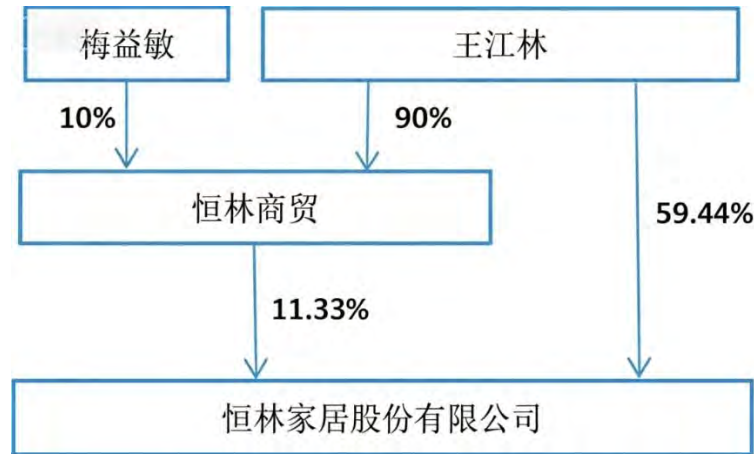
☐ Applicable ☒ Not applicable

4. Explanation of changes in company control during the reporting period

☐ Applicable ☒ Not applicable

5. Block diagram of property rights and control relationships between the company and the actual controller

☒ Applicable ☐ Not applicable



6. The actual controller controls the company through trust or other asset management methods

☐ Applicable ☒ Not applicable

(3) Other Information on the Controlling Shareholder and Actual Controller

☐ Applicable ☒ Not applicable

5. The company's controlling shareholder or largest shareholder and their concerted actors must have pledged shares accounting for more than 80% of the company's shares they hold

☐ Applicable ☒ Not applicable

6. Other corporate shareholders holding more than 10% of the shares

☒ Applicable ☐ Not applicable unit: 10,000 yuan Currency: Renminbi

Name of the legal entity shareholder	The person in charge or legal representative of the unit	Date of establishment	Organization Code	Registered capital	Main business operations or management activities
Henglin Trading	Mei Yimin	2007-10-24	9133052366832526X1	14,800.00	Equity investment
Situation Description	Henglin Trading is a limited liability company jointly invested by the controlling shareholder and actual controller Mr. Wang Jianglin and his spouse Ms. Mei Yimin.				

7. Explanation of Share Restrictions and Share Reductions

☐ Applicable ☒ Not applicable

8. Specific implementation of share repurchase during the reporting period

☐ Applicable ☒ Not applicable

9. Preferred Shares

☐ Applicable ☒ Not applicable

Section 7: Bond-Related Situation

1. Corporate bonds (including corporate bonds) and non-financial corporate debt financing instruments

☐ Applicable ☒ Not applicable

2. Situation of convertible corporate bonds

☐ Applicable ☒ Not applicable

Section 8: Financial Reporting

1. Audit Report

☒ Applicable ☐ Not applicable

Audit report

Tianjian Shen [2026] No. 11146

To all shareholders of Henglin Home Co., Ltd.:

I. Audit Opinion

We have audited the financial statements of Henglin Home Furnishing Co., Ltd. (hereinafter referred to as Henglin Co., Ltd.), including the consolidated and parent company balance sheets as of December 31, 2025, the consolidated and parent company income statements, consolidated and parent company cash flow statements, consolidated and parent company statements of changes in owners' equity, and related notes to the financial statements. We believe that the attached financial statements have been prepared in all material respects in accordance with the requirements of the Enterprise Accounting Standards and fairly reflect Henglin Co., Ltd.'s consolidated and parent company financial position as of December 31, 2025, as well as the consolidated and parent company's operating results and cash flows for 2025.

2. Forming the basis for the audit opinion

We conducted the audit in accordance with the Chinese CPA Auditing Standards. The "Responsibilities of Certified Public Accountants in Financial Statement Audits" section of the audit report further elaborates on our responsibilities under these standards. In accordance with the "Chinese CPA Independence Standard No. 1— Requirements for Independence in Financial Statement Audit and Review Engagement" and the Code of Professional Ethics for Chinese CPAs, we are independent from Henglin Co., Ltd. and have fulfilled other ethical responsibilities. In our audits, we have followed the independence requirements for auditing public interest entities. We believe that the audit evidence we have obtained is sufficient and appropriate, providing a basis for issuing audit opinions.

3. Key audit matters

Key audit matters are those we consider most important in the current financial statement audit based on our professional judgment. The response to these matters is based on auditing the overall financial statements and forming audit opinions; we do not express separate opinions on these matters. (1) Revenue recognition

1. Description: For details on related information disclosure, see Note (61) of Note 7, Section 8 of the financial report.

Henglin Co., Ltd.'s operating revenue mainly comes from the sale of office furniture, upholstered furniture, panel furniture, new material flooring, and integrated home furnishing products. In 2025, Henglin Co., Ltd.'s operating revenue will be RMB 11.677 billion.

Since operating revenue is one of Henglin Co., Ltd.'s key performance indicators, there may be inherent risks that the management (hereinafter referred to as management) may have used inappropriate revenue recognition to achieve specific targets or expectations. Moreover, revenue recognition involves complex information systems and significant management decisions. Therefore, we have identified revenue recognition as a material audit matter.

2. Audit Response For revenue recognition, the audit procedures we implement mainly include:

- (1) Understand the key internal controls related to revenue recognition, evaluate the design of these controls, determine whether they are implemented, and test the effectiveness of the related internal controls;
- (2) Addressing the particularities of cross-border e-commerce business, the firm's information system audit experts conducted IT audits on the cross-border e-commerce business IT information systems;
- (3) Review sales contracts, understand key contract terms or conditions, and evaluate whether revenue recognition methods are appropriate;
- (4) Conduct annual analysis procedures for operating income and gross profit margin by year, products, and customers, identify whether there are significant or abnormal fluctuations, and determine the causes;
- (5) For domestic sales revenue, select supporting documents related to item inspection, including sales contracts or orders, sales invoices, warehouse orders, delivery notes, delivery orders, transport orders, customer acceptance forms, etc.; For export income, obtain electronic port information and reconcile it with accounting records, and select supporting documents for item inspection, including sales contracts or orders, export customs declarations, bills of lading, sales invoices, etc.;
- (6) Based on accounts receivable confirmation, select project confirmation sales amounts;
- (7) Implement cut-off tests to check whether income is recognized within the appropriate period;

(8) Obtain sales return records after the balance sheet date and check for any situations where the balance sheet date does not meet the revenue recognition criteria;

(9) Check whether information related to operating income has been appropriately presented in the financial statements.

(2) Goodwill impairment

1. Item description: For details on related information disclosure, see Note (27) of Note 7, Section 8 of the financial report.

As of December 31, 2025, Henglin Co., Ltd.'s goodwill book value was RMB 474 million, impairment provisions were RMB 169 million, and book value was RMB 305 million.

Management conducts impairment testing of goodwill in conjunction with related asset groups or combinations, with the recoverable amount of these groups or combinations determined based on the present value of expected future cash flows. Due to the significant amount of goodwill and the impairment testing involving significant management judgment, we identify goodwill impairment as a material audit matter.

2. Audit Response To goodwill impairment, the audit procedures we implement mainly include:

(1) Understand the key internal controls related to goodwill impairment, evaluate the design of these controls, determine whether they are implemented, and test the effectiveness of the relevant internal controls;

(2) Review management's estimates of the present value of expected future cash flows in previous years, or subsequent re-estimations made by management;

(3) Evaluate the competence, professional competence, and objectivity of external valuation experts hired by management;

(4) Evaluate the appropriateness and consistency of the methods used by management in impairment testing;

(5) Evaluate the appropriateness of the material assumptions used by management in impairment testing, and verify whether these assumptions are consistent with the overall economic environment, industry conditions, business performance, historical experience, and the assumptions used in the operating plan;

(6) Evaluate the appropriateness, relevance, and reliability of the data used by management in impairment testing, and verify the consistency of relevant information in impairment testing;

(7) Testing whether management's calculations of the present value of expected future cash flows are accurate;

(8) Check whether information related to goodwill impairment has been properly presented in the financial statements.

4. Other information

Management is responsible for other information. Other information includes information covered in the annual report but excludes financial statements and our audit reports.

Our audit opinion on the financial statements does not cover other information, nor do we make any form of assurance conclusion regarding such information.

In conjunction with our audit of the financial statements, our responsibility is to review additional information and, in this process, consider whether there are material discrepancies with the financial statements or what we learn during the audit, or whether there appears to be material misstatements.

Based on the work we have done, if we determine that there is material misstatement in other information, we should report that fact. In this regard, we have nothing to report.

5. Responsibilities of management and governance for financial statements

Management is responsible for preparing financial statements in accordance with accounting standards for enterprises, ensuring fair reflection, and designing, implementing, and maintaining necessary internal controls to ensure that the financial statements are free from material misstatements caused by fraud or error. When preparing financial statements, management is responsible for assessing Henglin Corporation's ability to continue as a going concern, disclosing matters related to going concern (where applicable), and applying going concern assumptions, except in cases of unplanned liquidation, termination of operations, or other realistic options.

The governance team of Henglin Co., Ltd. (hereinafter referred to as the governance team) is responsible for supervising the financial reporting process of Henglin Co., Ltd.

6. Responsibilities of certified public accountants regarding financial statement audits

Our goal is to provide reasonable assurance that the overall financial statements are free from material misstatements caused by fraud or error, and to issue an audit report containing an audit opinion. Reasonable assurance is a high-level assurance, but it does not guarantee that audits conducted according to auditing standards will always be detected when material misstatements exist. Misstatements may be caused by fraud or error, and if it is reasonably expected that misstatements alone or collectively may affect the economic decisions made by financial statement users based on the financial statements, the misstatement is generally considered material.

In conducting audit work in accordance with audit standards, we apply professional judgment and maintain professional skepticism. At the same time, we also perform the following tasks: (1) Identify and assess the risk of material misstatement of financial statements caused by fraud or errors, design and implement audit procedures to address these risks, and obtain sufficient and appropriate audit evidence as the basis for issuing audit opinions. Since fraud may involve collusion, forgery, intentional omission, false statements, or override internal controls, the risk of failing to detect material misstatements due to fraud is higher than the risk of failing to detect material misstatements. (2) Understanding internal controls related to audits to design appropriate audit procedures.

(3) Evaluate the appropriateness of management's choice of accounting policies and the reasonableness of accounting

estimates and related disclosures. (4) Draw conclusions about the appropriateness of management's use of the going concern assumption. At the same time, based on the audit evidence obtained, determine whether there is material uncertainty in matters or circumstances that could raise significant doubts about Henglin Co., Ltd.'s ability to go concern. If we conclude that there is material uncertainty, the auditing standards require us to draw the attention of users of the statements to relevant disclosures in the financial statements in the audit report; If disclosure is insufficient, we should issue a non-unqualified opinion. Our conclusions are based on information available as of the date of the audit report. However, future events or circumstances may cause Henglin Co., Ltd. to be unable to continue as a going concern.

(5) Evaluate the overall presentation, structure, and content of the financial statements, and assess whether the financial statements fairly reflect the relevant transactions and matters.

(6) Obtain sufficient and appropriate audit evidence regarding the financial information of entities or business activities within Henglin Co., Ltd., in order to issue an audit opinion on the financial statements. We are responsible for guiding, supervising, and executing group audits, and bear full responsibility for the audit opinions.

We communicate with the governance team about the scope of the audit, scheduling, and significant audit findings, including discussing the internal control deficiencies we identified during the audit.

We also provide a statement to governance regarding compliance with independence-related professional ethics requirements and communicate with governance about all relationships and other matters that may reasonably be considered to affect our independence, as well as related precautions (if applicable).

From matters communicated with governance, we identified which matters are most important to the current financial statement audit and thus constitute material audit matters. We describe these matters in the audit report unless laws and regulations prohibit public disclosure, or in very rare cases, if it is reasonably expected that the negative consequences of communicating a certain matter in the audit report outweigh the benefits to the public interest, we determine that such matters should not be disclosed in the audit report.

Tianjian Certified Public Accountants (Special General Partnership) Chinese Certified
Public Accountant: Lu Yaping (Project Partner)

China· Hangzhou

Chinese Certified Public Accountant: Wang Run

April 28, 2026

2. Financial statements

consolidated balance sheet

December 31, 2025

Prepared by: Henglin Home Co., Ltd

Unit: Yuan Currency: Renminbi

Project	Note	December 31, 2025	December 31, 2024
Current assets:			
Monetary funds	1	1,264,554,384.10	1,659,555,996.72
Settle the reserve funds			
Borrowing funds			
Trading financial assets	2	653,511.88	425,998.96
Derivative financial assets			
Notes receivable			
Accounts receivable	5	2,078,493,294.48	1,805,138,602.38
Receivables financing	7	212,665.99	658,186.94
Prepaid items	8	73,282,325.73	73,041,239.18
Premiums receivable			
Secured accounts receivable			
Receivable reserve for subinsurance contracts			
Other receivables	9	47,836,549.77	99,948,547.11
Where: Interest receivable			
Dividends receivable			
Buyback financial assets			
Inventory	10	2,742,009,850.45	2,325,810,048.44
Where: Data resources			
Contract assets	6	1,208,097.25	4,814,403.31
Holding assets for sale			
Non-current assets maturing within one year			
Other current assets	13	159,589,255.12	234,239,014.70
Total current assets		6,367,839,934.77	6,203,632,037.74
Non-current assets:			
Issuance of loans and advances			
Debt investment			
Other debt investments			
Long-term receivables			
Long-term equity investment	17	12,901,345.67	14,164,579.09
Other equity instrument investments	18	179,019,947.00	166,606,883.00
Other non-current financial assets	19	20,817,840.00	19,732,551.00
Investment real estate	20	25,173,202.63	25,677,822.75
Fixed assets	21	2,270,523,466.87	2,449,753,362.86
Construction in progress	22	30,514,593.56	30,748,423.80
Productive biological assets			
Oil and gas assets			
Right-of-use assets	25	1,050,606,775.19	997,434,575.51
Intangible assets	26	392,638,793.15	436,350,691.36
Where: Data resources			
Development expenditure			

Where: Data resources			
Goodwill		305,043,459.38	305,043,459.38
Long-term deferred expenses	28	16,598,351.09	23,384,577.61
Deferred income tax assets	29	60,513,591.41	84,042,467.67
Other non-current assets	30	69,001,609.79	101,177,274.39
Total non-current assets		4,433,352,975.74	4,654,116,668.42
Total assets		10,801,192,910.51	10,857,748,706.16
Current liabilities:			
Short-term loans	32	1,132,869,808.63	1,325,020,867.15
Borrowing from the central bank			
Borrowed funds			
Trading financial liabilities			
Derivative financial liabilities			
Notes payable	35	420,539,172.06	755,942,439.55
Accounts payable	36	2,671,822,637.31	1,909,026,418.30
Advance payments	37	4,091,012.10	4,916,699.68
Contract liabilities	38	182,366,863.20	250,729,633.73
Funds for repurchasing financial assets by selling and repurchasing them			
Accepting deposits and interbank deposits			
Acting as an agent for securities trading			
Agency for underwriting of securities payments			
Employee compensation payable	39	170,284,478.22	152,849,238.90
Taxes payable	40	129,217,110.65	109,146,838.53
Other payables	41	91,241,449.35	108,282,057.88
Among them: interest payable			
Dividends payable	41	557,507.50	
Payable fees and commissions			
Accounts payable for subinsurance			
Holding liabilities for sale			
Non-current liabilities due within one year	43	477,854,850.15	698,010,018.50
Other current liabilities	44	6,000,609.86	5,506,917.60
Total current liabilities		5,286,287,991.53	5,319,431,129.82
Non-current liabilities:			
Insurance contract reserves			
Long-term loans	45	773,325,652.48	811,658,795.84
Bonds payable			
Among them: preferred shares			
Perpetual debt			
Lease liabilities	47	926,696,441.17	880,791,281.98
Long-term payables			1,055,705.88
Long-term payable employee compensation	49	6,549,740.00	6,662,084.10
Projected liabilities	50	11,381,724.59	4,482,043.60
Deferred income	51	41,950,564.88	43,418,545.48
Deferred income tax liabilities	29	34,658,131.98	38,409,574.62
Other non-current liabilities			
Total non-current liabilities		1,794,562,255.10	1,786,478,031.50
Total liabilities		7,080,850,246.63	7,105,909,161.32
Owner's equity (or shareholders' equity):			

Paid-in Capital (or Share Capital)	53	139,067,031.00	139,067,031.00
Other equity tools			
Among them: preferred shares			
Perpetual debt			
Capital reserve	55	1,178,071,394.04	1,169,654,996.14
Decrease: Treasury stock	56	11,396,452.02	23,656,891.83
Other comprehensive income	57	-5,840,876.97	60,471,049.44
Special reserves			
and surplus public accumulation	59	69,533,515.50	69,533,515.50
General risk preparation			
Undistributed profits	60	2,268,472,366.39	2,281,244,438.47
The total equity (or shareholders' equity) attributable to the parent company		3,637,906,977.94	3,696,314,138.72
Minority Interests		82,435,685.94	55,525,406.12
Total owners' equity (or shareholders' equity).		3,720,342,663.88	3,751,839,544.84
Total liabilities and owners' equity (or shareholders' equity).		10,801,192,910.51	10,857,748,706.16

Company Representative: Head of Accounting: Wang Xueming
Wang Jianglin

Parent company balance sheet

December 31, 2025 Prepared by: Henglin Home Co., Ltd. Head of
Accounting Department: Wang Xueming

Unit: Yuan Currency: Renminbi

Project	Note	December 31, 2025	December 31, 2024
Current assets:			
Monetary funds		287,168,122.92	479,640,003.37
Trading financial assets			
Derivative financial assets			
Notes receivable		5,780,000.00	35,000,000.00
Accounts receivable		542,907,128.69	667,278,550.52
Receivables financing		64,615.47	36,266.40
Prepaid items		8,614,677.93	9,842,065.29
Other receivables		1,856,715,260.25	1,981,832,508.33
Where: Interest receivable			
Dividends receivable		100,513,294.20	102,500,000.00
Inventory		137,534,815.75	130,853,798.25
Where: Data resources			
Contract assets			
Holding assets for sale			
Non-current assets maturing within one year			
Other current assets		15,877.44	2,032,070.02
Total current assets		2,838,800,498.45	3,306,515,262.18
Non-current assets:			
Debt investment			
Other debt investments			
Long-term receivables			

Long-term equity investment		1,711,023,950.19	1,921,386,065.38
Other equity instrument investments		179,019,947.00	166,606,883.00
Other non-current financial assets			
Investment real estate			
Fixed assets		637,394,109.88	665,954,229.76
Construction in progress		3,434,509.59	8,028,354.24
Productive biological assets			
Oil and gas assets			
Right-of-use assets		10,212,746.50	15,713,566.58
Intangible assets		112,130,652.90	115,632,274.68
Where: Data resources			
Development expenditure			
Where: Data resources			
Goodwill			
Long-term deferred expenses			
Deferred income tax assets		20,314,723.55	22,951,633.41
Other non-current assets			
Total non-current assets		2,673,530,639.61	2,916,273,007.05
Total assets		5,512,331,138.06	6,222,788,269.23
Current liabilities:			
Short-term loans		396,196,722.22	612,262,317.17
Trading financial liabilities			
Derivative financial liabilities			
Notes payable		344,359,951.17	675,476,977.05
Accounts payable		505,228,974.26	489,243,014.42
Advance payments			
Contract liabilities		26,825,796.41	26,134,136.81
Employee compensation payable		44,474,778.24	49,001,435.12
Taxes payable		14,183,551.44	14,695,958.88
Other payables		326,819,620.66	168,030,359.92
Among them: interest payable			
Dividends payable			
Holding liabilities for sale			
Non-current liabilities due within one year		215,112,806.37	294,265,612.61
Other current liabilities			1,649,700.25
Total current liabilities		1,873,202,200.77	2,330,759,512.23
Non-current liabilities:			
Long-term loans		601,414,917.55	783,598,800.00
Bonds payable			
Among them: preferred shares			
Perpetual debt			
Lease liabilities		3,662,318.54	9,502,694.55
Long-term payables			
Long-term payable employee compensation			
Projected liabilities			
Deferred income		32,711,677.91	34,397,161.91
Deferred income tax liabilities			
Other non-current liabilities			

Total non-current liabilities		637,788,914.00	827,498,656.46
Total liabilities		2,510,991,114.77	3,158,258,168.69
Owner's equity (or shareholders' equity):			
Paid-in Capital (or Share Capital)		139,067,031.00	139,067,031.00
Other equity tools			
Among them: preferred shares			
Perpetual debt			
Capital reserve		1,282,810,641.50	1,274,394,243.60
Decrease: Treasury stock		11,396,452.02	23,656,891.83
Other comprehensive income		65,110,512.48	59,659,408.08
Special reserves			
and surplus public accumulation		69,533,515.50	69,533,515.50
Undistributed profits		1,456,214,774.83	1,545,532,794.19
Total owners' equity (or shareholders' equity).		3,001,340,023.29	3,064,530,100.54
Total liabilities and owners' equity (or shareholders' equity).		5,512,331,138.06	6,222,788,269.23

Company Representative:
Wang Jianglin

Head of Accounting: Wang Xueming

for January– December 2025: Wang Xueming

Consolidated income statement

Head of accounting department

Unit: Yuan Currency: Renminbi

Project	Note	Fiscal Year 2025	Fiscal Year 2024
1. Total operating revenue	61	11,677,150,044.58	11,028,917,656.57
Where: Operating revenue	61	11,677,150,044.58	11,028,917,656.57
Interest income			
Already earned premiums			
Fee and commission income			
2. Total operating costs		11,182,537,540.00	10,485,846,769.42
Where: Operating costs		9,511,239,481.95	8,973,234,028.64
Interest expenses			
Fees and commission expenses			
Withdrawal and protection funds			
Net compensation expenditure			
Appropriation of the net insurance liability reserve			
Policy dividend expenditure			
Coverage costs			
Taxes and surcharges	62	34,677,947.47	36,956,491.86
Selling expenses	63	856,432,867.90	778,788,690.82
Administrative expenses	64	460,111,673.70	431,681,165.45
R&D expenses	65	205,640,622.28	225,765,523.36
Financial expenses	66	114,434,946.70	39,420,869.29
Where: Interest expenses		127,324,251.21	135,398,412.14
Interest income		33,053,051.45	40,104,140.81
Plus: Other income	67	20,521,126.42	22,656,772.24
Investment Gains (Losses are indicated by "-")	68	-8,547,690.09	-22,781,139.65

Among them: investment returns on associates and joint ventures		-1,931,868.52	1,060,677.63
Derecognition of gains on financial assets measured at amortized cost		-3,854,114.22	-20,631,277.19
Foreign exchange gains (losses are marked with "-")			
Net hedging gains (losses are indicated with "-")			
Gains from changes in fair value (losses are indicated by "-")	70	704,501.46	-1,877,132.42
Credit impairment loss (loss is indicated by a "-")	71	-57,974,881.39	-2,049,987.12
Asset impairment loss (losses are indicated with "-")	72	-142,461,784.48	-199,312,260.46
Gains from asset disposal (losses are indicated by "-")	73	-4,491,173.95	-12,355,783.23
III. Operating Profit (Loss is indicated by a "-")		302,362,602.55	327,351,356.51
Add: Non-operating income	74	12,599,737.49	9,470,174.62
Less: Non-operating expenses	75	16,230,061.15	14,566,605.31
IV. Total Profit (Total loss is indicated with a "-")		298,732,278.89	322,254,925.82
Less: Income tax expenses	76	107,821,060.14	56,055,897.19
5. Net Profit (Net loss is indicated by a "-" mark)		190,911,218.75	266,199,028.63
(1) Classification by business continuity			
1. Net profit from continuing operations (net loss is indicated with a "-")		190,911,218.75	266,199,028.63
2. Net profit from discontinued operations (net loss is indicated by "-")			
(2) Classification by ownership			
1. Net profit attributable to shareholders of the parent company (net loss is indicated by "-")		163,843,057.29	263,059,451.54
2. Minority Gains and Losses (Net loss is indicated by a "-")		27,068,161.46	3,139,577.09
6. Net after tax of other comprehensive income		-67,336,413.01	173,763.97
(1) Other comprehensive income attributable to the parent company's owners after tax netting		-66,311,926.41	-239,382.61
1. Other comprehensive income that cannot be reclassified into profit or loss		2,601,082.40	-5,935,314.42
(1) Re-measure and set changes in the benefit plan		-2,850,022.00	-3,918,873.00
(2) Other comprehensive income under the equity method that cannot be converted to profit or loss			
(3) Changes in the fair value of investments in other equity instruments		5,451,104.40	-2,016,441.42
(4) Changes in the fair value of the enterprise's own credit risk			

2. Other comprehensive income reclassified into profit or loss		-68,913,008.81	5,695,931.81
(1) Other comprehensive income that can be transferred to profit or loss under the equity method			
(2) Changes in the fair value of other debt investments			
(3) The amount of financial assets reclassified and included in other comprehensive income			
(4) Credit impairment provisions for other debt investments			
(5) Cash flow hedging reserves			
(6) Differences in foreign currency financial statement translation		-68,913,008.81	5,695,931.81
(7) Others			
(2) Net after tax of other comprehensive income attributable to minority shareholders		-1,024,486.60	413,146.58
7. Total comprehensive income		123,574,805.74	266,372,792.60
(1) Total comprehensive income attributable to owners of the parent company		97,531,130.88	262,820,068.93
(2) Total comprehensive income attributable to minority shareholders		26,043,674.86	3,552,723.67
8. Earnings per share:			
(1) Basic earnings per share (yuan/share)		1.18	1.92
(2) Diluted earnings per share (yuan/share)		1.19	1.92

For business combinations under common control during the current period, the net profit realized by the merged party before the merger was: 0 yuan, and the net profit realized by the merged party in the previous period was: 0 yuan. Company Leader: Wang

Jianglin Accounting Supervisor: Wang Xueming

for January– December 2025: Wang Xueming

Parent company's income statement

Head of accounting department

Unit: Yuan Currency: Renminbi

Project	Note	Fiscal Year 2025	Fiscal Year 2024
1. Operating Revenue		1,556,157,351.73	2,546,733,043.58
Decrease: Operating costs		1,273,394,624.19	2,228,073,761.20
Taxes and surcharges		14,840,046.85	15,015,778.24
Selling expenses		52,366,931.06	59,038,341.96
Administrative expenses		116,487,697.95	124,307,043.85
R&D expenses		85,196,128.83	95,291,119.24
Financial expenses		22,870,306.88	12,587,952.81
Where: Interest expenses		45,553,679.55	58,973,751.22
Interest income		20,257,477.24	33,375,740.24
Plus: Other income		8,816,113.82	9,273,450.95
Investment Gains (Losses are indicated by "-")		302,974,190.80	192,566,881.41
Among them: investment returns on associates and joint ventures			-1,270,664.50
Derecognition of gains on financial assets measured at amortized cost			
Net hedging gains (losses are indicated with "-")			

Gains from changes in fair value (losses are indicated by "-")			
Credit impairment loss (loss is indicated by a "-")		-22,421,448.61	-10,112,050.14
Asset impairment loss (losses are indicated with "-")		-192,937,805.17	-127,439,374.16
Gains from asset disposal (losses are indicated by "-")		20,000.00	-163,867.72
II. Operating Profit (Loss is indicated by "-")		87,452,666.81	76,544,086.62
Add: Non-operating income		2,483,207.06	981,053.60
Less: Non-operating expenses		963,813.60	1,640,415.34
III. Total Profit (Total loss is indicated by a "-" mark)		88,972,060.27	75,884,724.88
Less: Income tax expenses		1,674,950.26	-17,057,035.15
IV. Net Profit (Net loss is indicated by "-")		87,297,110.01	92,941,760.03
(1) Net profit from continuing operations (net loss is indicated by "-")		87,297,110.01	92,941,760.03
(2) Net profit from discontinued operations (net loss is indicated by a "-")			
5. Net after-tax of other comprehensive income		5,451,104.40	-2,016,441.42
(1) Other comprehensive income that cannot be reclassified into profit or loss		5,451,104.40	-2,016,441.42
1. Re-measure and set changes in the benefit plan			
2. Other comprehensive income that cannot be converted to profit or loss under the equity method			
3. Changes in the fair value of investments in other equity instruments		5,451,104.40	-2,016,441.42
4. Changes in the fair value of the company's own credit risk			
(2) Other comprehensive income to be reclassified into profit or loss			
1. Other comprehensive income that can be turned into profit or loss under the equity method			
2. Other changes in the fair value of debt investments			
3. The amount of financial assets reclassified into other comprehensive income			
4. Other credit impairment provisions for debt investments			
5. Cash flow hedging reserves			
6. Differences in foreign currency financial statement translation			
7. Others			
6. Total comprehensive income		92,748,214.41	90,925,318.61
7. Earnings per share:			
(1) Basic earnings per share (yuan/share)			
(2) Diluted earnings per share (yuan/share)			

Company Representative: Wang Jianglin Head of Accounting: Wang Xueming

Head of Accounting Department: Wang Xueming

Consolidated cash flow statement

January– December 2025 Unit: Yuan Currency: Renminbi

Project	Note	Fiscal Year 2025	Fiscal Year 2024
1. Cash Flow from Operating Activities:			
Cash received from selling goods and providing services		11,139,461,929.57	10,963,702,061.21
Net increase in customer deposits and interbank deposits			
Net increase in borrowings from central banks			
Net increase in borrowed funds from other financial institutions			
Cash received from the original insurance contract premium			
Net cash received from reinsurance business			
Net increase in policyholder deposits and investment funds			
Collect cash for interest, fees, and commissions			
Net increase in borrowed funds			
Net increase in repurchase business funds			
Net cash received from acting as an agent for securities trading			
Received tax refunds		552,398,904.15	542,756,002.26
Receiving other cash related to operating activities		136,443,865.63	248,274,729.46
Subtotal of cash inflows from operating activities		11,828,304,699.35	11,754,732,792.93
Cash paid for purchasing goods and accepting services		8,904,545,087.73	8,551,415,376.37
Net increase in customer loans and advances			
Net increase in deposits with central banks and interbank funds			
Pay the original insurance contract compensation amount in cash			
Net increase in borrowed funds			
Cash payments for interest, fees, and commissions			
Cash for paying policy dividends			
Cash paid to and for employees		1,264,976,099.73	1,353,809,271.69
All taxes and fees paid		153,850,848.26	228,346,656.42
Pay other cash related to operating activities		562,889,418.59	670,013,345.68
Subtotal of cash outflows from operating activities		10,886,261,454.31	10,803,584,650.16
Net cash flow from operating activities		942,043,245.04	951,148,142.77
2. Cash Flow from Investing Activities:			
Recoup the cash received from the investment			86,157.60
Cash received from investment returns		4,431,985.53	5,022,395.27

Net cash recovered from disposal of fixed assets, intangible assets, and other long-term assets		67,650,772.53	31,170,564.76
Disposal of net cash received by subsidiaries and other business units			
Receiving other cash related to investment activities		13,442,485.73	
Subtotal of cash inflows from investing activities		85,525,243.79	36,279,117.63
Cash paid for the purchase and construction of fixed assets, intangible assets, and other long-term assets		163,728,508.60	212,159,009.82
Cash paid for investment		6,000,000.00	50,799,416.21
Net increase in pledge loans			
Cash paid by subsidiaries and other business units is acquired			
Pay other cash related to investment activities			13,442,432.51
Subtotal of cash outflows from investing activities		169,728,508.60	276,400,858.54
Net cash flow from investing activities		-84,203,264.81	-240,121,740.91
3. Cash Flow from Financing Activities:			
Absorb the cash received from investments			
Among them: the subsidiary absorbs cash received from minority shareholders' investments			
Obtain the cash received from the loan		1,680,463,257.65	2,069,765,590.39
Receiving other cash related to fundraising activities		135,903,327.75	177,731,351.43
Subtotal of cash inflows from financing activities		1,816,366,585.40	2,247,496,941.82
Cash paid for debt repayment		2,276,657,867.93	2,345,715,610.62
Cash paid for dividends, profits, or interest payments		241,070,357.41	90,183,945.34
Among them: dividends and profits paid by subsidiaries to minority shareholders			
Pay other cash related to fundraising activities		319,653,061.29	478,902,093.05
Subtotal of cash outflows from financing activities		2,837,381,286.63	2,914,801,649.01
Net cash flow from financing activities		-1,021,014,701.23	-667,304,707.19
4. The Impact of Exchange Rate Fluctuations on Cash and Cash Equivalents		-50,892,127.06	53,691,292.90
5. Net increase in cash and cash equivalents		-214,066,848.06	97,412,987.57
Add: Opening cash and cash equivalents balance		1,272,580,561.18	1,175,167,573.61
6. Cash and cash equivalents at period-end		1,058,513,713.12	1,272,580,561.18

Company Representative:
Wang Jianglin

Head of Accounting: Wang Xueming

Head of Accounting Department:
Wang Xueming

Parent company cash flow statement

January– December 2025 Unit: Yuan Currency: Renminbi

Project	Note	Fiscal Year 2025	Fiscal Year 2024
1. Cash Flow from Operating Activities:			
Cash received from selling goods and providing services		1,749,587,354.50	2,889,283,771.89
Received tax refunds		93,427,197.47	111,574,476.26
Receiving other cash related to operating activities		325,565,424.42	50,599,594.40
Subtotal of cash inflows from operating activities		2,168,579,976.39	3,051,457,842.55
Cash paid for purchasing goods and accepting services		1,547,336,100.48	2,067,580,588.98
Cash paid to and for employees		324,838,338.92	341,106,876.51
All taxes and fees paid		17,059,957.07	17,346,593.34
Pay other cash related to operating activities		157,690,317.95	92,490,960.81
Subtotal of cash outflows from operating activities		2,046,924,714.42	2,518,525,019.64
Net cash flow from operating activities		121,655,261.97	532,932,822.91
2. Cash Flow from Investing Activities:			
Recoup the cash received from the investment			
Cash received from investment returns		336,170,401.88	85,372,381.63
Net cash recovered from disposal of fixed assets, intangible assets, and other long-term assets		19,493,861.27	2,208,363.00
Disposal of net cash received by subsidiaries and other business units			
Receiving other cash related to investment activities		472,686,570.07	511,715,606.57
Subtotal of cash inflows from investing activities		828,350,833.22	599,296,351.20
Cash paid for the purchase and construction of fixed assets, intangible assets, and other long-term assets		39,727,862.43	65,834,164.28
Cash paid for investment		13,500,000.00	121,036,000.00
Cash paid by subsidiaries and other business units is acquired			
Pay other cash related to investment activities		294,044,465.60	832,385,127.37
Subtotal of cash outflows from investing activities		347,272,328.03	1,019,255,291.65
Net cash flow from investing activities		481,078,505.19	-419,958,940.45
3. Cash Flow from Financing Activities:			
Absorb the cash received from investments			
Obtain the cash received from the loan		1,332,497,142.85	913,435,228.96
Receiving other cash related to fundraising activities		113,814,986.96	347,106,521.81
Subtotal of cash inflows from financing activities		1,446,312,129.81	1,260,541,750.77
Cash paid for debt repayment		1,793,664,076.48	1,122,769,468.64

Cash paid for dividends, profits, or interest payments		216,782,854.27	50,641,082.26
Pay other cash related to fundraising activities		116,371,947.55	279,474,121.72
Subtotal of cash outflows from financing activities		2,126,818,878.30	1,452,884,672.62
Net cash flow from financing activities		-680,506,748.49	-192,342,921.85
4. The Impact of Exchange Rate Fluctuations on Cash and Cash Equivalents		2,751,227.45	11,972,552.68
5. Net increase in cash and cash equivalents		-75,021,753.88	-67,396,486.71
Add: Opening cash and cash equivalents balance		289,130,779.47	356,527,266.18
6. Cash and cash equivalents at period-end		214,109,025.59	289,130,779.47

Company Representative:
Wang Jianglin

Head of Accounting: Wang Xueming

Head of Accounting Department:
Wang Xueming

Consolidated Statement of Changes in Owners' Equity
January– December 2025 Unit: Yuan Currency: Renminbi

Project	Fiscal Year 2025														
	Equity attributable to the parent company's owners													Minority Interests	Total owners' equity
	Paid-in capital (or share capital)	Other equity tools			Capital reserve	Subtract: Treasury stock	Other comprehensive income	Special reserves	and surplus public accumulation	General risk preparation	Undistributed profits	Others	Sub-total		
		Preferred stock	Perpetual debt	Others											
1. Year-end balance of the previous year	139,067,031.00				1,169,654,996.14	23,656,891.83	60,471,049.44		69,533,515.50		2,281,244,438.47		3,696,314,138.72	55,525,406.12	3,751,839,544.84
Add: Change in accounting policy															
Correction of previous errors															
Others															
2. Beginning balance for the current year	139,067,031.00				1,169,654,996.14	23,656,891.83	60,471,049.44		69,533,515.50		2,281,244,438.47		3,696,314,138.72	55,525,406.12	3,751,839,544.84
3. Amount of Increase or Decrease for the Current Period (decrease indicated by a "-")					8,416,397.90	- 12,260,439.81	- 66,311,926.41				- 12,772,072.08		- 58,407,160.78	26,910,279.82	- 31,496,880.96
(1) Total comprehensive income							- 66,311,926.41				163,843,057.29		97,531,130.88	26,043,674.86	123,574,805.74
(2) Owners invest and reduce capital					8,416,397.90	- 12,260,439.81							20,676,837.71	1,800,000.00	22,476,837.71
1. Common shares invested by the owner														1,800,000.00	1,800,000.00
2. Other equity instrument holders invest capital															
3. The amount of share-based payments included in owners' equity					8,416,397.90	- 12,260,439.81							20,676,837.71		20,676,837.71
4. Others															

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(3) Profit distribution											- 176,615, 129.37		- 176,615, 129.37	- 1,003,513 .50	- 177,618,64 2.87
1. Appropriation of surplus reserve															
2. Extract general risk provisions															
3. Distribution to owners (or shareholders).											- 176,615, 129.37		- 176,615, 129.37	- 1,003,513 .50	- 177,618,64 2.87
4. Others															
(4) Internal transfer of owners' equity															
1. Capital reserve converted to capital (or share capital)															
2. Surplus reserve converted to capital (or share capital)															
3. Surplus reserve to offset losses															
4. Set the benefit plan to carry forward retained earnings from changes in the benefit plan															
5. Other comprehensive income carryforward retained earnings															
6. Others															
(5) Special Reserves															
1. Extraction for this period															
2. Used in this period															
(6) Others														70,118.46	70,118.46
4. Ending balance for the current period	139,067 ,031.00				1,178,07 1,394.04	11,396, 452.02	- 5,840,8 76.97		69,533, 515.50		2,268,47 2,366.39		3,637,90 6,977.94	82,435,68 5.94	3,720,342, 663.88

Project	Fiscal Year 2024
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	Equity attributable to the parent company's owners													Minority Interests	Total owners' equity
	Paid-in capital (or share capital)	Other equity tools			Capital reserve	Subtract: Treasury stock	Other comprehensive income	Special reserves	and surplus public accumulation	General risk preparation	Undistributed profits	Others	Sub-total		
		Preferred stock	Perpetual debt	Others											
1. Year-end balance of the previous year	139,067,031.00				1,148,949,374.39	37,108,849.93	60,710,432.05		69,533,515.50		2,018,184,986.93		3,399,336,489.94	48,963,415.38	3,448,299,905.32
Add: Change in accounting policy															
Correction of previous errors															
Others															
2. Beginning balance for the current year	139,067,031.00				1,148,949,374.39	37,108,849.93	60,710,432.05		69,533,515.50		2,018,184,986.93		3,399,336,489.94	48,963,415.38	3,448,299,905.32
3. Amount of Change in the Current Period (decrease indicated by a "-")					20,705,621.75	- 13,451,958.10	- 239,382.61				263,059,451.54		296,977,648.78	6,561,990.74	303,539,639.52
(1) Total comprehensive income							- 239,382.61				263,059,451.54		262,820,068.93	3,552,723.67	266,372,792.60
(2) Owners invest and reduce capital					22,307,810.14	- 13,451,958.10							35,759,768.24		35,759,768.24
1. Common stock contributed by the owner															
2. Other equity instrument holders invest capital															
3. The amount of share-based payments included in owners' equity					22,307,810.14	- 13,451,958.10							35,759,768.24		35,759,768.24
4. Others															
(3) Profit distribution															
1. Appropriation of surplus reserve															
2. Extract general risk provisions															
3. Distribution to owners (or shareholders).															

4. Others															
(4) Internal transfer of owners' equity															
1. Capital reserve converted to capital (or share capital)															
2. Surplus reserve converted to capital (or share capital)															
3. Surplus reserve to offset losses															
4. Set the benefit plan to carry forward retained earnings from changes in the benefit plan															
5. Other comprehensive income carryforward retained earnings															
6. Others															
(5) Special Reserves															
1. Extraction for this period															
2. Used in this period															
(6) Others					- 1,602,18 8.39								- 1,602,18 8.39	3,009,267. 07	1,407,078.6 8
4. Ending balance for the current period	139,067 ,031.00				1,169,65 4,996.14	23,656, 891.83	60,471, 049.44		69,533, 515.50		2,281,24 4,438.47		3,696,31 4,138.72	55,525,406 .12	3,751,839,5 44.84

Company Representative: Wang Jianglin

Head of Accounting: Wang Xueming

for January-- December 2025: Wang Xueming

Statement of changes in the parent company's owners' equity

Head of accounting department

Unit: Yuan Currency: Renminbi

Project	Fiscal Year 2025										
	Paid-in Capital (or Share Capital)	Other equity tools			Capital reserve	Subtract: Treasury stock	Other comprehensive income	Special reserves	and surplus public accumulation	Undistributed profits	Total owners' equity
		Preferred stock	Perpetual debt	Others							
1. Year-end balance of the previous year	139,067,0 31.00				1,274,394 ,243.60	23,656,89 1.83	59,659,4 08.08		69,533,5 15.50	1,545,53 2,794.19	3,064,530 ,100.54
Add: Change in accounting policy											

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Correction of previous errors											
Others											
2. Beginning balance for the current year	139,067,031.00				1,274,394,243.60	23,656,891.83	59,659,408.08		69,533,515.50	1,545,532,794.19	3,064,530,100.54
3. Amount of Change in the Current Period (decrease indicated by a "-")					8,416,397.90	- 12,260,439.81	5,451,104.40			- 89,318,019.36	- 63,190,077.25
(1) Total comprehensive income							5,451,104.40			87,297,110.01	92,748,214.41
(2) Owners invest and reduce capital					8,416,397.90	- 12,260,439.81					20,676,837.71
1. Common stock contributed by the owner											
2. Other equity instrument holders invest capital											
3. The amount of share-based payments included in owners' equity					8,416,397.90	- 12,260,439.81					20,676,837.71
4. Others											
(3) Profit distribution										- 176,615,129.37	- 176,615,129.37
1. Appropriation of surplus reserve											
2. Distribution to owners (or shareholders).										- 176,615,129.37	- 176,615,129.37
3. Others											
(4) Internal transfer of owners' equity											
1. Capital reserve converted to capital (or share capital)											
2. Surplus Reserve Converted to Capital (or Share Capital)											
3. Surplus reserve to offset losses											

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4. Set the benefit plan to carry forward retained earnings from changes in the benefit plan											
5. Other comprehensive income carryforward retained earnings											
6. Others											
(5) Special Reserves											
1. Extraction for this period											
2. Used in this period											
(6) Others											
4. Ending balance for the current period	139,067,0 31.00				1,282,810 ,641.50	11,396,45 2.02	65,110,5 12.48		69,533,5 15.50	1,456,21 4,774.83	3,001,340 ,023.29

Project	Fiscal Year 2024										
	Paid-in Capital (or Share Capital)	Other equity tools			Capital reserve	Subtract: Treasury stock	Other comprehensive income	Special reserves	and surplus public accumulation	Undistributed profits	Total owners' equity
		Preferred stock	Perpetual debt	Others							
1. Year-end balance of the previous year	139,067,0 31.00				1,256,207 ,521.63	37,108,84 9.93	61,675,8 49.50		69,533,5 15.50	1,452,59 1,034.16	2,941,966 ,101.86
Add: Change in accounting policy											
Correction of previous errors											
Others											
2. Beginning balance for the current year	139,067,0 31.00				1,256,207 ,521.63	37,108,84 9.93	61,675,8 49.50		69,533,5 15.50	1,452,59 1,034.16	2,941,966 ,101.86
3. Amount of Change in the Current Period (decrease indicated by a "-")					18,186,72 1.97	- 13,451,95 8.10	- 2,016,44 1.42			92,941,7 60.03	122,563,9 98.68
(1) Total comprehensive income							- 2,016,44 1.42			92,941,7 60.03	90,925,31 8.61
(2) Owners invest and reduce capital					22,307,81 0.14	- 13,451,95 8.10					35,759,76 8.24
1. Common stock contributed by the owner											

2. Other equity instrument holders invest capital											
3. The amount of share-based payments included in owners' equity					22,307,81 0.14	- 13,451,95 8.10					35,759,76 8.24
4. Others											
(3) Profit distribution											
1. Appropriation of surplus reserve											
2. Distribution to owners (or shareholders).											
3. Others											
(4) Internal transfer of owners' equity											
1. Capital reserve converted to capital (or share capital)											
2. Surplus Reserve Converted to Capital (or Share Capital)											
3. Surplus reserve to offset losses											
4. Set the benefit plan to carry forward retained earnings from changes in the benefit plan											
5. Other comprehensive income carryforward retained earnings											
6. Others											
(5) Special Reserves											
1. Extraction for this period											
2. Used in this period											
(6) Others					- 4,121,088 .17						- 4,121,088 .17
4. Ending balance for the current period	139,067,0 31.00				1,274,394 ,243.60	23,656,89 1.83	59,659,4 08.08		69,533,5 15.50	1,545,53 2,794.19	3,064,530 ,100.54

Company Representative: Wang Jianglin

Head of Accounting: Wang Xueming

Head of Accounting Department: Wang Xueming

III. Company Overview 1. Company Overview

√ Applicable ☐ Not Applicable Henglin Home Co., Ltd. is a joint-stock company established through the overall restructuring and change of Zhejiang Henglin Furniture Co., Ltd. It was registered with the Huzhou Administration for Industry and Commerce on December 25, 2007, with its headquarters located in Huzhou, Zhejiang Province. The company currently holds a business license with the unified social credit code 913305007044702971, a registered capital of 139,067,031.00 yuan, and a total of 139,067,031 shares (par value 1 yuan per share). Among them, 139,067,031 circulating shares are A shares with unrestricted conditions. The company's shares were listed and traded on the Shanghai Stock Exchange on November 21, 2017.

Our company belongs to the furniture manufacturing industry. Our main business activities include the research, development, production, and sales of office furniture, upcycling furniture, panel furniture, new material flooring, and comprehensive home furnishing categories.

These financial statements were approved for external disclosure by the company at the 10th meeting of the 7th Board of Directors on April 28, 2026.

IV. Basis for Preparing Financial Statements 1. Basis for Preparation

The Company's financial statements are prepared on a continuing operation basis.

2. Going Concern

√ Applicable ☐ Not Applicable The company does not have any matters or circumstances that would cause significant doubts about its ability to continue as a going concern within the 12 months from the end of the reporting period.

5. Important accounting policies and accounting estimates

Specific accounting policies and estimates: √ Applicable ☐ Not Important: Based on actual production and operational characteristics, the company has formulated specific accounting policies and estimates for transactions or matters such as impairment of financial instruments, inventory, fixed asset depreciation, construction in progress, intangible assets, and revenue recognition.

1. Declaration of compliance with enterprise accounting standards

The financial statements prepared by the company comply with the requirements of the Enterprise Accounting Standards and truthfully and completely reflect the company's financial condition, operating results, changes in shareholders' equity, and cash flows.

2. Accounting period

The company's fiscal year runs from January 1 to December 31 (Gregorian calendar).

3. Business cycle

√ Applicable ☐ Not applicable

The company's business cycle is relatively short, using 12 months as the liquidity basis for assets and liabilities.

4. Accounting standard currency

The company and its domestic subsidiaries use RMB as the accounting standard currency. Overseas subsidiaries such as Henglin Home Furnishings Vietnam Co., Ltd. and NOUHAUS INC engage in overseas operations and choose the currency in the main economic environment where they operate as the accounting standard.

5. Methods for determining importance standards and selection criteria

√ Applicable □ Not Applicable The company follows the materiality principle when preparing and disclosing financial statements. The matters disclosed in the notes to these financial statements involve matters subject to materiality standard judgment, as well as the methods and selection criteria for determining materiality standards and the basis for selection:

Project	Importance criteria
Important notes receivable for which bad debt provisions are made for each item	Individual amount exceeding total assets by 0.3%
Provision for recovery or reversal of bad debts on important notes receivable	Individual amount exceeding total assets by 0.3%
Significant write-off of notes receivable	Individual amount exceeding total assets by 0.3%
Accounts receivable with significant individual bad debt provisions	Individual amount exceeding total assets by 0.3%
Significant bad debt reserves for recovery or reversal	Individual amount exceeding total assets by 0.3%
Significant write-offs of accounts receivable	Individual amount exceeding total assets by 0.3%
Significant individual impairment provision receivables financing	Individual amount exceeding total assets by 0.3%
Significant impairment provisions for financing receivables are recovered or reversed	Individual amount exceeding total assets by 0.3%
Significant write-off of receivables financing	Individual amount exceeding total assets by 0.3%
Other receivables with significant individual provision for bad debts	Individual amount exceeding total assets by 0.3%
Significant other receivables are prepared for recovery or reversal of bad debts	Individual amount exceeding total assets by 0.3%
Significant write-off of other receivables	Individual amount exceeding total assets by 0.3%
Significant accounts receivable for more than one year	Individual amount exceeding total assets by 0.3%
Significant individual impairment provision for contract assets	Individual amount exceeding total assets by 0.3%
Significant impairment provisions for contractual assets are recovered or reversed	Individual amount exceeding total assets by 0.3%
Significant write-off contract assets	Individual amount exceeding total assets by 0.3%
There has been a significant change in the book value of contract assets	Individual amount exceeding total assets by 0.3%
Significant prepayments with an aging exceeding one year	Individual amount exceeding total assets by 0.3%
Significant debt investments	Individual amount exceeding total assets by 0.3%
Significant other debt investments	Individual amount exceeding total assets by 0.3%
Important ongoing construction projects	Total investment in a single project exceeds total assets by 0.3%
Important overdue loans	Individual amount exceeding total assets by 0.3%
Significant overdue interest	Individual amount exceeding total assets by 0.3%
Significant accounts payable aged more than one year	Individual amount exceeding total assets by 0.3%
Other payables with significant aging over one year	Individual amount exceeding total assets by 0.3%
Significant advance receipts with an age of over one year or overdue	Individual amount exceeding total assets by 0.3%
Significant contract liabilities with aging over one year	Individual amount exceeding total assets by 0.3%
Significant changes in the book value of contract liabilities	Individual amount exceeding total assets by 0.3%
Significant projected liabilities	Individual amount exceeding total assets by 0.3%
Significant cash flows from investing activities	Individual amounts exceeding 5% of total assets
Important overseas operating entities	Total profit exceeds 15% of the group's total profit
Important structured entities included in the scope of consolidation	Total profit exceeds 15% of the group's total profit
Significant subsidiaries, non-wholly-owned subsidiaries	Total profit exceeds 15% of the group's total profit
Important joint ventures and joint ventures	Investment income accounted for using the single equity method exceeds 15% of the Group's total profit.

Significant debt restructuring	Individual amount exceeding total assets by 0.3%
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6. Accounting treatment methods for business combinations under common control and those not under common control

√ Applicable ☐ Not applicable

1. Accounting Treatment Methods for Business Combinations under Common Control The assets and liabilities acquired by the company in business combinations are measured at the carrying amount of the acquiree in the consolidated financial statements of the final controlling party on the merger date. The company adjusts capital reserve based on the difference between the share of carrying amount of owners' equity in the consolidated financial statements of the final controlling party and the carrying amount of the consolidated consideration paid or the total par value of issued shares; If the capital reserve is insufficient to offset, retained earnings are adjusted.
2. Accounting Methods for Business Combinations Not Under Common Control On the acquisition date, the company recognizes the difference between the merger cost and the fair value share of identifiable net assets of the acquiree obtained during the merger as goodwill; If the consolidation cost is less than the fair value share of identifiable net assets obtained during the merger, the company first reviews the fair value of all identifiable assets, liabilities, and contingent liabilities obtained from the acquirer, as well as the measurement of the merger cost. If, after review, the merger cost is still less than the fair value share of the acquirer's identifiable net assets obtained during the merger, the difference is included in profit or loss.

7. Criteria for judgment of control and methods for preparing consolidated financial statements

√ Applicable ☐ Not applicable

1. Judgment of control is recognized as control if the investee has power over the investee, enjoys variable returns through participation in the investee's related activities, and has the ability to use that power to influence the amount of its variable returns.

2. Methods for preparing consolidated financial statements

- (1) The parent company includes all subsidiaries it controls within the scope of consolidation in the consolidated financial statements. The consolidated financial statements are based on the financial statements of the parent company and its subsidiaries, and based on other relevant information, prepared by the parent company in accordance with the "Accounting Standard for Business Enterprises No. 33— Consolidated Financial Statements."

8. Classification of joint venture arrangements and accounting treatment methods for joint operations

√ Applicable ☐ Not applicable

1. Joint venture arrangements are divided into joint operations and joint ventures.
2. When the company is a joint venture in joint operations, the following items related to the interests in the joint operation are recognized:
 - (1) Recognition of assets held individually, as well as jointly held assets based on shareholding shares;
 - (2) Recognize liabilities assumed individually, as well as liabilities jointly assumed based on their shareholdings;
 - (3) Recognizing income generated from the sale of the company's share of joint operating output;
 - (4) Recognizing income generated from the sale of assets through joint operations based on the company's shareholdings;
 - (5) Recognize expenses incurred individually, as well as expenses incurred during joint operations based on the company's shareholding.

9. Standards for determining cash and cash equivalents

Cash presented in the cash flow statement refers to cash on hand and deposits that can be used for payment at any time. Cash equivalents refer to investments held by a company that have a short term, strong liquidity, are easily converted into known amounts of cash, and have very low risk of value fluctuations.

10. Foreign currency transactions and foreign currency statement conversion

√ Applicable ☐ Not applicable

1. Foreign Currency Business Conversion Foreign currency transactions At initial recognition, the approximate exchange rate at the spot exchange rate on the transaction date is used to convert the amount to RMB. On the balance sheet date, foreign currency monetary items are translated using the spot exchange rate on the balance sheet date. Exchange differences arising from exchange rate differences, except for the exchange rate differences related to the purchase and construction of foreign currency special loans that meet capitalization conditions, are included in current profit or loss; Foreign currency non-monetary items measured at historical cost are still translated at the approximate spot exchange rate on the transaction date, without changing their RMB amount; Foreign currency non-monetary items measured at fair value are translated using the spot exchange rate on the fair value determination date, and the difference is recognized in current profit or loss or other comprehensive income.
2. Asset and liability items in the balance sheet translated from foreign currency financial statements are translated using the spot exchange rate as of the balance sheet date; Except for the "Undistributed Profits" item, other items in owners' equity are translated at the spot exchange rate on the transaction date; Income and expense items in the income statement are translated using the approximate exchange rate at the spot exchange rate on the transaction date. The foreign currency financial statement translation difference generated from the above conversion is recorded in other comprehensive income.

11. Financial instruments

√ Applicable ☐ Not applicable

1. Classification of Financial Assets and Liabilities Financial assets are initially recognized into the following three categories: (1) Financial assets measured at amortized cost; (2) Financial assets measured at fair value with changes recognized in other comprehensive income; (3) Financial assets measured at fair value with changes recognized in profit or loss for the period.

Financial liabilities are classified into the following four categories at initial recognition: (1) Financial liabilities measured at fair value with changes recognized in current profit or loss; (2) Financial liabilities arising from transfers that do not meet derecognition criteria or continued involvement in transferred financial assets; (3) Financial guarantee contracts not falling under (1) or (2) above, and loan commitments that do not fall under (1) above and are loans at below market interest rates; (4) Financial liabilities measured at amortized cost.

2. The basis, measurement method, and conditions for derecognition of financial assets and liabilities

- (1) Basis and initial measurement method for recognizing financial assets and liabilities When a company becomes a party to a financial instrument contract, it recognizes a financial asset or financial liability. When initially recognizing financial assets or liabilities, they are measured at fair value; For financial assets and liabilities measured at fair value with changes recognized in profit or loss, relevant transaction expenses are directly included in profit or loss; For other categories of financial assets or liabilities, relevant transaction expenses are included in the initial recognition amount. However, if the company's initially recognized accounts receivable do not contain significant financing components or do not consider financing components in contracts not exceeding one year, initial measurement is made at the transaction price defined in "Accounting Standard for Business Enterprises No. 14— Revenue."

(2) Subsequent measurement methods for financial assets

- 1) Financial assets measured at amortized cost are measured using the effective interest method and subsequently measured at amortized cost. Gains or losses arising from financial assets measured at amortized cost that are not part of any hedging relationship are recognized in profit or loss at the time of derecognition, reclassification, amortization using the effective interest method, or recognition of impairment.
- 2) Debt instrument investments measured at fair value and whose changes are recognized in other comprehensive income are subsequently measured at fair value. Interest, impairment losses or gains, and exchange gains and losses calculated using the effective interest rate method are recognized in current profit or loss, while other gains or losses are recognized in other comprehensive income. Upon derecognition, cumulative gains or losses previously recognized in other comprehensive income are transferred out from other comprehensive income and included in current profit or loss.
- 3) Equity instrument investments measured at fair value and whose changes are recognized in other comprehensive income are measured at fair value for subsequent measurement. Dividends obtained (except those that are part of investment cost recovery) are included in current profit or loss, while other gains or losses are recognized in other comprehensive income. Upon derecognition, cumulative gains or losses previously recognized in other comprehensive income are transferred out from other comprehensive income and included in retained earnings.
- 4) Financial assets measured at fair value and whose changes are recognized in profit or loss are subsequently measured at fair value, and gains or losses (including interest and dividend income) are included in profit or loss, unless the financial asset is part of a hedging relationship.

(3) Subsequent measurement methods for financial liabilities

- 1) Financial liabilities measured at fair value with changes recognized in profit or loss These financial liabilities include trading financial liabilities (including derivatives classified as financial liabilities) and financial liabilities designated as measured at fair value through profit or loss. Such financial liabilities are subsequently measured at fair value. Changes in fair value of financial liabilities designated as measured at fair value through profit or loss due to changes in the company's own credit risk are recognized in other comprehensive income, unless such treatment causes or amplifies accounting mismatches in profit or loss. Other gains or losses arising from such financial liabilities (including interest expenses, excluding fair value changes caused by changes in the company's own credit risk) are recognized in current profit or loss unless the financial liability is part of a hedging relationship. Upon derecognition, cumulative gains or losses previously recognized in other comprehensive income are reversed from other comprehensive income and included in retained earnings.
- 2) Financial liabilities formed from transfers that do not meet the conditions for derecognition or continued involvement in transferred financial assets shall be measured in accordance with the relevant provisions of the "Enterprise Accounting Standard No. 23 — Financial Asset Transfer."
- 3) Financial guarantee contracts not falling under 1) or 2) above, and loan commitments not falling under 1) above and at below-market interest rates, are subsequently measured after initial recognition at the higher of the following two amounts: (1) Loss provision determined according to impairment provisions for financial instruments; (2) The initial recognition amount minus the cumulative amortization determined according to the relevant provisions of Accounting Standard for Business Enterprises No. 14— Revenue.
- 4) Financial liabilities measured at amortized cost are measured using the effective interest rate method and amortized cost. Gains or losses arising from financial liabilities measured at amortized cost that are not part of any hedging relationship are

recognized in profit or loss at the time of derecognition and amortization using the effective interest method.

(4) Derecognition of financial assets and liabilities

- 1) Derecognition of financial assets is achieved when any of the following conditions are met: (1) The contractual right to receive cash flows from financial assets has been terminated; (2) The financial asset has been transferred, and the transfer meets the requirements for derecognition of financial assets in Accounting Standard for Business Enterprises No. 23— Transfer of Financial Assets.
- 2) When the current obligation of a financial liability (or part thereof) has been discharged, the financial liability (or portion thereof) is correspondingly de-recognized.
3. Basis and measurement method for recognizing financial asset transfers. If the company has transferred almost all risks and rewards related to ownership of financial assets, it shall terminate the recognition of the financial asset and separately recognize the rights and obligations arising or retained in the transfer as assets or liabilities; If it retains almost all risks and rewards of ownership of the financial asset, it shall continue to recognize the transferred financial asset. If the company neither transfers nor retains almost all risks and rewards of the financial asset ownership, the following situations shall be handled accordingly: (1) If control over the financial asset is not retained, the financial asset shall be de-recognized, and the rights and obligations arising or retained in the transfer shall be separately recognized as assets or liabilities; (2) If control over the financial asset is retained, the relevant financial asset shall be recognized according to the degree of continued involvement in the transferred financial asset, and the relevant liabilities shall be recognized accordingly.

If the overall transfer of financial assets meets the conditions for derecognition, the difference between the following two amounts is included in current profit or loss: (1) The carrying amount of the transferred financial asset as of the derecognition date; (2) The consideration received for the transfer of the financial asset, sum of the amount corresponding to the derecognized portion of the cumulative fair value change directly recognized in other comprehensive income (the financial asset involved is a debt instrument investment measured at fair value with changes recognized in other comprehensive income). If part of the financial asset is transferred and the portion to be transferred fully meets the derecognition conditions, the carrying amount of the entire financial asset before the transfer is allocated between the derecognized portion and the continued recognition portion at the relative fair value of the transfer date, and the difference between the following two amounts is recognized in profit or loss: (1) The carrying amount of the derecognized portion; (2) The consideration for the derecognition portion is summed with the amount corresponding to the derecognized portion of the cumulative fair value changes originally directly recognized in other comprehensive income (the financial assets involved are debt instrument investments measured at fair value and whose changes are recognized in other comprehensive income).

4. Methods for Determining the Fair Value of Financial Assets and Liabilities The company uses valuation techniques that are applicable under current circumstances and supported by sufficient data and other information, to determine the fair value of relevant financial assets and liabilities. The company divides the input values used in the valuation techniques into the following levels, and uses them in order:

- (1) The first-level input value is the unadjusted quote of the same asset or liability available on the measurement date in the active market;
- (2) Second-level input values are inputs that are directly or indirectly observable for related assets or liabilities other than the first-level input, including: quotes for similar assets or liabilities in active markets; quotes for identical or similar assets or liabilities in inactive markets; other observable inputs other than quotes, such as observable interest rate and yield curves during normal quote intervals; market-verified inputs, etc.;

(3) Level 3 inputs are non-observable inputs for relevant assets or liabilities, including interest rates, stock volatility, future cash flows from disposal obligations in business combinations, financial forecasts made using its own data, etc., which cannot be directly observed or verified by observable market data. 5. Financial instruments impairment The company impairs financial instruments and recognizes loss provisions for financial assets measured at amortized cost, debt instrument investments measured at fair value with changes recognized in other comprehensive income, contract assets, lease receivables, loan commitments other than financial liabilities measured at fair value with changes in profit or loss, financial liabilities not measured at fair value but with changes in profit or loss, or financial guarantees that are not financial liabilities that do not meet derecognition criteria for financial asset transfers or continue to be involved in transferred financial assets.

Expected credit loss refers to the weighted average credit loss of financial instruments weighted by the risk of default. Credit loss refers to the difference between all contract cash flows receivable at the original effective interest rate discounted by the company and all cash flows expected to be collected, i.e., the present value of the total cash shortfall. For financial assets purchased or incurred by the company that have already suffered credit impairment, the asset is discounted at the credit-adjusted effective interest rate.

For financial assets that have been purchased or incurred with credit impairment, the company only recognizes the cumulative change in expected credit losses over the entire life since initial recognition as a loss provision at the balance sheet date.

For lease receivables, receivables formed by transactions regulated by Accounting Standard for Business Enterprises No. 14— Revenue, and contract assets, the company uses a simplified measurement method to measure loss provisions based on the expected credit loss amount over the entire life.

For financial assets other than those measured by the above methods, the company assesses at each balance sheet date whether credit risk has significantly increased since initial recognition. If credit risk has significantly increased since initial recognition, the company measures loss allowance based on the expected credit loss amount over the entire life of the instrument; If credit risk does not increase significantly after initial recognition, the company measures loss allowance based on the expected credit loss amount over the next 12 months of the financial instrument.

The company uses available reasonable and well-founded information, including forward-looking information, to determine whether the credit risk of a financial instrument has significantly increased since initial recognition by comparing the risk of default on the balance sheet date with that on the initial recognition date.

At the balance sheet date, if the company determines that the financial instrument only has a relatively low credit risk, it is assumed that the credit risk of that instrument has not significantly increased since initial recognition.

The company assesses expected credit risk and measures expected credit loss based on individual financial instruments or combinations of financial instruments. When based on a financial instrument portfolio, the company divides financial instruments into different portfolios based on common risk characteristics.

The company remeasures expected credit losses at each balance sheet date, and the amount of increased or reversed loss provisions resulting from this is recognized as an impairment loss or gain in profit or loss for the current period. For financial assets measured at amortized cost, the loss provision is offset against the carrying amount of the financial asset presented on the balance sheet; For debt investments measured at fair value and whose changes are recognized in other comprehensive income, the company recognizes the loss provision in other comprehensive income and does not offset the carrying amount of the financial asset.

Financial assets and financial liabilities are presented separately on the balance sheet and are not offset. However, if the following conditions are met simultaneously, the company presents the net amount after offsetting on the balance sheet: (1) The company has the statutory right to offset the recognized amount, and such statutory rights are currently exercisable; (2) The company plans to settle on a net basis, or simultaneously realize the financial asset and settle the financial liability. For transfers of financial assets that do not meet the derecognition conditions, the company will not set off the transferred financial assets and related liabilities. (12) Standards and methods for recognizing expected credit losses on receivables and contract assets

1. Recognize receivables and contract assets with expected credit losses based on the credit risk profile portfolio

Combination categories	Determine the basis for the combination	Methods for measuring expected credit losses
Bank acceptance bills receivable	Types of bills	Referring to historical credit loss experience, combined with current conditions and forecasts of future economic conditions, the expected credit loss is calculated based on default risk exposure and the expected credit loss rate over the entire lifetime
Commercial acceptance bills receivable		
Acceptance bills of the finance company receivable		
Accounts receivable — Aging Combination 1	Aging combinations other than Aging Portfolio 2	Referring to historical credit loss experience and combining current conditions and forecasts of future economic conditions, a comparison table of aging accounts receivable with expected credit loss rates is prepared to calculate expected credit losses
Accounts receivable — Aging combination 2	The management of Zhejiang Yongyu Home Co., Ltd. and its subsidiaries have made this decision based on a comprehensive consideration of forward-looking and historical credit loss experience	
Accounts receivable — a combination of related parties within the consolidation	Consolidate internal affiliates	The company referencing historical credit loss experience, combined with current conditions and forecasts of future economic conditions, calculates expected credit losses based on default risk exposure and the expected credit loss rate over the entire lifetime
Other receivables — Aging Portfolio 1	Aging combinations other than Aging Portfolio 2	Referring to historical credit loss experience, combined with current conditions and forecasts of future economic conditions, prepare a comparison table between other receivables aging and expected credit loss rates to calculate expected credit losses
Other receivables — Aging Portfolio 2	The management of Zhejiang Yongyu Home Co., Ltd. and its subsidiaries have made this decision based on a comprehensive consideration of forward-looking and historical credit loss experience	
Other receivables — a combination within the consolidation scope	Consolidate internal affiliates	The company referencing historical credit loss experience, combined with current conditions and forecasts of future economic conditions, calculates expected credit losses based on default risk exposure and the expected credit loss rate over the entire lifetime
Contract assets— customer type combinations	Types of customers	Referring to historical credit loss experience, combined with current conditions and forecasts of future economic conditions, the expected credit loss rate is calculated at 5% based on default risk exposure and the expected credit loss rate over the entire life

2. Comparison table of aging and expected credit loss rates for the aging portfolio

Aging of accounts	Accounts Receivable Aging 1 Expected Credit Loss Rate (%)	Accounts Receivable Aging 2 Expected Credit Loss Rate (%)	Other Receivables Aging 1 Expected Credit Loss Rate (%)	Other Receivables Aging 2 Expected Credit Loss Rate (%)
Within 1 year (inclusive, same below)	5.00	5.00	5.00	5.00

1-2 years	10.00	20.00	10.00	20.00
2-3 years	20.00	50.00	20.00	50.00
3-4 years	50.00	100.00	50.00	100.00
4-5 years	80.00	100.00	80.00	100.00
More than 5 years	100.00	100.00	100.00	100.00

The aging of accounts receivable and other receivables is calculated from the initial recognition date.

3. Recognition standards for receivables and contract assets with expected credit losses for individual items For receivables and contract assets with significantly different credit risk from combined credit risk, the company will recognize expected credit losses on an individual basis.

12. Notes receivable

√ Applicable ☐ Not applicable

The categories of combinations and the basis for making bad debt provisions based on credit risk characteristics

√ Applicable ☐ Not applicable, see Financial Instruments for details

An aging calculation method based on the combination of credit risk characteristics based on aging recognition

√ Applicable ☐ Not applicable, see Financial Instruments for details

According to the criteria for individual provision for bad debts

√ Applicable ☐ Not applicable, see Financial Instruments for details

13. Accounts receivable

√ Applicable ☐ Not applicable

The categories of combinations and the basis for making bad debt provisions based on credit risk characteristics

√ Applicable ☐ Not applicable, see Financial Instruments for details

An aging calculation method based on the combination of credit risk characteristics based on aging recognition

√ Applicable ☐ Not applicable, see Financial Instruments for details

Determine the criteria for determining individual provision for bad debts based on the individual provision

√ Applicable ☐ Not applicable, see Financial Instruments for details

14. Financing of receivables

√ Applicable ☐ Not applicable

The categories of combinations and the basis for making bad debt provisions based on credit risk characteristics

√ Applicable ☐ Not applicable, see Financial Instruments for details

An aging calculation method based on the combination of credit risk characteristics based on aging recognition

✓ Applicable ☐ Not applicable, see Financial Instruments for details

According to the criteria for individual provision for bad debts

✓ Applicable ☐ Not applicable, see Financial Instruments for details

15. Other receivables

✓ Applicable ☐ Not applicable

The categories of combinations and the basis for making bad debt provisions based on credit risk characteristics

✓ Applicable ☐ Not applicable, see Financial Instruments for details

An aging calculation method based on the combination of credit risk characteristics based on aging recognition

✓ Applicable ☐ Not applicable, see Financial Instruments for details

According to the criteria for individual provision for bad debts

✓ Applicable ☐ Not applicable, see Financial Instruments for details

16. Inventory

✓ Applicable ☐ Not applicable

Inventory categories, issuance pricing methods, inventory systems, amortization methods for low-value consumables and packaging

✓ Applicable ☐ Not applicable

1. Classification of Inventory Inventory includes finished goods or goods held for sale during daily activities, work-in-progress during production, materials and supplies consumed during production or service provision, etc.

2. Valuation method for issued inventory: Issued inventory uses the month-end weighted average method and individual valuation method.

3. Inventory Inventory System: The inventory inventory system is perpetual inventory.

4. Amortization methods for low-value consumables and packaging

(1) Low-value consumables are amortized using the one-time off-the-shelf method.

(2) The packaging material is amortized using the one-time turnover method.

Criteria and methods for recognizing inventory write-down provisions

✓ Applicable ☐ Not applicable

(1) Standards and Methods for Recognizing Inventory

Write-Down Provisions: On the balance sheet date, inventory is measured at the lower of cost or net realizable value, and inventory write-downs are made based on the difference between cost and net realizable value. For inventory directly used for sale, its net realizable value is determined by the estimated selling price minus estimated selling expenses and related taxes and fees during normal production and operation; For inventory requiring processing, the net realizable value is determined by the estimated selling price of the finished goods produced minus the estimated cost at completion, estimated selling expenses, and related taxes and fees; On the balance sheet date, if part of the same inventory has a contract price agreement and the other part does not have a contract price, its net realizable value is determined separately and compared with the corresponding cost to determine the amount of provision or reversal for inventory write-down.

The category of combinations and the basis for determining inventory write-downs are made according to the portfolio, as well as the basis for determining the net realizable value of inventory by different classes

☐ Applicable ☒ Not applicable

Calculation methods and determination basis for each inventory age combination recognizing the net realizable value of inventory based on age age

☐ Applicable ☒ Not applicable

17. Contract assets

☒ Applicable ☐ Not applicable

Methods and standards for recognizing contract assets

☒ Applicable ☐ Not Applicable The company presents contract assets or contract liabilities on the balance sheet based on the relationship between performance obligations and customer payments. The company offsets contract assets and liabilities under the same contract and presents them on a net basis.

The company presents its unconditional (i.e., dependent solely on the passage of time) right to collect consideration from the customer as receivables, and presents the right to receive consideration upon transfer of goods to the customer (this right depends on factors other than the passage of time) as contractual assets.

The company presents the obligation to transfer goods to customers for consideration received or receivable as contractual liabilities.

The categories of combinations and the basis for making bad debt provisions based on credit risk characteristics

☐ Applicable ☒ Not applicable

An aging calculation method based on the combination of credit risk characteristics based on aging recognition

☐ Applicable ☒ Not applicable

Determine the criteria for determining individual provision for bad debts based on the individual provision

☐ Applicable ☒ Not applicable

18. Non-current assets held for sale or disposal groups

☒ Applicable ☐ Not Applicable 1. Classification of non-current assets or disposal groups for sale The company classifies non-current assets or disposal groups that simultaneously meet the following conditions into the hold-for-sale category: (1) Sold immediately under current circumstances according to the usual practice of selling such assets or disposal groups in similar transactions; (2) The sale is highly likely, meaning the company has resolved on the sale plan and received a definite purchase commitment, with the sale expected to be completed within one year.

If the company acquires non-current assets or disposal groups specifically for resale that meet the condition of "expected sale to be completed within one year" on the acquisition date, and are likely to meet other classification conditions for the hold-for-sale category within a short period (usually 3 months), they shall be allocated on the acquisition date

It is divided into the hold-for-sale category.

If the transaction between non-related parties fails to be completed within one year due to any of the following reasons beyond the company's control, and the company still commits to sell non-current assets or disposal groups, it will continue to classify the non-current assets or disposal group as holding for sale: (1) The buyer or other party unexpectedly sets conditions that lead to a delay in the sale, and the company has taken timely action on these conditions and expects to smoothly resolve the delay factors within one year from the date the conditions were set; (2) Due to rare circumstances causing the non-current assets held for sale or disposal group to be sold not completed within one year, the company has already taken necessary measures in response to these new circumstances and re-satisfied the conditions for the hold-for-sale category.

Classification into recognition standards and accounting methods for non-current assets held for sale or disposal groups

√ Applicable □ Not Applicable (1) Initial and subsequent measurements: When the initial measurement and remeasurement of non-current assets held for sale or disposal groups are remeasured at the balance sheet date, if the carrying amount exceeds the net amount after fair value minus selling expenses, the carrying amount shall be written down to the net amount after fair value minus selling expenses, and the write-down amount shall be recognized as an asset impairment loss, included in current profit or loss, and an impairment provision for the held assets for sale shall be made.

For non-current assets or disposal groups classified as held for sale on the acquisition date, the initial measurement amount and fair value minus selling expenses assumed not classified as held for sale at initial measurement are assumed at the initial measurement level, and the net amount after deducting disposal expenses is measured as the lower of both. Except for non-current assets or disposal groups acquired through business combinations, the difference arising from the net amount of fair value minus selling expenses from the non-current assets or disposal group is included in profit or loss for the current period.

For asset impairment losses recognized by disposal groups holding assets for sale, the carrying amount of goodwill in the disposal group is first offset, then the carrying amount is offset proportionally based on the proportion of the carrying amount of each non-current asset in the disposal group.

Non-current assets held for sale or non-current assets in disposal groups are not subject to depreciation or amortization, and interest and other expenses on liabilities held in disposal groups held for sale continue to be recognized.

(2) Accounting treatment for reversal of asset impairment losses If the net amount of non-current assets held for sale on the subsequent balance sheet date after deducting the sale expenses increases, the previously written down amount shall be restored and reversed within the amount of asset impairment loss recognized after classification as held-for-sale, with the reversed amount recorded in current profit or loss. Impairment losses recognized before classification as held-for-sale shall not be reversed.

If the net increase in the fair value of disposal groups held for sale on subsequent balance sheet dates minus disposal expenses is restored, the previously written down amount is restored, and the amount of impairment losses recognized for non-current assets after being classified as held for sale is reversed, with the reversed amount recognized in profit or loss. The book value of goodwill that has been offset and impairment losses on non-current assets recognized before being classified as held for sale are not reversed.

The amount of asset impairment losses recognized by the disposal group holding assets for sale will be increased proportionally according to the proportion of the carrying amount of non-current assets in the disposal group excluding goodwill.

(3) Accounting treatment for non-current assets or disposal groups that no longer continue to be classified as held for sale or derecognition When non-current assets or disposal groups are removed from the holding disposal group due to no longer meeting the classification conditions, they are measured at the lower of the

following two: 1) Carrying amount before classification as held for sale, adjusted for depreciation, amortization, or impairment that would have been recognized if not classified as held; 2) Recoverable amount.

When derecognizing non-current assets held for sale or disposal groups, any unrecognized gains or losses are included in current profit or loss.

Criteria for Determining Termination of Business and Reporting Methods

√ Applicable ☐ Not Applicable Criteria for Confirmation of Termination of Operations If one of the following conditions is met, and the disposed part has been disposed of or classified as holding for sale and can be separately distinguished, it is recognized as terminated operations:

- (1) The component represents an independent principal business or a separate principal operating region;
- (2) This component is part of a related plan intended to dispose of an independent principal business or a separate principal operating region;
- (3) This component is a subsidiary acquired specifically for resale. Reporting method for discontinued operations The company presents profit or loss from continuing operations and discontinued operations profit or loss separately in the income statement. Impairment losses and reversal amounts from discontinued operations, as well as disposal gains and losses, are presented as discontinued operating gains or losses. For discontinued operations reported in the current period, information previously presented as continuing operations profit or loss is restated in the current period's financial statements as discontinued operating profit or loss for the comparable period. If discontinued operations no longer meet the classification criteria for holding for sale, the information previously presented as discontinued operating profit or loss is restated in the current period's financial statements as continuing operations profit or loss for the comparable period.

19. Long-term equity investment

√ Applicable ☐ Not applicable

1. Determination of Joint Control and Significant Impact: According to relevant agreements, there is shared control over a certain arrangement, and the related activities of that arrangement must be unanimously agreed upon by the parties sharing control; this is recognized as joint control. The investor has the authority to participate in decision-making regarding the investee's financial and business policies, but cannot control or jointly control the formulation of these policies with other parties, and is recognized as having significant influence.

2. Determination of investment costs

- (1) In business combinations under common control, if the acquirer pays cash, transfers non-cash assets, assumes debt, or issues equity securities as consideration, the initial investment cost is calculated on the merger date based on the share of the carrying amount of owners' equity acquired in the consolidated financial statements of the ultimate controlling party. The difference between the initial investment cost of long-term equity investments and the carrying amount of the merger consideration paid or the total par value of issued shares is adjusted for capital reserves; If capital reserve is insufficient to offset, retained earnings are adjusted. The company implements long-term equity investments formed by business combinations under common control through multiple transactions in stages to determine whether it constitutes a "package transaction." For "package transactions," each transaction is accounted for as a transaction to obtain control. For transactions not considered "package transactions," on the merger date, the initial investment cost is determined based on the share of the carrying amount of the net assets of the acquiree party entitled to be enjoyed in the consolidated financial statements of the ultimate controlling party after the merger. The initial investment cost of long-term equity investments on the merger date is the difference between the book value of the long-term equity investment before the merger plus the carrying amount of newly paid shares on the merger date, and capital reserve is adjusted; If capital reserve is insufficient to offset, retained earnings are adjusted.

- (2) For business combinations not under common control, the initial investment cost shall be based on the fair value of the merger consideration paid on the purchase date.

The company has made long-term equity investments formed by business combinations under non-common control through multiple transactions in stages, distinguishing between individual and consolidated financial statements for relevant accounting treatment:

- 1) In individual financial statements, the initial investment cost is calculated as the sum of the carrying amount of the original equity investment plus the cost of the new investment, which is the initial investment cost for the switch to the cost method.
- 2) In consolidated financial statements, determine whether it constitutes a "package transaction." For "package transactions," each transaction is accounted for as a single acquisition of control. For those not considered a "package transaction," the equity held by the acquirer before the purchase date is remeasured at the fair value of the equity on the purchase date, and the difference between fair value and carrying amount is included in current investment income; If the acquired party's equity held before the purchase date involves other comprehensive income under the equity method, other related comprehensive income is converted to current income on the purchase date. Other comprehensive income arising from changes in net liabilities or net assets of the investee remeasured the benefit plan is excluded.
- (3) Except for those formed by business combinations: For acquisitions made in cash, the actual purchase price paid shall be used as the initial investment cost; For acquisitions by issuing equity securities, the fair value of the issued equity securities shall be used as the initial investment cost; For acquisitions by debt restructuring, the initial investment cost shall be determined according to Accounting Standard for Business Enterprises No. 12— Debt Restructuring; For acquisitions obtained through the exchange of non-monetary assets, the initial investment cost shall be determined according to the Accounting Standard for Business Enterprises No. 7— Exchanges for Non-monetary Assets.

3. Subsequent measurement and profit and loss recognition methods For long-term equity investments controlled by investees, the cost method is used for accounting; For long-term equity investments in associates and joint ventures, the equity method is used for accounting.

4. Methods for handling subsidiary investments until loss of control through multiple transactions and stepwise disposal

- (1) Criteria for determining whether it constitutes a "package transaction" When multiple transactions are used to gradually dispose of equity investments in subsidiaries until control is lost, the company considers the terms of the transaction agreement at each step of the phased transaction, the disposal consideration obtained, the target of equity sale, the disposal method, and timing to determine whether the phased transaction constitutes a "package transaction." If the terms, conditions, and economic impact of each transaction meet one or more of the following conditions, it usually indicates that the multiple transactions constitute a "package transaction":

- 1) These transactions are entered into simultaneously or with consideration for mutual impact;
- 2) These transactions as a whole can achieve a complete commercial outcome;
- 3) The occurrence of one transaction depends on at least one other transaction;
- 4) A single transaction may not be economical on its own, but it is economical when considered together with other transactions.

(2) Accounting treatment not considered a "package transaction."

- 1) For individual financial statements, the difference between the carrying amount of disposed equity and the actual proceeds received is included in current profit or loss. For remaining equity, if it still has significant influence over the investee or is jointly controlled with other parties, accounting is switched to the equity method; If no further control, joint control, or significant influence

over the investee is possible, accounting shall be carried out in accordance with the relevant provisions of the "Accounting Standard for Business Enterprises No. 22— Recognition and Measurement of Financial Instruments."

2) Before loss of control in the consolidated financial statements, the difference between the disposal proceeds and the net asset share of the subsidiary continuously calculated from the purchase date or merger date corresponding to the disposal of long-term equity investments shall be adjusted for capital reserves (capital premiums). If the capital premium is insufficient to offset, retained earnings shall be offset.

When control over the atomic company is lost, the remaining equity shall be remeasured at its fair value on the date of loss of control. The difference between the consideration obtained from disposal of equity and the fair value of remaining equity minus the share of net assets that the original subsidiary should continuously enjoy from the acquisition or merger date calculated according to the original shareholding ratio is included in the investment income of the period when control is lost, while also offsetting goodwill. Other comprehensive income related to the equity investment of the original subsidiary shall be converted into investment income for the period upon loss of control.

(3) Accounting treatment for "package transactions."

1) Individual financial statements account for each transaction as a transaction involving the disposal of a subsidiary and loss of control. However, the difference between the disposal proceeds before loss of control and the carrying amount of the long-term equity investment corresponding to the disposal investment is recognized as other comprehensive income in the individual financial statements, and upon loss of control, it is reclassified into profit or loss for the period when control is lost.

2) Consolidated financial statements treat each transaction as a transaction involving the disposal of a subsidiary and loss of control. However, before loss of control, the difference between the disposal proceeds and the share of the subsidiary's net assets corresponding to the disposal investment is recognized as other comprehensive income in the consolidated financial statements, and upon loss of control, is reclassified into profit or loss for the period when control is lost.

20. Investment real estate

(1). If a cost measurement model is adopted:

Depreciation or amortization methods

- Investment real estate includes leased land use rights, land use rights held and prepared for transfer after appreciation, and leased buildings.
- Investment property is initially measured at cost, followed by a cost model, and depreciation or amortization is calculated using the same methods as fixed and intangible assets.

21. Fixed assets

(1). Confirm the conditions

☒ Applicable ☐ Not Applicable Fixed assets refer to tangible assets held for the production of goods, provision of services, leasing, or business management, with a useful life exceeding one accounting year. Fixed assets are recognized when they are also likely to generate economic benefits and costs can be reliably measured.

(2). Depreciation methods

☒ Applicable ☐ Not applicable

category depreciation methods	Depreciation Period (years)	Residual value rate	Annual depreciation rate
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Houses and buildings	Average years method	5-20	5	4.75-19.00
Machinery and equipment	Average years method	3-10	5	9.50-31.67
Means of transportation	Average years method	5	5	19.00
Electronics and other equipment	Average years method	3-10	5	9.50-31.67
Land Ownership [Note]	Non-amortized			

[Note] Swiss company land ownership does not require depreciation provision

22. Construction in progress

√ Applicable ☐ Not applicable

- Construction in progress is recognized if it also meets the conditions where economic benefits are likely to flow and costs can be reliably measured. Construction in progress is measured based on the actual cost incurred before the asset is built to its intended usable state.
- When construction in progress reaches the intended usable state, the actual project cost is transferred to fixed assets. If the project has reached the intended usable state but has not yet completed the final settlement, the estimated value is first transferred into fixed assets. After the final settlement is completed, the original provisional value is adjusted according to the actual cost, but no depreciation already accrued will be adjusted.

Category	Standards and timing for the transfer of construction in progress to fixed assets
Houses and buildings	Houses and buildings pass inspection and reach the intended usable condition
Machinery and equipment	After installation and commissioning, the device will reach the intended usable state

23. Loan expenses

√ Applicable ☐ Not applicable

- Principle for Recognizing the Capitalization of Borrowing Expenses: Borrowing expenses incurred by the company can be directly attributable to the purchase, construction, or production of assets that meet capitalization conditions, capitalized, and included in the cost of related assets; Other borrowing expenses are recognized as expenses at the time of incurrence and included in current profit or loss.

2. Capitalization period of borrowing expenses

- Capitalization begins when borrowing expenses simultaneously meet the following conditions: 1) Asset expenditures have occurred; 2) Borrowing expenses have been incurred; 3) Purchases, constructions, or production activities necessary to bring the assets to a predetermined usable or saleable state have commenced.
- If an asset meeting the capitalization conditions experiences an abnormal interruption during the purchase, construction, or production process, and the interruption lasts for more than 3 consecutive months, the capitalization of borrowing expenses is suspended; Borrowing expenses incurred during the interruption period are recognized as current period expenses until the asset purchase, construction, or production activities resume.
- When the assets that are purchased or produced that meet capitalization conditions reach the intended usable or saleable state, borrowing expenses stop capitalizing.
- The capitalization rate and amount of borrowing expenses are borrowed for special loans for the purchase or production of assets that meet capitalization conditions. The interest amount to be capitalized is calculated by multiplying the actual interest expenses incurred in the special loan period (including amortization of discounts or premiums determined by the effective interest rate method) minus the interest income obtained from depositing unused loan funds in banks or investment income from temporary investments; If general loans are used for purchasing or producing assets that meet capitalization criteria, the amount of interest to be capitalized on general loans is calculated based on the weighted average asset expenditure of accumulated asset expenditures exceeding the special loan by the capitalization rate of the general loan.

24. Biological assets

☐ Applicable ☒ Not applicable

25. Oil and gas assets

☐ Applicable ☒ Not applicable

26. Intangible assets**(1). Service life and its basis for determination, estimated situation, amortization method or review procedure**

☒ Applicable ☐ Not applicable

1. Intangible assets include land use rights, software, trademarks, patent rights, and non-patented technology, and are initially measured at cost.
2. For intangible assets with a limited useful life, systematically and reasonably amortize them during their useful life according to the expected realization of the economic benefits related to the intangible asset. If the expected realization method cannot be reliably determined, straight-line amortization is adopted. Details are as follows:

Project	Service life and its basis for determination	Amortization methods
Land use rights	50/Legal usage rights	Straight-line method
Software	5-10/Period for the expected economic benefit to the company to determine the useful life	Straight-line method
Non-patented technology	10/ Determine the expected period for which the company will bring economic benefits	Straight-line method
Patented technology	10/ Determine the expected period for which the company will bring economic benefits	Straight-line method
Trademark	10/ Determine the expected period for which the company will bring economic benefits	Straight-line method

(2). Scope of collection of R&D expenditures and related accounting treatments

☒ Applicable ☐ Not applicable

- (1) Personnel labor expenses: Personnel labor costs include wages and salaries for the company's R&D personnel, basic pension insurance, basic medical insurance, unemployment insurance, work injury insurance, maternity insurance, housing provident fund, as well as labor costs for external R&D personnel.

If R&D personnel serve multiple R&D projects simultaneously, labor costs are confirmed based on the working hours records provided by the company's management department for each R&D project and allocated proportionally across different R&D projects.

For personnel directly engaged in R&D activities or external R&D personnel engaged in non-R&D activities simultaneously, the company will allocate the actual labor costs incurred by R&D personnel in different positions based on reasonable methods such as actual working hours and production and operation expenses.

- (2) Direct investment expenses Direct investment expenses refer to the actual expenditures incurred by the company to carry out research and development activities. Including: 1) Direct consumption of materials, fuel, and power costs; 2) Costs for the development and manufacturing of molds and process equipment used for intermediate testing and product trial production, purchase costs for samples, prototypes, and general testing methods that do not constitute fixed assets, and inspection fees for prototype products; 3) Expenses for the operation, maintenance, adjustment, inspection, testing, and repair of instruments and equipment used in research and development activities.

- (3) Depreciation Expenses and Long-term Deferred Expenses Depreciation expenses refer to depreciation expenses for instruments, equipment, and buildings in use used for research and development activities.

For instruments, equipment, and buildings in use used for R&D activities, and for those used for non-R&D activities, necessary records should be made of the usage of such instruments, equipment, and buildings in use, and the actual depreciation expenses incurred should be reasonably allocated between R&D expenses and production and operating expenses based on actual labor hours and usage area.

Long-term deferred expenses refer to the long-term deferred expenses incurred during the renovation, modification, renovation, and repair of R&D facilities, which are collected based on actual expenditures and amortized in installments and evenly within the prescribed period.

- (4) Amortization of Intangible Assets: Intangible asset amortization expenses refer to the amortization costs of software, intellectual property, and non-patented technologies (proprietary technology, licenses, design and calculation methods, etc.) used for research and development activities.

- (5) Design Expenses Design expenses refer to expenses incurred for conceptualizing, developing, and manufacturing new products and processes, designing processes, technical specifications, procedures, and operational characteristics, including costs related to creative design activities aimed at obtaining innovative, creative, and breakthrough products.

- (6) Equipment commissioning costs and test costs Equipment commissioning costs refer to expenses incurred during research and development activities during the preparation of tooling, including expenses incurred for developing special or specialized production machines, changing production and quality control procedures, or formulating new methods and standards.

Expenses incurred for routine tooling preparation and industrial engineering for large-scale batch and commercial production are not included in the scope of collection.

Trial expenses include clinical trial fees for new drug development, on-site trial fees for exploration and development technologies, field trial fees, etc.

- (7) Outsourced R&D Expenses Entrusted external R&D expenses refer to expenses incurred by the company entrusting other domestic or foreign institutions or individuals to carry out R&D activities (the R&D results are owned by the company and closely related to the company's main business operations).
- (8) Other Expenses Other expenses refer to other expenses directly related to research and development activities beyond the above expenses, including technical book and data fees, document translation fees, expert consultation fees, high-tech R&D insurance fees, retrieval, demonstration, review, appraisal, and acceptance fees for R&D results, intellectual property application fees, registration fees, agency fees, conference fees, travel expenses, communication fees, etc.

4. Expenses during the research phase of internal R&D projects are recognized in profit or loss at the time of incurred. Expenditures during the development phase of internal R&D projects are recognized as intangible assets if the following conditions are met: (1) the completion of the intangible asset to make it technically feasible for use or sale; (2) There is an intention to complete the intangible asset and use or sell it; (3) The way the intangible asset generates economic benefits, including proving that the product produced using the intangible asset has a market or the intangible asset itself has a market that will be used internally, and its usefulness can be proven; (4) Have sufficient technical, financial, and other resource support to complete the development of the intangible asset, and have the capability to use or sell it; (5) Expenditures attributable to the development stage of the intangible asset can be reliably measured.

27. Long-term asset impairment

√ Applicable □ Not applicable to long-term equity investments, investment real estate measured using the cost model, fixed assets, construction in progress, right-of-use assets, intangible assets with limited useful lives, and other long-term assets, if there are indications of impairment at the balance sheet date, the recoverable amount is estimated. For goodwill and intangible assets with uncertain useful lives formed by business combinations, impairment testing is conducted annually, regardless of whether there are signs of impairment. Goodwill is tested for impairment in combination with related asset groups or combinations of asset groups.

If the recoverable amount of the above long-term assets is lower than their carrying amount, an asset impairment provision is recognized based on the difference and included in current profit or loss.

28. Long-term deferred expenses

√ Applicable □ Not applicable to long-term deferred expenses for expenses already inbured and with an amortization period of more than 1 year (excluding 1 year). Long-term deferred expenses are recorded at actual amounts and amortized in installments over the benefit period or specified period. If long-term deferred expense items cannot benefit future accounting periods, all amortized value of the unamortized item is transferred to current profit or loss.

29. Contract liabilities

√ Applicable □ Not Applicable See "Contract Assets" section for details

30. Employee compensation**(1). Accounting treatment methods for short-term compensation**

√ Applicable □ Not applicable: During the accounting period when employees provide services to the company, the actual short-term compensation is recognized as a liability and included in current profit or loss or related asset costs.

(2). Accounting treatment methods for post-resignation benefits

√ Applicable □ Not Applicable Post-employment benefits are divided into a deposit plan and a benefit plan.

- (1) During the accounting period when employees provide services to the company, the amount of contributions calculated according to the established deposit plan is recognized as a liability and included in current profit or loss or the cost of related assets.

(2) The accounting treatment for establishing benefit plans usually includes the following steps:

- 1) Based on the expected cumulative welfare unit method, use unbiased and consistent actuarial assumptions to estimate relevant demographic and financial variables, measure obligations arising from the benefit plan, and determine the period to which the obligations belong. At the same time, obligations arising from setting up benefit plans are discounted to determine the present value of the benefit plan obligations and the current service cost;
- 2) If a beneficiary plan has assets, the deficit or surplus formed by subtracting the fair value of the assets of the beneficiary plan is recognized as a net liability or net asset for a beneficiary plan. If there is a surplus in the beneficiary plan, the net assets of the beneficiary plan are measured by the lower of the plan's surplus or the asset limit;
- 3) At the end of the period, recognize employee compensation costs arising from the beneficiary plan as service costs, net interest on the net liabilities

or assets of the beneficiary plan, and changes arising from remeasurement of the beneficiary plan's net liabilities or assets. Among these, service costs and net interest on the beneficiary plan's net liabilities or net assets are recognized in current profit or loss or related asset costs, changes arising from remeasuring and setting the beneficiary plan's net liabilities or net assets are recognized in other comprehensive income, and they are not allowed to be reversed to profit or loss in subsequent accounting periods. However, these amounts recognized in other comprehensive income can be transferred within the scope of the equity.

(3). Accounting treatment methods for dismissal benefits

√ Applicable ☐ Not Severance Benefits Provided to Employees, Recognize the employee compensation liability arising from the dismissal benefits earlier of the following two and include them in current profit or loss: (1) When the company cannot unilaterally withdraw the severance benefits provided due to the termination plan or reduction proposal; (2) When the company recognizes costs or expenses related to the restructuring involving the payment of severance benefits.

(4). Accounting treatment methods for other long-term employee benefits

√ Applicable ☐ other long-term benefits provided to employees that meet the conditions for setting a deposit plan shall be accounted for according to relevant provisions of the deposit plan; Other long-term benefits are accounted for in accordance with the relevant provisions for setting benefit plans. To simplify related accounting treatment, employee compensation costs generated are recognized as service costs, net interest on other long-term employee benefit net liabilities or net assets, and changes in remeasurement of other long-term employee welfare net liabilities or net assets, and the total net amount of component items included in current profit or loss or related asset cost.

31. Estimated liabilities

√ Applicable ☐ Not applicable

1. Obligations arising from contingent matters such as external guarantees, litigation matters, product quality assurance, or loss contracts become current obligations of the company. Fulfilling these obligations is likely to result in economic benefits flowing out of the company, and the amount of such obligations can be reliably measured, the company recognizes such obligations as estimated liabilities.
2. The company initially measures the estimated liabilities based on the best estimate of expenditures required to fulfill the relevant current obligations and reasserts the carrying amounts of the expected liabilities at the balance sheet date.

32. Share-based payment

√ Applicable ☐ Not applicable

1. Types of share-based payments include equity-settled share-based payments and cash-settled share-based payments.
 2. Accounting treatment related to the implementation, modification, or termination of the share-based payment plan
- (1) Equity-settled share-based payment: For equity-settled share-based payments that can be immediately exercised after grant, equity-settled share-based payments for employee services are recognized at the fair value of the equity instrument at the grant date, and capital reserves are adjusted accordingly. For equity-settled share-based payments in exchange for employee services only after completing the waiting period or meeting specified performance conditions, on each balance sheet date during the waiting period, based on the best estimate of

the number of exercisable equity instruments, and based on the fair value of the equity instruments on the grant date, the services received during the period are included in relevant costs or expenses, and capital reserves are adjusted accordingly.

Share-based payments for the settlement of interests in exchange for the services of the other party. If the fair value of the services of the other party can be reliably measured, it shall be measured at the fair value of the services on the acquisition date; If the fair value of the services of another party cannot be reliably measured, but the fair value of the equity instrument can, it shall be measured at the fair value of the equity instrument on the date of service acquisition, included in relevant costs or expenses, and correspondingly increases owners' equity.

- (2) Cash-settled share-based payment: Cash-settled share-based payment for employee services immediately exercisable after grant, at the grant date, the fair value of the company's liabilities is recognized in related costs or expenses, increasing liabilities accordingly. For services within the waiting period or when the specified performance conditions are met, the exercise of employee services is paid in cash-settled shares. On each balance sheet date during the waiting period, based on the best estimate of the exercisable situation and the fair value of the company's liabilities, the services received during the period are included in the relevant costs or expenses and corresponding liabilities.
- (3) Modification or termination of the share payment plan. If the amendment increases the fair value of the granted equity instruments, the company will recognize the increase in services acquired accordingly based on the increase in the fair value of the equity instruments; If the modification increases the number of equity instruments granted, the company will accordingly recognize the fair value of the increased equity instruments as an increase in access to services; If the company modifies the exercisable conditions in a manner favorable to the employee, the company considers the modified exercisable conditions when handling them.

If the modification reduces the fair value of the granted equity instrument, the company continues to recognize the amount of services received based on the fair value of the equity instrument on the grant date, without considering the reduction in the equity instrument's fair value; If the modification reduces the number of equity instruments granted, the company will treat the reduction as cancellation of the granted equity instruments; If the exercisable conditions are modified in a manner unfavorable to the employee, the modified conditions are not considered when handling them.

If the company cancels or settles the granted equity instruments during the waiting period (except where they are cancelled due to failure to meet vesting conditions), the cancellation or settlement will be processed as accelerated exercisability, immediately recognizing the amount originally recognized during the remaining waiting period.

33. Other financial instruments such as preferred shares and perpetual bonds

☐ Applicable ☒ Not applicable

34. Income

(1). Disclose accounting policies used for revenue recognition and measurement by business type

☒ Applicable ☐ Not applicable

1. Revenue recognition principle: On the contract start date, the company evaluates the contract, identifies each individual performance obligation contained in the contract, and determines whether each performance obligation is performed within a certain period or at a specific point in time.

Meeting any of the following conditions constitutes fulfillment of performance obligations within a certain period; otherwise, it constitutes fulfillment of performance obligations at a certain point in time

Services: (1) The customer obtains and consumes the economic benefits brought by the company's performance simultaneously with the company's performance; (2) The customer can control the goods under construction during the company's performance process; (3) The goods produced during the company's performance have irreplaceable uses, and the company has the right to receive payment for the cumulative portion of the performance completed during the entire contract period.

For performance obligations performed within a certain period, the company recognizes revenue according to the performance progress during that period. If the performance progress cannot be reasonably determined and costs already incurred are expected to be compensated, revenue is recognized based on the amount of costs incurred until the performance progress can be reasonably determined. For performance obligations performed at a certain point in time, revenue is recognized when the customer acquires control of the relevant goods or services. When determining whether the customer has obtained control of the goods, the company considers the following signs: (1) The company has the current right to receive payment for the goods, i.e., the customer has a current payment obligation for the goods; (2) The company has transferred legal ownership of the goods to the customer, i.e., the customer already possesses the legal ownership of the goods; (3) The company has transferred the physical goods to the customer, i.e., the customer physically possesses the goods; (4) The company has transferred the principal risks and rewards of ownership of the goods to the customer, i.e., the customer has obtained the principal risks and rewards of ownership of the goods; (5) The customer has accepted the goods; (6) Other indications that the customer has acquired control of the goods.

2. Principles of income measurement

- (1) The company measures revenue based on the transaction price allocated to each individual performance obligation. The transaction price is the amount of consideration the company is expected to receive for transferring goods or services to a customer, excluding payments collected on behalf of third parties or amounts expected to be refunded to customers.
 - (2) If there is variable consideration in the contract, the company determines the best estimate of variable consideration based on the expected value or the most likely amount, but the transaction price including variable consideration shall not exceed the amount of accumulated recognized revenue that is highly unlikely to occur materially upon the removal of related uncertainties.
 - (3) If the contract contains significant financing elements, the company determines the transaction price based on the amount payable in cash assumed when the customer acquires control of the goods or services. The difference between the transaction price and the contract consideration shall be amortized using the effective interest method during the contract period. If the interval between the customer's expected acquisition of control of the goods or services and the payment of the price does not exceed one year from the contract start date, the significant financing component in the contract is not considered.
 - (4) If the contract contains two or more performance obligations, the company shall, on the contract start date, allocate the transaction price to each individual performance obligation based on the relative proportion of the individual sales price of the goods promised for each obligation.
3. Specific methods of revenue recognition: The company mainly sells office furniture, upholstered furniture, panel furniture, new material flooring, and comprehensive home products. Performance obligations performed at a certain point in time are all performance obligations performed at that point in time. 1) Domestic company domestic sales revenue and overseas company local revenue recognition must meet the following conditions: the company has delivered the product to the buyer according to the contract and currently enjoys the right to receive payment for the product, with related economic benefits likely to flow in; 2) Domestic and foreign companies must meet the following conditions for recognizing export revenue: the company has declared customs for the products as agreed in the contract, obtained the bill of lading, and currently holds the right to receive payments for the export products, making related economic benefits likely to flow in; 3) For customers with special agreements, revenue is recognized when "the main risks and rewards of product ownership have been transferred, the legal ownership of the goods has been transferred, payment has been received or the right to receive payment has been obtained, and the related economic benefits are likely to flow in."

(2) Different business models for similar businesses involve different revenue recognition and measurement methods

☐ Applicable ☒ Not applicable

35. Contract cost

☒ Applicable ☐ Not applicable: Incremental costs incurred by the company to acquire contracts are expected to be recoverable, and are recognized as contract acquisition costs as assets. If the amortization period for contract acquisition costs does not exceed one year, they are directly recognized in current profit or loss at the time of occurrence.

Costs incurred by the company to perform contracts that do not fall within the scope of relevant standards such as inventory, fixed assets, or intangible assets, and if the following conditions are met, shall be recognized as contract performance costs as one asset:

1. These costs are directly related to a current or anticipated contract, including direct labor, direct materials, manufacturing costs (or similar expenses), costs explicitly borne by the customer, and other costs incurred solely because of the contract;
2. This cost increases the resources the company will have to use in the future to fulfill its performance obligations;
3. The cost is expected to be recoverable.

For assets related to contract cost, the company recognizes revenue from goods or services related to that asset on the same basis and is amortized in profit or loss.

If the carrying amount of an asset related to contract cost is higher than the remaining consideration expected from the transfer of goods or services to the asset minus the estimated costs to be incurred, the company makes an impairment provision for the excess portion and recognizes it as an asset impairment loss. If the factors of impairment in prior periods change so that the remaining consideration expected to be obtained from the transfer of goods or services minus the estimated cost to be incurred is greater than the carrying amount of the asset, the originally made impairment provision is reversed and included in current profit or loss, but the returned carrying amount of the asset shall not exceed the carrying amount of the asset on the date of reversal, assuming no impairment provision had been made.

36. Government subsidies

☒ Applicable ☐ Not applicable

1. Government subsidies are recognized when the following conditions are met: (1) The company can meet the conditions attached to the government subsidy; (2) The company is able to receive the government subsidy. If the government grant is a monetary asset, it shall be measured according to the amount received or receivable. If the government grant is a non-monetary asset, it shall be measured at fair value; If the fair value cannot be reliably obtained, it shall be measured at the nominal amount.
2. Basis for Determining Government Grants Related to Assets and Accounting Treatment Government documents specify that government grants used for the purchase, construction, or other forms of long-term assets are classified as government grants related to assets. If the government document is unclear, the judgment is based on the basic conditions required to obtain the subsidy; those formed by purchase, construction, or other means of forming long-term assets are considered government grants related to the assets. Government grants related to assets are offset by the carrying amount of the relevant assets or recognized as deferred income. Government grants related to assets recognized as deferred income are recognized in profit or loss in installments during the asset's useful life according to reasonable and systematic methods. Government grants measured at nominal amounts are directly included in current profit or loss. If the relevant asset is sold, transferred, scrapped, or damaged before the end of its useful life, the undistributed balance of related deferred income is transferred to the profit or loss of the asset disposal period.

3. Basis for Determining and Accounting Methods for Government Grants Related to Income Government grants other than those related to assets are classified as government grants related to income. For government grants that include both asset-related and income-related portions, it is difficult to distinguish between asset-related or income-related government grants as a whole. Government grants related to income, if used to compensate for related costs, expenses, or losses in future periods, are recognized as deferred income. During the period when related costs, expenses, or losses are recognized, they are recognized in current profit or loss or offset related costs; If used to compensate for incurred related costs, expenses, or losses, they are directly recognized in current profit or loss or offset related costs.
4. Government subsidies related to the company's daily operations are recorded in other income or offset related costs according to the substance of the company's economic business. Government subsidies unrelated to the company's daily activities are recorded in non-operating income and expenses.

5. Accounting treatment methods for interest subsidies on policy-based preferential loans

- (1) When the finance department allocates the interest subsidy funds to the lending bank, and the lending bank provides a loan to the company at a policy preferential interest rate, the actual amount received shall be used as the book value of the loan, and the relevant borrowing fees shall be calculated based on the loan principal and the policy preferential rate.
- (2) When the finance department directly allocates interest subsidy funds to the company, the corresponding subsidy will be used to offset the relevant borrowing expenses.

37. Deferred income tax assets / deferred income tax liabilities

√ Applicable ☐ Not applicable

1. Based on the difference between the carrying amount of assets and liabilities and their tax basis (for items not recognized as assets and liabilities whose tax basis can be determined according to tax laws, the difference between the tax base and its book amounts), deferred income tax assets or deferred income tax liabilities are recognized at the applicable tax rate for the expected recovery period or the liability.
2. Recognition of deferred income tax assets is limited to taxable income that is likely to be obtained to offset deductible temporary differences. At the balance sheet date, if there is conclusive evidence that sufficient taxable income will likely be obtained in future periods to offset deductible temporary differences, deferred income tax assets not recognized in previous accounting periods are recognized.
3. On the balance sheet date, the carrying amount of the deferred income tax asset is reviewed. If it is unlikely that sufficient taxable income will be obtained in the future period to offset the benefit from the deferred tax asset, the carrying amount of the deferred tax asset will be written down. When it is likely that sufficient taxable income will be obtained, the amount to be written down is reversed.
4. The company's current income tax and deferred income tax are recognized as income tax expenses or gains in profit or loss, but do not include income tax arising from the following situations: (1) Business combinations; (2) Transactions or events directly recognized in owners' equity.
5. When the following conditions are met, the company presents deferred income tax assets and deferred tax liabilities at the net amount after elimination: (1) Possesses the statutory right to settle current income tax assets and liabilities on a net basis; (2) Deferred income tax assets and liabilities are related to income tax levied by the same tax authority on the same taxpayer or to different taxpayers, but during each period during which significant deferred tax assets and liabilities are reversed in the future, the taxpayer intends to settle the current income tax assets and liabilities on a net basis, or simultaneously acquire assets and settle debts.

38. Leasing

√ Applicable ☐ Not applicable

It serves as the basis for the lessee to simplify the treatment of short-term leases and leases of low-value assets, as well as the accounting treatment method

√ Applicable ☐ Not applicable

1. As the lessee on the start date of the lease term, the company recognizes leases with a term not exceeding 12 months and excluding purchase options as short-term leases; Leases with lower value when a single leased asset is new are recognized as low-value asset leases. If the company subleases or expects to sublease leased assets, the original lease is not recognized as a low-value asset lease.

For all short-term leases and low-value asset leases, the company records lease payments in the relevant asset cost or current profit or loss on a straight-line basis for each period of the lease term.

In addition to the simplified short-term leases and low-value asset leases mentioned above, the company recognizes right-of-use assets and lease liabilities for leases on the commencement date of the lease term.

- (1) Right-of-use assets Right-of-use assets are initially measured at cost, including: 1) The initial measurement amount of lease liabilities; 2) Lease payments made on or before the start date of the lease term, if deposited under the lease incentive, deducting the amount already enjoyed for lease incentives; 3) Initial direct costs incurred by the lessee incurred; 4) Costs expected incurred by the lessee to dismantle and remove the leased asset, restore the site where the leased asset is located, or restore the leased asset to the state stipulated in the lease terms.

The company accrues depreciation for right-of-use assets using the straight-line method. If it can reasonably determine that ownership of the leased asset is obtained at the end of the lease term, the company will accrue depreciation within the remaining useful life of the leased asset. If it cannot reasonably determine whether ownership of the leased asset will be obtained at the end of the lease term, the company will accrue depreciation during the shorter of the lease term and the remaining useful life of the asset.

- (2) Lease Liabilities On the commencement date of the lease term, the company recognizes the present value of unpaid lease payments as lease liabilities. When calculating the present value of lease payments, the implied lease interest rate is used as the discount rate; if the implied lease interest cannot be determined, the company's incremental borrowing rate is used as the discount rate. The difference between the lease payment amount and its present value is treated as an unrecognized financing expense. Interest expenses are recognized at the discount rate of the present value of the recognized lease payment during each lease term and included in current profit or loss. Variable lease payments not included in the measurement of lease liabilities are recognized in current profit or loss when they are actually incurred.

After the start date of the lease term, if there is a change in the actual fixed payment amount, the estimated payable amount for the guaranteed residual value, changes in the index or ratio used to determine lease payments, or changes in the evaluation results or actual exercise of purchase options, renewal options, or termination options, the company will remeasure the lease liability at the present value of the changed lease payment amount and adjust the carrying amount of the right-of-use asset accordingly. If the carrying amount of the right-of-use asset has been reduced to zero but the lease liability still needs to be further reduced, the remaining amount will be included in profit or loss for the current period.

Classification standards and accounting methods for leases as lessors

√ Applicable ☐ Not applicable

2. As the lessor, on the lease commencement date, the company classifies leases that substantially transfer almost all risks and rewards related to ownership of the leased assets as financial leasing; all other leases are operating leases.

- (1) During each

period of the lease term, the operating leasing company recognizes lease receipts as rental income using the straight-line method. The initial direct expenses incurred are capitalized and allocated on the same basis as rental income, and are included in profit or loss in installments. Variable lease payments related to operating leases that are not included in lease receipts are recognized in profit or loss when actually occurred.

- (2) On the commencement date of the lease term, the company recognizes receivables based on the net lease investment amount (the sum of unsecured residual value and lease payments not yet received at the start date of the lease term, discounted at the present value at the inclusive interest rate of the lease), and de-recognizes the finance lease asset. During each period of the lease term, the company calculates and recognizes interest income based on the inclusive interest of the lease.

Variable lease payments not included in net lease investment are recognized in profit or loss when incurred.

39. Other important accounting policies and estimates

√ Applicable ☐ Not applicable

1. Accounting Treatment Related to the Repurchase of Company Shares If company shares are acquired due to reasons such as reducing registered capital or rewarding employees, the actual amount paid shall be treated as treasury shares, and the amount shall be recorded for record-keeping purposes. If the repurchased shares are cancelled, the capital reserve will be offset by the difference between the total par value of the shares calculated from the canceled stock par value and the number of canceled shares and the actual amount paid for the repurchase. If the capital reserve is insufficient to offset, retained earnings will be offset; If the repurchased shares are awarded to company employees as equity settlement shares, upon the employee exercising rights to purchase company shares and receiving payment, the cumulative amount of treasury stock costs and capital reserves (other capital reserves) during the waiting period will be written off and the capital reserve (other capital reserves) will be written off accordingly.
2. Timing and accounting treatment of gains and losses in debt restructuring. If debt restructuring is carried out by asset settlement of debt or conversion of debt into equity instruments, the creditor recognizes debt replacement gains or losses when the relevant assets meet their definition and recognition conditions, and when the receivables meet derecognition conditions. When creditors acquire one or more financial assets, including cash, the initial recognition of financial assets is measured at fair value, and the difference between the recognized amount of the financial asset and the carrying amount on the date of derecognition of the claim is recognized as investment income. If a creditor acquires assets other than financial assets, the difference between the fair value of the waiver of the claim and its carrying amount is included in investment income.

40. Changes in important accounting policies and estimates

See "Important Matters" section under "Company Analysis of Reasons and Impacts for Changes in Accounting Policies, Accounting Estimates, or Corrections of Significant Accounting Errors"

41. Starting from 2025, the first implementation of new accounting standards or standard interpretations involves adjusting the financial statements at the beginning of the year of first implementation

☐ Applicable √ Not applicable

42. Others

☐ Applicable √ Not applicable

VI. Taxes 1. Main types of taxes and tax ratesMain tax types and tax rates ☒ Applicable ☐ Not applicable

Tax types	Tax Base	Tax rates
Value-added tax	Output VAT is calculated based on the income from the sale of goods and taxable services calculated according to tax laws. After deducting the input tax allowed for deduction for the period, the difference is the VAT payable	13%, 10%, 9%, 8%, 7.7%, 6%, etc. (export goods implement a "tax exemption, credit, and refund" policy); Hong Kong subsidiaries have no VAT; Swiss subsidiaries are subject to a 7.7% VAT; Vietnamese subsidiaries are subject to VAT rates of 10% and 8%.
Consumption tax	Taxable Sales (Volume)	5%
Land value increment tax	The value added arising from the paid transfer of state-owned land use rights and property rights of above-ground buildings and other attachments	30%
Property tax	For ad valorem levies, 1.2% of the remaining value after deducting 30% from the original property value in one installment shall be paid; For rent levied from the tax, 12% of the rental income shall be paid	1.2% 、 12%
Urban maintenance and construction tax	The actual amount of turnover tax paid	5%[Note 1]
Education surcharge	The actual amount of turnover tax paid	3%[Note 1]
Local education surcharge	The actual amount of turnover tax paid	2%[Note 1]
Corporate income tax	Taxable income	25%, 15%, 20%, 29.84%, etc

[Note 1] Overseas subsidiaries are not subject to urban maintenance and construction tax, education surcharge, or local education surcharge

If there are taxpayers with different corporate income tax rates, the disclosure statement ☒ applicable ☐ not applicable

Name of the taxpayer	Income Tax Rate (%)
Our company	15%
Huzhou Hengxin Metal Products Co., Ltd	15%
Anji Hengyou Technology Co., Ltd	15%
Anji Hengyi Furniture Co., Ltd	15%
Anhui Cigna Furniture Co., Ltd	15%
Dongguan Chu Boshi Home Co., Ltd	15%
Zhejiang Yongyu Home Furnishing Co., Ltd	15%
Taicang Jimeng Commercial Equipment Co., Ltd	15%
Henan Shining Diamond Co., Ltd	15%
Hangzhou Hengjian Supply Chain Technology Co., Ltd	0%
Vietnam Henglin Home Co., Ltd . [Note].	20%
Vietnam Hengfeng Home Co., Ltd . [Note].	20%
VIETNAM YONG YU FLOORING COLTD [] Note	20%
Nouhaus INC (USA).	29.84%
EfulfillINC	29.84%
Dumos Home inc.(USA)	29.84%
YOYU USA,INC	26.75%
Riverforest	21%
EVER CONSTANT INVESTMENT PTE LTD.	17%

EVER GLARY PTE LTD	17%
PT HENGLIN FURNITURE DEVELOPMENT	11%
Nouhaus CO., LTD (South Korea).	20%
COLAMY Gmbh	15.83%
Aurora Maison INC	4.63%
Heng Ruy AG	16.00%
Lista Office Group AG	16.00%
Horgos Guangxun Business Consulting Management Co., Ltd. and 12 other small and micro enterprises	20.00%
Hengjian Home (Hong Kong) Limited and nine other Hong Kong companies [Note].	16.50%
Other taxpayers other than those mentioned above	25.00%

[Note]: "Resolution on Applying Corporate Income Tax Additional Tax According to Global Minimum Tax Rules": The Global

Minimum Tax Rule ensures that multinational corporate entities within the scope pay at least a 15% minimum tax in each jurisdiction where they operate. In 2025, this legislation will take effect in Vietnam and Hong Kong, with three Vietnamese subsidiaries including VIETNAM YONG YU FLOORING COLTD, and nine Hong Kong companies including Hengjian Home (Hong Kong) Limited.

2. Tax incentives

√ Applicable □ Not applicable

- Additional VAT Deduction According to the "Announcement on the VAT Additional Deduction Policy for Advanced Manufacturing Enterprises" issued by the Ministry of Finance and the State Taxation Administration in September 2023 (Ministry of Finance and State Taxation Administration Announcement No. 43 of 2023), from January 1, 2023 to December 31, 2027, advanced manufacturing enterprises are allowed to offset the payable VAT by an additional 5% of the deductible input tax for the current period. The company and some subsidiaries are advanced manufacturing enterprises and will enjoy preferential input tax deduction policies in 2025.

According to the Vietnamese government's Decree No. 174/2025/ND-CP issued on June 30, 2025, extending the VAT reduction to 8% until December 31, 2026, Vietnamese subsidiaries such as Henglin Home Furnishing Co., Ltd. will enjoy this preferential policy for 2025.

- Corporate income tax incentives The company obtained the High-Tech Enterprise Certificate No.

GR202533006932 on December 19, 2025, with a validity period of 3 years. From 2025 to 2027, the corporate income tax rate will be reduced at 15%.

Subsidiary Huzhou Hengxin Metal Products Co., Ltd. obtained the High-Tech Enterprise Certificate No. GR202333007667 on December 8, 2023, valid for 3 years, and will be taxed at a reduced corporate income rate of 15% from 2023 to 2025.

Subsidiary Anji Hengyou Technology Co., Ltd. obtained the High-Tech Enterprise Certificate No. GR202533010524 on December 19, 2025, valid for 3 years, and will be taxed at a reduced corporate income rate of 15% from 2025 to 2027.

Subsidiary Anji Hengyi Furniture Co., Ltd. obtained the High-Tech Enterprise Certificate No. GR202533001520 on December 19, 2025, with a validity period of 3 years. From 2025 to 2027, corporate income tax will be levied at a reduced rate of 15%.

Subsidiary Anhui Cigna Furniture Co., Ltd. obtained the High-Tech Enterprise Certificate No. GR202334006512 on November 30, 2023, valid for 3 years, and will be taxed at a reduced corporate income rate of 15% from 2023 to 2025.

Subsidiary Dongguan Chu Boshi Home Co., Ltd. obtained the High-Tech Enterprise Certificate No. GR202444008895 on December 11, 2024, valid for 3 years, and will be taxed at a reduced corporate income rate of 15% from 2024 to 2026.

Subsidiary Zhejiang Yongyu Home Co., Ltd. obtained the High-Tech Enterprise Certificate No. GR202533006927 on December 19, 2025, valid for 3 years, and will be taxed at a reduced corporate income tax rate of 15% from 2025 to 2027. Subsidiary Taicang Jimeng Commercial Equipment Co., Ltd. obtained the High-Tech Enterprise Certificate No. GR202532012383 on December 19, 2025, with a validity period of 3 years. From 2025 to 2027, corporate income tax will be levied at a reduced rate of 15%. Subsidiary Henan Shining Diamond Co., Ltd. obtained the High-Tech Enterprise Certificate No. GR202541001832 on December 19, 2025, valid for 3 years, and will be subject to a reduced corporate income tax rate of 15% from 2025 to 2027.

Subsidiary Hangzhou Hengjian Supply Chain Technology Co., Ltd. passed the Zhejiang Province "Double Soft Enterprise" certification on November 27, 2024, valid for one year, and will be taxed at a reduced corporate income rate of 0% starting in 2025.

Small and micro-profit enterprises refer to those engaged in industries not restricted or prohibited by the state, and that simultaneously meet three conditions: annual taxable income not exceeding 3 million yuan, no more than 300 employees, and total assets not exceeding 50 million yuan. According to the Ministry of Finance and the State Taxation Administration's "Announcement on Further Supporting the Development of Small and Micro Enterprises and Individual Industrial and Commercial Households on Relevant Tax and Fee Policies" (2023 No. 12), small and micro-profit enterprises are subject to a 25% reduction in taxable income and a 20% corporate income tax rate, with the policy extending until December 31, 2027. From January 1, 2023 to December 31, 2027, for small-scale VAT taxpayers, small and micro-profit enterprises, and individual businesses, resource tax (excluding water resource tax), urban maintenance and construction tax, property tax, urban land use tax, stamp duty (excluding securities transaction stamp duty), cultivated land occupation tax, education surcharge, and local education surcharge will be imposed at half rate. Some subsidiaries that meet the conditions for small and micro-profit enterprises will enjoy this preferential policy in 2025.

Subsidiary VIETNAM YONG YU FLOORING COLTD obtained the investment license issued by the Ministry of Planning and Investment of Binh Duong Province on March 22, 2019. Factory Two (self-built Vietnam Smart Factory) was put into use in 2023. Since its completion, it has enjoyed the preferential corporate income tax policy of two exemptions and four percent tax reduction. In 2025, Factory Two (self-built Vietnam Smart Factory) will pay corporate income tax at half the rate at 20%.

3. Others

☐ Applicable ☒ Not applicable

VII. Notes to Consolidated Financial Statement Items 1. Monetary Funds

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance	Opening balance
Cash on hand	640,978.47	736,523.27
Bank deposits	927,274,980.70	1,185,322,693.03
Other monetary funds	336,638,424.93	473,496,780.42
Deposits in finance companies		
Total	1,264,554,384.10	1,659,555,996.72
Where: the total amount of funds deposited abroad	644,890,743.06	455,753,593.03

Other notes:

At the end of the period, the bank acceptance deposit was 88,061,501.7 yuan, guarantee deposit was 2,521,114.89 yuan, State Grid electricity deposit was 1,455,038.47 yuan, housing rental deposit was 113,995,005.20 yuan, and other restricted funds were 8,010.72 yuan, totaling 206,040,670.98 yuan. Usage is restricted and cannot be withdrawn at any time.

2. Trading financial assets

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance	Opening balance	Specify reasons and grounds
Financial assets measured at fair value with changes recognized in current profit or loss	653,511.88	425,998.96	/
Among them:			
Stocks	447,548.32	425,998.96	/
Trust	205,963.56		/
Designate financial assets measured at fair value with changes recognized in profit or loss for the period			
Among them:			
Total	653,511.88	425,998.96	/

Other notes: ☐ Applicable ☒ Not applicable

3. Derivative financial assets

☐ Applicable ☒ Not applicable

4. Notes receivable

(1). Classified presentation of notes receivable

☐ Applicable ☒ Not applicable

(2). Notes receivable pledged by the company at the end of the period

☐ Applicable ☒ Not applicable

(3). Notes receivable endorsed or discounted by the company at the end of the period that have not yet matured as of the balance sheet date

☐ Applicable ☒ Not applicable

(4). Classification disclosure according to bad debt provision method

☐ Applicable ☒ Not applicable

Provision for bad debts is made on an individual basis: ☐ Applicable ☒ Not applicable

Bad debt provision based on portfolio: ☐ Applicable ☒ Not applicable

Bad debt provision is made according to the general model for expected credit losses ☐ Applicable ☒ Not

applicable. Basis for stage classification and bad
debt provision provision ratio: None

Explanation of the significant changes in the book balance of notes receivable with changes in loss provisions during the period: ☐ Applicable ☒ Not applicable

(5). Provision for bad debts

☐ Applicable ☒ Not applicable

Among these, the amount of bad debt provision for recovery or reversal in the current period is important: ☐ Applicable ☒ Not applicable

Other notes: None

(6). Actual notes receivable written off during the period

☐ Applicable ☒ Not applicable

Among them, the write-off of important notes receivable: ☐ Applicable ☒ Not applicable

Notes Receivable Write-off Instructions: ☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

5. Accounts receivable

(1). Disclosure by Age

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Aging of accounts	Ending book balance	Beginning book balance
1 1 year (including 1 year).	2,042,280,661.02	1,693,166,736.20
1 one year	2,042,280,661.02	1,693,166,736.20
1 to 2 years	87,591,767.37	105,911,271.51
2 to 3 years	68,422,623.51	104,719,308.27
3 than 3 years		
3 to 4 years	52,511,364.30	81,024,918.52
4 to 5 years	47,454,776.71	21,210,354.65
5 than 5 years	35,740,388.43	20,169,618.26
Total	2,334,001,581.34	2,026,202,207.41

(2). Classification disclosure according to bad debt provision method√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Category	Ending balance					Opening balance				
	Book balance		Bad debt provision		Book value	Book balance		Bad debt provision		Book value
	Amount	Proportion (%)	Amount	Provisioning Ratio (%)		Amount	Proportion (%)	Amount	Provisioning Ratio (%)	
Bad debt provisions are made on a per-item basis	128,426,317.90	5.50	82,407,121.67	64.17	46,019,196.23	111,454,714.65	5.50	71,901,811.18	64.51	39,552,903.47
Among them:										
Single-item provisioning	128,426,317.90	5.50	82,407,121.67	64.17	46,019,196.23	111,454,714.65	5.50	71,901,811.18	64.51	39,552,903.47
Bad debt provisions are made based on the portfolio	2,205,575,263.44	94.50	173,101,165.19	7.85	2,032,474,098.25	1,914,747,492.76	94.50	149,161,793.85	7.79	1,765,585,698.91
Among them:										
Aging portfolio	2,205,575,263.44	94.50	173,101,165.19	7.85	2,032,474,098.25	1,914,747,492.76	94.50	149,161,793.85	7.79	1,765,585,698.91
Total	2,334,001,581.34	100.00	255,508,286.86	10.95	2,078,493,294.48	2,026,202,207.41	100.00	221,063,605.03	10.91	1,805,138,602.38

Provision for bad debts is made on an individual basis: ☒ Applicable ☐ Not applicable unit: Yuan Currency: RMB

Name	Ending balance			
	Book balance	Bad debt provision	Provisioning Ratio (%)	Reasons for accrual
Single-item provisioning	128,426,317.90	82,407,121.67	64.17	Management judged
Total	128,426,317.90	82,407,121.67	64.17	/

Explanation of making bad debt provisions on an individual basis: ☐ Applicable ☒ Not applicable

Bad debt provision by portfolio: ☒ Applicable ☐ Not Applicable Portfolio provision items: Aging Portfolio unit: RMB Currency: RMB

Name	Ending balance		
	Book balance	Bad debt provision	Provisioning Ratio (%)
Combined provisions	2,205,575,263.44	173,101,165.19	7.85
Total	2,205,575,263.44	173,101,165.19	7.85

Explanation of bad debt provision by portfolio: ☒ Applicable ☐ Not applicable (1) Accounts receivable for which bad debt provision is made using aging portfolio 1

Aging of accounts	Final numbers		
	Book balance	Bad debt provision	Provisioning Ratio (%)
Within 1 year	1,696,614,572.54	84,830,850.24	5.00
1-2 years	46,643,223.69	4,664,322.33	10.00
2-3 years	42,543,887.73	8,508,777.58	20.00
3-4 years	31,358,535.86	15,679,267.98	50.00
4-5 years	17,145,744.58	13,716,595.66	80.00
More than 5 years	19,958,327.23	19,958,327.23	100.00
Sub-total	1,854,264,291.63	147,358,141.02	7.95

(2) Accounts receivable for which bad debt provisions are made using the aging combination 2

Aging of accounts	Final numbers		
	Book balance	Bad debt provision	Provisioning Ratio (%)
Within 1 year	336,475,249.30	16,823,762.45	5.00
1-2 years	3,702,026.42	740,405.29	20.00
2-3 years	5,909,679.32	2,954,839.66	50.00
More than 3 years	5,224,016.77	5,224,016.77	100.00
Sub-total	351,310,971.81	25,743,024.17	7.33

Bad debt provision is made based on the general model for expected credit losses ☐ Applicable ☒ Not applicable

No basis for stage classification or allowance ratio for bad debt provision

Explanation of significant changes in the book balance of accounts receivable due to changes in loss provisions during the current period: ☐ applicable ☒ not applicable

(3). Provision for bad debts

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Category	Opening balance	Amount of change for the current period				Ending balance
		Accounting	Retract or turn back	Write-off or write-off	Other changes	
Provision for bad debts is made on a standalone basis	71,901,811.18	21,880,086.37	799,704.13	10,589,910.14	14,838.39	82,407,121.67
Bad debt provisions are made based on the portfolio	149,161,793.85	29,957,894.69		3,087,580.67	-2,930,942.68	173,101,165.19
Total	221,063,605.03	51,837,981.06	799,704.13	13,677,490.81	-2,916,104.29	255,508,286.86

Among these, the amount of bad debt provision for recovery or reversal in the current period is important: ☐ Applicable ☒ Not applicable

Other notes: None

(4). Actual write-off of accounts receivable during the period

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Redemption amount
Accounts receivable actually written off	13,677,490.81

Among them, the important write-off of accounts receivable ☒ Applicable ☐ Not applicable unit: RMB Currency: RMB

Unit name	Nature of accounts receivable	Redemption amount	Reasons for write-off	Fulfilling the verification procedure	Whether the funds are generated by related-party transactions
Chongqing Qingke Trading Co., Ltd	Payment for goods	9,456,622.77	Irreversible	Subject to management approval	No
Total	/	9,456,622.77	/	/	/

Notes on Accounts Receivable Write-off: ☒ Applicable ☐ Not Applicable Chongqing Qingke Trading Co., Ltd. has filed for bankruptcy. The company has received ordinary receivables for this period, and the remaining receivables of 9,456,622.77 yuan are expected to be uncollectible and will be written off after management approval

(5). Accounts receivable and contract assets of the top five ending balances collected by the debtor√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Unit name	Accounts receivable ending balance	Ending balance of contract assets	Accounts receivable and contract asset ending balances	Proportion of Total Accounts Receivable and Contract Assets at Period End (%)	Bad debt provision at the end of the period
Unit One	510,019,340.02		510,019,340.02	21.83	25,500,967.00
Unit Two	124,673,888.17		124,673,888.17	5.34	6,233,694.40
Unit three	120,101,250.86		120,101,250.86	5.14	7,379,287.23
Unit Four	94,471,617.27		94,471,617.27	4.04	4,723,580.86
Unit five	83,732,756.47		83,732,756.47	3.58	4,186,637.82
Total	932,998,852.79		932,998,852.79	39.94	48,024,167.31

Other notes: None

Other notes: ☐ Applicable √ Not applicable**6. Contract assets****(1). Contract asset status**√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance			Opening balance		
	Book balance	Bad debt provision	Book value	Book balance	Bad debt provision	Book value
Warranty money receivable	2,188,368.36	980,271.11	1,208,097.25	5,096,284.09	281,880.78	4,814,403.31
Total	2,188,368.36	980,271.11	1,208,097.25	5,096,284.09	281,880.78	4,814,403.31

(2). The amount and reason for significant changes in book value during the reporting period☐ Applicable √ Not applicable

(3). Classified disclosure by bad debt provision method√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Category	Ending balance					Opening balance				
	Book balance		Bad debt provision		Book value	Book balance		Bad debt provision		Book value
	Amount	Proportion (%)	Amount	Provisioning Ratio (%)		Amount	Proportion (%)	Amount	Provisioning Ratio (%)	
Bad debt provisions are made on a per-item basis	2,188,368.36	100.00	980,271.11	44.79	1,208,097.25	60,147.95	1.18	30,073.98	50.00	30,073.97
Among them:										
Single-item provisioning	2,188,368.36	100.00	980,271.11	44.79	1,208,097.25	60,147.95	1.18	30,073.98	50.00	30,073.97
Bad debt provisions are made based on the portfolio						5,036,136.14	98.82	251,806.80	5.00	4,784,329.34
Among them:										
Customer type combinations						5,036,136.14	98.82	251,806.80	5.00	4,784,329.34
Total	2,188,368.36	100.00	980,271.11	44.79	1,208,097.25	5,096,284.09	100.00	281,880.78	5.53	4,814,403.31

Provision for bad debts is made on an individual basis: ☒ Applicable ☐ Not applicable unit: Yuan Currency: RMB

Name	Ending balance			
	Book balance	Bad debt provision	Provisioning Ratio (%)	Reasons for accrual
Single-item provisioning	2,188,368.36	980,271.11	44.79	Management judged
Total	2,188,368.36	980,271.11	44.79	/

Explanation of making bad debt provisions on an individual basis: ☒ Applicable ☐ Not applicable: None

Bad debt provision based on portfolio: ☐ Applicable ☒ Not applicable

Bad debt provision is made based on the general model for expected credit losses ☐ Applicable ☒ Not applicable

No basis for stage classification or allowance ratio for bad debt provision

Explanation of significant changes in the book balance of contract assets with changes in loss provision during the current period: ☐ Applicable ☒ Not applicable

(4). Allowance for bad debts accrued for contract assets during the current period

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Opening balance	Amount of change for the current period				Ending balance	The reason
		Provisions for This Period [Note 1]	Withdraw or revert in the current period	Cancellation/redemption for this period	Other Changes [Note 2]		
Provision for bad debts is made on a standalone basis	30,073.98	984,852.44			-34,655.31	980,271.11	
Bad debt portfolio provision is made based on the portfolio	251,806.80	-251,806.80				0.00	
Total	281,880.78	733,045.64			-34,655.31	980,271.11	/

[Note 1] The impairment provision made last year based on the aging portfolio has been transferred to a standalone provision this year based on prudence

[Note 2] If maturity exceeds one year, transfer to other non-current assets

Among these, the amount of bad debt provision for recovery or reversal in the current period is important: ☐ Applicable ☒ Not applicable

Other notes: None

(5). Actual written off contract assets during the period

☐ Applicable ☒ Not

applicable to significant contract asset
write-offs ☐ Applicable ☒ Not applicable

Explanation of contract asset write-off: ☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

7. Financing of receivables

(1). Classification and presentation of receivables financing

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance	Opening balance
Bank acceptance drafts	212,665.99	658,186.94
Total	212,665.99	658,186.94

(2). Financing of receivables pledged by the company at the end of the period

☐ Applicable ☒ Not applicable

(3). Financing of receivables endorsed or discounted by the company at period end that have not yet matured as of the balance sheet date

☐ Applicable ☒ Not applicable

(4). Classification disclosure according to bad debt provision method√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Category	Ending balance					Opening balance				
	Book balance		Bad debt provision		Book value	Book balance		Bad debt provision		Book value
	Amount	Proportion (%)	Amount	Provisioning Ratio (%)		Amount	Proportion (%)	Amount	Provisioning Ratio (%)	
Bad debt provisions are made on a per-item basis										
Among them:										
Bad debt provisions are made based on the portfolio	212,665.99	100.00			212,665.99	658,186.94	100.00			658,186.94
Among them:										
Bank acceptance drafts	212,665.99	100.00			212,665.99	658,186.94	100.00			658,186.94
Total	212,665.99	100.00		/	212,665.99	658,186.94	100.00		/	658,186.94

Provision for bad debts is made on an individual basis: ☐ Applicable ☒ Not applicable

Explanation of making bad debt provisions on an individual basis: ☐ Applicable ☒ Not applicable

Bad debt provision by portfolio: ☒ Applicable ☐ Not Applicable Combination provision item: Bank acceptance bill Unit: RMB Currency: RMB

Name	Ending balance		
	Book balance	Bad debt provision	Provisioning Ratio (%)
Combined provisions	212,665.99		
Total	212,665.99		

Explanation of Bad Debt Provision Based on Portfolio ☐ Applicable ☒ Not Applicable

Bad debt provision is made based on the general model for expected credit losses ☐ Applicable ☒ Not applicable

No basis for stage classification or allowance ratio for bad debt provision

Explanation of significant changes in the book balance of receivables financing due to changes in loss provisions during the current period: ☐ Applicable ☒ Not applicable

(5). Provision for bad debts

☐ Applicable ☒ Not applicable

Among these, the amount of bad debt provision for recovery or reversal in the current period is important: ☐ Applicable ☒ Not applicable

Other notes: None

(6). Actual Financing of Receivables Written Off for the Current Period

☐ Applicable ☒ Not applicable

Among them, the write-off of important receivables financing ☐ applicable ☒ not applicable

Redemption Instructions: ☐ Applicable ☒ Not Applicable

(7). Changes in Receivables Financing and Fair Value Changes for the Current Period:

☐ Applicable ☒ Not applicable

(8). Other notes

☐ Applicable ☒ Not applicable

8. Advance payments**(1). Advance payments are presented by age**

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Aging of accounts	Ending balance		Opening balance	
	Amount	Proportion (%)	Amount	Proportion (%)
Within 1 year	66,141,866.01	90.26	66,116,669.17	90.52
1 to 2 years	3,130,525.35	4.27	3,863,879.36	5.29
2 to 3 years	1,665,245.95	2.27	450,190.81	0.62
More than 3 years	2,344,688.42	3.20	2,610,499.84	3.57
Total	73,282,325.73	100.00	73,041,239.18	100.00

Explanation of reasons for untimely settlement of important advance payments over one year old: None

(2). The top five prepayments by period-end balance collected by prepayment recipients

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Unit name	Ending balance	Proportion of Total Ending Balance of Prepayments (%)
Unit One	6,729,849.44	9.18
Unit Two	1,980,000.00	2.70
Unit three	1,742,785.84	2.38
Unit Four	1,502,179.88	2.05
Unit five	1,394,481.36	1.90
Total	13,349,296.52	18.21

Other notes: None

Other notes: ☐ Applicable ☒ Not applicable

9. Other receivables**Project listing**

☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

Interest receivable

(1). Classification of Interest Receivable

☐ Applicable ☒ Not applicable

(2). Significant overdue interest

☐ Applicable ☒ Not applicable

(3). Classified disclosure by bad debt provision method

☐ Applicable ☒ Not applicable

Provision for bad debts is made on an individual basis: ☐ Applicable ☒ Not applicable

Explanation of making bad debt provisions on an individual basis: ☐ Applicable ☒ Not applicable

Bad debt provision based on portfolio: ☐ Applicable ☒ Not applicable

(4). Bad debt provisions are made according to the general model for expected credit losses

☐ Applicable ☒ Not applicable

No basis for stage classification or allowance ratio for bad debt provision

Explanation of significant changes in the book balance of interest receivable due to changes in loss provision during the current period: ☐ Applicable ☒ Not applicable

(5). Provision for bad debts

☐ Applicable ☒ Not applicable

Among these, the amount of bad debt provision for recovery or reversal in the current period is important: ☐ Applicable ☒ Not applicable

Other notes: None

(6). Actual interest receivable written off for the current period

☐ Applicable ☒ Not applicable

Among them, the important write-off of interest receivable ☐ applicable ☒ not applicable

Redemption Instructions:

☐ Applicable ☒ Not

Applicable Other Notes: ☐
Applicable ☒ Not applicable

Dividends receivable

(1). Dividends receivable

☐ Applicable ☒ Not applicable

(2). Significant dividends receivable with an aging of more than one year

☐ Applicable ☒ Not applicable

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(3). Classified disclosure by bad debt provision method

☐ Applicable ☒ Not applicable

Provision for bad debts is made on an individual basis: ☐ Applicable ☒ Not applicable

Explanation of making bad debt provisions on an individual basis: ☐ Applicable ☒ Not applicable

Bad debt provision based on portfolio: ☐ Applicable ☒ Not applicable

(4). Bad debt provisions are made according to the general model for expected credit losses

☐ Applicable ☒ Not applicable

Basis for each stage classification and bad debt provision ratio: None

Explanation of significant changes in the book balance of dividends receivable due to changes in loss provisions during the period: ☐ Applicable ☒ Not applicable

(5). Provision for bad debts

☐ Applicable ☒ Not applicable

Among these, the amount of bad debt provision for recovery or reversal in the current period is important: ☐ Applicable ☒ Not applicable

Other notes: None

(6). Actual write-off of dividends receivable during the period

☐ Applicable ☒ Not applicable

Among them, important dividend receivables
write-off situations ☐ Applicable ☒ Not applicable

Explanation of write-off: ☐
 Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

Other receivables

(1). Disclosure by Age

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Aging of accounts	Ending book balance	Beginning book balance
Within 1 year (including 1 year)	38,935,921.53	62,377,556.10
Within 1 year (including 1 year)	38,935,921.53	62,377,556.10
1 to 2 years	3,378,904.96	26,504,159.33
2 to 3 years	3,310,134.50	3,709,284.14
More than 3 years		
3 to 4 years	2,081,059.82	22,483,586.46
4 to 5 years	20,893,881.22	19,331,520.91
More than 5 years	22,981,972.12	3,645,941.95
Total	91,581,874.15	138,052,048.89

(2). Classification by the nature of the funds

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Nature of the funds	Ending book balance	Beginning book balance
Deposit, security deposit	53,442,582.41	52,505,612.63
Temporary payment receivable	12,086,078.63	35,010,409.94
export tax rebate	24,360,843.66	48,307,944.48
Opening up loans	42,369.45	578,081.84
Equity transfer proceeds	1,650,000.00	1,650,000.00
Total	91,581,874.15	138,052,048.89

(3). Provision for bad debts

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Bad debt provision	Phase One	Phase Two	Stage three	Total
	Expected credit losses over the next 12 months	Expected credit loss over the entire life (no credit impairment)	Expected credit loss over the entire life (credit impairment has occurred)	
Balance as of January 1, 2025	3,118,877.80	2,960,085.25	32,024,538.73	38,103,501.78
Balance as of January 1, 2025 for the current period				
-- Move on to the second stage	-168,945.25	168,945.25		

-- Move on to the third stage		-335,546.83	335,546.83	
--Return to the second stage				
--Return to the first stage				
Provision for this period	-245,041.31	-2,448,922.84	9,630,568.61	6,936,604.46
This issue is back				
Sold off this period				
This period is redeemed for this period			536,686.68	536,686.68
Other changes	-758,095.18			-758,095.18
Balance as of December 31, 2025	1,946,796.06	344,560.83	41,453,967.49	43,745,324.38

Basis for each stage classification and bad debt provision

ratio: Stage 1 5%, Stage 2 10.20%, Stage 3 84.14%

Explanation of significant changes in the book balance of other receivables with changes in loss provision during the period: ☐ Applicable ☒ Not applicable

The amount of bad debt provision for the current period and the basis for assessing whether the credit risk of financial instruments has significantly increased: ☐ Applicable ☒ Not applicable

(4). Situation regarding bad debt provisions

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Category	Opening balance	Amount of change for the current period				Ending balance
		Accounting	Retract or turn back	Write-off or write-off	Other changes	
Bad debt provisions are made based on the portfolio	38,103,501.78	6,936,604.46		536,686.68	-758,095.18	43,745,324.38
Total	38,103,501.78	6,936,604.46		536,686.68	-758,095.18	43,745,324.38

Among these, the amount of bad debt provision for reversal or recovery for this period is important: ☐ Applicable ☒ Not applicable

Other notes: None

(5). Other receivables actually written off during the period

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Redemption amount
Other receivables actually written off	536,686.68

Other important receivables write-offs: ☐ Applicable ☒ Not applicable

Other receivables write-off instructions: ☐ Applicable ☒ Not applicable

(6). Other receivables of the top five ending balances collected by the debtor

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Unit name	Ending balance	Proportion of Total Ending Balance of Other Receivables (%)	The nature of the funds	Aging of accounts	Bad debt provision at the end of the period
Unit One	20,000,000.00	21.84	Deposit	Within 4-5 years	16,000,000.00
Unit Two	24,360,843.66	26.60	export tax rebate	Within 1 year	1,218,042.18
Unit three	8,363,709.70	9.13	Deposit, security deposit	More than 5 years	8,363,709.70
Unit Four	5,623,765.02	6.14	Deposit, security deposit	More than 5 years	5,623,765.02
Unit five	2,197,909.16	2.40	Deposit, security deposit	More than 5 years	2,197,909.16
Total	60,546,227.54	66.11	/	/	33,403,426.06

(7). Listed under other receivables due to centralized fund management

☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

10. Inventory**(1). Inventory classification**√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance			Opening balance		
	Book balance	Provision for inventory write-down/provision for impairment of contract performance costs	Book value	Book balance	Provision for inventory write-down/provision for impairment of contract performance costs	Book value
Raw materials	313,390,008.56	67,082,308.36	246,307,700.20	377,577,271.97	59,241,507.30	318,335,764.67
Product-in-progress	130,930,870.74	5,546,860.84	125,384,009.90	134,553,693.19	6,259,996.13	128,293,697.06
Inventory goods	2,367,700,250.20	113,979,723.49	2,253,720,526.71	1,804,952,570.90	113,848,272.36	1,691,104,298.54
Turnover materials						
Consumable biological assets						
Contract performance costs	113,357,358.11	2,907,198.54	110,450,159.57	172,666,483.18		172,666,483.18
Products sold under consignment	276,912.16		276,912.16	9,359,431.17		9,359,431.17
Outsourced processing of materials	5,870,541.91		5,870,541.91	6,050,373.82		6,050,373.82
Total	2,931,525,941.68	189,516,091.23	2,742,009,850.45	2,505,159,824.23	179,349,775.79	2,325,810,048.44

(2). Data resources recognized as inventory☐ Applicable √ Not applicable**(3). Provision for inventory write-downs and impairment of contract performance costs**√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Opening balance	Increase in amount this period		Amount reduced for this period		Ending balance
		Accounting	Others	Return or re-sell	Others	
Raw materials	59,241,507.30	23,337,001.68		13,451,243.22	2,044,957.40	67,082,308.36
Product-in-progress	6,259,996.13	-442,121.02		765,144.97	-494,130.70	5,546,860.84

Inventory goods	113,848,272.36	58,233,868.06		58,315,156.91	-212,739.98	113,979,723.49
Contract performance costs		2,907,198.54				2,907,198.54
Total	179,349,775.79	84,035,947.26		72,531,545.10	1,338,086.72	189,516,091.23

Reasons for the reversal or write-off of inventory write-downs in this period ☒ Applicable ☐ Not applicable

Project	The specific basis for determining the net realizable value	Reasons for reversing inventory write-down provisions	Reasons for the write-off of inventory write-down provisions
Raw materials	Net realizable value is determined by the estimated selling price of the relevant finished goods minus estimated costs to be incurred upon completion, estimated selling expenses, and related taxes and fees	The net realizable value of inventory, for which inventory write-downs have been provisioned for prior periods, has increased	Inventory consumption/sale of inventory with provision for inventory write-downs will be made for this period
Product-in-progress	Net realizable value is determined by the estimated selling price of the relevant finished goods minus estimated costs to be incurred upon completion, estimated selling expenses, and related taxes and fees	The net realizable value of inventory, for which inventory write-downs have been provisioned for prior periods, has increased	Inventory consumption/sale of inventory with provision for inventory write-downs will be made for this period
Inventory goods	Net realizable value is determined by the estimated selling price of the relevant finished goods minus estimated costs to be incurred upon completion, estimated selling expenses, and related taxes and fees	The net realizable value of inventory, for which inventory write-downs have been provisioned for prior periods, has increased	Inventory consumption/sale of inventory with provision for inventory write-downs will be made for this period

Inventory write-down provision is made by portfolio ☐ applicable ☒ not applicable

Standards for Provisioning Inventory Write-Downs by Portfolio ☐ Applicable ☒ Not Applicable

(4). The capitalized amount of borrowing expenses contained in the ending balance of inventory, along with its calculation standards and basis

☐ Applicable ☒ Not applicable

(5). Explanation of the amortization amount for the current period of contract performance costs

☒ Applicable ☐ Not applicable

Project	Initial count	This period has increased	Amortization for the period	Impairment provision was made for the period	Final numbers
Contract performance costs	172,666,483.18	127,527,902.91	186,837,027.98	2,907,198.54	110,450,159.57
Sub-total	172,666,483.18	127,527,902.91	186,837,027.98	2,907,198.54	110,450,159.57

Other notes: ☐ Applicable ☒ Not applicable

11. Holding assets for sale

☐ Applicable ☒ Not applicable

12. Non-current assets maturing within one year

☐ Applicable ☒ Not applicable

Debt investments due within one year

☐ Applicable ☒ Not applicable

Other debt investments due within one year

☐ Applicable ☒ Not applicable

Other notes on non-current assets due within one year: None

13. Other current assets

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance	Opening balance
Contract acquisition costs		
Costs receivable for returns		
VAT to be deducted	101,662,330.10	183,785,260.58
Prepayment of VAT	52,171,202.65	41,314,623.63
Corporate income tax prepayment	5,576,959.20	8,635,809.89
Deferred expenses	57,067.47	374,324.65
Pending the return of personal income tax	121,695.70	128,995.95
Total	159,589,255.12	234,239,014.70

Other notes: None

14. Debt investment**(1). Debt investment situation**

☐ Applicable ☒ Not applicable

Changes in Debt Investment

Impairment Provisions for the Current

Period ☐ Applicable ☒ Not Applicable

(2). Significant debt investments at period end

☐ Applicable ☒ Not applicable

(3). Impairment provision status

☐ Applicable ☒ Not applicable

Basis for each stage division and impairment provision ratio: None

Explanation of the significant changes in the book balance of debt investments with loss provisions during the period: ☐ Applicable ☒ Not applicable, and the

basis for assessing whether the credit risk of financial instruments has significantly increased during the current period ☐ Applicable ☒ Not applicable

(4). Actual write-off of debt investments during the period

☐ Applicable ☒ Not applicable

Among them, the write-off of important debt investment situations ☐ applicable ☒ not applicable

Instructions for debt investment write-off: ☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

15. Other debt investments

(1). Other debt investments

☐ Applicable ☒ Not applicable

Changes in other debt investment
impairment provisions during the current
period ☐ Applicable ☒ Not applicable

(2). Other significant debt investments at the end of the period

☐ Applicable ☒ Not applicable

(3). Impairment provision status

☐ Applicable ☒ Not applicable

Basis for each stage division and impairment provision ratio: None

Explanation of significant changes in the book balance of other debt investments with changes in loss provisions during the period: ☐ Applicable ☒ Not applicable

The amount of impairment provision for the current period and the basis for assessing whether the credit risk of financial instruments has significantly increased ☐ Applicable ☒ Not applicable

(4). Other debt investments actually written off during the period

☐ Applicable ☒ Not applicable

Among them, the writtenness of important other debt investments is ☐ applicable ☒ not applicable

Explanation for the write-off of other debt investments: ☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

16. Long-term receivables

(1). Long-term receivables

☐ Applicable ☒ Not applicable

(2). Classification disclosure according to bad debt provision method

☐ Applicable ☒ Not applicable

Provision for bad debts is made on an individual basis: ☐ Applicable ☒ Not applicable

Explanation of making bad debt provisions on an individual basis: ☐ Applicable ☒ Not applicable

Bad debt provision based on portfolio: ☐ Applicable ☒ Not applicable

(3). Bad debt provisions are made using the general model for expected credit losses

☐ Applicable ☒ Not applicable

No basis for stage classification or allowance ratio for bad debt provision

Explanation of significant changes in the book balance of long-term receivables with changes in loss provisions during the current period: ☐ Applicable ☒ Not applicable

The amount of bad debt provision for the current period and the basis for assessing whether the credit risk of financial instruments has significantly increased ☐ Applicable ☒ Not applicable

(4). Situation regarding bad debt provisions

☐ Applicable ☒ Not applicable

Among these, the amount of bad debt provision for recovery or reversal in the current period is important: ☐ Applicable ☒ Not applicable

Other notes: None

(5). Actual write-off of long-term receivables during the period

☐ Applicable ☒ Not applicable

Among them, the important long-term receivables write-off situation: ☐ Applicable ☒ Not Applicable Long-term

receivables write-off instructions: ☐

Applicable ☒ Not applicable

Other notes: ☐

Applicable ☒

Not applicable

17. Long-term equity investment**(1). Long-term equity investment**√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Investee	Opening balance (book value)	Changes in this period								Ending balance (book value)	Impairment provision ending balance
		Additional investment	Reduce investment	Investment gains and losses recognized under the equity method	Other comprehensive income adjustments	Other changes in equity	Announce the payment of cash dividends or profits	Impairment provision is made	Others		
1. Joint ventures											
Zhejiang is second best	1,667,181.11									1,667,181.11	
Sub-total	1,667,181.11									1,667,181.11	
2. Joint ventures											
Hangzhou Shuita Zhichuang Digital Technology Co., Ltd											4,639,100.30
BuroSONAAG	6,558,114.00			-1,022,198.10					668,635.10	6,204,551.00	
The rivers and mountains stand firm	5,939,283.98			-909,670.42						5,029,613.56	
Sub-total	12,497,397.98			-1,931,868.52					668,635.10	11,234,164.56	
Total	14,164,579.09			-1,931,868.52					668,635.10	12,901,345.67	4,639,100.30

(2). Impairment testing status of long-term equity investments☐ Applicable √ Not applicable

Other notes: Hainan Meisu Technology Co., Ltd. is deregistered for this period

18. Other equity instrument investments**(1). Investment in other equity instruments**√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Opening balance	Changes in this period					Ending balance	Dividend income recognized for the period	Gains accumulated in other comprehensive income	Losses accumulated in other comprehensive income	Designated as a reason for measuring at fair value and recognizing changes in other comprehensive income
		Additional investment	Reduce investment	Gains recognized in other comprehensive income for the period	Losses recognized in other comprehensive income during the period	Others					
Anji Agricultural and Commercial Bank	116,606,883.00	6,000,000.00		6,413,064.00			129,019,947.00	2,915,172.08	74,028,397.50		Note:
Hai Fei family	50,000,000.00						50,000,000.00				Note:
Total	166,606,883.00	6,000,000.00		6,413,064.00			179,019,947.00	2,915,172.08	74,028,397.50		/

Note: The company's equity investments in Zhejiang Anji Rural Commercial Bank Co., Ltd. (referred to as Anji Rural Commercial Bank) and Haifeike (Zhuhai) Information Technology Co., Ltd. (hereinafter referred to as Haifeike) cannot be controlled, jointly controlled, or have significant influence over them, and are considered non-trading equity investments in non-listed companies.

(2). Explanation of the derecognition of the current period

☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

19. Other non-current financial assets

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance	Opening balance
Classified as financial assets measured at fair value with changes recognized in profit or loss for the period	20,817,840.00	19,732,551.00
Among them: equity investment	20,817,840.00	19,732,551.00
Total	20,817,840.00	19,732,551.00

Other notes: ☐ Applicable ☒ Not applicable

20. Investment real estate

Investment real estate measurement model

(1). Investment real estate using a cost-based model

Unit: Yuan Currency: Renminbi

Project	Houses and buildings	Land use rights	Construction in progress	Total
1. Book Value (Original Value).				
1. Opening balance	51,928,930.40			51,928,930.40
2. Increase in Amount This Period	3,916,803.57			3,916,803.57
(1) External purchase				
(2) Transfers of inventory, fixed assets, and construction in progress	3,916,803.57			3,916,803.57
(3) Increase in business combinations				
3. Amount reduced during the period	128,888.81			128,888.81
(1) Disposal				
(2) Other transfers				
(3) Transfer into fixed assets	128,888.81			128,888.81
4. Ending balance	55,716,845.16			55,716,845.16
2. Accumulated depreciation and accumulated amortization				
1. Opening balance	26,182,844.76			26,182,844.76
2. Increase in Amount This Period	3,465,657.84			3,465,657.84
(1) Accrual or amortization	2,999,050.98			2,999,050.98
(2) Transfer of fixed assets	466,606.86			466,606.86
3. Amount reduced during the period	3,600.72			3,600.72
(1) Disposal				
(2) Other transfers				
(3) Transfer into fixed assets	3,600.72			3,600.72
4. Ending balance	29,644,901.88			29,644,901.88

3. Impairment provision				
1. Opening balance	68,262.89			68,262.89
2. Increase in Amount This Period	898,740.65			898,740.65
(1) Accrual	42,590.88			42,590.88
(2) Transfer into fixed assets	856,149.77			856,149.77
3. Amount reduced during the period	68,262.89			68,262.89
(1) Disposal				
(2) Other transfers				
(3) Transfer into fixed assets	68,262.89			68,262.89
4. Ending balance	898,740.65			898,740.65
4. Book value				
1. Carrying Amount at Period End	25,173,202.63			25,173,202.63
2. Beginning book value	25,677,822.75			25,677,822.75

(2). Situation of investment properties without property ownership certificates

☐ Applicable ☒ Not applicable

(3). Impairment testing of investment properties using a cost-based model

☒ Applicable ☐ Not applicable

The recoverable amount is determined by the net amount after fair value minus disposal costs

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Book value	Recoverable amount	Impairment amount	Methods for determining fair value and disposal costs	Key parameters	The basis for determining key parameters
Dongguan Arcadia Decoration Co., Ltd. has delivered the work-offset housing	2,552,190.88	2,509,600.00	42,590.88	Fair value is determined using the market approach; Disposal expenses are related to asset disposal	Market prices	Market prices are determined based on the market prices of similar properties in the area; Disposal fees are determined based on transaction fee rates for similar types of real estate in each region
Total	2,552,190.88	2,509,600.00	42,590.88	/	/	/

The recoverable amount is determined at the present value of the expected future cash flows

☐ Applicable ☒ Not applicable

The reason for the discrepancies between the aforementioned information and the information used in previous years' impairment tests or external information is clearly inconsistent

☐ Applicable ☒ Not applicable

The reason for the significant discrepancy between the information used in the impairment test in previous years and the actual situation of the current year

☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

21. Fixed asset item listing

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance	Opening balance
Fixed assets	2,270,523,466.87	2,449,753,362.86
Fixed asset disposal		
Total	2,270,523,466.87	2,449,753,362.86

Other notes: ☐ Applicable ☒ Not applicable

Fixed assets**(1). Fixed asset status**√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Houses and buildings	Machinery and equipment	Means of transportation	Electronics and other equipment	Land use rights	Total
1. Book Value Original:						
1. Opening balance	2,166,362,873.63	1,503,876,569.89	55,677,457.30	301,402,388.74	171,742,302.00	4,199,061,591.56
2. Increase in Amount This Period	125,029,051.91	35,912,385.50	4,740,142.89	41,563,386.50	1,628,949.70	208,873,916.50
(1) Purchase	15,990,778.85	30,771,880.55	7,600,937.33	35,046,783.45		89,410,380.18
(2) Transfer of construction in progress	22,972,776.06	6,512,964.85		2,360,355.38		31,846,096.29
(3) Transfer of investment property	128,888.81					128,888.81
(4) Acquisition of debt restructuring	91,503,600.24					91,503,600.24
(5) Increased exchange rate fluctuations	-5,566,992.05	-1,372,459.90	-2,860,794.44	4,156,247.67	1,628,949.70	-4,015,049.02
3. Amount reduced during the period	66,292,841.60	52,785,481.68	4,015,077.72	9,479,505.30		132,572,906.30
(1) Disposal or scrapping	62,376,038.03	51,430,417.87	4,015,077.72	9,479,505.30		127,301,038.92
(2) Transfer into investment property	3,916,803.57					3,916,803.57
(3) Transfer to construction in progress		1,355,063.81				1,355,063.81
4. Ending balance	2,225,099,083.94	1,487,003,473.71	56,402,522.47	333,486,269.94	173,371,251.70	4,275,362,601.76
2. Accumulated depreciation						
1. Opening balance	698,742,336.71	783,987,033.81	39,042,892.35	207,118,207.62	111,967.80	1,729,002,438.29
2. Increase in Amount This Period	114,393,986.27	144,696,827.11	3,887,903.88	31,095,335.11	11,946.20	294,085,998.57
(1) Accrual	83,575,943.11	128,266,868.73	5,372,990.13	23,779,272.89		240,995,074.86
(2) Transfer of investment property	3,600.72					3,600.72
(3) Increased exchange rate fluctuations	30,814,442.44	16,429,958.38	-1,485,086.25	7,316,062.22	11,946.20	53,087,322.99
3. Amount reduced during the period	3,217,178.12	40,726,338.52	2,402,594.10	8,928,045.06		55,274,155.80
(1) Disposal or scrapping	2,750,571.26	40,603,685.99	2,402,594.10	8,928,045.06		54,684,896.41
(2) Transfer into investment property	466,606.86					466,606.86
(3) Transfer to construction in progress		122,652.53				122,652.53
4. Ending balance	809,919,144.86	887,957,522.40	40,528,202.13	229,285,497.67	123,914.00	1,967,814,281.06

3. Impairment provision						
1. Opening balance	16,608,337.54	3,697,452.87				20,305,790.41
2. Increase in Amount This Period	28,188,535.58	1,009,245.85		874.04		29,198,655.47
(1) Accrual	20,238,351.60	1,009,245.85		874.04		21,248,471.49
(2) Transfer of investment property	68,262.89					68,262.89
(3) Transfer of other non-current assets	7,881,921.09					7,881,921.09
3. Amount reduced during the period	12,223,225.01	256,367.04				12,479,592.05
(1) Disposal or scrapping	11,367,075.24	256,367.04				11,623,442.28
(2) Transfer into investment property	856,149.77					856,149.77
4. Ending balance	32,573,648.11	4,450,331.68		874.04		37,024,853.83
4. Book value						
1. Carrying Amount at Period End	1,382,606,290.97	594,595,619.63	15,874,320.34	104,199,898.23	173,247,337.70	2,270,523,466.87
2. Beginning book value	1,451,012,199.38	716,192,083.21	16,634,564.95	94,284,181.12	171,630,334.20	2,449,753,362.86

(2). Temporarily idle fixed assets√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Book value	Accumulated depreciation	Impairment provision	Book value	Note
Buildings and buildings	193,846,816.49	8,807,532.48		185,039,284.01	
Machinery and equipment	27,701,948.92	14,057,795.68	2,115,049.59	11,529,103.65	
Sub-total	221,548,765.41	22,865,328.16	2,115,049.59	196,568,387.66	

(3). Fixed assets leased out through operating leases√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Carrying amount at the end of the period
Houses and buildings	31,251,383.38
Sub-total	31,251,383.38

(4). Status of fixed assets without property ownership certificates√ Applicable ☐ Not

applicable unit: Yuan Currency: Renminbi

Project	Book value	Reasons for not properly handling the property ownership certificate
Vietnam's smart factory	114,907,691.34	The building permit has not yet been successfully obtained.
Kangshan factory and office building	176,614,204.76	Property certificate in processing
Henglin Factories 1, 2, and 3 in Vietnam	189,618,923.06	Fire safety inspection failed
The craftsman arrived at the house	13,244,516.48	Plans for direct external transfer or house exchange, but relevant ownership procedures have not been completed
Sub-total	494,385,335.64	

(5). Impairment testing of fixed assets√ Applicable ☐ Not applicable**The recoverable amount is determined by the net amount after fair value minus disposal costs**√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Book value	Recoverable amount	Impairment amount	Methods for determining fair value and disposal costs	Key parameters	The basis for determining key parameters
Dongguan Chu Boshi Home Co., Ltd. has delivered the work-offset housing	57,634,579.06	40,951,393.74	16,683,185.32	Fair value is determined using the market approach; Disposal expenses are related to asset disposal	Market prices	Market prices are determined based on the market prices of similar properties in the area; Disposal fees are determined based on transaction fee rates for similar types of real estate in each region
Dongguan Arcadia Decoration Co., Ltd. has delivered the work-offset housing	12,605,845.22	9,050,678.94	3,555,166.28	Fair value is determined using the market approach; Disposal expenses are related to asset disposal	Market prices	Market prices are determined based on the market prices of similar properties in the area; Disposal fees are determined based on transaction fee rates for similar types of real estate in each region
Total	70,240,424.28	50,002,072.68	20,238,351.60	/	/	/

[Note] Kunyuan Asset Appraisal Co., Ltd. appraised the work-offset housing delivered by its subsidiaries Dongguan Chu Boshi Home Co., Ltd. and Dongguan Arcadia Decoration Co., Ltd., and issued an appraisal report (Kunyuan Appraisal Report [2026] No. 435). Based on the estimated recoverable amount in the appraisal report, an impairment loss of 20,238,351.60 yuan was made for the work-offset homes with impairment in fixed assets at the end of the period.

The recoverable amount is determined at the present value of the expected future cash flows

☐ Applicable ☒ Not applicable

The reason for the discrepancies between the aforementioned information and the information used in previous years' impairment tests or external information is clearly inconsistent

☐ Applicable ☒ Not applicable

The reason for the significant discrepancy between the information used in the impairment test in previous years and the actual situation of the current year

☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

Fixed asset disposal

☐ Applicable ☒ Not applicable

22. List of construction in progress

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance	Opening balance
Construction in progress	30,514,593.56	30,748,423.80
Engineering materials		
Total	30,514,593.56	30,748,423.80

Other notes: ☐ Applicable ☒ Not applicable

Construction in progress**(1). Status of Construction in Progress**

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance			Opening balance		
	Book balance	Impairment provision	Book value	Book balance	Impairment provision	Book value
Construction Project of the Innovation and Research Experimental Center in Area A				2,362,112.22		2,362,112.22
Solar power systems	3,013,207.19		3,013,207.19			
Fire protection systems	8,067,129.38		8,067,129.38			
Machinery and equipment to be installed	12,249,140.05		12,249,140.05	18,189,203.17		18,189,203.17
Others	7,185,116.94		7,185,116.94	10,197,108.41		10,197,108.41
Total	30,514,593.56		30,514,593.56	30,748,423.80		30,748,423.80

(2). Changes in important construction projects during the current period

☐ Applicable ☒ Not applicable

(3). Provision for impairment of construction in progress during the period

☐ Applicable ☒ Not applicable

(4). Impairment testing status of construction in progress

☐ Applicable ☒ Not applicable

Other notes: ☐

Applicable ☒ Not
applicable

Engineering materials

(1). Project material status

☐ Applicable ☒ Not applicable

23. Productive biological assets

(1). Productive biological assets using a cost-measurement model

☐ Applicable ☒ Not applicable

(2). Impairment testing of productive biological assets using the cost measurement model

☐ Applicable ☒ Not applicable

(3). Productive biological assets measured using fair value measurement models

☐ Applicable ☒ Not applicable

Other notes: ☐

Applicable ☒ Not
applicable

24. Oil and gas assets

(1). Oil and gas asset status

☐ Applicable ☒ Not applicable

(2). Impairment testing of oil and gas assets

☐ Applicable ☒ Not applicable

Other notes: None

25. Right-of-use assets**(1). Status of right-of-use assets**√ Applicable ☐ Not applicable

Unit: Yuan Currency: Renminbi

Project	Houses and buildings	Specialized equipment	Means of transportation	Total
1. Book Value (Original Value).				
1. Opening balance	1,336,371,390.40	1,391,599.80	33,021,047.72	1,370,784,037.92
2. Increase in Amount This Period	333,029,356.83	753,413.50	15,048,471.09	348,831,241.42
1) Renting in	351,274,740.31	587,100.73	11,507,284.26	363,369,125.30
2) Increased exchange rate fluctuations	-18,245,383.48	166,312.77	3,541,186.83	-14,537,883.88
3. Amount reduced during the period	71,151,104.16		3,891,717.23	75,042,821.39
1) Disposal	71,151,104.16		3,891,717.23	75,042,821.39
4. Ending balance	1,598,249,643.07	2,145,013.30	44,177,801.58	1,644,572,457.95
2. Accumulated depreciation				
1. Opening balance	351,034,199.89	1,044,243.69	21,271,018.83	373,349,462.41
2. Increase in Amount This Period	269,777,099.57	509,646.72	9,128,142.31	279,414,888.60
1) Accrual	273,211,809.60	386,489.87	6,772,536.39	280,370,835.86
2) Increased exchange rate fluctuations	-3,434,710.03	123,156.85	2,355,605.92	-955,947.26
3. Amount reduced during the period	54,906,951.02		3,891,717.23	58,798,668.25
(1) Disposal	54,906,951.02		3,891,717.23	58,798,668.25
4. Ending balance	565,904,348.44	1,553,890.41	26,507,443.91	593,965,682.76
3. Impairment provision				
1. Opening balance				
2. Amount increased during the period				
(1) Accrual				
3. Amount reduced during the period				
(1) Disposal				
4. Ending balance				
4. Book value				
1. Carrying Amount at Period End	1,032,345,294.63	591,122.89	17,670,357.67	1,050,606,775.19
2. Beginning book value	985,337,190.51	347,356.11	11,750,028.89	997,434,575.51

(2). Impairment test status of right-of-use assets☐ Applicable √ Not applicable

Other notes: None

26. Intangible assets**(1). Intangible asset situation**√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Land use rights	Software	Non-patent rights	Patented technology	Trademark	Total
1. Book Value (Original Value).						
1. Opening balance	402,925,797.53	74,371,902.45	20,799,713.04	19,141,095.89	60,984,162.90	578,222,671.81
2. Increase in Amount This Period	-7,063,624.47	6,042,235.95			-5,923.02	-1,027,311.54
(1) Purchase		2,237,455.18			86,006.58	2,323,461.76
(2) Exchange rate fluctuations	-7,063,624.47	3,804,780.77			-91,929.60	-3,350,773.30
(3) Increase in business combinations						
3. Amount reduced during the period		6,909,525.06				6,909,525.06
(1) Disposal		6,909,525.06				6,909,525.06
4. Ending balance	395,862,173.06	73,504,613.34	20,799,713.04	19,141,095.89	60,978,239.88	570,285,835.21
2. Accumulated Amortization						
1. Opening balance	51,948,648.95	52,889,249.74	11,217,969.82	5,314,586.02	20,501,525.92	141,871,980.45
2. Increase in Amount This Period	9,275,120.78	8,025,394.80	1,928,210.55	1,683,296.31	6,225,643.98	27,137,666.42
(1) Accrual	10,051,809.04	4,452,531.82	1,928,210.55	1,683,296.31	6,303,784.14	24,419,631.86
(2) Increased exchange rate fluctuations	-776,688.26	3,572,862.98			-78,140.16	2,718,034.56
3. Amount reduced during the period		6,212,604.81				6,212,604.81
(1) Disposal		6,212,604.81				6,212,604.81
4. Ending balance	61,223,769.73	54,702,039.73	13,146,180.37	6,997,882.33	26,727,169.90	162,797,042.06
3. Impairment provision						
1. Opening balance						

2. Increase in Amount This Period					14,850,000.00	14,850,000.00
(1) Accrual					14,850,000.00	14,850,000.00
3. Amount reduced during the period						
(1) Disposal						
4. Ending balance					14,850,000.00	14,850,000.00
4. Book value						
1. Carrying Amount at Period End	334,638,403.33	18,802,573.61	7,653,532.67	12,143,213.56	19,401,069.98	392,638,793.15
2. Beginning book value	350,977,148.58	21,482,652.71	9,581,743.22	13,826,509.87	40,482,636.98	436,350,691.36

At the end of the period, the proportion of intangible assets formed through internal R&D to the total intangible asset balance was 0

(2). Data resources recognized as intangible assets

☐ Applicable ☒ Not applicable

(3). Land use rights without proper property certificates

☐ Applicable ☒ Not applicable

(4). Impairment testing of intangible assets

☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

27. Goodwill

(1). Original book value of goodwill

☒ Applicable ☐ Not

applicable unit: Yuan Currency: Renminbi

The name of the investee or matters that generate goodwill	Opening balance	This period has increased		Decreased this period		Ending balance
		Formed by a business merger		Disposal		
Anhui Cigna Furniture Co., Ltd	12,963,624.96					12,963,624.96
Taichang Jimeng Commercial Equipment Co., Ltd	1,897,451.29					1,897,451.29
Dongguan Yuanhui Polymer Materials Co., Ltd	1,218,738.22					1,218,738.22
Dongguan Chu Boshi Home Co., Ltd	165,847,561.34					165,847,561.34
Zhejiang Yongyu Home Furnishing Co., Ltd	279,385,728.05					279,385,728.05
Henan Shining Diamond Co., Ltd	12,694,106.37					12,694,106.37
Total	474,007,210.23					474,007,210.23

(2). Goodwill impairment provision√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

The name of the investee or matters that generate goodwill	Opening balance	This period has increased		Decreased this period		Ending balance
		Accounting		Disposal		
Taichang Jimeng Commercial Equipment Co., Ltd	1,897,451.29					1,897,451.29
Dongguan Yuanhui Polymer Materials Co., Ltd	1,218,738.22					1,218,738.22
Dongguan Chu Boshi Home Co., Ltd	165,847,561.34					165,847,561.34
Total	168,963,750.85					168,963,750.85

(3). Information related to the asset group or asset group portfolio in which goodwill is located√ Applicable ☐ Not applicable

Name	The composition and basis of the asset group or portfolio to which it belongs	Affiliated business division and legal basis	Is it consistent with previous years?
Anhui Cigna Furniture Co., Ltd	Asset groups that can benefit from the synergies of the business combination	The panel furniture business division mainly focuses on the production and sales of panel furniture	Yes
Zhejiang Yongyu Home Furnishing Co., Ltd	Asset groups that can benefit from the synergies of the business combination	The New Material Flooring business division mainly focuses on the production and sales of new material flooring	Yes
Henan Shining Diamond Co., Ltd	Asset groups that can benefit from the synergies of the business combination	The company is currently in the development stage and has not yet separately divided the corresponding segment information	Yes

Changes in asset groups or portfolios ☐ applicable √ not applicableOther notes: ☐ Applicable √ Not applicable

(4). Specific method for determining the recoverable amount

The recoverable amount is determined by the net amount after fair value minus disposal costs ☐ Applicable ☒ Not applicable

The recoverable amount is determined based on the present value of the expected future cash flows ☒ Applicable ☐ Not applicable unit: RMB Currency: RMB

Project	Book value	Recoverable amount	Impairment amount	The forecast period is spanned	Key parameters during the forecast period (growth rate, profit margin, etc.)	The basis for determining parameters during the forecast period	Key parameters during the stable period (growth)	Key participation, profit rate, and the basis for determining figures during the stable period (Discount rate, etc.)
Anhui Cigna Furniture Co., Ltd	115,113,478.60	209,100,000.00		5 years	Revenue growth rate: -12.48% to 1.00%; Based on the company's previous years' operating performance, growth rate, industry level, and management's expectations for market development, the profit margin is 5.46% to 6.43%.	The steady growth rate is 0%, determined based on the overall long-term average growth rate of the furniture manufacturing industry, with a profit margin of 5.46%. Profit is determined based on increased costs and expenses resulting from higher sales revenue	The steady growth rate is 0%, determined based on the overall long-term average growth rate of the furniture manufacturing industry, with a profit margin of 5.46%. Profit is determined based on increased costs and expenses resulting from higher sales revenue	The discount rate is 13.03%, reflecting the current market currency's time value and the specific risk of the relevant asset group after tax
Zhejiang Yongyu Home Furnishing Co., Ltd	836,191,128.18	842,900,000.00		5 years	Revenue growth rate: 4.99% in 2026, 3.21% to 6.17% from 2027 to 2030; Based on the company's previous years' operating performance, growth rate, industry level, and management's expectations for market development, the profit margin is determined from 5.22% to 10.53%.	The stable growth rate is 0%, based on the overall long-term average growth rate of the PVC flooring industry, with a profit margin of 10.53%. Profit is determined based on the increase in related costs and expenses caused by increased sales revenue	The stable growth rate is 0%, based on the overall long-term average growth rate of the PVC flooring industry, with a profit margin of 10.53%. Profit is determined based on the increase in related costs and expenses caused by increased sales revenue	The discount rate is 11.12%, reflecting the current market currency's time value and the specific risk of the asset group after tax
Henan Shining Diamond Co., Ltd	102,581,532.54	106,500,000.00		5 years	Revenue growth rate: 3.65% in 2026, 2027-2030	The steady growth rate is 0%, according to cultivated drills	The growth rate during the stable period is 0%, according to cultivation	The discount rate is 11.93%, reflecting the current market currency

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					between 2.74% and 2.98%; Based on the company's previous years' operating performance, growth rate, industry level, and management's expectations for market development, the profit margin is determined as follows: 10.24% to 16.52%; Profit is determined based on the increase in related costs and expenses resulting from higher sales revenue	The industry's overall long-term average growth rate is determined, with a profit margin of 16.52%. Profit is determined based on the increase in related costs and expenses resulting from higher sales revenue	The overall long-term average growth rate of the diamond industry is determined, with a profit margin of 16.52%. Profit is determined based on the increase in related costs and expenses resulting from higher sales revenue	The after-tax interest rate for the specific risk of the asset group and the value between the assets
Total	1,053,886,139.32	1,158,500,000.00		/	/	/	/	/

Reasons for significant discrepancies between the above information and the information used in previous years' impairment tests or external information ☐ Applicable ☒ Not applicable

The reason for the significant discrepancy between the information used in the company's impairment test in previous years and the actual situation of the current year ☐ applicable ☒ not applicable

(5). Performance commitments and corresponding goodwill impairments

When goodwill is formed, there is a performance commitment and the reporting period or the previous period falls within the performance commitment period ☐ ☒ not applicable

Other notes: ☒ Applicable ☐ Not applicable. The company hires Kunyuan Asset Appraisal Co., Ltd. to assess the recoverable amount of the asset group of Zhejiang Yongyu Home Co., Ltd., and

issued an appraisal report (Kunyuan Review Report [2026] No. 471), and finally recognized Zhejiang Yongyu Home Furnishing at the present value of its expected future cash flows

The recoverable amount for the joint stock company's asset group is 842,900,000.00 yuan.

The company has engaged Kunyuan Asset Appraisal Co., Ltd. to assess the recoverable amount of the asset group of Henan Shining Diamond Co., Ltd., and

Issued an appraisal report (Kun Yuan Review [2026] No. 465), and ultimately recognized Henan Shining Diamond at the present value of its expected future cash flows

The recoverable amount for the limited company's asset group is 106,500,000.00 yuan.

28. Long-term deferred expenses

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Opening balance	Increase in amount this period	Amortization amount for the current period	Other reductions	Ending balance
Rented factory building for maintenance	23,199,365.35	8,688,780.52	15,375,916.15		16,512,229.72
Deferred software fees	185,212.26		99,090.89		86,121.37
Total	23,384,577.61	8,688,780.52	15,475,007.04		16,598,351.09

Other notes: None

29. Deferred income tax assets / deferred income tax liabilities

(1). Deferred income tax assets that have not been offset

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance		Opening balance	
	Temporary differences can be deducted	Deferred income tax assets	Temporary differences can be deducted	Deferred income tax assets
Provision for asset impairment	105,738,124.64	17,617,895.59	269,962,951.20	44,370,227.74
Share-based payments	9,610,235.05	1,508,580.01	14,796,414.41	2,242,082.16
Unrealized profits from insider trading	34,128,813.69	4,903,161.83	11,856,186.17	2,377,936.84
Deferred income	41,950,564.88	6,292,584.74	43,418,545.48	6,512,781.83
Lease liabilities	1,138,037,527.23	320,628,491.05	1,089,296,097.41	303,831,339.31
Others	9,625,462.50	1,540,074.00	7,447,858.13	1,222,288.56
Total	1,339,090,727.99	352,490,787.22	1,436,778,052.80	360,556,656.44

(2). Deferred income tax liabilities that have not been offset√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance		Opening balance	
	Taxable temporary differences	Deferred income tax liabilities	Taxable temporary differences	Deferred income tax liabilities
Changes in fair value of investments in other equity instruments	74,028,397.50	11,104,259.63	67,615,333.50	10,142,300.03
Fair Value Changes of Trading Financial Assets (Fair Value Changes of Other Non-Current Financial Assets)	16,599,790.00	2,489,968.50	15,514,501.00	2,327,175.15
Changes in the fair value of long-term employee compensation	51,280,481.25	8,204,877.00	68,216,292.00	10,914,606.72
Accelerated depreciation of fixed assets	132,151,717.34	22,865,957.05	158,159,463.70	23,939,766.29
Right-of-use assets	1,004,718,498.09	281,970,265.61	952,484,598.84	267,599,915.20
Total	1,278,778,884.18	326,635,327.79	1,261,990,189.04	314,923,763.39

(3). Deferred income tax assets or liabilities presented on a net basis after elimination√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance		Opening balance	
	Deferred income tax on the amount of assets and liabilities that can be credited	Balances of deferred income tax assets or liabilities after offsetting	Deferred income tax on the amount of assets and liabilities that can be credited	Balances of deferred income tax assets or liabilities after offsetting
Deferred income tax assets	291,977,195.81	60,513,591.41	276,514,188.77	84,042,467.67
Deferred income tax liabilities	291,977,195.81	34,658,131.98	276,514,188.77	38,409,574.62

(4). Failure to confirm details of deferred income tax assets☐ Applicable √ Not applicable**(5). Deductible losses on assets not recognized for deferred income tax will mature in the following year**☐ Applicable √ Not applicableOther notes: ☐ Applicable √ Not applicable

30. Other non-current assets√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance			Opening balance		
	Book balance	Impairment provision	Book value	Book balance	Impairment provision	Book value
Contract acquisition costs						
Contract performance costs						
Costs receivable for returns						
Contract assets						
Warranty money receivable	156,315.25	62,526.10	93,789.15	2,604,134.99	130,206.75	2,473,928.24
Set the net assets of the benefit plan				311,910.30		311,910.30
Prepayment of land and purchase price (work-offset housing)	98,211,286.98	29,394,285.72	68,817,001.26	110,163,055.36	15,622,141.64	94,540,913.72
Prepaid equipment fees	90,819.38		90,819.38	3,850,522.13		3,850,522.13
Total	98,458,421.61	29,456,811.82	69,001,609.79	116,929,622.78	15,752,348.39	101,177,274.39

Other notes: None

31. Assets with restricted ownership or usage rights√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Final exam				At the beginning of the term			
	Book balance	Book value	Restricted types	Restricted circumstances	Book balance	Book value	Restricted types	Restricted circumstances
Monetary funds	206,040,670.98	206,040,670.98	Pledge	Margin and time deposit pledges	386,975,435.54	386,975,435.54	Pledge	Margin and time deposit pledges
Fixed assets	393,852,714.69	235,988,942.36	Mortgage	Loan mortgages and financial leasing mortgages	1,055,952,939.09	511,788,390.41	Mortgage	Loans as collateral

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Intangible assets	174,755,921.98	145,604,415.65	Mortgage	Loans as collateral	195,254,906.60	172,334,892.36	Mortgage	Loans as collateral
Where: Data resources								
Accounts receivable	25,000,000.00	25,000,000.00	Pledge	Loan pledge				
Total	799,649,307.65	612,634,028.99	/	/	1,638,183,281.23	1,071,098,718.31	/	/

Other notes: None

32. Short-term loans

(1). Classification of short-term loans

√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance	Opening balance
pledge loans	128,115,393.71	131,730,560.07
Mortgage loans	232,549,881.68	199,506,379.20
Guaranteed loans	145,908,708.62	123,745,218.62
Credit loans	551,772,669.24	459,584,067.17
Mortgage and guaranteed loans		112,309,809.82
Negotiated discount loans under letters of credit	74,523,155.38	170,800,000.00
pledged and credit loans		127,344,832.27
Total	1,132,869,808.63	1,325,020,867.15

Explanation of short-term loan classification: None

(2). Overdue and unrepaid short-term loans

☐ Applicable √ Not applicable

Among them, the important cases of overdue and unrepaid short-term loans are as follows: ☐ Applicable √ Not applicable

Other notes: ☐ Applicable √ Not applicable

33. Trading financial liabilities

☐ Applicable √ Not applicable

Other notes: ☐ Applicable √ Not applicable

34. Derivative financial liabilities

☐ Applicable √ Not applicable

35. Notes payable

(1). Presentation of notes payable

√ Applicable ☐ Not applicable units: Yuan Currency: Renminbi

Opening balance of commercial acceptances	Ending balance

Bank acceptance drafts	420,539,172.06	755,942,439.55
Total	420,539,172.06	755,942,439.55

The total amount of notes payable that have matured and not paid at the end of the period is 0 yuan. Maturity Reasons for unpaid it is none

36. Accounts payable

(1). Presentation of accounts payable

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance	Opening balance
1 1 year	2,592,330,659.45	1,841,154,001.08
1-2 years	53,358,152.29	59,571,851.78
2-3 years	20,045,355.93	2,538,350.70
3 than 3 years	6,088,469.64	5,762,214.74
Total	2,671,822,637.31	1,909,026,418.30

(2) Significant accounts payable aged over one year or overdue

☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

37. Advance payments

(1). Presentation of advance receipts

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance	Opening balance
Advance rent payments	2,354,372.76	4,155,699.68
Advance receipt of disposal payments for fixed assets	1,736,639.34	761,000.00
Total	4,091,012.10	4,916,699.68

(2) Important advance receipts with an accounting age exceeding one year

☐ Applicable ☒ Not applicable

(3). The amount and reason for significant changes in book value during the reporting period

☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

38. Contract liabilities

(1). Contract liabilities

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance	Opening balance
pending execution of the sales contract	182,366,863.20	250,729,633.73
Total	182,366,863.20	250,729,633.73

(2) Significant contract liabilities with an accounting age exceeding one year

☐ Applicable ☒ Not applicable

(3). The amount and reason for significant changes in book value during the reporting period

☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

39. Payable employee compensation**(1). Presentation of employee compensation payable**

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Opening balance	This period has increased	Decreased this period	Ending balance
1. Short-term compensation	147,719,470.31	1,179,161,587.05	1,180,377,395.29	146,503,662.07
2. Post-resignation benefits – set up a deposit plan	5,129,768.59	73,038,594.80	73,699,731.45	4,468,631.94
3. Dismissal benefits		26,744,990.08	7,432,805.87	19,312,184.21
4. Other benefits expiring within one year				
Total	152,849,238.90	1,278,945,171.93	1,261,509,932.61	170,284,478.22

(2). Short-term salary presentation

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Opening balance	This period has increased	Decreased this period	Ending balance
1. Salaries, bonuses, allowances, and subsidies	141,466,843.60	1,108,171,307.89	1,109,042,844.00	140,595,307.49
2. Employee welfare expenses	341,529.89	15,676,216.25	16,017,746.14	
3. Social insurance fees	2,357,496.72	33,277,977.44	33,476,396.44	2,159,077.72
Among them: medical insurance fees	2,050,131.69	29,623,503.16	29,720,148.57	1,953,486.28
Work injury insurance premiums	300,582.05	3,564,629.99	3,659,648.31	205,563.73
Maternity insurance premiums	6,782.98	89,844.29	96,599.56	27.71
4. Housing Provident Fund	727,050.00	16,851,610.30	16,770,013.20	808,647.10
5. Union funds and employee education expenses	2,826,550.10	5,184,475.17	5,070,395.51	2,940,629.76
6. Short-term paid absence				
7. Short-term profit-sharing plan				
Total	147,719,470.31	1,179,161,587.05	1,180,377,395.29	146,503,662.07

(3). Set a deposit plan for presentation√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Opening balance	This period has increased	Decreased this period	Ending balance
1. Basic pension insurance	5,009,044.36	70,679,741.92	71,334,798.89	4,353,987.39
2. Unemployment insurance premiums	120,724.23	2,358,852.88	2,364,932.56	114,644.55
3. Enterprise annuity contributions				
Total	5,129,768.59	73,038,594.80	73,699,731.45	4,468,631.94

Other notes: ☐ Applicable √ Not applicable**40. Taxes payable**√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance	Opening balance
Value-added tax	29,653,536.19	18,681,332.67
Consumption tax	116,960.64	45,757.87
Corporate income tax	80,653,080.60	69,656,544.83
Personal income tax	891,447.79	809,750.49
Urban maintenance and construction tax	389,406.92	1,329,227.56
Property tax	8,432,069.30	6,399,036.12
Land use tax	5,330,992.10	4,852,537.57
Education surcharge	226,858.70	551,165.24
Local education surcharge	149,365.37	178,985.70
Stamp duty	750,432.88	924,950.04
Others	2,622,960.16	5,717,550.44
Total	129,217,110.65	109,146,838.53

Other notes: None

41. Other payables**(1). Project listing**√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance	Opening balance
Interest payable		
Dividends payable	557,507.50	
Other payables	90,683,941.85	108,282,057.88
Total	91,241,449.35	108,282,057.88

Other notes: ☐ Applicable √ Not applicable**(2). Interest payable**Classification ☐

Applicable ☒ Not applicableOverdue significant interest payable: ☐ Applicable ☒ Not applicableOther notes: ☐ Applicable ☒ Not applicable**(3). Dividends payable**Classification listing ☒ Applicable ☐ Not applicable unit: Yuan Currency: RMB

Project	Ending balance	Opening balance
Minority Shareholder Dividends	557,507.50	
Dividends from preferred shares and perpetual bonds divided into equity instruments		
Total	557,507.50	

Other notes, including significant dividends payable that have not been paid for more than one year, should be disclosed as the reason for non-payment: None

(4). Other payables

Other payables are listed by the nature of the funds ☒ Applicable ☐ Not applicable unit: RMB Currency: RMB

Project	Ending balance	Opening balance
Deposit, security deposit	13,832,036.09	13,463,540.18
Opening up loans	2,928,486.62	3,827,964.32
Temporary accounts payable	21,214,966.66	23,608,783.03
Equity acquisition funds	38,236,672.00	39,104,896.00
Restricted stock repurchase obligations	11,396,452.02	23,656,891.83
Others	3,075,328.46	4,619,982.52
Total	90,683,941.85	108,282,057.88

Other important payables with an aging of more than 1 year or overdue due ☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable**42. Holding liabilities for sale**☐ Applicable ☒ Not applicable**43. Non-current liabilities due within one year**☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance	Opening balance
Long-term loans due within 1 year	217,575,079.02	466,252,064.40

Long-term payables due within one year	1,224,190.64	1,807,533.70
Lease liabilities due within one year	259,055,580.49	229,950,420.40
Total	477,854,850.15	698,010,018.50

Other notes: None

44. Other current liabilities

Other current liabilities ☒ Applicable ☐ Not applicable unit: RMB Currency: RMB

Project	Ending balance	Opening balance
Expected quality deduction	5,838,171.99	3,626,351.27
Tax amount on items to be reversed	162,437.87	1,880,566.33
Total	6,000,609.86	5,506,917.60

Changes in short-term payable bonds: ☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

45. Long-term loans

(1). Long-term loan classification

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance	Opening balance
pledge loans	360,000,000.00	385,000,000.00
Credit loans	241,414,917.55	363,598,800.00
Mortgage loans	157,547,800.00	35,000,000.00
pledge and guarantee loans		28,059,995.84
Guaranteed loans	14,362,934.93	
Total	773,325,652.48	811,658,795.84

Explanation of long-term loan classification: None

Other notes: ☐ Applicable ☒ Not applicable

46. Bonds payable

(1). Bonds payable

☐ Applicable ☒ Not applicable

(2). Specific Situation of Bonds Payable: (excluding preferred shares classified as financial liabilities, perpetual bonds, and other financial instruments)

☐ Applicable ☒ Not applicable

(3). Description of convertible corporate bonds

☐ Applicable ☒ Not applicable

Accounting treatment and basis for determining convertible equity ☐ Applicable ☒ Not applicable

(4). Explanation of other financial instruments classified as financial liabilities

Basic Information on Other Financial Instruments such as Preferred Shares and Perpetual Bonds Issued at the End of the Period ☐ Applicable ☒ Not Applicable

Table of changes in preferred shares, perpetual bonds, and other financial instruments issued at the end of the period ☐ Applicable ☒ Not applicable

Explanation of the basis for classifying other financial instruments as financial liabilities ☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

47. lease liabilities

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance	Opening balance
Lease liabilities	1,032,263,378.99	992,558,010.65
Less: Lease liabilities are not financed as a cost	105,566,937.82	111,766,728.67
Total	926,696,441.17	880,791,281.98

Other notes: None

48. Long-term payables**Project listing**

☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

Long-term payables**(1). Present long-term payables by the nature of the funds**

☒ Applicable ☐ Not applicable units: Yuan. Currency: RMB item

	Ending balance	Opening balance
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Purchase fixed assets in installments		1,055,705.88
Total		1,055,705.88

Other notes: None

Special payables

(1). Listing special payables according to the nature of the funds

☐ Applicable ☒ Not applicable

49. Long-term payable employee compensation

☒ Applicable ☐ Not applicable

(1). Long-term payable employee compensation table

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance	Opening balance
1. Post-Employment Benefits - Set a benefit plan and net liabilities		
2. Dismissal benefits		
3. Other long-term benefits	6,549,740.00	6,662,084.10
Total	6,549,740.00	6,662,084.10

(2). Set changes to the benefit plan

Set the present value of the benefit plan obligation: ☐ Applicable ☒ Not applicable

Planned assets: ☐ Applicable ☒ Not applicable

Setting the benefit plan's net liabilities (net assets) ☐ applicable ☒ not applicable

Explanation of the content of the benefit plan and its associated risks, its impact on the company's future cash flows, timing, and uncertainties: ☐ Applicable ☒ Not applicable

Explanation of Material Actuarial Assumptions and Sensitivity Analysis Results for Setting Beneficiary Plans ☐ Applicable ☒ Not Applicable

Other notes: ☐ Applicable ☒ Not applicable

50. Estimated liabilities

☒ Applicable ☐ Not applicable

Unit: Yuan Currency: Reason			
Project	Ending balance	Opening balance	for the formation of Renminbi

Providing guarantees externally			
The lawsuit remains unresolved			
Product quality assurance			
Restructuring obligations			
Loss contracts pending execution			
Refund payable	11,381,724.59	4,482,043.60	Sales of overseas e-commerce products with return conditions
Others			
Total	11,381,724.59	4,482,043.60	/

Other explanations, including relevant important assumptions for significant expected liabilities, estimate explanation:

None

51. Deferred Income

Deferred Income Situation ☒ Applicable ☐ Not Applicable Unit: RMB Currency: RMB

Project	Opening balance	This period has increased	Decreased this period	Ending balance	Causes of formation
Government subsidies	43,418,545.48	2,117,700.00	3,585,680.60	41,950,564.88	Government subsidies related to assets
Total	43,418,545.48	2,117,700.00	3,585,680.60	41,950,564.88	/

Other notes: ☐ Applicable ☒ Not applicable

52. Other non-current liabilities

☐ Applicable ☒ Not applicable

53. Share capital

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

	Opening balance	This change (+, -)					Ending balance
		Issuing new shares	Bonus shares	Housing provident fund converted into shares	Others	Sub-total	
Total number of shares	139,067,031.00						139,067,031.00

Other notes: None

54. Other equity instruments

(1) Basic information of other financial instruments such as preferred shares and perpetual bonds issued at the end of the period

☐ Applicable ☒ Not applicable

(2) Statement of changes in preferred shares, perpetual bonds, and other financial instruments outstanding at the end of the period

☐ Applicable ☒ Not

Applicable Other Equity Instruments Current Period Changes in Equity Instruments, Explanation of Reasons for Changes, and Basis for Related Accounting Treatment: ☐ Applicable ☒ Not Applicable

Other notes: ☐ Applicable ☒ Not applicable

55. Capital reserve

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Opening balance	This period has increased	Decreased this period	Ending balance
Capital Premium (Share Premium)	1,155,294,816.83	13,218,395.05		1,168,513,211.88
Other capital reserves	14,360,179.31	8,416,397.90	13,218,395.05	9,558,182.16
Total	1,169,654,996.14	21,634,792.95	13,218,395.05	1,178,071,394.04

Other explanations, including changes in the current period and explanation of the reasons: The second batch of restricted shares for this period was unlocked, reducing capital reserve - other capital reserve by 13,218,395.05 yuan, increasing capital reserve

- Share premium of 13,218,395.05 yuan; At the same time, costs and expenses were provisioned for the period, increasing capital reserve minus other capital reserves

8,416,397.90 yuan.

56. Treasury stock

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Opening balance	This period has increased	Decreased this period	Ending balance
Restricted stock repurchase obligations	23,656,891.83	1,152,450.20	13,412,890.01	11,396,452.02
Total	23,656,891.83	1,152,450.20	13,412,890.01	11,396,452.02

Other explanations include the unlocking of the second batch of restricted shares for this period, corresponding to the restricted stock repurchase obligations and distributions not covered in 2023 and 2024

The portion of the cash dividend that is revocable for restricted stock will collectively reduce the repurchase obligation of the restricted shares by 13,412,890.01 yuan; According to

Calculate the repurchase obligation based on a 5% capital yield, recognize interest expense for unfulfilled repurchase obligations, and increase the restricted stock repurchase obligation

1,152,450.20 yuan.

57. Other comprehensive income√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Opening balance	The amount incurred during the current period						Ending balance
		Pre-tax amount for the current period	Less: Previously recognized in other comprehensive income, now transferred to profit or loss	Less: Previously recognized as other comprehensive income, now transferred into retained earnings	Less: income tax expenses	After tax, the attribution belongs to the parent company	After-tax attributions belong to minority shareholders	
1. Other comprehensive income that cannot be reclassified into profit or loss	93,884,816.16	3,023,131.00			422,048.60	2,601,082.40		96,485,898.56
Specifically: Re-measurement of changes in the beneficiary plan	36,411,782.69	-3,389,933.00			-539,911.00	-2,850,022.00		33,561,760.69
Other comprehensive income that cannot be converted to profit or loss under the equity method						-		-
Changes in fair value of investments in other equity instruments	57,473,033.47	6,413,064.00			961,959.60	5,451,104.40		62,924,137.87
Changes in the fair value of the company's own credit risk						-		-
2. Other comprehensive income to be reclassified into profit or loss	-33,413,766.72	-69,937,495.41				-68,913,008.81	-1,024,486.60	-102,326,775.53
Among them: other comprehensive income that can be turned into profit or loss under the equity method	9,573,418.66					-		9,573,418.66

Changes in the fair value of other debt investments						-		-
The amount reclassified into other comprehensive income of financial assets						-		-
Other debt investment credit impairment provisions						-		-
Cash flow hedging reserves						-		-
Differences in foreign currency financial statement translation	-42,987,185.38	-69,937,495.41				-68,913,008.81	-1,024,486.60	-111,900,194.19
Other comprehensive income total	60,471,049.44	-66,914,364.41	-	-	422,048.60	-66,311,926.41	-1,024,486.60	-5,840,876.97

Other explanations, including adjustment of the effective portion of cash flow hedging gains and losses to the initial recognized amount of the hedged item: None

58. Special reserve

☐ Applicable ☒ Not applicable

59. Surplus reserve

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Opening balance	This period has increased	Decreased this period	Ending balance
Statutory surplus reserve	69,533,515.50			69,533,515.50
Arbitrarily reap surplus public funds				
Reserve fund				
Enterprise Development Fund				
Others				
Total	69,533,515.50			69,533,515.50

Explanation of surplus reserve, including changes in the current period and reasons for changes: None

60. Undistributed profits

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	This issue	Last issue
Undistributed profits at the end of the previous period before adjustment	2,281,244,438.47	2,018,184,986.93
Adjusted total undistributed profit at the beginning of the period (increase +, decrease -)		
Adjusted for the undistributed profit at the beginning of the period after adjustment	2,281,244,438.47	2,018,184,986.93
Add: Net profit attributable to owners of the parent company for the period	163,843,057.29	263,059,451.54
Less: Approximate statutory surplus reserve		
Appropriation of arbitrary surplus reserves		
Extract general risk provisions		
Dividends payable on common stock	176,615,129.37	
Dividends converted into common stock dividends converted into share capital		
Undistributed profit at the end of the period	2,268,472,366.39	2,281,244,438.47

Details of adjustment of undistributed profit at the beginning of the period: 1. Due to retrospective adjustments in the "Enterprise Accounting Standards" and related new regulations, the undistributed profit at the beginning of the period is affected by 0 yuan. 2. Due to changes in accounting policies, the undistributed profit at the beginning of the period is affected by 0 yuan. 3. Due to correction of major accounting errors, the undistributed profit at the beginning of the period was affected: 0 yuan. 4. Changes in the scope of consolidation due to unified control affect the beginning undistributed profit of 0 yuan. 5. Other adjustments totally affect the beginning undistributed profit of 0 yuan.

61. Operating income and operating costs**(1). Operating income and operating costs**

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	The amount of this period		Previous period amount	
	Income	Cost	Income	Cost

Main business	11,615,446,417.51	9,474,554,595.45	10,955,075,436.04	8,940,195,419.66
Other businesses	61,703,627.07	36,684,886.50	73,842,220.53	33,038,608.98
Total	11,677,150,044.58	9,511,239,481.95	11,028,917,656.57	8,973,234,028.64

(2). Breakdown information on operating income and operating costs

☐ Applicable ☒ Not applicable

Other notes: ☒ Applicable ☐ Not Applicable 1) For income breakdown by goods or service type, see Section 8, Financial Report, Eighteen, (6) for detailed information.

2) For income breakdown by operating region, see Section 8 of the Financial Report, Section 18(6), for details.

3) Income generated from contracts with customers is broken down by the time goods or services are transferred

Project	Current Issue	Figures for the same period last year
Recognize revenue at a certain point in time	11,663,038,507.09	10,995,791,580.58
Recognize revenue within a certain period	1,543,548.07	1,356,486.08
Sub-total	11,664,582,055.16	10,997,148,066.66

4) The company's panel furniture products are fully decorated and are obligations to be fulfilled within a certain period, and the company proceeds according to the contract

Revenue is recognized at a certain time; Other products in panel furniture except for refined decoration products are considered performance obligations performed at a certain point in time, and the company will produce

Revenue is recognized when the goods are delivered to the purchaser or its designated carrier as stipulated in the contract.

5) The income recognized during the period, including the book value of contract liabilities at the beginning of the period, is RMB 156,120,746.59.

(3). Explanation of performance obligations

☐ Applicable ☒ Not applicable

(4). Explanation of the allocation to the remaining performance obligations

☐ Applicable ☒ Not applicable

(5). Major contract changes or major transaction price adjustments

☐ Applicable ☒ Not applicable

Other notes: None

62. Taxes and surcharges

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	The amount of this period	Previous period amount
Consumption tax	942,957.86	232,965.45
Urban maintenance and construction tax	5,769,784.62	7,552,950.65

Education surcharge	3,485,277.72	4,403,244.35
Local education surcharge	2,367,957.95	2,935,418.26
Property tax	12,526,524.48	10,246,755.99
Land use tax	6,096,961.79	5,794,608.63
Stamp duty	2,731,432.62	5,056,118.86
Others	757,050.43	734,429.67
Total	34,677,947.47	36,956,491.86

Other notes: None

63. Sales expenses

√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	The amount of this period	Previous period amount
Marketing promotion fees	288,374,850.69	265,222,477.90
Employee compensation	218,265,289.87	217,941,956.76
Sales business expenses	284,883,072.89	252,412,696.06
Equity incentives	848,250.00	2,288,704.15
Others	64,061,404.45	40,922,855.95
Total	856,432,867.90	778,788,690.82

Other notes: None

64. Administrative expenses

√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	The amount of this period	Previous period amount
Employee compensation	229,949,912.85	202,515,526.93
Depreciation and amortization expenses	93,050,715.99	92,236,630.72
Taxes	1,723,033.09	892,482.65
Office expenses	44,552,261.45	47,032,876.57
Travel expenses	13,869,215.92	14,179,380.31
Consulting fees	31,068,238.52	21,605,490.47
Business hospitality expenses	7,350,361.44	6,992,627.43
Equity incentives	5,490,232.01	13,987,106.01
Others	33,057,702.43	32,239,044.36
Total	460,111,673.70	431,681,165.45

Other notes: None

65. R&D expenses

√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	The amount of this period	Previous period amount
Direct material input	45,184,705.20	61,163,073.78
Employee compensation	114,283,142.02	113,063,454.73

Depreciation and amortization expenses	8,662,248.53	7,251,881.89
Mold equipment development and manufacturing expenses	10,294,731.06	13,068,183.40
New product design fees	10,715,753.65	12,786,491.85
Testing fees	5,958,926.13	5,736,644.06
Patent fees	1,399,893.95	1,174,607.95
Equity incentives	1,357,200.10	3,554,795.96
Others	7,784,021.64	7,966,389.74
Total	205,640,622.28	225,765,523.36

Other notes: None

66. Financial expenses

√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	The amount of this period	Previous period amount
Interest expenses	127,324,251.21	135,398,412.14
Less: Interest income	33,053,051.45	40,104,140.81
Exchange gains and losses	14,865,127.62	-62,486,615.95
Others	5,298,619.32	6,613,213.91
Total	114,434,946.70	39,420,869.29

Other notes: None

67. Other income

√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Classified by nature	The amount of this period	Previous period amount
Government subsidies related to assets	3,585,680.60	3,607,300.26
Government subsidies related to the income	14,122,201.04	10,110,363.17
Refund of withholding personal income tax handling fees	796,279.28	1,930,406.34
VAT additional deduction	2,016,965.50	7,008,702.47
Total	20,521,126.42	22,656,772.24

Other notes: None

68. Investment returns

√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	The amount of this period	Previous period amount
Long-term equity investment income calculated using the equity method	-1,931,868.52	1,060,677.63
Dividend income earned during the holding period of other equity instrument investments	2,915,172.08	2,372,284.01
Gains from debt restructuring	-7,193,692.88	335,298.16
Derecognition of gains on financial assets measured at amortized cost	-3,854,114.22	-20,631,277.19
Discounting losses on receivables financing		-1,955,564.86
Investment income obtained from the disposal of trading financial assets	1,023,499.67	-4,364,002.08

Dividend income earned during the holding period of other non-current financial assets	493,313.78	401,444.68
Total	-8,547,690.09	-22,781,139.65

Other notes: None

69. net exposure hedging gains

☐ Applicable ☒ Not applicable

70. Gains from changes in fair value

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Sources of income generated from fair value changes	The amount of this period	Previous period amount
Trading financial assets	-380,787.54	-1,475,688.70
Where: gains from changes in fair value generated by derivative financial instruments		
Where: Classified as gains from changes in fair value of financial assets measured at fair value with changes recognized in profit or loss for the period	-380,787.54	-1,475,688.70
Trading financial liabilities		
Investment properties measured at fair value		
Other non-current financial assets	1,085,289.00	-401,443.72
Among them: equity instrument investment	1,085,289.00	-401,443.72
Total	704,501.46	-1,877,132.42

Other notes: None

71. Credit impairment losses

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	The amount of this period	Previous period amount
Bad debt losses on notes receivable		23,100.59
Bad debt losses on accounts receivable	-51,038,276.93	-587,225.08
Other bad debt losses on other receivables	-6,936,604.46	-2,113,413.50
Impairment losses on debt investments		
Other debt investment impairment losses		
Long-term bad debt losses from receivables		
Impairment losses related to financial guarantees		
Impairment losses on financing receivables		627,550.87
Total	-57,974,881.39	-2,049,987.12

Other notes: None

72. Asset impairment losses√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	The amount of this period	Previous period amount
1. Impairment Losses on Contract Assets	-733,045.64	432,861.64
2. Inventory write-down losses and impairment losses on contract performance costs	-84,035,947.26	-90,846,147.67
3. Impairment losses on long-term equity investments		-2,489,335.50
4. Impairment Losses on Investment Property	-42,590.88	-68,262.89
5. Impairment losses on fixed assets	-21,248,471.49	-11,592,015.56
10. Impairment Losses on Intangible Assets	-14,850,000.00	
11. Goodwill impairment losses		-78,954,464.61
12. Other impairment losses on non-current assets	-21,551,729.21	-15,794,895.87
Total	-142,461,784.48	-199,312,260.46

Other notes: None

73. Gains from asset disposal√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	The amount of this period	Previous period amount
Gains from the disposal of fixed assets	-5,803,612.57	-10,313,859.26
Gains from disposal of intangible assets		544,065.90
Gains from disposal of right-of-use assets	1,312,438.62	-2,585,989.87
Total	-4,491,173.95	-12,355,783.23

Other notes: None

74. Non-operating incomeNon-operating Income√ Applicable ☐ Not Applicable Unit: RMB Currency: RMB

Project	The amount of this period	Previous period amount	Amounts included in non-recurring gains and losses for the current period
Total gains from disposal of non-current assets	159,384.72	59,044.92	159,384.72
Among them: gains from the disposal of fixed assets	159,384.72	59,044.92	159,384.72
Gains from disposal of intangible assets			
Non-monetary asset exchange gains			
Accepting donations			
Compensation for breach of contract	5,112,298.62		5,112,298.62
Unable to pay the amount	343,774.07		343,774.07
Fine income	885,097.56	1,026,940.46	885,097.56
Others	6,099,182.52	8,384,189.24	6,099,182.52

Total	12,599,737.49	9,470,174.62	12,599,737.49
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Other notes:

☐ Applicable ☒ Not applicable

75. Non-operating expenses

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	The amount of this period	Previous period amount	Amounts included in non-recurring gains and losses for the current period
Total losses from disposal of non-current assets	10,097,043.56	7,145,793.59	10,097,043.56
Among them: Losses from disposal of fixed assets	10,097,043.56	7,145,793.59	10,097,043.56
Disposal losses on intangible assets			
Non-monetary asset exchange losses			
Donations to the public	129,235.00	1,491,152.37	129,235.00
Fine expenditures	1,243,799.51	652,238.57	1,243,799.51
Penalty for breach of contract	451,902.98		451,902.98
Others	4,308,080.10	5,277,420.78	4,308,080.10
Total	16,230,061.15	14,566,605.31	16,230,061.15

Other notes: None

76. Income tax expenses

(1). Income tax expense schedule

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	The amount of this period	Previous period amount
Current income tax expense	88,025,379.45	85,133,903.39
Deferred income tax expenses	19,795,680.69	-29,078,006.20
Total	107,821,060.14	56,055,897.19

(2). Adjustment process of accounting profit and income tax expenses

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	The amount of this period
Total profit	298,732,278.89
Income tax expenses calculated at statutory/applicable tax rates	44,809,841.86
The impact of subsidiaries applying different tax rates	29,367,355.71
Adjust the impact of income tax for prior periods	2,917,325.40
Impact of non-taxable income	
The impact of non-deductible costs, expenses, and losses	22,332,708.81

The impact of deductible losses from previously unrecognized deferred income tax assets	-34,515,734.50
The impact of deductible temporary differences or deductible losses on deferred income tax assets was not recognized during the period	63,249,354.44
Impact of additional deductions for R&D expenses	-20,339,791.58
Income tax expenses	107,821,060.14

Other notes: ☐ Applicable ☒ Not applicable

77. Other comprehensive income

☒ Applicability ☐ inapplicable, see Note 7, Item 57 for details

78. Cash flow statement items

(1). Cash related to operating activities

Other cash received related to business activities ☒ Applicable ☐ Not applicable unit: Yuan Currency: RMB

Project	The amount of this period	Previous period amount
Receiving government subsidies	16,239,901.04	11,790,363.17
Bank deposit interest income	33,053,051.45	40,104,140.81
Recovery of the deposit	31,588,951.08	143,032,521.80
Rent out the cash received	17,521,422.58	39,854,825.68
Others	38,040,539.48	13,492,878.00
Total	136,443,865.63	248,274,729.46

Other cash received related to operating activities: None

Other cash payments related to operating activities ☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	The amount of this period	Previous period amount
Period expenses	551,297,838.89	539,153,322.53
Pay the deposit and security deposit		120,902,552.81
Pay the rent	1,020,363.59	2,818,725.74
Others	10,571,216.11	7,138,744.60
Total	562,889,418.59	670,013,345.68

Other cash payments related to operating activities: None

(2). Cash related to investing activities

Cash ☐ related to significant investment activities received applies ☒ does not apply

Cash ☐ related to significant investment activities paid is

applicable ☒ not applicable

Other cash received related to investment activities ☒ Applicable ☐ Not applicable unit: RMB Currency: RMB

Project	The amount of this period	Previous period amount
Recall investment time deposits	13,442,485.73	
Total	13,442,485.73	

Other cash notes received related to investment activities: None

Other cash payments related to investment activities ☒ Applicable ☐ Not applicable unit: RMB Currency: RMB

Project	The amount of this period	Previous period amount
Paying investment time deposits		13,442,308.00
Others		124.51
Total		13,442,432.51

Other cash payments related to investment activities: None

(3). Cash related to financing activities

Other cash received related to fundraising activities ☒ Applicable ☐ Not applicable unit: RMB Currency: RMB

Project	The amount of this period	Previous period amount
Recovering loan margins originally deposited as collateral or pledge	135,903,327.75	170,931,351.43
Received inter-enterprise fund lending		3,800,000.00
Receiving financing funds from non-bank institutions		3,000,000.00
Total	135,903,327.75	177,731,351.43

Other cash notes received related to fundraising activities: None

Other cash payments related to fundraising activities ☒ Applicable ☐ Not applicable unit: RMB Currency: RMB

Project	The amount of this period	Previous period amount
Repayment of loans and interest	899,477.70	10,373,940.57
Paying the loan security deposit for the purpose of the initial deposit as collateral or pledge		256,933,817.58
Payment of pledged time deposits		59,397,297.50
Pay cash related to the lease	318,753,583.59	147,742,116.40
Agricultural Bank of China e-credit factoring repayment		3,793,920.00
Payments to non-bank institution financing funds		625,000.00
Purchase minority equity		36,001.00
Total	319,653,061.29	478,902,093.05

Other cash payments related to fundraising activities: None

Changes in various liabilities arising from financing activities ☐ Applicable ☒ Not applicable

(4). Explanation of cash flows presented on a net basis

☐ Applicable ☒ Not applicable

(5). Major activities and finances that do not involve current cash receipts and payments but affect the company's financial position or may impact future cash flows

Strive to influence others

☐ Applicable ☒ Not applicable

79. Supplementary materials to the cash flow statement

(1). Supplementary information to the cash flow statement

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Additional information	Current Period's Amount	Previous period amount
1. Reconciling net profit to cash flow from operating activities:		
Net profit	190,911,218.75	266,199,028.63
Plus: Asset impairment provision	142,461,784.48	199,312,260.46
Credit impairment losses	57,974,881.39	2,049,987.12
Depreciation of fixed assets, right-of-use assets, depreciation of oil and gas assets, and depreciation of productive biological assets	524,364,961.70	430,847,177.60
Amortization of intangible assets	24,419,631.86	23,190,584.29
Long-term deferred expenses are amortized	15,475,007.04	13,765,262.10
Losses from disposal of fixed assets, intangible assets, and other long-term assets (income is indicated by "-")	4,491,173.95	12,355,783.23
Losses from fixed asset scrapping (income is indicated with a "-")	9,937,658.84	7,086,748.67
Loss on Changes in Fair Value (Income is indicated by a "-")	-704,501.46	1,877,132.42
Financial expenses (income is indicated with a "-")	142,189,378.83	72,911,796.19
Investment Loss (Gain is indicated by "-")	4,693,575.87	194,297.60
Decrease in deferred income tax assets (increases are indicated by "-")	23,528,876.26	-16,164,963.30
Increase in deferred income tax liabilities (decrease indicated by "-")	-4,713,402.24	-12,913,042.90
Inventory reduction (increases indicated by "-")	-489,665,343.57	-596,126,633.98
Reduction of operating receivables (with a "-" mark)	-274,311,244.93	-128,094,528.54
Increase in operating payables (decrease indicated by "-")	565,423,212.37	652,349,443.04

Others	5,566,375.90	22,307,810.14
Net cash flow from operating activities	942,043,245.04	951,148,142.77
2. Major investments and fundraising activities not involving cash receipts and payments:		
Debt becomes capital		
Convertible corporate bonds maturing within one year		
Financing leased fixed assets		
Adding right-of-use assets	363,369,125.30	815,983,679.64
3. Net changes in cash and cash equivalents:		
Ending balance of cash	1,058,513,713.12	1,272,580,561.18
Less: The opening balance of cash	1,272,580,561.18	1,175,167,573.61
Add: Ending balance of cash equivalents		
Less: Opening balance of cash equivalents		
Net increase in cash and cash equivalents	-214,066,848.06	97,412,987.57

(2). Net cash paid to acquire subsidiaries during the period

☐ Applicable ☒ Not applicable

(3). Net cash received for disposal of subsidiaries during the period

☐ Applicable ☒ Not applicable

(4). Composition of cash and cash equivalents

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance	Opening balance
1. Cash	1,058,513,713.12	1,272,580,561.18
Where: Cash on hand	640,978.47	736,523.27
Bank deposits that can be used for payment at any time	929,487,730.70	1,171,880,385.03
Other monetary funds that can be used at any time for payment	128,385,003.95	99,963,652.88
Central bank deposits available for payment		
Deposit funds from the same industry		
Funds from interbank funds were disbursed		
2. Cash equivalents		
Among them: bond investments maturing within three months		
3. Cash and cash equivalents at the end of the period	1,058,513,713.12	1,272,580,561.18
Among them: the parent company or subsidiaries within the group use restricted cash and cash equivalents		

(5) Cases where the scope of use is limited but still listed as cash and cash equivalents

☐ Applicable ☒ Not applicable

(6). Monetary funds that do not belong to cash or cash equivalents

☒ Applicable ☐ Not

applicable units: Yuan. Currency: RMB

item	Ending balance	Opening balance	Reason
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Monetary funds	206,040,670.98	386,975,435.54	The use of various deposits paid during company operations is restricted and cannot be withdrawn at any time
Total	206,040,670.98	386,975,435.54	/

Other notes: ☒ Applicable ☐ Not applicable to changes in liabilities related to financing activities

Project	Initial count	This period has increased		Decreased this period		Final numbers
		Cash movements	Non-cash changes	Cash movements	Non-cash changes	
Short-term loans	1,325,020,867.15	1,463,371,420.10	135,409,547.83	1,790,932,026.45		1,132,869,808.63
Long-term loans (including long-term loans due within one year)	1,277,910,860.24	217,091,837.55	488,013.95	489,250,480.24	15,339,500.00	990,900,731.50
Lease liabilities (including lease liabilities due within one year)	1,110,741,702.38		363,369,125.30	318,753,583.59	-30,394,777.57	1,185,752,021.66
Sub-total	3,713,673,429.77	1,680,463,257.65	499,266,687.08	2,598,936,090.28	-15,055,277.57	3,309,522,561.79

80. Notes to items in the statement of changes in owners' equity

Explanation of the "Other" item name and adjustment amount for the previous year-end balance: ☐ Applicable ☒ Not applicable

81. Foreign currency monetary items

(1). Foreign currency monetary items

☒ Applicable ☐ Not applicable unit: yuan

Project	Ending foreign currency balance	Converted to exchange rate	Convert the RMB balance at the end of the period
Monetary funds	-	-	815,889,357.55
Among them: US dollars	75,089,363.38	7.0288	527,788,117.33
Euro	2,655,612.85	8.2355	21,870,299.63
Pound sterling	111,438.99	9.4346	1,051,382.30
Hong Kong dollars	848,161.43	0.9032	766,059.40
Singapore dollar	11,893.97	5.4586	64,924.42
Japanese yen	798,753.00	0.0448	35,784.13
Vietnamese dong	283,029,659,117.00	0.0003	84,908,897.74
Swiss franc	19,848,628.06	8.8510	175,680,206.96
Canadian dollars	728,107.15	5.1142	3,723,685.59
Australian dollars	0.01	4.6892	0.05
Accounts receivable			1,801,752,787.84
Among them: US dollars	228,834,601.65	7.0288	1,608,432,648.08
Euro	2,132,701.81	8.2355	17,563,865.76
Pound sterling	2,122,692.23	9.4346	20,026,752.11
Han Yuan	2,893,491,729.00	0.0049	14,178,109.47

Canadian dollars	1,568,545.06	5.1142	8,021,853.15
Japanese yen	22,325.25	0.0448	1,000.17
Vietnamese dong	8,593,380,330.80	0.0003	2,578,014.10
Swiss franc	14,795,000.00	8.8510	130,950,545.00
Short-term loans			260,930,567.91
The US dollar	25,090,023.49	7.0288	176,352,757.11
Vietnamese dong	252,422,702,680.00	0.0003	75,726,810.80
Swiss franc	1,000,000.00	8.8510	8,851,000.00
Accounts payable			1,048,255,005.17
Among them: US dollars	107,387,241.60	7.0288	754,803,443.76
Euro	134,668.75	8.2355	1,109,064.49
Pound sterling	1,149.25	9.4346	10,842.71
Han Yuan	4,430,971.00	0.0049	21,711.76
Japanese yen	2,972,862.71	0.0448	133,184.25
Vietnamese dong	916,450,034,016.35	0.0003	274,935,010.20
Swiss franc	1,948,000.00	8.8510	17,241,748.00
Long-term loans			157,547,800.00
Among them: Swiss franc	17,800,000.00	8.8510	157,547,800.00
Euro			
Hong Kong dollars			
Rental payment amount			1,169,326,454.20
Among them: US dollars	162,620,193.17	7.0288	1,143,024,813.75
Swiss franc	2,971,601.00	8.8510	26,301,640.45

Other notes: None

(2). Description of overseas operating entities, including, for important overseas operating entities, disclose their main overseas business location and accounting standard currency

and the basis for selection. If there is a change in the accounting standard currency, the reasons should also be disclosed

☐ Applicable ☒ Not applicable

82. Leasing

(1). As the tenant

☒ Applicable ☐ Not Applicable Variable Lease

Payments Not Included in Lease Liability

Measurement ☒ Applicable ☐ Not Applicable

Simplified leasing expenses for short-term leases or low-value assets ☒ Applicable ☐ Not applicable. The company's accounting policies for short-term leases and leasing of low-value assets are detailed in Note 5(38) of this financial statement. Counted in the current period

The short-term lease fees and low-value asset leasing fees for profit and loss are as follows:

Project	Current Issue	Figures for the same period last year
Short-term rental fees	1,020,363.59	2,818,725.74
Total	1,020,363.59	2,818,725.74

Sale and leaseback transactions and criteria for judgment ☐ Applicable ☒ Not applicable

Total cash outflows related to leasing amounted to 319,773,947.18 (Unit: RMB, Currency: RMB)

(2). As the lessor

Operating lease ☒ as the lessor: Applicable ☐ Not applicable unit: Yuan Currency: RMB

Project	Rental income	Among them: income related to variable lease payments not included in lease receipts
Rental income	12,567,989.42	
Total	12,567,989.42	
Project	Final numbers	Year-end figures from last year
Fixed assets	31,251,383.38	35,429,034.03
Investment real estate	25,173,202.63	25,677,822.75
Right-of-use assets	705,506.31	19,049,939.77
Sub-total	57,130,092.32	80,156,796.55

Financial leasing as the lessor ☐ applicable ☒ not applicable

Reconciliation Table of Undiscounted Lease Receipts and Net Lease Investment ☐ Applicable ☒ Not Applicable

Undiscounted lease payments for the next five years ☒ Applicable ☐ Not applicable unit: RMB Currency: RMB

Project	Annual undiscounted lease payments	
	Ending amount	Opening amount
The first year	2,803,926.18	9,851,767.88
The second year	375,527.88	1,790,607.25
The third year		
The fourth year		
Fifth year		
The total amount of undiscounted lease payments after five years	3,179,454.06	11,642,375.13

(3). Recognize profit or loss from financial leasing sales as a manufacturer or distributor

☐ Applicable ☒ Not applicable

Other notes:

None

83. Data resources

□ Applicable ✓ Not applicable

84. Others

✓ Applicable □ Not Supplier Financing Arrangements

(1) Terms and conditions of supplier financing arrangements

Types of supplier financing arrangements	Terms and conditions
Jianxin Rongtong factoring financing	The company signed a "Business Cooperation Agreement" with Jianxin Rongtong Co., Ltd. (hereinafter referred to as Jianxin Rongtong), conducting Rongxin business on its platform and issuing electronic debt certificates based on the actual accounts payable. Rongxin can be split, transferred, or financed on the platform. The company bears the unconditional full payment obligation upon maturity for Rongxin that has already been signed. Before maturity, the repayment funds must be transferred to the designated account of the cooperating financial institution, which will settle with the final creditor. Regardless of whether Rongxin transfers or raises funds, the company must fulfill its obligation to repay at maturity.
Nanjing Bank supplier factoring financing	The Company signed a factoring cooperation agreement with the Hangzhou Branch of Bank of Nanjing Co., Ltd., authorizing Nanjing Bank to provide non-recourse factoring financing under electronic debt certificates for suppliers based on the company's approved factoring financing limit of 32 million yuan. After the bonding maturity, the Company shall pay the payable to the designated collection account designated by Bank of Nanjing as agreed, with the related financing costs borne by the agreed party.
Domestic letter of credit financing	The bank deducts fees and interest from the credit limit issued by the letter of credit before transferring funds. The company must pay on the maturity date notified by the bank, and the letter of credit will occupy the company's credit limit.

(2) Liabilities related to supplier financing arrangements**1) carrying amount of related liabilities**

Project	Final numbers	Year-end figures from last year
Accounts payable	66,539,003.03	
Among them: The supplier has received payment	66,539,003.03	
Short-term loans	103,796,184.18	
Among them: The supplier has received payment	103,796,184.18	
Sub-total	170,335,187.21	

2) The maturity date range for the payment of the relevant liabilities

Project	End-of-period payment due date range	Beginning payment due date interval
Liabilities that are financing arrangements	Between 6 and 12 months after the platform issues digital vouchers and supplier factoring financing disbursements	
Comparable accounts payable that are not part of the financing arrangement	From the date of receipt of the invoice, 30-180 days, and 1-6 months from the settlement date	From 30-180 days after receiving the invoice, and 1-6 months from the settlement date

8. R&D expenditure**1. Present by type of expenses**

√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	The amount of this period	Previous period amount
Direct material input	45,184,705.20	61,163,073.78
Employee compensation	114,283,142.02	113,063,454.73
Depreciation and amortization expenses	8,662,248.53	7,251,881.89
Mold equipment development and manufacturing expenses	10,294,731.06	13,068,183.40
New product design fees	10,715,753.65	12,786,491.85
Testing fees	5,958,926.13	5,736,644.06
Patent fees	1,399,893.95	1,174,607.95
Equity incentives	1,357,200.10	3,554,795.96
Others	7,784,021.64	7,966,389.74
Total	205,640,622.28	225,765,523.36
Where: Expensed R&D expenditure	205,640,622.28	225,765,523.36
Capitalized R&D expenditure		

Other notes: None

2. R&D project development expenditures that meet capitalization requirements

☐ Applicable √ Not applicable

Major capitalized R&D projects ☐ Applicable √ Not applicable

Development expenditure impairment provision ☐ applicable √ not applicable

Other notes: None

3. Important external procurement projects under development

☐ Applicable √ Not applicable

9. Change in the scope of consolidation**1. Business combinations not under common control**

☐ Applicable √ Not applicable

2. Business Mergers Under Common Control

☐ Applicable √ Not applicable

3. Reverse purchase

☐ Applicable ☒ Not applicable

4. Dispose of subsidiaries

Whether there are any transactions or events that have lost control of the subsidiary during this period ☐ Applicable
☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

Whether there is a situation where the subsidiary is disposed of in phases through multiple transactions and control is lost during the period ☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

5. Other reasons for changes in the scope of consolidation

Explain changes in the scope of consolidation caused by other reasons (such as newly established subsidiaries, liquidated subsidiaries, etc.) and related circumstances: ☒ Applicable ☐ Not applicable

1. Expanded scope of consolidation

Company name	Method of equity acquisition	Timing of equity acquisition	Capital contribution	Investment ratio
Hangzhou Hengning Home Furnishing Co., Ltd	Established	2025-04-25	700,000 RMB	70%
Zhejiang Hengjun Home Furnishing Co., Ltd	Established	2025-06-17	1 million RMB	70%
Zhejiang Hengjun Home Furnishing Co., Ltd	Established	2025-06-05	3 million RMB	70%
Senlan Smart Home Co., Ltd	Established	2025-08-04		70%
Sunland Smart Home Inc	Established	2025-08-20		70%
HENGJUN HOME LIMITED	Established	2025-09-01		70%

2. Reduced scope of consolidation

Company name	Method of equity disposal	Timing of equity disposal	Net assets on the disposal date	Net profit from beginning to disposal date
NOUHAUS LIMITED	Deregistration	2025-10-03	127,299.20	
Kunshan Henghui Furniture Co., Ltd	Deregistration	2025-12-02	-24,369,126.23	-219,586.57

6. Others

☐ Applicable ☒ Not applicable

10. Rights and interests among other entities**1. Interests in subsidiaries****(1). Composition of the enterprise group**

☐ Applicable ☒ Not applicable

(2). Important non-wholly-owned subsidiaries

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Subsidiary name	Minority shareholding ratio	Gains and losses attributable to minority shareholders for the current period	Minority shareholders contributed capital during this period	Dividends declared to minority shareholders for this period	Ending minority equity balance
Zhejiang Yongyu Home Furnishing Co., Ltd	0.5516%	76,306.21		1,003,513.50	3,500,958.32
Zhejiang Hengjian Home Furnishing Co., Ltd	30.00%	12,411,176.51	1,000,000.00		36,796,064.35

Explanation of the difference between the shareholding ratio of minority shareholders and the proportion of voting rights in subsidiaries: ☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

(3). Key financial information of significant non-wholly-owned subsidiaries

√ Applicable □ Not applicable unit: Yuan Currency: Renminbi

Subsidiary name	Ending balance						Opening balance					
	Current assets	Non-current assets	Total assets	Current liabilities	Non-current liabilities	Total liabilities	Current assets	Non-current assets	Total assets	Current liabilities	Non-current liabilities	Total liabilities
Yongyu lived at home	774,788,476.88	556,959,659.90	1,331,748,136.78	464,398,468.77	17,364,094.15	481,762,562.92	1,005,564,937.92	648,399,715.34	1,653,964,653.26	600,149,323.92	25,310,196.75	625,459,520.67
Hengjian resided at home	2,562,371,639.84	936,956,094.47	3,499,327,734.31	2,569,607,564.63	809,614,599.17	3,379,222,163.80	1,706,150,202.16	879,800,084.49	2,585,950,286.65	1,738,897,054.98	767,453,346.90	2,506,350,401.88

Subsidiary name	The amount of this period				Previous period amount			
	Operating income	Net profit	Total comprehensive income	Cash flow from operating activities	Operating income	Net profit	Total comprehensive income	Cash flow from operating activities
Yongyu lived at home	1,225,597,639.42	61,101,538.81	3,407,884.32	308,201,632.30	1,545,712,870.36	144,410,991.52	141,937,730.37	184,392,931.42
Hengjian resided at home	4,791,947,554.54	40,545,188.58	39,309,629.92	124,879,386.24	3,769,098,414.92	33,921,061.36	30,374,565.25	247,829,997.28

Other notes: None

(4). Significant restrictions on the use of enterprise group assets and the repayment of enterprise group debts

☐ Applicable ☒ Not applicable

(5). Financial support or other support provided to structured entities included in the scope of consolidated financial statements

☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

2. Transactions where the owner's equity share of a subsidiary changes while still controlling the subsidiary

☐ Applicable ☒ Not applicable

3. Interests in joint ventures or joint ventures

☒ Applicable ☐ Not applicable

(1). Significant joint ventures or joint ventures

☐ Applicable ☒ Not applicable

(2). Key financial information of important joint ventures

☐ Applicable ☒ Not applicable

(3). Key financial information of important associates

☐ Applicable ☒ Not applicable

(4). Aggregated financial information of non-significant joint ventures and associates

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

	Ending balance / Amount incurred during the period	Beginning balance / Previous period incurred
Joint ventures:		
Total book value of investments	1,667,181.11	1,667,181.11
The following items are calculated by shareholding ratio		
-- Net profit		
-- Other comprehensive income		
-- Total comprehensive income		
Associate Enterprises:		
Total book value of investments	11,234,164.56	12,497,397.98
The following items are calculated by shareholding ratio		
-- Net profit	-1,931,868.52	1,060,677.63
-- Other comprehensive income		
-- Total comprehensive income		

Other notes: None

(5). Explanation of significant limitations in the ability of joint ventures or associates to transfer funds to the company

☐ Applicable ☒ Not applicable

(6). Excess losses incurred by joint ventures or associates

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Name of the joint venture or associate enterprise	Accumulated losses not recognized for previous periods	Unrecognized losses for the period (or net profit shared during the period)	Accumulated unrecognized losses at the end of the period
Hangzhou Shuita Zhichuang Digital Technology Co., Ltd	293.18	150.00	443.18

Other notes: None

(7). Unconfirmed commitments related to joint venture investments

☐ Applicable ☒ Not applicable

(8). Contingent liabilities related to investments in joint ventures or associate enterprises

☐ Applicable ☒ Not applicable

4. Important joint operations

☐ Applicable ☒ Not applicable

5. Interests in structured entities not included in the scope of consolidated financial statements

Relevant notes on structured entities not included in the scope of consolidated financial statements: ☐ Applicable ☒ Not applicable

6. Others

☐ Applicable ☒ Not applicable

11. Government Subsidies 1. Government subsidies recognized at the end of the reporting period**based on receivable amounts**

☐ Applicable ☒ Not applicable

Reasons for not receiving the expected amount of government subsidy at the expected time ☐ Applicable ☒ Not applicable

2. Debt items involving government subsidies

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Financial statement items	Opening balance	The amount of new subsidies added this period	This period is included in non-operating income	Other income was transferred for the period	Other changes this period	Ending balance	Related to assets/income
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Deferred income	43,418,545.48	2,117,700.00		3,585,680.60		41,950,564.88	Asset-related
Total	43,418,545.48	2,117,700.00		3,585,680.60		41,950,564.88	/

3. Government subsidies included in current profit or loss

√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Type	The amount of this period	Previous period amount
Related to earnings	17,707,881.64	13,717,663.43
Total	17,707,881.64	13,717,663.43

Other notes: None

12. Risks Related to Financial Instruments 1. Risks of Financial Instruments

√ Applicable ☐ Not Applicable The company's risk management objectives aim to balance risk and return, minimize the negative impact of risks on the company's operating performance, and maximize the interests of shareholders and other equity investors. Based on this risk management objective, the company's basic risk management strategy is to identify and analyze various risks faced by the company, establish appropriate risk tolerance bottom lines and conduct risk management, and supervise risks in a timely and reliable manner to keep risks within the specified range.

The Company faces various risks related to financial instruments in its daily activities, mainly including credit risk, liquidity risk, and market risk. Management has reviewed and approved policies for managing these risks, summarized as follows. (1) Credit Risk Credit risk refers to the risk that one party in a financial instrument is unable to fulfill its obligations, causing financial losses to the other party.

1. Credit risk management practice

- (1) Methods for Assessing Credit Risk The company assesses whether the credit risk of the relevant financial instruments has significantly increased since initial recognition at each balance sheet date. When determining whether credit risk has significantly increased since initial recognition, the company considers obtaining reasonable and well-founded information without unnecessary additional costs or effort, including qualitative and quantitative analyses based on historical data, external credit risk ratings, and forward-looking information. Based on individual financial instruments or combinations of financial instruments with similar credit risk characteristics, the company compares the risk of default on the balance sheet date with the risk of default on the initial recognition date to determine changes in default risk during the expected lifetime of the financial instrument.

When one or more of the following quantitative or qualitative criteria are triggered, the company considers that the credit risk of the financial instrument has significantly increased:

- 1) The quantitative standard mainly refers to the probability of default in the remaining duration of the balance sheet date rising by more than a certain percentage compared to the initial recognition;
- 2) The qualitative criteria mainly include significant adverse changes in the debtor's operating or financial situation, existing or anticipated changes in technology, market, economic, or legal environments that will have a significant adverse impact on the debtor's ability to repay the company.

- (2) Definition of defaulted and credit impairment assets: When a financial instrument meets one or more of the following conditions, the company defines the financial asset as defaulted, with standards consistent with the definition of credit impairment:
- 1) The debtor faces significant financial difficulties;
 - 2) The debtor violates binding clauses in the contract regarding the debtor;
 - 3) The debtor is likely to go bankrupt or undergo other financial restructuring;
- 4) The creditor, for economic or contractual reasons related to the debtor's financial difficulties, grants concessions that would not have been made under any other circumstances.
2. Measurement of Expected Credit Loss Key parameters for measuring expected credit loss include default probability, default loss rate, and default risk exposure. The company considers quantitative analysis and forward-looking information based on historical statistics (such as counterparty ratings, guarantee methods and collateral types, repayment methods, etc.) to establish default probability, default loss rate, and default risk exposure models.
3. Credit Risk Exposure and Concentration of Credit Risk The Company's credit risk mainly comes from monetary funds and receivables. To control the above related risks, the Company has taken the following measures.

(1) Monetary Funds The company deposits bank deposits and other monetary funds in financial institutions with higher credit ratings, resulting in lower credit risk.

- (2) Receivables and Contract Assets The company regularly conducts credit assessments on clients who trade using credit methods. Based on the results of credit assessments, the company selects to trade with recognized and creditworthy customers and monitors their receivable balances to ensure the company does not face significant bad debt risks.

Since the Company only transacts with recognized and creditworthy third parties, no collateral is required. Credit risk concentration is managed according to the client. As of December 31, 2025, the Company faces certain credit concentration risk, with 39.94% of the Company's accounts receivable and contract assets (December 31, 2024: 38.00%) originating from the top five customers by balance. The Company does not hold any collateral or other credit enhancements for the balances of accounts receivable and contract assets.

The company's maximum credit risk exposure is the book value of each financial asset on its balance sheet. (2) Liquidity risk Liquidity risk refers to the risk that the company will run short of funds when fulfilling its obligations to settle by delivering cash or other financial assets. Liquidity risk may arise from the inability to promptly sell financial assets at fair value; or from the other party's inability to repay their contractual obligations; or from debts maturing early; or from the inability to generate expected cash flows.

To control this risk, the company comprehensively employs various financing methods such as bill settlement and bank loans, and adopts a combination of long- and short-term financing approaches, optimizing the financing structure to maintain a balance between financing continuity and flexibility. The company has obtained bank credit lines from multiple commercial banks to meet working capital needs and capital expenditures. Financial liabilities are classified by remaining maturity dates

Project	Final numbers				
	Book value	Undiscounted contract amount	Within 1 year	1-3 years	More than 3 years
Bank loans	2,123,770,540.13	2,186,653,925.60	1,487,983,935.60	318,769,415.90	379,900,574.10
Notes payable	420,539,172.06	420,539,172.06	420,539,172.06		
Accounts payable	2,671,822,637.31	2,671,822,637.31	2,671,822,637.31		
Other payables	91,241,449.35	91,241,449.35	91,241,449.35		
Lease liabilities	1,185,752,021.66	1,344,375,791.16	312,006,158.29	536,373,115.30	495,996,517.57
Long-term payables	1,224,190.64	1,224,190.64	1,224,190.64		
Sub-total	6,494,350,011.15	6,715,857,166.12	4,984,817,543.25	855,142,531.20	875,897,091.67

(Continued from the previous table)

Project	Year-end figures from last year				
	Book value	Undiscounted contract amount	Within 1 year	1-3 years	More than 3 years
Bank loans	2,602,931,727.39	2,679,779,169.85	1,831,993,802.30	537,758,667.55	310,026,700.00
Notes payable	755,942,439.55	755,942,439.55	755,942,439.55		
Accounts payable	1,909,026,418.30	1,909,026,418.30	1,909,026,418.30		
Other payables	108,282,057.88	108,282,057.88	108,282,057.88		
Lease liabilities	1,110,741,702.38	1,274,272,246.91	281,714,236.26	292,278,032.87	700,279,977.78
Long-term payables	2,863,239.58	3,253,736.33	2,136,021.76	1,117,714.57	
Sub-total	6,489,787,585.08	6,730,556,068.82	4,889,094,976.05	831,154,414.99	1,010,306,677.78

(3) Market Risk Market risk refers to the risk that the fair value or future cash flows of financial instruments may fluctuate due to changes in market prices. Market risk mainly includes interest rate risk and foreign exchange risk.

1. Interest Rate Risk Interest rate risk refers to the risk that the fair value or future cash flows of financial instruments fluctuate due to changes in market interest rates. Fixed-rate interest-bearing financial instruments expose the company to fair value interest rate risk, while interest-bearing financial instruments with floating rates expose the company to cash flow interest rate risk. The company determines the ratio of fixed-rate to floating-rate financial instruments based on market conditions and maintains an appropriate financial instrument portfolio through regular review and monitoring. The cash flow interest rate risk the company faces mainly relates to bank loans that accrue interest at floating rates.

As of December 31, 2025, the Company had bank loans of RMB 990,900,731.50 with floating rate interest-bearing (2024: 1231: RMB 1,277,910,860.24), assuming all other variables remain unchanged, assuming an interest rate change of 50 basis points, it will not have a significant impact on the company's total profit or shareholders' equity.

2. Foreign

Exchange Risk Foreign exchange risk refers to the risk that the fair value or future cash flows of financial instruments fluctuate due to changes in foreign exchange rates. The exchange rate fluctuation risk faced by the Company mainly relates to the Company's foreign currency monetary assets and liabilities. For foreign currency assets and liabilities, if short-term imbalances occur, the Company will buy and sell foreign currencies at market exchange rates when necessary to ensure net risk exposure remains at an acceptable level.

The Company's year-end foreign currency monetary assets and liabilities are detailed in Note 7 (Item 81) of these financial statements.

2. Hedging

(1). The company conducts hedging business for risk management

☐ Applicable ☒ Not applicable

Other notes: ☐

Applicable ☒ Not applicable

(2). The company conducts eligible hedging business and applies hedge accounting

☐ Applicable ☒ Not applicable

Other notes: ☐

Applicable ☒ Not applicable

(3) The company conducts hedging business for risk management, expects to achieve risk management objectives but does not apply hedge accounting

☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

3. Transfer of financial assets

(1). Classification of transfer methods

☐ Applicable ☒ Not applicable

(2). Financial assets derecognized due to transfer

☐ Applicable ☒ Not applicable

(3). Transfer financial assets that continue to be involved

☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

13. Disclosure of Fair Value 1. The period-end fair value of assets and liabilities measured at fair value

☒ Applicable ☐ Not

applicable unit: Yuan Currency: Renminbi

Project	Fair value at the end of the period			
	Level 1: Fair Value Measurement	Level 2: Fair Value Measurement	Level 3: Fair Value Measurement	Total
1. Continuous fair value measurement				
(1) Trading financial assets	447,548.32	20,817,840.00	205,963.56	21,471,351.88
1. Financial assets measured at fair value with changes recognized in current profit or loss	447,548.32	20,817,840.00	205,963.56	21,471,351.88
Stocks	447,548.32			447,548.32
Trust			205,963.56	205,963.56
Equity instrument investment		20,817,840.00		20,817,840.00
2. Designate financial assets measured at fair value with changes recognized in profit or loss for the period				
(1) Debt instrument investment				
(2) Equity instrument investment				
(2) Other debt investments				
(3) Other equity instrument investments		129,019,947.00	50,000,000.00	179,019,947.00
(4) Investment Real Estate				
1. Land use rights for lease				
2. Rented buildings				
3. Land use rights held and prepared for transfer after appreciation				
(5) Biological assets				
1. Consumable biological assets				
2. Productive biological assets				
(6) Financing of receivables			212,665.99	212,665.99
Total assets continuously measured at fair value	447,548.32	149,837,787.00	50,418,629.55	200,703,964.87
(6) Trading financial liabilities				
1. Financial liabilities measured at fair value and recognized through profit or loss for the current period				
Among them: Issuance of trading bonds				
Derivative financial liabilities				
Others				
2. Financial liabilities designated as measured at fair value and recognized through profit or loss for the current period				
Total liabilities measured at fair value on a continuous basis				
2. Non-continuous fair value measurement				
(1) Holding assets for sale				

Total assets measured at fair value as non-continuing liabilities at fair value				

2. The basis for determining the market price of Tier 1 fair value measurement projects for ongoing and non-ongoing levels

☒ Applicable ☐ Not Applicable Trading financial assets measured at Tier 1 fair value held by the company are stocks traded on active markets, and the company determines their fair value based on their active market quotations.

3. For ongoing and non-ongoing Level 2 fair value measurement projects, qualitative and quantitative information on valuation techniques and key parameters used

☒ Applicable ☐ Not Applicable for Ongoing and Non-recurring Level 2 Fair Value Measurement Items, Qualitative and Quantitative Information on Valuation Techniques and Key Parameters Qualitative and Quantitative Information The company's financial assets held at Tier 2 fair value are measured based on recent equity transaction prices.

4. For ongoing and non-ongoing Level 3 fair value measurement projects, qualitative and quantitative information on valuation techniques and key parameters used

☒ Applicable ☐ Not Applicable Qualitative and Quantitative Information on Continuing and Non-ongoing Level 3 Fair Value Measurement Items: Valuation techniques and key parameters used Qualitative and quantitative information The receivables held by the Company are bank acceptance bills receivable, which have low credit risk and a short remaining term. The Company determines their fair value based on their face value.

The trusts held by the company are determined based on the valuation results of third-party appraisal agencies, which evaluate the underlying assets corresponding to the equity to determine the fair value of the equity included in the trust.

The Company holds equity investment in Haifeike (Zhuhai) Information Technology Co., Ltd., with no public market quotation and no other directly observable fair value measurement basis. Based on the judgment that the target has low credit risk and stable operating conditions, the Company uses cost as the best estimate of the fair value of this investment.

5. Ongoing third-level fair value measurement items, adjustment information between beginning and end book value, and sensitivity analysis of unobservable parameters

☐ Applicable ☒ Not applicable

6. Ongoing fair value measurement items, during the current period, the reasons for the transitions between different levels, and the policies determining the timing of the transitions

☐ Applicable ☒ Not applicable

7. Changes in valuation technology and the reasons for these changes during the period

☐ Applicable ☒ Not applicable

8. The fair value of financial assets and financial liabilities not measured at fair value

☐ Applicable ☒ Not applicable

9. Others

☐ Applicable ☒ Not applicable

14. Related Parties and Related Party Transactions 1. Information about the parent company of the enterprise

☒ Applicable ☐ Not applicable

Unit: Ten thousand yuan Currency: RMB

Explanation of the parent company of this enterprise (1) The actual controller of the company

Natural person's name	Related-party relationships	Type	Parent Company's Shareholding Ratio in the Company (%)	Proportion of voting rights held by the parent company in the company (%)
Wang Jianglin	Actual controller	Natural person	70.77	70.77

Explanation of the Company's Actual Controller: Wang Jianglin directly holds 82.6579 million shares, accounting for 59.44% of the company's total share capital, and indirectly holds 15.75 million shares through Anji Henglin Trading Co., Ltd., accounting for 11.33% of the company's total share capital, totaling 70.77% of the company's shares.

The ultimate controlling party of this enterprise is Wang Jianglin. Other notes: None

2. The situation of the company's subsidiaries

☒ For applicable ☐ not applicable
to subsidiaries of this enterprise,
please refer to the notes

3. The situation of joint ventures and associates within the company

For important joint ventures or associates of this company, see the notes ☐ Applicable ☒ Not applicable

The situation of other joint ventures or associates that have related party transactions with the Company during the current period, or other joint ventures or joint ventures formed by prior related party transactions with the Company ☒ Applicable ☐ Not applicable

Name of joint venture or associate enterprise	Relationship with the company
Zhejiang Weiya Office Furniture Trading Co., Ltd	Joint venture company
VIVA OFFICE FURNITURE COMMERCIAL CO.,LTD	Associate company
Jiangshan Zhengwei Wood Industry Co., Ltd	Associate company

Other notes: ☐ Applicable ☒ Not applicable

4. Other related party information√ Applicable ☐ Not applicable

Other related party names	Other related parties and the company's relationship
Zhejiang Anji Rural Commercial Bank Co., Ltd	Associate company
He Ye Health Technology Co., Ltd	Companies with significant influence exerted by the actual controller
Zhejiang Heye Grand Hotel Co., Ltd	Companies with significant influence exerted by the actual controller
Zhejiang Hengli New Energy Co., Ltd	Companies controlled by the actual controller
Anji Hengsheng Technology Microloan Co., Ltd	Companies controlled by the actual controller
Huzhou Fengrun Real Estate Co., Ltd	A company where a family member closely related to the actual controller serves as a director
Cai Bin	Deputy General Manager of the company
Tang Hongyan	Board Secretary

Other notes: None

5. Related Party Transactions (1). related-party transactions involving the purchase and sale of goods, provision, and acceptance of servicesProcurement Goods/Acceptance of Labor Table√ Applicable ☐ Not Applicable Units: Yuan Currency: RMB

Related parties	Content of related-party transactions	The amount of this period	Approved transaction quota (if applicable)	Whether the transaction limit has been exceeded (if applicable)	Previous period amount
Jiangshan Zhengwei Wood Industry Co., Ltd	Purchase materials	793,918.81			716,546.39
Zhejiang Heye Grand Hotel Co., Ltd	Purchase services				9,600.00

Table of Goods Sold / Provision of Services√ Applicable ☐ Not Applicable Unit: Yuan Currency: RMB

Related parties	Content of related-party transactions	The amount of this period	Previous period amount
He Ye Health Technology Co., Ltd	Selling goods	5,290,268.79	1,166,093.80
Zhejiang Anji Rural Commercial Bank Co., Ltd	Selling goods	91,942.50	41,168.15
Zhejiang Hengli New Energy Co., Ltd	Selling goods	4,558.10	4,601.77
Zhejiang Hengli New Energy Co., Ltd	Providing services		32,062.46
Anji Hengsheng Technology Microloan Co., Ltd	Selling goods	30,796.46	13,584.07
Cai Bin	Selling goods	13,026.55	14,445.65
Tang Hongyan	Selling goods	973.45	1,100.00
Zhejiang Heye Grand Hotel Co., Ltd	Selling goods	6,226.55	23,893.81

Explanation of related-party transactions for purchasing and selling goods, provision, and receiving services☐
Applicable √ Not applicable

(2). Related entrusted management/contracting and entrusted management/contracting status

Company Entrusted Management/Contracting Status Table: ☐ Applicable ☒ Not Applicable

Explanation of Related Custody/Contracting Situation ☐ Applicable ☒ Not applicable

Table of Entrusted Management/Outsourcing Status of Our Company ☐ Applicable ☒ Not Applicable

Explanation of related management/contract issuance ☐ Applicable ☒ Not applicable

(3). Related leasing situation

Our company as the lessor: ☐ Applicable ☒ Not applicable

Our company as the lessee: ☐ Applicable ☒ Not applicable

Explanation of Related Leasing Situation ☐ Applicable ☒ Not Applicable

(4). Related Guarantee Status

Our company acts as the guarantor ☐ applicable ☒ not applicable

The company as the guaranteed party ☐ applicable ☒ not applicable

Explanation of Related Guarantee Status ☐ Applicable ☒ Not Applicable

(5). Related Party Fund Interbank Lending

☐ Applicable ☒ Not applicable

(6). Asset transfers and debt restructuring of related parties

☐ Applicable ☒ Not applicable

(7). Compensation for key management personnel

☒ Applicable ☐ Not applicable unit: 10,000 yuan Currency: Renminbi

Project	The amount of this period	Previous period amount
Key management compensation	871.66	1,237.52

[Note] Key management personnel will pay 1.2389 million yuan in shares in 2025 and 3.6259 million yuan in 2024.

(8). Other related-party transactions

☐ Applicable ☒ Not applicable

6. Status of unsettled items such as accounts receivable and related parties**(1). Receivables items**

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project name	Related parties	Ending balance		Opening balance	
		Book balance	Bad debt provision	Book balance	Bad debt provision
Accounts receivable	Zhejiang Hengli New Energy Co., Ltd			9,771.57	638.58
Accounts receivable	Zhejiang Anji Rural Commercial Bank Co., Ltd	2,493.00	124.65		
Accounts receivable	He Ye Health Technology Co., Ltd	422,557.01	21,127.85	660,310.25	41,443.73
Accounts receivable	Zhejiang Heye Grand Hotel Co., Ltd	1,000.00	50.00		
Other receivables	Zhejiang Anji Rural Commercial Bank Co., Ltd			15,850.00	7,925.00

(2). Payable items

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project name	Related parties	Ending book balance	Beginning book balance
Accounts payable	Jiangshan Zhengwei Wood Industry Co., Ltd	2,893,328.48	2,012,585.48
Contract liabilities	Zhejiang Anji Rural Commercial Bank Co., Ltd		20,357.00
Contract liabilities	Huzhou Fengrun Real Estate Co., Ltd		12,200.00

(3). Other items

☐ Applicable ☒ Not applicable

7. Related Party Commitments

☐ Applicable ☒ Not applicable

8. Others

☐ Applicable ☒ Not applicable

15. Share-based Payment 1. Various equity instruments**(1). Detailed information**

√ Applicable ☐ Not Applicable Quantity Unit: Shares Amount Unit: RMB Currency: RMB

Categories of recipients	This issue is granted		Exercise rights for this period		Unlocked this issue		This term is invalid	
	Quantity	Amount	Quantity	Amount	Quantity	Amount	Quantity	Amount
Managers	72,000.00	1,289,936.72	477,727.00	8,621,240.07	477,727.00	8,621,240.07	45,000.00	748,350.00
R&D personnel			145,500.00	2,742,675.00	145,500.00	2,742,675.00	27,000.00	449,010.00
Sales staff			72,000.00	1,357,200.00	72,000.00	1,357,200.00		
Production staff			4,500.00	84,825.00	4,500.00	84,825.00		
Total	72,000	1,289,936.72	699,727	12,805,940.07	699,727	12,805,940.07	72,000.00	1,197,360.00

(2). Stock options or other equity instruments issued at the end of the period√ Applicable ☐ Not applicable: None**2. Equity settlement of share payments**√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Equity settlement for share-based payment targets	Management
Method for determining the fair value of equity instruments on the grant date	Determination method: Shares in an employee stock ownership plan are valued at the market price on the grant date to determine fair value
Key parameters of the fair value of equity instruments on the grant date	Key parameter: The difference between the closing price on the grant date and the acquisition price is used as the fair value of shares granted to the employee stock ownership plan
The basis for determining the number of exercisable equity instruments	During the waiting period, on each balance sheet date, the estimated number of exercisable shares will be adjusted based on the latest changes in the number of exercisable shareholders and the completion of performance targets
Reasons for significant differences between this period's estimate and the previous one's estimate	It doesn't exist
The cumulative amount of equity-settled share-based payments included in capital surplus	40,250,212.30

Other notes: On October 13, 2023, the company received the "Transfer Registration Confirmation" issued by China Securities Depository and Clearing Corporation Limited. The 2,332,423 shares of the company's A shares held in the "Henglin Home Co., Ltd. Repurchase Dedicated Securities Account" were transferred by non-trading method on October 12, 2023, to the company's "Henglin Home Co., Ltd. - 2023 Employee Stock Ownership Plan" securities account. As of October 13, 2023, the company's 2023 employee stock ownership plan securities account held 2,332,423 shares of the company's A-share common stock, accounting for 1.68% of the company's total share capital.

According to the relevant provisions of the "Henglin Home Co., Ltd. 2023 Employee Stock Ownership Plan (Draft) (Revised Draft)," the acquisition price for this employee stock ownership plan is 16.63 yuan per share, with a validity period of 60 months, calculated from the date of the last transfer of the target stock to this employee stock ownership plan.

The underlying shares obtained through non-trading transfers or other legally permitted means under this employee stock ownership plan will be transferred in installments starting 12 months from the date the company announces the last transfer of the shares to the employee stock ownership plan, as follows: The timing of the first batch of ownership is 12 months from the date the company announces the last transfer of the stock ownership plan to this employee stock ownership plan, with an upper limit of 40% of the total number of shares in this employee stock ownership plan.

Second batch vesting timeline: 24 months have passed since the company announces the last transfer of the target stock to this employee stock ownership plan, with the maximum number of shares allocated to 30% of the total number of shares in this employee stock ownership plan.

Timing of the third batch of vesting: 36 months have passed since the company announces the last transfer of the target stock to this employee stock ownership plan, with the maximum number of shares allocated to 30% of the total number of shares in this employee stock ownership plan.

3. Cash-settled share-based payments☐ Applicable √ Not applicable**4. Share-based payment expenses for the current period**√ Applicable ☐ Not applicable

Unit: Yuan Currency: Renminbi

Categories of recipients	Expenses are paid in equity-settled shares	Fees are paid in cash-settled shares
Managers	5,490,232.010	
R&D personnel	1,357,200.10	
Sales staff	848,250.00	
Production staff	720,715.79	
Total	8,416,397.90	

No other instructions

5. Modification and termination of share payments☐ Applicable ☒ Not applicable**6. Others**☐ Applicable ☒ Not applicable**16. Commitments and Contingencies 1. Important commitments**☐ Applicable ☒ Not applicable**2. Contingencies****(1). Important contingent events at the balance sheet date**☐ Applicable ☒ Not applicable**(2). If the company has no material or contingent matters that need to be disclosed, it should also be explained:**☐ Applicable ☒ Not applicable**3. Others**☐ Applicable ☒ Not applicable**17. Matters After the Balance Sheet Date 1. Significant Non-Adjusting Events**☐ Applicable ☒ Not applicable**2. Profit distribution**☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Profits or dividends to be distributed	-
Profits or dividends declared and approved after review	76,486,867.05

On September 15, 2025, the company held its second extraordinary shareholders' meeting and approved the interim dividend plan: a cash dividend of 5.50 yuan (tax included) will be distributed to all shareholders for every

10 shares, totaling 76,486,867.05 yuan (tax included), accounting for 46.68% of the net profit attributable to shareholders of the listed company for 2025. The interim dividend was distributed on October 10, 2025.

In 2025, fully considering the company's development plans and future funding needs, and to better safeguard the long-term interests of all shareholders, the Board of Directors has formulated the following profit distribution plan for 2025: The company will not distribute cash dividends, issue bonus shares, or convert capital reserves into share capital in 2025. Submission to the 2025 Annual General Meeting of Shareholders is still required.

3. Sales return process

☐ Applicable ☒ Not applicable

4. Other Explanations of Post-Balance Sheet Matters

☐ Applicable ☒ Not applicable

18. Other Important Matters 1. Correction of prior accounting errors

For details, see "Important Matters" under "Analysis and Explanation of Reasons and Impacts for Accounting Policies, Changes in Accounting Estimates, or Corrections of Significant Accounting Errors."

2. Significant debt restructuring

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Methods of debt restructuring	Book value of original restructured receivables and payables	Gains/losses from recognized debt restructuring	Debt converted into capital resulting in capital increases	Increased investment resulting from debt conversion into shares	Proportion of this investment in the debtor's total shares (%)	May there be payable/or receivable	Methods and Basis for Determining Fair Value in Debt Restructuring
Disposal of those not yet transferred to solid works and mortgage housing - East Kitchen	Disposal	30,306,021.00	- 6,994,371.38					Market value
Disposal of those not yet transferred to solid works and mortgage housing - Dong'e	Disposal	602,278.00	- 102,387.26					Market value
Total	/	30,908,299.00	- 7,096,758.64					/

Other notes: As a creditor, as of December 31, 2025, the company has signed work-offset agreements with real estate clients and the housing processing status as follows:

Project	Cumulative amounts up to 2025	Among them: 2025
The amount of the debt settlement agreement has been signed	440,295,609.26	99,156,847.60

Project	Cumulative amounts up to 2025	Among them: 2025
The difference in the house payment has already been paid in cash	16,024,329.14	295,398.31
The handover procedures have been completed	179,339,971.46	27,573,222.80
The amount of the property transferred to a third party without completing the online signing is not completed	100,494,389.07	34,809,433.00
The amount of the completed online signing but not the handover procedures	93,505,742.00	31,133,806.68
The amount of the online contract not properly processed	85,786,171.18	34,193,660.12
Pending the difference in the house payment	2,806,335.31	979,895.84

3. Asset Swap

(1). Non-monetary asset exchange

☐ Applicable ☒ Not applicable

(2). Other asset swaps

☐ Applicable ☒ Not applicable

4. Annuity plan

☐ Applicable ☒ Not applicable

5. Termination of operations

☐ Applicable ☒ Not applicable

6. Segment information

(1). Basis and accounting policies for determining reporting segments

☒ Applicable ☐ Not Applicable Factors Considered in Determining Reporting Segments The company determines reporting segments based on internal organizational structure, management requirements, internal reporting systems, etc., and determines reporting segments based on product segments. Operating income and operating costs are classified by office furniture business, soft furniture business, panel furniture business, new material flooring business, and comprehensive home furnishing categories. The total assets and liabilities of each reporting segment are not disclosed due to inaccurate classification.

The company determines reporting segments based on regional divisions. Operating income and operating costs are divided according to the final sales location. The total assets and liabilities of each reporting segment are not disclosed due to inaccurate classification.

(2). Reporting the financial information of the division

☐ Applicable ☒ Not applicable

(3). If the company has no reporting segments, or cannot disclose the total assets and liabilities of each reporting segment, the reasons should be explained

√ Applicable □ Not applicable

(1) Detailed information

Project	Current Issue		Figures for the same period last year	
	Income	Cost	Income	Cost
Main business revenue	11,615,446,417.51	9,474,554,595.45	10,955,075,436.04	8,940,195,419.66
Other business income	61,703,627.07	36,684,886.50	73,842,220.53	33,038,608.98
Total	11,677,150,044.58	9,511,239,481.95	11,028,917,656.57	8,973,234,028.64
Among them: revenue generated from contracts with customers	11,664,582,055.16	9,502,045,903.41	10,997,148,066.66	8,960,988,811.91

(2) Revenue breakdown information

1) Revenue generated from contracts with customers is broken down by type of goods or services

Project	Current Issue		Figures for the same period last year	
	Income	Cost	Income	Cost
Office furniture	2,825,416,988.84	2,177,680,052.64	3,552,406,684.08	2,768,492,415.48
Soft furniture	1,503,936,931.01	1,154,289,305.00	1,426,727,962.04	1,137,199,259.96
Panel furniture	893,965,375.17	724,484,998.91	1,021,724,098.41	832,480,998.46
New material flooring	1,216,306,753.84	1,065,345,962.52	1,533,294,013.67	1,301,763,833.64
Comprehensive home furnishing category	3,829,065,411.01	3,179,702,610.79	2,587,004,976.14	2,155,986,068.28
Others	1,395,890,595.29	1,200,542,973.55	875,990,332.32	765,066,236.09
Sub-total	11,664,582,055.16	9,502,045,903.41	10,997,148,066.66	8,960,988,811.91

2) Revenue generated from contracts with customers is allocated by operating region

Project	Current Issue		Figures for the same period last year	
	Income	Cost	Income	Cost
Within the territory	834,684,525.95	691,598,460.72	1,110,342,674.27	873,474,735.34
Outside the borders	10,829,897,529.21	8,810,447,442.69	9,886,805,392.39	8,087,514,076.57
Sub-total	11,664,582,055.16	9,502,045,903.41	10,997,148,066.66	8,960,988,811.91

3) Income generated from contracts with customers is broken down by the time goods or services are transferred

Project	Current Issue	Figures for the same period last year
Recognize revenue at a certain point in time	11,663,038,507.09	10,995,791,580.58
Recognize revenue within a certain period	1,543,548.07	1,356,486.08

Project	Current Issue	Figures for the same period last year
Sub-total	11,664,582,055.16	10,997,148,066.66

(4). Other Notes

☐ Applicable ☒ Not applicable

7. Other important transactions and matters that may affect investor decisions

☐ Applicable ☒ Not applicable

8. Others

☐ Applicable ☒ Not applicable

19. Main Items in the Parent Company's Financial Statements Notes 1. Accounts Receivable**(1). Disclosure by Age**

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Aging of accounts	Ending book balance	Beginning book balance
Within 1 year (including 1 year)	481,134,549.42	638,885,133.43
	481,134,549.42	638,885,133.43
1 to 2 years	67,883,824.61	27,065,454.53
2 to 3 years	850,409.43	5,637,232.25
More than 3 years		
3 to 4 years	878,021.00	6,864,386.11
4 to 5 years	775,390.20	1,237,499.55
More than 5 years	4,211,086.38	3,104,382.19
Total	555,733,281.04	682,794,088.06

(2). Classification disclosure according to bad debt provision method√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Category	Ending balance					Opening balance				
	Book balance		Bad debt provision		Book value	Book balance		Bad debt provision		Book value
	Amount	Proportion (%)	Amount	Provisioning Ratio (%)		Amount	Proportion (%)	Amount	Provisioning Ratio (%)	
Bad debt provisions are made on a per-item basis	2,482,424.52	0.45	2,482,424.52	100.00		6,037,179.62	0.88	2,927,900.03	48.5	3,109,279.59
Among them:										
Single-item provisioning	2,482,424.52	0.45	2,482,424.52	100.00		6,037,179.62	0.88	2,927,900.03	48.5	3,109,279.59
Bad debt provisions are made based on the portfolio	553,250,856.52	99.55	10,343,727.83	1.87	542,907,128.69	676,756,908.44	99.12	12,587,637.51	1.86	664,169,270.93
Among them:										
Combined provisions	553,250,856.52	99.55	10,343,727.83	1.87	542,907,128.69	676,756,908.44	99.12	12,587,637.51	1.86	664,169,270.93
Total	555,733,281.04	100.00	12,826,152.35	2.31	542,907,128.69	682,794,088.06	100.00	15,515,537.54	2.27	667,278,550.52

Bad debt provision made per item: ☒ Applicable ☐ Not applicable bit: Yuan Currency: RMB

Name	Ending balance			
	Book balance	Bad debt provision	Provisioning Ratio (%)	Reasons for accrual
Single-item provisioning	2,482,424.52	2,482,424.52	100.00	Management judged
Total	2,482,424.52	2,482,424.52	100.00	/

Explanation of making bad debt provisions on an individual basis: ☐ Applicable ☒ Not applicable

Bad debt provision based on portfolio: ☒ Applicable ☐ Not Applicable Combination provisioning items:
Combination provisioning unit: RMB Currency: RMB

Name	Ending balance		
	Book balance	Bad debt provision	Provisioning Ratio (%)
Aging portfolio	148,392,892.25	10,343,727.83	6.97
Composition of related parties within the scope of consolidation	404,857,964.27		
Total	553,250,856.52	10,343,727.83	1.87

Explanation of bad debt provision based on portfolio: ☐ Applicable ☒ Not applicable

Bad debt provision is made based on the general model for expected credit losses ☐ Applicable ☒ Not applicable

No basis for stage classification or allowance ratio for bad debt provision

Explanation of significant changes in the book balance of accounts receivable due to changes in loss provisions during the current period: ☐ applicable ☒ not applicable

(3). Provision for bad debts

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Category	Opening balance	Amount of change for the current period				Ending balance
		Accounting	Retract or turn back	Write-off or write-off	Other changes	
Provision for bad debts is made on a standalone basis	2,927,900.03	567,553.26		1,013,028.77		2,482,424.52
Bad debt provisions are made based on the portfolio	12,587,637.51	-585,049.68		1,658,860.00		10,343,727.83
Total	15,515,537.54	-17,496.42		2,671,888.77		12,826,152.35

Among these, the amount of bad debt provision for recovery or reversal in the current period is important: ☐ Applicable ☒ Not applicable

Other notes: None

(4). Actual write-off of accounts receivable during the period√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Redemption amount
Accounts receivable actually written off	2,671,888.77

Among them, the write-off of important accounts receivable ☐ applicable √ not applicableAccounts receivable write-off instructions: ☐ Applicable √ Not applicable**(5). Accounts receivable and contract assets of the top five ending balances collected by the debtor**√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Unit name	Accounts receivable ending balance	Ending balance of contract assets	Accounts receivable and contract asset ending balances	Proportion of Total Accounts Receivable and Contract Assets at Period End (%)	Bad debt provision at the end of the period
Unit One	69,739,387.24		69,739,387.24	12.55	
Unit Two	63,651,839.16		63,651,839.16	11.45	
Unit three	58,413,136.80		58,413,136.80	10.51	
Unit Four	54,794,003.19		54,794,003.19	9.86	
Unit five	44,210,237.27		44,210,237.27	7.96	
Sub-total	290,808,603.66		290,808,603.66	52.33	

Other notes: None

Other notes: ☐ Applicable √ Not applicable**2. Other receivables****Project listing**√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance	Opening balance
Interest receivable		
Dividends receivable	100,513,294.20	102,500,000.00
Other receivables	1,756,201,966.05	1,879,332,508.33
Total	1,856,715,260.25	1,981,832,508.33

Other notes: ☐ Applicable √ Not applicable

Interest receivable

(1). Classification of Interest Receivable

☐ Applicable ☒ Not applicable

(2). Significant overdue interest

☐ Applicable ☒ Not applicable

(3). Classified disclosure by bad debt provision method

☐ Applicable ☒ Not applicable

Provision for bad debts is made on an individual basis: ☐ Applicable ☒ Not applicable

Explanation of making bad debt provisions on an individual basis: ☐ Applicable ☒ Not applicable

Bad debt provision based on portfolio: ☐ Applicable ☒ Not applicable

(4). Bad debt provisions are made according to the general model for expected credit losses

☐ Applicable ☒ Not applicable

No basis for stage classification or allowance ratio for bad debt provision

Explanation of significant changes in the book balance of interest receivable due to changes in loss provision during the current period: ☐ Applicable ☒ Not applicable

(5). Provision for bad debts

☐ Applicable ☒ Not applicable

Among these, the amount of bad debt provision for recovery or reversal in the current period is important: ☐ Applicable ☒ Not applicable

Other notes: None

(6). Actual interest receivable written off for the current period

☐ Applicable ☒ Not applicable

Among them, the important write-off of interest receivable ☐ applicable ☒ not applicable

Redemption Instructions:

☐ Applicable ☒ Not

Applicable Other Notes: ☐
 Applicable ☒ Not applicable

Dividends receivable

(1). Dividends receivable

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project (or investee)	Ending balance	Opening balance
Huzhou Hengxin Metal Products Co., Ltd		37,500,000.00
Ruide Sponge (Zhejiang) Co., Ltd		15,000,000.00
Dongguan Chu Boshi Home Co., Ltd		50,000,000.00
Zhejiang Yongyu Home Furnishing Co., Ltd	100,513,294.20	
Total	100,513,294.20	102,500,000.00

(2). Significant dividends receivable with an aging of more than one year

☐ Applicable ☒ Not applicable

(3). Classified disclosure by bad debt provision method

☐ Applicable ☒ Not applicable

Provision for bad debts is made on an individual basis: ☐ Applicable ☒ Not applicable

Explanation of making bad debt provisions on an individual basis: ☐ Applicable ☒ Not applicable

Bad debt provision based on portfolio: ☐ Applicable ☒ Not applicable

(4). Bad debt provisions are made according to the general model for expected credit losses

☐ Applicable ☒ Not applicable

No basis for stage classification or allowance ratio for bad debt provision

Explanation of significant changes in the book balance of dividends receivable due to changes in loss provisions during the period: ☐ Applicable ☒ Not applicable

(5). Provision for bad debts

☐ Applicable ☒ Not applicable

Among these, the amount of bad debt provision for recovery or reversal in the current period is important: ☐
 Applicable ☒ Not applicable

Other notes: None

(6). Actual write-off of dividends receivable during the period

☐ Applicable ☒ Not applicable

Among them, the write-off of important dividends receivable ☐ applicable ☒ not applicable

Redemption Instructions: ☐ Applicable ☒ Not Applicable

Other notes: ☐ Applicable ☒ Not applicable

Other receivables**(1). Disclosure by Age**

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Aging of accounts	Ending book balance	Beginning book balance
Within 1 year (including 1 year)	367,965,329.89	893,326,051.14
Where: Within one year	367,965,329.89	893,326,051.14
1 to 2 years	861,830,935.22	597,430,494.33
2 to 3 years	491,160,939.35	335,306,188.99
More than 3 years		
3 to 4 years	36,215,468.99	56,464,205.99
4 to 5 years	338,680.12	274,473.22
More than 5 years	893,036.09	598,299.71
Total	1,758,404,389.66	1,883,399,713.38

(2). Classification by the nature of the funds

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Nature of the funds	Ending book balance	Beginning book balance
Deposit, security deposit	2,536,234.43	2,376,980.29
Opening up loans	1,738,218,609.22	1,841,073,538.29
Temporary payment receivable	1,620,001.60	21,621,533.69
export tax rebate	16,029,544.41	18,327,661.11
Total	1,758,404,389.66	1,883,399,713.38

(3). Provision for bad debts

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Bad debt provision	Phase One	Phase Two	Stage three	Total
	Expected credit losses over the next 12 months	Expected credit loss over the entire life (no credit impairment)	Expected credit loss over the entire life (credit impairment has occurred)	

Balance as of January 1, 2025	1,020,521.35	2,058,189.90	988,493.80	4,067,205.05
Balance as of January 1, 2025 for the current period	— —	— —	— —	
-- Move on to the second stage	-2,550.20	2,550.20		
-- Move on to the third stage		-66,567.46	66,567.46	
--Return to the second stage				
--Return to the first stage				
Provision for this period	-108,488.56	-1,989,072.24	24,536,505.83	22,438,945.03
This issue is back				
Sold off this period				
This period is redeemed for this period			24,303,726.47	24,303,726.47
Other changes				
Balance as of December 31, 2025	909,482.59	5,100.40	1,287,840.62	2,202,423.61

Basis for Division and Bad Debt Provision Ratios for Each

Stage: Stage 1: 0.2472, Stage 2: 0.0006, Stage 3: 0.2436

Explanation of significant changes in the book balance of other receivables with changes in loss provision during the period: ☐ Applicable ☒ Not applicable

The amount of bad debt provision for the current period and the basis for assessing whether the credit risk of financial instruments has significantly increased: ☐ Applicable ☒ Not applicable

(4). Situation regarding bad debt provisions

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Category	Opening balance	Amount of change for the current period				Ending balance
		Accounting	Retract or turn back	Write-off or write-off	Other changes	
Single-item provisioning						
Combined provisions	4,067,205.05	22,438,945.03		24,303,726.47		2,202,423.61
Total	4,067,205.05	22,438,945.03		24,303,726.47		2,202,423.61

Among these, the amount of bad debt provision for reversal or recovery for this period is important: ☐ Applicable ☒ Not applicable

Other notes: None

(5). Other receivables actually written off during the period

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Redemption amount
Other receivables actually written off	24,303,726.47

Other important receivables write-offs: ☐ Applicable ☒ Not applicable

Other receivables write-off instructions: ☐ Applicable ☒ Not applicable

(6). Other receivables of the top five ending balances collected by the debtor

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Unit name	Ending balance	Proportion of Total Ending Balance of Other Receivables (%)	The nature of the funds	Aging of accounts	Bad debt provision at the end of the period
Unit One	1,011,188 ,981.87	57.51	Opening up loans	1-3 years	
Unit Two	391,624,2 09.87	22.27	Opening up loans	1-2 years	
Unit three	109,000,0 00.00	6.20	Opening up loans	1-2 years	
Unit Four	51,106,26 5.76	2.91	Opening up loans	1-2 years	
Unit five	32,020,08 3.09	1.82	Opening up loans	1-3 years	
Total	1,594,939 ,540.59	90.71	/	/	

(7). Listed under other receivables due to centralized fund management

☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

3. Long-term equity investment

√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Ending balance			Opening balance		
	Book balance	Impairment provision	Book value	Book balance	Impairment provision	Book value
Investment in subsidiaries	2,012,203,868.92	302,847,099.84	1,709,356,769.08	2,032,281,125.48	112,562,241.21	1,919,718,884.27
Investment in joint ventures and joint ventures	6,306,281.41	4,639,100.30	1,667,181.11	16,805,274.65	15,138,093.54	1,667,181.11
Total	2,018,510,150.33	307,486,200.14	1,711,023,950.19	2,049,086,400.13	127,700,334.75	1,921,386,065.38

(1). Investment in subsidiaries

√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Investee	Opening balance (book value)	Opening balance of impairment provisions	Changes in this period				Ending balance (book value)	Impairment provision ending balance
			Additional investment	Reduce investment	Impairment provision is made	Others		
Anji Hengyou Technology Co., Ltd	9,658,800.00					521,516.67	10,180,316.67	
Anji Hengyi Furniture Co., Ltd	58,898,516.67					75,400.00	58,973,916.67	
Huzhou Hengxin Metal Products Co., Ltd	16,036,750.00					182,216.67	16,218,966.67	
Anji Hengrui Home Furnishing Co., Ltd	11,200,000.00						11,200,000.00	
Anji Henglin Technology Development Co., Ltd	1,000,000.00						1,000,000.00	
Ruide Sponge (Zhejiang) Co., Ltd	59,756,466.66					75,400.00	59,831,866.66	
Guangde Henglin Home Furnishing Co., Ltd	213,687,292.30						213,687,292.30	
Henglin (Shenzhen) Home Furnishing Co., Ltd	8,800,000.00						8,800,000.00	
Horgos Guangxun Business Consulting Management Co., Ltd	10,000.00						10,000.00	

Taichang Jimeng Commercial Equipment Co., Ltd	5,069,116.66					18,850.00	5,087,966.66	
Nouhaus Inc.	15,053,860.00						15,053,860.00	
Henglin (Hangzhou) E-commerce Co., Ltd	1,000,000.00						1,000,000.00	
Zhejiang Yongyu Home Furnishing Co., Ltd	923,403,063.36						923,403,063.36	
Dongguan Chu Boshi Home Co., Ltd	369,993,504.62	112,562,241.21			190,284,858.63	628,333.33	180,336,979.32	302,847,099.84
Hainan Henglin Technology Co., Ltd	2,500,000.00		7,500,000.00				10,000,000.00	
Zhejiang Jinmei Furniture Co., Ltd	7,653,843.66					178,321.00	7,832,164.66	
Hangzhou Henglin New Retail Co., Ltd	1,600,000.00						1,600,000.00	
Dongguan Yuanhui Polymer Materials Co., Ltd	11,000,001.00						11,000,001.00	
Kunshan Henghui Furniture Co., Ltd	30,000,000.00			30,000,000.00			-	
Riverforest Holdings Inc.	12,921,220.00						12,921,220.00	
Henan Shining Diamond Co., Ltd	92,000,000.00						92,000,000.00	
Nuhas (Hangzhou) Trading Co., Ltd	276,466.66					75,400.00	351,866.66	
Zhejiang Hengjian Home Furnishing Co., Ltd	414,700.00					196,055.82	610,755.82	
Jiangxi Chuboshi Smart Home Co., Ltd	67,024,999.34					37,700.00	67,062,699.34	
Anhui Cigna Furniture Co., Ltd	760,283.34					207,349.95	967,633.29	
Shenzhen Hengchuang Home Furnishing Co., Ltd						37,700.00	37,700.00	
Zhejiang Hengjun Home Furnishing Co., Ltd						188,500.00	188,500.00	
Total	1,919,718,884.27	112,562,241.21	7,500,000.00	30,000,000.00	190,284,858.63	2,422,743.44	1,709,356,769.08	302,847,099.84

Note: Other additions are due to the company's implementation of the 2023 employee stock ownership plan, which constitutes group share payments and increases long-term equity investments in receiving services from subsidiary employees

(2). Investment in joint ventures and joint ventures

√ Applicable □ Not applicable

Unit: Yuan Currency: Renminbi

Investment unit	Opening balance (book value)	Changes in this period								Ending balance (book value)	Impairment provision ending balance
		Additional investment	Reduce investment	Investment gains and losses recognized under the equity method	Other comprehensive income adjustments	Other changes in equity	Announce the payment of cash dividends or profits	Impairment provision is made	Others		
1. Joint ventures											
Zhejiang Weiya Office Furniture Trading Co., Ltd	1,667,181.11									1,667,181.11	
Sub-total	1,667,181.11									1,667,181.11	
2. Joint ventures											
Hainan Mei Su Technology Co., Ltd											
Hangzhou Shuita Zhichuang Digital Technology Co., Ltd											4,639,100.30
Sub-total											4,639,100.30
Total	1,667,181.11									1,667,181.11	4,639,100.30

(3). Impairment testing status of long-term equity investments

☒ Applicable ☐ Not applicable

The recoverable amount is determined by the net amount after fair value minus disposal costs

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Book value	Recoverable amount	Impairment amount	Methods for determining fair value and disposal costs	Key parameters	The basis for determining key parameters
DongguanChu Boshi Home Co., Ltd	370,621,837.95	180,336,979.32	190,284,858.63	Discounted based on future cash flows	Calculate the remaining equity value based on the recoverable amount	
Total	370,621,837.95	180,336,979.32	190,284,858.63	/	/	/

The recoverable amount is determined at the present value of the expected future cash flows

☐ Applicable ☒ Not applicable

The reason for the discrepancies between the aforementioned information and the information used in previous years' impairment tests or external information is clearly inconsistent

☐ Applicable ☒ Not applicable

The reason for the significant discrepancy between the information used in the impairment test in previous years and the actual situation of the current year

☐ Applicable ☒ Not applicable

Other notes: None

4. Operating income and operating costs**(1). Operating income and operating costs**

☒ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	The amount of this period		Previous period amount	
	Income	Cost	Income	Cost
Main business	1,190,976,182.06	956,255,537.35	2,160,355,616.83	1,876,390,596.68
Other businesses	365,181,169.67	317,139,086.84	386,377,426.75	351,683,164.52
Total	1,556,157,351.73	1,273,394,624.19	2,546,733,043.58	2,228,073,761.20

(2). Breakdown information on operating income and operating costs

☐ Applicable ☒ Not applicable

Other notes: ☒ Applicable ☐ Not applicable

Project	Current Issue		Figures for the same period last year	
	Income	Cost	Income	Cost
Office furniture	526,285,201.05	412,344,680.91	758,865,853.46	605,280,523.29
Soft furniture	633,383,810.00	509,111,711.30	660,068,151.37	540,281,022.90
Comprehensive home furnishing category	6,298,571.08	6,241,963.22	715,882,638.65	709,446,887.19
Others	374,409,670.60	342,580,014.92	411,916,400.10	373,065,327.82
Sub-total	1,540,377,252.73	1,270,278,370.35	2,546,733,043.58	2,228,073,761.20

2) Revenue generated from contracts with customers is allocated by operating region

Project	Current Issue		Figures for the same period last year	
	Income	Cost	Income	Cost
Within the territory	304,296,162.50	274,251,635.76	1,137,977,592.17	1,019,009,096.79
Outside the borders	1,236,081,090.23	996,026,734.59	1,408,755,451.41	1,209,064,664.41
Sub-total	1,540,377,252.73	1,270,278,370.35	2,546,733,043.58	2,228,073,761.20

3) Income generated from contracts with customers is broken down by the time goods or services are transferred

Project	Current Issue	Figures for the same period last year
Recognize revenue at a certain point in time	1,540,377,252.73	2,546,733,043.58
Sub-total	1,540,377,252.73	2,546,733,043.58

(3). Explanation of performance obligations

☐ Applicable ☒ Not applicable

(4). Explanation of the allocation to the remaining performance obligations

☐ Applicable ☒ Not applicable

(5). Major contract changes or major transaction price adjustments

☐ Applicable ☒ Not applicable

Other notes:

(3) Information on Performance Obligations: The company's products are obligations to be performed at a specific point in time, and the company delivers the products to the purchaser or its designated carrier according to the contract.

(4) The income recognized during the period, including the book value of contract liabilities at the beginning of the period, was RMB 10,968,924.02.

5. Investment returns√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	The amount of this period	Previous period amount
Long-term equity investment income calculated using the cost method		
Long-term equity investment income calculated using the equity method		-1,270,664.50
Investment income from disposing of long-term equity investments	-30,000,000.00	-800,000.00
Investment returns of trading financial assets during the holding period		
Dividend income earned during the holding period of other equity instrument investments	2,915,172.08	2,372,284.01
Interest income earned during the holding period of debt investments		
Interest income earned during the holding period of other debt investments		
Investment income obtained from the disposal of trading financial assets	11.78	528,811.92
Investment income obtained from disposal of other equity instrument investments		
Investment income obtained from disposal of debt investments		
Investment income obtained from disposal of other debt investments		
Gains from debt restructuring		
Interest income from borrowings	27,635,077.38	24,236,449.98
Subsidiary dividends	302,423,929.56	167,500,000.00
Total	302,974,190.80	192,566,881.41

Other notes: None

6. Others☐ Applicable √ Not applicable**20. Supplementary Materials 1. Detailed statement of non-recurring gains and losses for the current period**√ Applicable ☐ Not applicable unit: Yuan Currency: Renminbi

Project	Amount	Explanation
gains and losses on disposal of non-current assets, including the write-off portion of asset impairment provisions already made	-14,428,832.79	
Government subsidies included in current profit or loss, except those closely related to the company's normal business operations, comply with national policy regulations, are enjoyed according to established standards, and have a lasting impact on the company's profit and loss	14,122,201.04	
Except for effective hedging business related to the company's normal operations, gains and losses on fair value changes and losses arising from non-financial enterprises holding financial assets and liabilities, as well as gains and losses from disposal of financial assets and liabilities	1,728,001.13	
Fund occupation fees charged to non-financial enterprises included in current profit or loss		
Profits and losses from entrusting others to invest in or manage assets		
Gains and losses from outsourced loans		
Asset losses caused by force majeure factors, such as natural disasters		
Reversal of impairment provisions for receivables that were tested separately	799,704.13	
The investment cost for subsidiaries, associates, and joint ventures is less than the fair value of identifiable net assets of the investee at the time of investment		

The benefits of the production		
Net profit or loss of subsidiaries arising from the merger under common control from the beginning to the merger date		
Non-monetary asset exchange gains and losses		
Gains and losses from debt restructuring	-7,193,692.88	
One-time expenses incurred by the enterprise due to the cessation of related business activities, such as expenses for employee placement		
One-time impact on current profit or loss due to adjustments in tax, accounting, and other laws and regulations		
Share-based payment expenses recognized in a lump sum due to cancellation or modification of the equity incentive plan		
For cash-settled share-based payments, after the exercisable date, gains or losses arising from changes in the fair value of employee compensation payable		
Gains and losses arising from changes in fair value of investment property measured subsequently using the fair value model		
Profits from trades with clearly unfair trading prices		
Gains and losses arising from contingent matters unrelated to the company's normal business operations		
Income from management fees obtained through entrusted operations		
Other non-operating income and expenses not listed above	6,307,335.18	
Other profit and loss items that meet the definition of non-recurring gains and losses		
Less: Income tax impact	1,145,016.85	
Minority Equity Impact (After Tax)	2,885,717.61	
Total	-2,696,018.65	

For items not listed in the "Interpretative Announcement No. 1 — Non-recurring Gains and Losses on Information Disclosure of Companies Issuing Securities to the Public Offering" as non-recurring gains and losses with significant amounts, or for items listed in the "Interpretative Announcement No. 1 — Non-recurring Gains and Losses" as recurring gains and losses, the reasons should be explained. ☐ Applicable ☒ Not applicable

Other notes: ☐ Applicable ☒ Not applicable

2. Return on Net Assets and Earnings per Share

☒ Applicable ☐ Not applicable

Profit during the reporting period	Weighted average return on equity (%)	Earnings per share	
		Basic earnings per share	Diluted earnings per share
Net profit attributable to the company's common shareholders	4.45	1.18	1.19
Net profit attributable to ordinary shareholders after deducting non-recurring gains and losses	4.52	1.20	1.21

3. Differences in accounting data under domestic and overseas accounting standards

☐ Applicable ☒ Not applicable

4. Others

☐ Applicable ☒ Not applicable

Not Chairman: Wang Jianglin Board approval
submission date: April 28, 2026

Revise information

☐ Applicable ✓